

Indus Towers (INDUSTOWER)

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Call: Aug 2022

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BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai-400001 The National Stock Exchange of India Limited

Exchange Plaza, C-1, Block-G, Bandra Kurla Complex,

Bandra (E), Mumbai-400051

Ref: Indus Towers Limited (534816/INDUSTOWER)

S~b: Transcript of the Earnings Call for the first quarter (Q1) ended June 30, 2022

Dear Sir/ Madam,

Please find attached the transcript of earnings call conducted on August 03, 2022 for the first quarter ended June 30, 2022.

Kindly take the same on records.

Thanking you,

Yours faithfully,

For Indus Towers Limited

(formerly Bharti Infratel Limited)

. ,J.Vf

J~

Samridhi Rodhe

Company Secretary

Encl: As above

Indus Towers Limited

(formerly Bharti Infratel Limited) indus

TOWERS

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Final Transcript

Transcript of Indus Towers Limited First Quarter Ended June 30, 2022 Earnings Conference Call

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- 1 - Conference Call Transcription

Event: Transcript of Indus Towers Limited First Quarter Ended June 30, 2022 Earnings Conference Call

Event Date/Time: Aug 3, 2022/ 1430 hrs

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CORPORATE PARTICIPANTS

Mr. N Kumar
Chairman & Independent Director – Indus Towers Limited

Mr. Bimal Dayal
Chief Executive Officer – Indus Towers Limited

Mr. Vikas Poddar
Chief Financial Officer – Indus Towers Limited

Mr. Dheeraj Agarwal
Head Investor Relations – Indus Towers Limited

Corporate Call Participants

Mr. Prana v Kshatriya
Edelweiss Securities

Mr. Kunal Vora
BNP Paribas

Mr. Vivek anand Subbaraman
Ambit Capital

Mr. Arun Prasath
Spark Capital

Mr. Manish Ostwal
Nirmal Bang

Mr. Praful Kumar
Dymon Asia Capital

Mr. Varun Ahuja
Credit Suisse

Mr. Ankit Patel
L&T Mutual Fund

PRESENTATION

Rajyita– Moderator - Bharti Airtel Limited

Good afternoon, ladies and gentlemen. I am Rajyita, the moderator for this conference. Welcome to the Indus Towers Limited's first quarter ended June 30, 2022 Earnings Call. For the duration of the presentation, all participant lines will be in the listen only mode.

After the presentation the question-and-answer session will be conducted for all the participants on this call. In case of a natural disaster the conference call will be culminated post an announcement. Present with us on the call today are the Chairman

and
Independent Director of Indus Towers, Mr. N Kumar along with the senior leadership team of Indus Towers, Mr. Bimal Dayal , MD &
CEO, Mr. Vikas Poddar , CFO and Mr. Dheeraj Agarwal, Head Investor Relations. Before I hand over the call, I must remind you that
the overview and discussions today may include certain forward -looking statements that must be viewed in conjunction with the
risks that we face. I now hand over the call to our first speaker of the day, Mr. N Kumar . Thank you and over to you Mr. Kumar!

N Kumar - Chairman & Independent Director – Indus Towers Limited

Thank you Rajyita and good afternoon and a warm welcome to each one of you to the earnings call of Indus Towers for the quarter ended June 30, 2022. It is my pleasure to speak to you as this is the first time I have joined you all over t

he earnings call of Indus Towers. As you are all aware, the industry is at a watershed moment with the imminent rollout of the 5G services in the country. As one of the largest passive telecom infrastructure players , we are well equipped to cater to this demand and support our customers for their rollouts .

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- 3 - I would like to take a moment now to appreciate team Indus on the commendable job they have done in maintaining our leadership position during difficult times too. On behalf of the Board, I would like to thank Bimal Dayal for his contribution to the growth of Indus

Towers. The last five years have indeed been tough for the industry and the quarter gone by wasn't an easy quarter either. Bimal

has successfully navigated the company through these tough times. Under his stewardship, Indus has managed to scale new heights and achieve key milestones. You are all aware , that we completed an impeccable merger in the middle of a pandemic.

Bimal has built a culture which has made the Company a great place to work as recognized by the Gallup for nine years in a row.

He now leaves the Company in great shape with a strong management team in place. I take the opportunity of wishing him the very best in all his future endeavors.

I will take the opportunity and handing over the call to Bimal to present an update on the quarter ended June 2022 and answers all queries. I will now exit the call and over to your Bimal ! Thank you .

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

Thank you very much Mr. Kumar. Good afternoon, everyone and thank you for joining us on the earnings call of Indus Towers for the quarter ended June 30, 2022. Joining me today are my colleagues, Vikas Poddar, CFO and Mr. Dheeraj Agarwal, Head Investor Relations . Before I begin our agenda today , I would like to take a moment to acknowledge the heroic efforts and dedication of our field force in Assam who battled the heavy rains and floods to make sure that the network does not go down. I am immensely proud of their efforts to ensure connectivity under the challenging circumstances.

At the beginning , let me say that our business fundamentals remain stable and have improved this quarter given the recently concluded 5G auctions, the exploding data growth and the agreements on the MSA renewal framework besides our improved operational performance. I will touch upon each one of them one by one.

Coming to the 5G auctions first, the telecom industry is at the next phase of growth as it moves closer to paving way for high-speed 5G services to public and enterprise. In line with the Government's plan of a rapid rollout of 5G services in the country, the DoT concluded the entire auction process for 5G spectrum within a short span of time. The changes in the reserve price and payment schedule, and availability of enough spectrum were key to the successful auction, which saw active participation from at least two telcos. The telcos acquired spectrum across bands including 3.3 GHz and 26 GHz band, which are important for 5G services. The Government of India has received a total bid amount of a whopping Rs 1,53,173 Crores with 51,235 MHz spectrum sold out, out of the total of 72,098 MHz spectrum on the offer. Also, this is the first time we saw the bidding on 700 MHz band which is a significant change from the previous auctions. The acquisition of 5G spectrum in conjunction with Governments encouraging stand makes us feel optimistic about swift proliferation of 5G services in the country. Indus Towers has geared up to support the 5G requirement of the operators based on their rollout strategy.

Well, the auctions are on one side, but there are great tailwinds in terms of 5G adoption as well. Global trends of 5G adoptions are quite positive as evidenced by the statistics mentioned in Ericsson Mobility report. As per the report, global 5G subscriptions grew by 70 million in March quarter to 620 million and are expected to reach around 4.4 billion by the end of 2027. Additionally, the number of commercial 5G service providers also increased from 200 in December 2021 to 210 by March 2022. The report also estimates that 5G penetration in India will reach 40% to 500 million subscriptions by 2027.

This was about the 5G story; however, the inherent demand which comes from data consumption by the large Indian customer base remains robust. The total data consumed across top three operators combined grew by a healthy 36% year-on-year in Q4 FY2022. The average data consumed per user per month across top three operators stood at more than 18 GB in Q4 FY 2022 exhibiting a year-on-year growth of 30%. The rapid growth in data consumption coupled with continued migration to 4G and 5G is expected to drive the demand for passive telecom infrastructure and we are very well positioned to cater to this demand.

Another thing of immense significance to us is the MSA renewal. We are pleased to inform you that revised framework has been agreed with both our major customers. The renewal of co-locations will provide us with long-term revenue visibility from a substantial part of our portfolio for the next 10 years. As we highlighted in the last quarter, we have offered competitive rates to our customers under the revised framework. I would like to add that both customers have agreed to renew majority of their sites expiring between March 2022 and March 2023. They retain the option of exiting up to 9% sites without exit charges or renewing all or part of the sites at a future date. Vikas will be sharing further details later.

From an operational performance standpoint, we had an improved quarter. During the quarter we had additional net additions of 1,027 towers and 591 co-locations. These numbers do not include addition of lean towers and corresponding co-locations. Net additions were impacted due to higher churn in co-locations at 733. Our total towers and co-locations at the end of Q1 were at 186,474 and 336,382 respectively each growing by 3.0% and 3.4% year-on-year basis. We expect this demand to increase further. In continuation with our commentary last quarter, we have continued to see strong traction and demand for leaner towers. During the quarter we added around 1,021 leaner towers. With the imminent rollout of 5G services in the country we expect this demand to increase even further.

Now for the elephant in the room , let us talk about the receivable situation, which has been under stress for a few quarters now and we could reverse the trend in Q4 FY2022 by restructuring the security package. This cover ended on July 15, 2022. We continue to

work with our customer to improve our receivables position, but we are all aware of how stretched their financials are. Collectively as

Board members we believe that their receivables are good and recoverable; however, we have used prudent accounting practice to

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- 4 - change ELC thereby increasing our provisions by Rs.1,233 Crores which has impacted our EBITDA , profits, etc. Vikas will further elaborate up on this.

Coming to my last point which is my ESG agenda . We remain committed in our endeavour to create a sustainable future for the

Company and the communities we serve and to that end we have been making progress in our ESG journey. We have finalized

targets across dimensions of ESG with the objectives of reducing GHG emissions , improving upon our waste management practices, having a more diverse employee base and prioritizing its well being, ensuring sustainable sourcing amongst other things.

The teams are already finalizing the roadmap and initiatives towards achieving their target. We are planning to announce our ESG

targets in coming quarters. I will now request Vikas to take you through our operational and financial performance for the quarter

and look forward to your questions. Over to you Vikas and thank you and apologies for this interruption!

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Thank you, Bimal, and a very good afternoon to all the participants on this call. I am pleased to share with you the financial results

of the first quarter ended June 30, 2022.

To begin with an update on our operational performance , we closed the quarter with a total tower and co-location count at 186,474

and 336,382 respectively , each growing at 3.0% and 3.4% year -on-year basis and 0.6% and 0.2% quarter -on-quarter basis.

In terms of the financial performance our reported revenues were up 1.5% year -on-year to Rs. 69 billion while the core revenue from

rentals grew 0.3% year -on-year to Rs.42.2 billion. The year -on-year growth numbers are impacted due to tapering off exit revenue

as we had indicated in our previous calls. Adjusted for this , the gross revenues and the core revenues were up by 1.9% and 2.2%

respectively year-on-year. On quarter -on-quarter basis our reported gross revenues and core revenues from rentals were down

3.1% and 11.0% respectively. The quarter-on-quarter revenue growth numbers were lower mainly due to the absence of Q4 provision reversal of ~Rs.5.5 billion. After adjusting for the provision reversal, the gross revenues were up 3.4% while the core

revenues were down 0.8% on quarter -on-quarter basis. Both the quarter -on-quarter and year-on-year numbers have also been

impacted by the co-location renewals at competitive rates and terms, which I will talk about in the later part of my speech.

Reported EBITDA declined by 34.2% year -on-year and 42.9% quarter -on-quarter to Rs.23.2 billion. EBITDA margin was down by

18.2 percentage points year-on-year and 23.5 percentage points quarter -on-quarter to 33.7%. EBITDA numbers were lower due to a

substantial increase in provision for doubtful debts, which is recorded under other expense.

As per our accounting policy when our receivables are overdue beyond a threshold, we need to make provision for doubtful debt and we also write back or reverse those provisions as and when we are able to collect those aged receivables. We have made provision for doubtful debt of Rs.12.3 billion in this quarter due to delay in payments from a customer beyond the threshold period. Adjusted for exit revenue, the provision for doubtful debts and the provision reversal, EBITDA was up 2.9% year-on-year and down 0.8% quarter-on-quarter.

Our energy margins continue to be negative. Q1 was impacted by seasonality as our diesel consumption increases during this period, which was partly offset by the lower provisions on account of revision in our estimates that we usually do in the first quarter of every year. We continue to take initiatives towards reduction in diesel consumption to minimize energy loss.

Our reported profit after tax was down by 66.3% year-on-year and 73.9% quarter-on-quarter to Rs. 4.8 billion. Again, adjusted for exit revenue provision for doubtful debt and provision reversal our profit after tax was up 2.9% year-on-year and down 4.7% quarter-on-quarter.

Our cash flow from operating activities for the quarter was Rs.18.7 billion in Q1 FY2023 compared to Rs.19.6 billion in Q1 FY 2022.

Our free cash flow for the quarter was at Rs.5.5 billion, which was impacted by the delay in payments from one of our major customers. Our reported pre-tax return on capital employed and post-tax return on equity for the past 12 months were lower on both year-on-year and quarter-on-quarter basis to 22.0% and 29.5% respectively.

Let me now spend time on explaining the developments on co-location renewals and receivables. On the co-location renewals, I would like to inform you that we have established a renewal framework with our customers that includes the discount on prevailing rates of the renewal portfolio to maintain our competitiveness and continued business relationship. As a result, we have secured renewal of majority of the co-locations expiring between March 2022 and March 2023 for an extended period of 10 years. The revised rates on these renewed co-locations will come into effect on their respective renewal dates starting from April 1 of this financial year. The revised rates are estimated to result in a marginal reduction in the revenue per quarter on Ind-AS 116. We believe that the financial impact of the discount would be offset by incremental revenue from future rollouts by the customer for the network expansion, launch of 5G services and other network solutions. Moreover, securing a 10-year extension on the renewal portfolio provides the long-term certainty and visibility of core revenue.

Next, I would like to apprise you of the receivable situation. Our reported trade receivables decreased by Rs.8.1 billion due to provision for doubtful debt of Rs.12.3 billion, which is accounted in the other expenses. While the customer has expressed that it is closer than ever to tying up its financing needs and also considering the fact that there have been positive developments recently including its participation in the 5G spectrum auction, we have nevertheless considered the current situation and adopted a more stringent accounting practice for making provision for doubtful debts in respect of dues recoverable from the customer. Adjusting for this provision, increase in trade receivables would be Rs.4.2 billion due to shortfall in the payment by the customer. I would like to

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- 5 - reiterate what Bimal said that the receipt of payment from the customer remains challenging in the short term. The customer has

proposed a payment plan wherein they have conveyed the ability to pay part of the billed amount till December 2022 and 100% thereafter along with clearance in a phased manner between January 2023 and July 2023 of the old dues that would accumulate till December 2022. We are engaged with the customer to work out a better payment plan, hence we expect to see gradual improvement in our trade receivables position that we will continue to monitor very closely.

In summary, we had a mixed quarter wherein our financials reflect the stresses placed on them by the collection issues from one of our major customers. We are hopeful of navigating our way through this situation given the long-term growth story of the telecom infrastructure space remains robust. I would now like to hand over the call back to Bimal.

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

Thank you Vikas and I am happy to take questions, so over to you Rajyita!

Ms. Rajyita - Moderator

Thank you very much Sir! We will now begin the question-and-answer session for all the participants who are connected to the audio conference service from Airtel. The first question comes from Mr. Pranav Kshatriya from Edelweiss Securities, Mumbai. Mr. Kshatriya you may ask your question now.

Pranav Kshatriya - Edelweiss Securities - Mumbai

Thanks for the opportunity. My first question is regarding the impact of MSA renegotiation, you talked about decline in the revenue because of this. Can you quantify how much will be the impact in terms of the rent per tenancy compared to the previous quarter of course adjusted for that Rs 5.5 billion one of which was there? That is my first question and secondly how should we see the financial impact of no exit charges for 9% of the tenancy because I assume that they would want to execute basically it is churned out higher tenancy. Will that have revenue implications, or it will have other cost implications because you might have to close certain towers because of that, so how should we see this impacting revenue/profitability? Those are my two questions.

Bimal Dayal - Chief Executive Officer – Indus Towers Limited

Thank you, Pranav. I will take the second one first on this 9% and the impact thereof. I think if you actually look at over a period of 10 to 12 years there has been a lot of let us say scope for optimization, which has been built in into whatever we end up doing, so this could be the landlord rental, this could be energy cost, etc., and I think over this period there is some amount of towers, which let us say we would like to exit or let us say jointly between our customers and us we would certainly like to work upon those costs as well. However, I think this number in reality would be much, much lower than 9%. This is more flexibility, which is existing with the customers and us. I think there are certain incentives, which let us say the customers have wherein the costs are higher, and this actually puts a very good pressure on tower co like us to bring those costs down for some amount of such towers and we are working with the customers. Now we certainly would like to give you a colour as to impact of this 9% and since we have kind of closed these MSAs very recently, I think in coming quarters we would certainly give you the colour as to whether this would be 1% or sub 1% or any other number, so just watch this space. From a distance I can only say that no operator would like to change their grid because it impacts the customers, end customers and customer satisfaction for the end customers and more importantly it

costs a good amount of money to shift the towers as well, hence once you take the incentive to move these towers out which is the higher cost I think we will be able to settle for a much higher number than 91%, which as I said as story develops we would share the impact. On MSA maybe Vikas you could take us through on the impact.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Yes, sure. Hi, Pranav. Thanks for the question on MSA. I think as far as the impact of the competitive prices in terms that we spoke about that would be on an average roughly about Rs.500 per tenancy and that would translate to roughly Rs.900 per tower on an overall average basis.

Pranav Kshatriya - Edelweiss Securities - Mumbai

This you are adjusting for this lease equalization or that will not have material impact because of that ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

So as far as the lean towers are concerned this is the first time we have started reporting as you can see, I am sorry I did not get the question, could you repeat the question, Pranav?

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Pranav Kshatriya - Edelweiss Securities - Mumbai

When you talk about the rental,

there is a factor of lease equalization impact that because now the renewal has happened. So the lease would be for a longer tenure, so when you say this Rs.500 impact, is it on the reported revenue basis or is it adjusting for the lease equalization?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

This is adjusted for the lease accounting because as part of the renewal we have also secured a 10-year extension which is quite significant, so yes from that perspective this is as I said on Ind-AS 116 basis.

Pranav Kshatriya - Edelweiss Securities - Mumbai

If I have to see the impact on the billing basis how much you bill to the customer versus what you are billing earlier, how much will that impact be?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Pranav unfortunately there is business sensitivity because it is customer specific information which we will not be able to share because of the confidentiality.

Mr. Pranav Kshatriya - Edelweiss Securities - Mumbai

Sure, I understand that. I have a few questions I will come back in the queue and thank you very much.

Rajyita - Moderator

Thank you very much Mr. Kshatriya . The next question comes from Mr. Kunal Vora from BNP Paribas , Mumbai. Mr. Vora you may ask your question now.

Kunal Vora - BNP Paribas - Mumbai

Thanks for the opportunity. Again, the question on MSA renewal, any other changes in the terms such as annual escalations which you are getting which was about 2.5% and whether there is any change in terms such as loading?

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

Thanks, Kunal for this question. There is no change when it comes to our annual escalation or the loading charges , so it remains the same.

Kunal Vora - BNP Paribas - Mumbai

The second question is operators have acquired 5G spectrum . Can you run us through what kind of upside you can see from that purely from loading, not from new towers, but on loading assuming that the tenant goes from say 50,000 to 100,000 sites on which they deploy 5G services . What kind of an upside would you expect from that?

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

Kunal if I understand your question right you are actually trying to look at what kind of an impact 5G will have on Indus starting with the loading charges . So let me say first of all that I think operators ' strategy would vary from let us say one customer to the other and let us put it this way that the initial responses which we have seen , I think we will see large scale rollout of 5G on our existing sites and which would start almost in weeks' time from here on. I think we have been working on preparing the sites for quite some time now . I think each one will have different radios and different antenna sets . However, only colour I can give you is where we stand is the average loading for 5G is going to be higher from what we actually realized on 4G as I think for at least first year with

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- 7 - massive rollout I think we really expect to do very well when it comes to our loading revenue on 5G; however, I think per site basis it will depend on customer -to-customer and the kind of equipment which comes in.

Kunal Vora - BNP Paribas - Mumbai

Thanks for that, in 4G if I am not mistaken it used to be about 10%. Is that the kind of number you indicated like the number in 5G will be higher compared to that, so is that right way of looking at it ?

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

Look I am only saying it will depe

nd on customer . On an average we have seen that this is higher now what will the customers do to optimize this will actually happen when this rollout begins . In our trials this is what it is right now. I would not be able to kind of substantiate this for you until the first rollout start to take place that would be the good time to ask this question, but my take from whatever we have seen on an average this is going to be higher than 4G for sure.

Kunal Vora - BNP Paribas -Mumbai

Thanks, Sir. Just one small question, will the receivables issue have any impact on the dividend distribution strategy dividend payout which you are looking at that is it from my side?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Kunal I will take that one. I think like I said our dividend policy has not changed . It still remains linked to the cash flow, so hope fully we will keep evaluating the cash flow situation of the company and we will stick to the policy . If there is any excess cash flow , we would be happy to sort of distribute that out, so we will keep evaluating and then we will see where the whole thing goes.

Kunal Vora - BNP Paribas -Mumbai

Thank you.

Rajyita – Moderator

Thank you very much Mr. Vora . The next question comes from Mr. Vivekanand Subbaraman from Ambit Capital , Mumbai. Mr. Subbaraman , you may ask your question now.

Vivekanand Subbaraman – Ambit Capital -Mumbai

Thank you very much for the opportunity. Unfortunately, my questions are on the same two issues that got discussed before so on renewal s I am trying to understand this better so you said that through the year there will be co-locations that will come up for renewal and therefore the new rates will kick in so there will be a Q-o-Q revenue reduction . Is that understanding correct ?

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

Yes, so we have all the co-locations I mean bulk of it was due to renew in March 2022, but even in the next 9 or 10 months we will have the co-locations that will come up for renewal, but bulk of it has already got renewed as of April 1, 2022, so there will be small portions that will keep coming up and we will basically apply the new rates as and when they come up.

Vivekanand Subbaraman - Ambit Capital - Mumbai

So extending this a bit more you would definitely have some tenancies that will come up for renewal perhaps in 2023 and 2024 from the two large operators . Does this mean that you will have to negotiate for those tenancies again or will the same conceptual framework be applicable in subsequent years also when those respective co-locations come up for renewal?

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

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- 8 - Vivekanand, right, this same framework will be applicable to the tenancies, which will come up for renewal in the future as well. So I

think whatever we have right now the understanding is this is for the tenancies, which are coming in for renewal and the future tenancies as well.

Vivekanand Subbaraman - Ambit Capital - Mumbai

Great and could you help us understand what percentage of the co-locations from these operators come up for renewal in fiscal

2024 and 2025, any broad ballpark will help?

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

I do believe that a bulk of it would be behind us or is behind us in the current and the coming fiscal year. I think maybe offline we can

share through Dheeraj what kind of staggering we have for these tenancies in the coming years.

Vivekanand Subbaraman - Ambit Capital

al - Mumbai

Understood and the last one which is on receivables. So if I understand correctly, we had a payment plan from Vodafone. We

announced this on February 22, 2022. So from then to July 15, 2022 there was a certain committed payment. Can you help us

understand if this committed payment for this period February to July covered the billing that you had from Vodafone or was it

significantly lower? I am trying to look at it from the perspective of the new payment plan that you are trying to arrive at with Vodafone?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Sure, I will take that one Vivekanand. I think the payment plan that we had agreed back in February had two parts. There was the

first part which was linked to the primary pledge or the security that we had, which sort of supported the restructuring and as a result

that was monetized by the promoter and routed back to VIL and then it was basically used against our outstanding. So that was the

first part and then there was a second part wherein we had a minimum commitment of Rs 3,000 Crores in that period so both these

parts basically covered our billings in that period and that got over on July 15, 2022 and that is when we reached out for a new

payment plan for the future.

Vivekanand Subbaraman – Ambit Capital - Mumbai

By when do you think you will be able to conclude the new payment plan, the one that you describe where VIL has given a certain

roadmap, but you are hopeful of something better?

Bimal Dayal – Chief Executive Officer – Indus Towers Limited

Look Vivekanand, I think this is an ongoing discussion and negotiation which we are constantly engaged with the customer,

and I think pretty much everybody including the senior people at the Board are involved at that level as well. I cannot give you a date of conclusion here, but the engagement is on as we speak and I think we all understand how important it is for this company to improve our cash flow situation, so it is absolutely taking the highest priority for all of us, and I think sooner this happens the better and that is the endeavor for all of us right now.

Vivekanand Subbaraman – Ambit Capital - Mumbai

Alright, thank you and all the best.

Rajyita – Moderator

Thank you very much Mr. Subbaraman. The next question comes from Mr. Arun Prasath from Spark Capital, Chennai. Mr. Prasath you may ask your question now.

Arun Prasath – Spark Capital – Chennai

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- 9 - Thanks for the opportunity, you have said that 5G loading will be relatively higher as compared to 4G. Can you explain why fundamentally that should be the reason? With some of the higher power 5G RAN's or the antenna is bigger, can you just explain a little bit about that Sir?

Bimal Dayal – Chief Executive Officer – Indus Towers Limited

I think if I remember it right the major loading is coming from the power requirements and also the antennas, which would go up. I think it is the power requirement which actually will alter the loading or get us the bulk of the loading.

Arun Prasath – Spark Capital – Chennai

So that means that as a tower co we also need to upgrade our facilities say, batteries or DG infrastructure site to support the high electrical loads?

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

That is correct and all this depends on the condition of the site as well whether we have headroom or whether we need to improve the site condition to match the load requirements and that is an ongoing exercise. I do not think I would possibly be too worried about that part.

Arun Prasath - Spark Capital - Chennai

Second question is on lean towers that we are talking about, is the understanding correct that going forward we will be only deploying the leaner towers and not the traditional ones we used to deploy earlier? Is it what we have agreed with the customer as well?

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

No, I do not think that is the understanding . Leaner towers provide a limited loading opportunity . Every pr oduct whi ch we ac tually put up has its own applicability after which the other produc t kicks in and I do not think there is a cannibalization which takes place . Hence , wherever operator has to put a heavier si te which has loading requirement s higher t han th e leane r one I think the next level of site kic ks in, so I do not think it would be right for you to conclude that only leaner si tes will be installed . Yes, at the moment we are seeing very good traction from the customers to build the leane r sites and I think w e have also improved upon cost structure of this tower which is fitting in the bill for a faster rollout .

Arun Prasath - Spark Capital - Chennai

Just to understand a little bit more . Is the leaner tower the solutio n offered by Indus beca use one operator is expanding, and other operator is not putting enough capex or giving any orders ? So, in order to minimize the capex we go with the leaner towers, is the understanding right at least?

Bimal Dayal - Chief Execut ive Offic er - Indus To wers Li mited

Well, it is a product in itself and if we go back in time when we used to make single tenant si tes, we were not even recovering we were negative . With leaner towers we make reasonable money and is not a money losin g venture , so it is a good thing . While we roll it out for one customer , I think we do believe that it would also provide a good take off path for our next customer as and when the customer wants to deploy si tes on similar rooftops , so I thin k it fits the bill for us in a very good way and it fits the current scheme of things in which we have a symmetric rollout taking place between the operators.

Arun Prasath - Spark Capital - Chennai

Whenever the other operator is ready how will we accommo date that ope rator i n the leaner tower? Do we have a pathway for that , or is it something that we are y et to anal yze?

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

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Transcript of Indus Towers Limited First Quarter Ended June 30, 2022 Earnings Conference Call

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- 10 - This de pends from si te-to-site, but I think one of the b iggest things which happens in acquiring any site is the physical acq uisitio n of the site, rest is around the electrical and let us say the physical towers as well which is easy and doable thing . So once you acquire an area , I think the hard part is done, rest is really fixable for the second op erator which i s our c ore business so all I can say is with even leaner towers being rolled out , we are ready for the second operator depending on the condition of si te.

Arun Prasath - Spark Capital - Chennai

Very helpful Sir. Than k you and that is it f rom my side.

Rajyita – Moderator

Thank you very much Mr. Prasath. The next question comes from Mr. Manish Ostwal from Nirmal Bang, Mumbai. Mr. Ostwal you may ask your question now.

Manish Ostwal - Nirmal Bang - Mumbai

Thank you for the opportunity. I have only one question with respect to the provision for one of our telecom customers. So up to June 30, 2022 we have taken the most of the provision or how the provision line with respect to this thing will move forward in coming quarters, can you guide us on this front?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Basically like I said because of the risk that we have within our accounts receivable, we have adopted a more stringent provision policy and as a result we have made a provision, now going forward like I said we are sort of engaged and discussing a better payment plan, the current commitment that we have indicates a part payment of the bills till December 2022. If that happens then that would mean that the receivables would probably worsen a bit more before we start seeing improvement in which case there might be a situation where we will have to provide more to sort of keep managing the risk of accounts receivables, so we have to really monitor this very, very closely, assess the situation and see how we decide on this one.

Manish Ostwal - Nirmal Bang - Mumbai

Sure, thanks a lot.

Rajyita – Moderator

Thank you very much Mr. Ostwal. The next question comes from Mr. Praful Kumar from Dymon Asia Capital, Singapore. Mr. Kumar you may ask your question now.

Praful Kumar - Dymon Asia Capital - Singapore

Thanks for the opportunity. Sir, I had just two questions, first in terms of now 5G rollout, can you just explain a bit more how this is a bigger opportunity for us in terms of revenue growth, so is it that more products are being demanded by the operators or how exactly is the value add that we do on this rollout?

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

So you have two questions, Praful, would you like to ask the second one as well?

Praful Kumar - Dymon Asia Capital - Singapore

Yes, second question is the extension of the previous one, can you explain a bit more on why on receivables you are taking a write-off and you think it would be a big worry because if the third operator is now government guaranteed, so what exactly is the problem here in terms of underlying cash flows, what exactly is the problem here?

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

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- 11 - Praful I will give two comments on what you just mentioned, one government guaranteed and second write-off. I do not think there is a write-off taking place or second there are government guarantees here. Technically I would like Vikas to answer this question on receivables I will take the 5G rollout subsequently.

Mr. Vikas Poddar - Chief Financial Officer – Indus Towers Limited

So, Praful I think the rationale is the fact that we have a very aging receivables while there is a payment plan in place, which gives us the visibility of eventually collecting all the dues, but at the same time we have the account receivable that is aging and very concentrated with a large amount and hence as a prudent approach we have decided to provide so that we are managing the risk very well, so I think it is like Bimal said it is not a write-off it is just the provision and there is no government or sovereign guarantee behind this, this is purely commercial outstanding that is there.

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

Just to add little bit more colour on I think we have been talking about the receivables. I think please look at it this way that we also have been in our discussions with the customers. We have been told that we will not be worse off when it comes to the payments made on a percentage basis by our customers, which actually on an extrapolation tells us that we are kind of not the only ones in this entire ecosystem, hence we all are actually eagerly looking forward to I think the financial package which has been spoken by our customer and those closures based on which they have given the payment plan. I do believe that since you brought out the Government I think in public domain information it is very clear that the customer is also waiting for the equity conversion and I think that is where you actually mentioned the government guarantees but I think that thing has still not happened if I remember it right. So I think few good things have to actually take place before the whole thing starts to fall in place and we are eagerly waiting or watching this.

On the 5G side, we do believe that this time the enthusiasm and the strategy from the customers is certainly going to be slightly different than what we have seen in the past. If you actually go back to some of the strategies, which let us say operators adopted when 3G was rolled out or even 4G was rolled out initially I think we actually took a hotspot approach or we used to wire up the areas where the traffic is supposed to be higher and we used to have this concept of hotspots and then we saw a mighty rollout of 4G and everybody started to look at a wide brush approach towards peppering up the entire country with 4G. Now 4G has taught us a lot of lessons and we do believe that there will be a very quick proliferation of 5G on our sites themselves and we will see huge amounts of rollouts coming up on our existing sites. As I mentioned, the per site basis we will probably have revenue which is higher than what we derive out of 4G but remains to be seen what the operators end up with. Hence this is what gives me the backing of what I am saying that it would be significant for us in let us say next 12 to 18 months before the next phase of 5G kicks in which will be occupying the space which makes us even more relevant which means the ultra low latency network. I think initially we

will have the massive broadband proliferation of 5G and then later on we will see the ultra low latency network coming up which we will occupy the street furniture much more wherein we become even more relevant. So that actually tells me 18 months with huge amount of roll outs of 5G on our existing sites post that I think we will certainly see low latency coming up, so it is a good thing for tower industry.

Praful Kumar - Dymon Asia Capital - Singapore

Got it. Thanks a lot.

Rajyita – Moderator

Thank you very much Mr. Kumar. The next question comes from Mr. Varun Ahuja from Credit Suisse, Singapore. Mr. Ahuja you may ask your question now.

Varun Ahuja - Credit Suisse - Singapore

Thanks for the opportunity. I just want to ask two questions and obviously these are related to two big things, one is the rental negotiations and also on the receivables. First on the rental negotiations can you give some clarity on it because the last time when it happened I think there was a detailed presentation over there and the attempt was that in future whenever the negotiation will happen or the renewals will happen rather the right term, the older and newer tenancy will be at that equilibrium level and that is where the freeze happened and all that changes happened, but looks like based on my understanding what is happening is you are going back to the same scenario where after 10 years again you will have a 2.5% escalation and when the renewal will happen the older and newer tenancy will be at a different rate. How are you accounting for that way to genesis of this problem started so any clarity on that front will be helpful. Secondly on the receivable, can you explain how does the movement will happen on it in future or other way, till when in terms of date you have kind of provided provisions for the VIL receivable that is number one, in future how should we think about the movement on the receivable side if there is a quarterly revenue run rate from VIL, how much are you collecting and how much will add to the receivable any clarity on that would be helpful? Thank you.

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Bimal Dayal - Chief Executive Officer - Indus Towers Limited

Thank you Varun for your question. Look I think my understanding of 2016 was a structural correction that was made in which on one hand we had escalation freeze is taking place, on the other hand we got a five-year extension of the renewal for a set of tenancies. Obviously, this actually also brought in the concept of the rate lift as well; however, it was very clear within the MSA framework that these tenancies will expire in a period of time which we have been actually transparently sharing with you that by March 2022 almost a third of our tenancies were to expire which they did. I would say that under the current circumstances there was no other way than kind of engaging with the customers and negotiating a great deal which we have managed to do. I do believe that we have under the circumstances a great deal in which we have secured this for another 10 years. For an infrastructure

business I like this I think it is sealed for a good period of time . Please put yourself in shoes wherein you were to negotiate a deal like this where you are negotiating with customers and I think the difference between the balance sheets of each of these customers and Indus Towers there is a truckload of gap and in that context I think where we stand with the kind of impact Vikas has spoken , I think this is a great deal which we have secured not only for Indus Towers but for the industry itself because whatever we end up doing actually becomes industry benchmark . I think 10 years is a great period of time . I do believe that whatever impact we have let us put it this way with accelerated 5G roll out with the newer sites coming in I think we should be able to swallow this within let us say a year or year-and-half and we have clear 7 or 7.5 years of growth, please remember that this 2.5% escalation year-on-year is a great thing to happen and I think there is no way this model will get changed or get worse from here on . I think it is a great model which has delivered in the past, so I think we certainly have come out clean with minimum or no change to the model . So I as CEO and Managing Director of this company , I am very happy that we have secured this under very, very difficult circumstances not only for us but for our customers as well and good that we have done it for both the customers and as you would know both the customers are in a very different frame when it comes to their financial position. On the second part Vikas maybe you can take up .

Vikas Poddar - Chief Financial Officer – Indus Towers Limited

I think on your question just to recap the question your question is how we really see the receivables going ahead . First of all I would want to start with saying that if we look at the trend in the last couple of months because of various reasons if we just keep aside the security money that we received then excluding that we have been getting payment of roughly 50% to 60% in the last couple of months of our monthly dues and we are also basically from public domain and from the information that we have known that the customer has a funding plan which it is in discussion with its lenders and that will have a huge bearing on their cash flows and their ability to invest and so on. So the payment plan like I said we have received still indicates that we would not be able to make full payment of monthly dues till December 2022 in which case if that happens then directionally, we can expect that the receivables will go up further and in which case like I said we will continue to assess the situation and wherever we see the accounts receivable risk developing we will make the necessary provisions to do adequate derisking of the situation, so I think the simple answer is while I said we are discussing and trying to work out a better plan, but given the current indications it seems like it will go up for a couple of months.

Varun Ahuja - Credit Suisse - Singapore

Thank you, the last question was for the provision that you have provided till what date, any month by when those provisions we have made in terms of accounted as a bad debt?

Vikas Poddar - Chief Financial Officer – Indus Towers Limited

Again, that is dependent on the policy that we have which is different for different customers, so again it is a bit of customer specific information, we may not be able to reveal that Varun , but I can assure you that this is based on a stringent approach that is discussed and assessed and then we make those provisions . If required, we will take another position and make it more stringent if required going forward.

Varun Ahuja - Credit Suisse - Singapore

Thank you.

Rajyita – Moderator

Thank you very much Mr. Ahuja. The next question comes from Mr. Ankit Patel from L&T Mutual Fund, Mumbai. Mr. Patel you may ask your question now,

Ankit Patel - L&T Mutual Fund - Mumbai

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- 13 - Thanks for taking my question and good afternoon. I had two questions, one was you mentioned that you expect to receive part of the payments till December if you could quantify what part of the payments the range in terms of how it will be received, and the second question is regarding the other customer how is the payment going on and whether there is any change in the payment track record over there?

Vikas Poddar - Chief Financial Officer – Indus Towers Limited

So Ankit, I think as far as the quantification of the part payment is concerned I think the pretty much the past trend that I spoke about wherein excluding the money that we received as part of a security monetization otherwise we have been getting roughly like I said 50% to 60% of our monthly dues, so that is a good indicator of the part payment we can expect going forward subject to whatever discussions we are going to have in terms of bettering the payment plan, so I think that would be a good indicator. Other customers, I do not think we have major receivables issues except for one non-JV customer where we have some old dues outstanding, but that sum is not very material and in any case we are working with that customer as well to expedite the payments and recover those dues.

Ankit Patel - L&T Mutual Fund - Mumbai

Thank you.

Rajyita – Moderator

Thank you very much Mr. Patel. At this moment, there are no further questions from participants, I would now hand over the proceedings to Mr. Bimal Dayal for the final remarks.

Bimal Dayal - Chief Executive Officer - Indus Towers Limited

Thank you Rajyita. I think it is fairly nostalgic for me. Let me first thank pretty much all my able partners and Vikas and Dheeraj for doing a commendable job. I would certainly like to thank our field force, the management committee members, Indus family, shareholders, and the Board members of past and present both. A very special thanks to Mr. Kumar, our current Chairman who has

been the biggest support. Pretty much thank you all for joining and making this a great interactive session . I think there is beside responding , there is a great learning as well so thank you for keeping it alive . Logging off with my best wishes to all with a conviction that the newer leaders will take this great company to greater heights . Thank you very much . God bless .

Rajyita – Moderator

Ladies and gentlemen this concludes the conference call. You may now disconnect your lines. Thank you for connecting to audio conference service from Airtel and have a pleasant evening .

Call: Nov 2022

Indus Towers Limited

(formerly Bharti Infratel Limited)

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November 04, 2022

BSE Limited The National Stock Exchange of India Limited

Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Block – G, Bandra Kurla Complex,

Dalal Street, Mumbai-400001 Bandra (E), Mumbai-400051

Ref: Indus Towers Limited (534816 / INDUSTOWER)

Sub: Transcript of the Earnings Call for the second quarter (Q2) ended September 30, 2022

Dear Sir/ Madam,

Please find attached the transcript of earnings call conducted on October 28, 2022, for the second quarter ended September 30, 2022.

Kindly take the same on records.

Thanking you,

Yours faithfully, For Indus Towers Limited (formerly Bharti Infratel Limited)

Samridhi Rodhe Company Secretary

Encl: As above

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- 1 - Conference Call Transcription

Event: Transcript of Indus Towers Limited Second Quarter Ended
September 30, 2022 Earnings Conference Call

Event Date/Time: Oct 28, 2022/ 1430 hrs IST

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CORPORATE PARTICIPANTS

Mr. Tejinder S Kalra
Chief Operating Officer – Indus Towers Limited

Mr. Vikas Poddar
Chief Financial Officer – Indus Towers Limited

Mr. Dheeraj Agarwal
Head Investor Relations - Indus Towers Limited

CORPORATE CALL PARTICIPANTS

Mr. Kunal Vora
BNP Paribas, Mumbai

Mr. Tanay Shah
Dolat Capital, Mumbai

Ms. Falguni Dutta
Jet Age Securities Private Limited, Kolkata

Mr. Pranav Kshatriya
Nuvama, Mumbai

Mr. Rakesh Sethia
HDFC Mutual Funds, Mumbai

Mr. Ravi Agarwal
UTI AMC Ltd, Mumbai

Mr. Aazeb Anwarali Parbatani
Omicara Capital, Mumbai

Mr. Utkarsh Mehrotra
Schonfeld, Singapore

Mr. Arun Prasath
Spark Capital, Chennai

Mr. Vivekanand Subbaraman
Ambit Capital, Mumbai

PRESENTATION

Vandana – Moderator

Good afternoon, ladies and gentlemen . I am Vandana , the moderator for this conference . Welcome to the Indus Towers Limited
Second Quarter Ended September 30, 2022 Earnings Call . For the duration of the presentation, all participant lines will be in the listen -
only mode . After the presentation, the question -and-answer session will be conducted for all the participants on this call . In case of a
natural disaster, the conference call will be culminated post an announcement . Present with us on the call today is the senior leadership
team of Indus Towers , Mr. Tejinder Kalra - COO, Mr. Vikas Poddar - CFO, and Mr. Dheeraj Agarwal - Head Investor Relations.

Before I hand over the call, I must remind you that the overview and discussions today may include certain forward -looking statements
that must be viewed in conjunction with the risks that we face . I now hand over the call to our first speaker of the day, Mr. Tejinder
Kalra . Thank you, and over to you, Mr. Kalra !

Tejinder S Kalra – Chief Operating Officer– Indus Towers Limited

Thank you Vandana . Good afternoon, everyone, and a very warm welcome to all of you. Hope all of you guys had a great Diwali .
Thank you for joining us on the Ear

nings Call of Indus Towers for the quarter ended September 30, 2022 . Joining me today are my
colleagues Mr. Vikas Poddar - CFO and Mr. Dheeraj Agarwal - Head Investor Relations.

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- 3 - You all must be aware that following Bimal 's exit , myself and Vikas are jointly responsible for the functioning of the Company till such
time a permanent replacement is put in place . The board is evaluating all talent options and we will make an announcement soon
once the right successor is finali zed.

Before I begin our agenda today, I would like to reiterate Indus Towers ' commitment to work towards Government's digital inclusion
goals by enabling connectivity across the nation . Our team of bravehearts with their comm itment and dedication is the m ain driving
force behind our achievements as we continue to deploy towers in the most remote areas with diverse topographies to bring connectivity . During the quarter , we installed towers in the remote locations such as border areas in J&K, Namsai area of Arunachal
Pradesh, Tirthahalli in Karnataka thus enabling internet and mobile connectivity in these areas . At the same time, we also brave d
severe floods and heavy rai ns in several areas during the quarter and yet our field force was unwavering in their commitment towards
maintaining the network . We remain steadfast in our resolve to continue our efforts in the future as well.

Now moving on to the key things I would li ke to discuss today, I start with major industry developments . The Government continues
to take steps to simplify and accelerate the deployment of telecom infrastructure in the country in order to facilitate swift rollout of 5G
services . The launch of Gati Shakti Sanchar portal has eased the right of way application process through a single window . This
significantly eases the si te acquisition process and leads to a much faster creation of 5G infrastructure in the country . This is indeed
a great positive ste p.

Now from a 5G rollout perspective , I would like to highlight the success ful auction of 5G spectrum in August followed by the start of
5G services in less than three months . The two main operators have already announced pan-India roll out of their 5G services in the
next 18 months . This shows the commitment of the Government and t he telecom industry towards making 5G a reality soon

across

the country . It also underlines the role of infrastructure players in providing 5G ready sites at speed and Indus Towers is already progressing well on this path of preparing its sites for 5G implementation. In terms of the opportunity , we expect initial benefits to be in the form of revenue from additional loading . There will be need for more capacity with increase in adoption of 5G services which will eventually drive the demand for setting up more new sites .

Now taking cues from the global 5G adoption , the trend remains encouraging . As per the statistics mentioned in the Ericsson Mobility report , global 5G subscriptions grew by 70 million in the June quarter to 690 million and are expected to reach around 4.4 billion by the end of 2027 . Additionally , the number of commercial 5G service providers also increased from 210 in March 2022 to 218 in June 2022. The report also estimates that 5G penetration in India will reach 40% to about 500 million subscriptions by 2027 as we also highlighted in our previous earnings call .

The data consumption story in India also continues to be robust and 5G network rollout will further the adoption, and this is going to increase the data momentum growth even further . The total data consumed across the top three operators combined grew by 20% year-on-year in the June quarter, the average data consumed per user per month across the top three operators stood at more than 19 GB for the quarter exhibiting a year -on-year growth of over 19% . As per industry observers Ericsson and Nokia , India's data usage is almost the highest in the world and the average data consumption per user per month is expected to increase to about 40 to 50 GB in the next five years . The constantly growing demand for data and upgradation to 4G and 5G should continue to drive the demand for capacity addition both in the form of loading and new sites which remains a primary growth driver for Indus Towers.

From an operational performance perspective , we witnessed a healthy growth in addition of macro and leaner towers . During the quarter , we registered a net addition of 1 ,452 macro towers and 1 ,746 corresponding co -locations . Our total towers and co-locations at the end of Q2 was 187 ,926 and 338 ,128 respectively , each growing by 2.4% and 1.7% on a year -on-year basis . Our industry leading tenancy ratio was largely flattish at 1.80.

In addition to macro towers , we also added 1 ,535 co-locations on leaner towers in Q2 compared to 1 ,021 co -locations in Q1 . As highlighted in our previous calls , we continue to see good traction in our leaner towers , we expect the demand for leaner structures to grow further with the increase in densification requirement and subsequently our leaner structure portfolio to contribute meaningfully to our business performance.

I would also like to move now to the ESG , which is one of our key priorities as a responsible organization . Our efforts are directed towards identifying and targeting material points in environmental, social and governance dimensions, which will help the Company in its sustainability journey . I am pleased to share with you that we have identified key points across dimensions and finalized the targets . We have also finalized the implementation road map to achieve these targets and started working on it . In the upcoming quarter we would be sharing progress on all these targets.

I would now request Vikas to take you through the operational and financial performance of the quarter ending September 30, 2022 and I look forward to your questions . Over to you Vikas . Thank you all.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Thank you Tejinder and very good afternoon to all the participants on this call . I am pleased to share with you the financial

results of the second quarter ended September 30, 2022. Before I go to the financials, let me spend a minute on our operational performance wherein we have seen a pickup in our tower and co-location additions in quarter two as Tejinder mentioned. We close the quarter with the total tower and co-location count at 187,926 and 330,128 respectively, each growing at 2.4% and 1.7% year-on-year basis and 0.8% and 0.5% on quarter-on-quarter basis. Over and above the net addition of 1,746 co-locations on macro towers, we have also

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- 4 - added 1,535 co-locations on lean towers and as we have highlighted in the past, demand for leaner structures is rising based on the customer requirements.

Moving onto the financial performance, our reported revenues grew by 15.9% year-on-year to Rs.79.7 billion wherein the core revenue from rental was up by 12.5% year-on-year to Rs.47.8 billion. Our revenues include the impact of both the tapering of exit revenues and as shared by us earlier the company had settled its old dues with its customers and deferred the recognition of the revenues arising out of such set

tlements till the time of ultimate collection. A part of revenue from this settlement was recognized in Q4 of last fiscal based on the payment received as we had highlighted in our commentary for Q4. In quarter two of FY2023 the impact of deferred recognition on gross revenues and core revenues was Rs.11 billion and Rs.5.5 billion respectively. Adjusted for both, the exit revenue and the impact of deferred recognition, our gross revenue and core revenues grew by 2.1% and 3.5% respectively year-on-year.

On a quarter-on-quarter basis, our reported gross revenues and core revenues from rentals grew by 15.5% and 13.3% respectively. Again, after adjusting for the aforementioned two factors, gross revenue and core revenue were up 1.4% and 2.3% respectively.

Reported EBITDA was down 22.7% year-on-year and 21.1% quarter-on-quarter to Rs.28.1 billion. Our EBITDA margin declined 17.6 percentage points year-on-year and increased 1.6 percentage points quarter-on-quarter to 35.3%. EBITDA was impacted due to increase in provision for doubtful debts, which is accounted under other expense as we explained in the last quarter's earnings call. In this quarter, we have made a provision for doubtful debt of Rs.17.7 billion. This number appears high as part of the payment received during the quarter was towards settlement of past issues, which otherwise would have been received against the receivables outstanding, thus resulting in lower provision for doubtful debt by about 11 billion. Adjusted for the impact of one-off items like the lower exit revenue, the provision for doubtful debts and deferred recognition, EBITDA was up 1.1% year-on-year and 2.1% quarter-on-quarter.

Our reported energy margins were at 14.6% in quarter two. The energy margins were also impacted due to deferred recognition. We continue to drive sharp focus on optimizing energy cost by taking appropriate measures especially towards reducing diesel consumption.

Our reported profit after tax declined by 44.1% year-on-year and grew by 82.7% quarter-on-quarter to Rs.8.7 billion. Adjusted for one-off items, our profit after tax was down 3.5% year-on-year and up 6.4% on a quarter-on-quarter basis.

Our cash flow from operating activities for the quarter stood at Rs.11.2 billion in quarter two of fiscal 2023 compared to Rs.19.4 billion in quarter two of last fiscal 2022. Our free cash flow for the quarter was at Rs. -4.7 billion which was impacted by the

collection challenges we currently face and also the higher Capex cash flows during the quarter. Our reported pre-tax return on capital employed and post tax return on equity for the past 12 months were lower on both year-on-year and quarter-on-quarter basis at 19.2% and 24.2% respectively, again impacted by the provision for doubtful debts.

Next I would like to provide an update on the receivable situation. Our reported trade receivables increased by Rs.2.5 billion during the quarter. Adjusted for the provision for doubtful debt and the payment receipts towards settlement of past issues, our receivables increased by Rs.9.4 billion. We are closely engaged on this matter and working towards the payment plan made by the customer as they have agreed to pay a substantial part of the billed amount till December 2022 and 100% thereafter. It would also clear all its accumulated outstanding dues as on December 31, 2022 between January 2023 and July 2023. We continue to work on improving our receivable position and keeping a close eye on the situation.

In summary, our strong operational performance during the quarter is quite encouraging from the demand standpoint. Our financials continue to be impacted by the collection challenges we face from one of our customers. With the 5G rollouts already in motion, we remain optimistic and prepared for the opportunities presented to the telecom infrastructure space as a whole.

I would now request the moderator to open the floor for question and the answers please. Thank you.

Vandana – Moderator

Thank you very much sir. We will now begin the question-and-answer interactive session for all the participants who are connected to the audio conference service from Airtel. Due to time constraint, we would request if you could limit the number of questions to two to enable more participation, hence management will take only two questions per participant to ensure maximum participation. Participants who wish to ask questions may please press “*” “1” on their touchtone enabled telephone keypad. On pressing “*” “1” participants will get a chance to present their questions on a first in line basis. To ask a question participants may please press “*” “1” now. The first question comes from Mr. Kunal Vora from BNP Paribas from Mumbai. Mr. Vora you may please ask your question now.

Kunal Vora – BNP Paribas - Mumbai

Thanks for the opportunity. My first question is on the dues receivables. So, Vodafone Idea has offered convertible debentures to American Towers. Have you considered that as an option, and how comfortable would you be in receiving payment other than cash?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

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- 5 - Thank you Kunal, thank you for the question. So, we are aware of the developments that have happened with our competitor. I think for us, we have not really considered this as an option. We already have payment plan agreed with the customer which we have already shared. So, we would really want to see that payment plan materializing and so far we have not really considered any option of convertible debentures.

Kunal Vora – BNP Paribas – Mumbai

But what gives you the confidence that they will be able to make the payment ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Well, the confidence is basically from the fact that there have been positive developments . Couple of months back we had seen the reforms package . We have also seen Government support to the sector, apart from that we have also seen the customer participating in the 5G auctions, and still investing in the markets . We are quite closely engaged and monitoring the situation . Of course, they have also indicated that they are working on the funding plan and they are close to finalizing that as well . I think we are watching the situation closely and we are seeing improvement and hopefully we will see the payment plan materializing as I said.

Kunal Vora – BNP Paribas – Mumbai

My second and last question, wanted to understand how you are looking at the revenues coming in from the 5G roll out . The operators have talked about rolling out pan India 5G by end of FY2024 . So how should we expect your revenues over the next few quarters, would you say any lift from 5G roll outs and would it be front loaded or would it be backend loaded.

Tejinder S Kalra – Chief Operating Officer – Indus Towers Limited

Thanks for the question and see from a 5G perspective as we have said earlier the initial revenue from 5G is going to come in from loading of 5G equipment on the existing sites and that is the trend we are currently seeing from the orders that we have received from the customers . We already are doing RF Als around those sites and the revenue realization will eventually build up . The same way as we have seen on the 4G sites, standalone 5G sites eventually will come , but that looks to be sometime away or a few quarters away and once the data traffic on the 5G network continues to build up . So, in order to build for capacity and for any coverage of hotspot s, there may be a need of standalone sites initially and then eventually those 5G standalone sites will also come . So, we see a positive development on our revenue in the next quarter once the loading builds up on these existing sites and then after about a year and a half or so some more standalone 5G sites coming up as well.

Kunal Vora – BNP Paribas - Mumbai

That's it from my side . Thank you.

Vandana – Moderator Moderator

Thank you , Mr.Vora . The next question comes from Mr. Tanay Shah from Dolat Capital, Mumbai . Mr. Shah , you may ask your question now.

Tanay Shah - Dolat Capital - Mumbai

Thanks for the opportunity . Sir, my first question is regarding the recent NCD raise of Rs. 2,000 Crores . Can you give us a color as to the purpose for which the fund is being raised?

Vikas Poddar – Chief Financial Officer– Indus Towers Limited

Yes, so I think first of all this is driven by one of the requirements that we have from the regulator wherein Indus is classified as a large corporate and we are required to comply with the provision of raising minimum 25% of our incremental long-term borrowing by way of debt securities. So as per that circular we are really expected to comply with the provisions and our NCD issuance of Rs. 2,000 Crores we have basically taken approval from the Board and we would be issuing the NCD's in tranches in order to comply. So this was basically a regulation that was applicable on a block of two years starting FY2022. So FY2023 is our second year wherein we need to comply and then even subsequently the same regulation would still be applicable in 2024 and 2025. So we will be issuing tranches as and when necessary. And as far as the usage of the fund is concerned, of course we will be using this towards our investment in growth and obviously you can see the roll out activities picking up, so we will certainly need the funding for our Capex.

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Tanay Shah - Dolat Capital - Mumbai

Sure, fair enough, and Sir, my second question is regarding the deferred revenue recognition, I just missed that part. Can you just clarify if it was about Rs.11 billion and Rs.5.5 billion that you said at the beginning of the call?

Tejinder S Kalra – Chief Operating Officer– Indus Towers Limited

Yes, we had a deferred recognition of Rs.11 billion in our total revenues and Rs.5.5 billion in our core service revenue. So Rs.5.5 is of course part of the 11 billion.

Tanay Shah - Dolat Capital - Mumbai

Understood, fair enough. Thank you so much that is it from my end. Thank you.

Vandana – Moderator

Thank you very much Mr. Shah. The next question comes from Ms. Falguni Dutta from Jet Age Securities Pvt. Ltd. from Kolkata. Ms. Dutta you may ask your question now.

Falguni Dutta – Jet Age Securities Private Limited - Kolkata

I just have one basic question, the revenue that we mentioned, revenue from rentals is Rs.4,780 Crores for the quarter and the gross revenue is Rs.7,960 Crores. What comprises the difference there?

Vikas Poddar – Chief Financial Officer– Indus Towers Limited

So, basically within our gross revenue we have two sources, so one is the rental that we earn from our towers and then we also have our energy revenue which is largely coming from the pass through of the energy cost that we bill to our customers. To make it simple for you Falguni, the difference between the two lines is the energy revenue.

Falguni Dutta – Jet Age Securities Private Limited - Kolkata

So this energy revenue would mean the cost that we incur is just a breakup of the revenue between cost and the net that we get to understand it correctly . Because the energy cost is the cost we would be incurring which we are passing on to the consumers so one is that and the other is the net rental composition if we were to understand the gross revenue breakup , is that correct ?

Vikas Poddar – Chief Financial Officer– Indus Towers Limited

That is right yes.

Falguni Dutta – Jet Age Securities Private Limited - Kolkata

Thank you, Sir .

Vandana – Moderator

Thank you very much Ms . Dutta . The next question comes from Mr. Pranav Kshatriya from Nuvama , Mumbai . Mr. Kshatriya you may please ask your question now.

Pranav Kshatriya – Nuvama - Mumbai

Hi! Thanks for the opportunity . I am just trying to get a sense on the realization . So we have seen the realization coming to around Rs.41,500 or there abouts for the past two quarters, if I adjust for that one -time revenue . Should we take this as the base revenue and

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- 7 - subsequently the rent revenue per tenancy to grow from here or there will be some impact of renegotiation happening as and when those tenancies complete their tenure and hence we might see the renegotiation impact going on . Just trying to get a sense on that ?

Vikas Poddar – Chief Financial Officer– Indus Towers Limited

Let me put it this way, the average revenue per tenancy of Rs.47,000 that you see is obviously overstated because of the deferred recognition . We also mentioned in our previous calls that this also reflects the renewal discount that we have already agreed with our customers that is roughly Rs.500 per tenancy from an overall portfolio perspective so that is also baked in the numbers . Coming to the deferred recognition and the sort of jump that we see in the average revenue, I think that has pretty much come to an end and we have received all the payments pertaining to those settlements . So going forward our average revenue should get back to much more normal levels and as far as the future renewals are concerned , like we have shared in our previous calls, this renewal discussion and agreement that we have reached is a very good reference point, is a very good sort of benchmark for all future renewals, and we do not expect any major change to happen . Any future renewal coming up in the subsequent years will also be pretty much on the same lines and to that extent we will see some movement . So there is basically growth coming from 5G loading and so on which will obviously take our average revenues up and there will be in future may be renewals and things like that. So it will be a mix of

couple
of things . Does that answer your question Pranav ?

Pranav Kshatriya – Nuvama - Mumbai

It does, and my second question would be on how should we see the energy margin trending , is there any renegotiation or anything happening on that front ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

I will probably just touch upon this energy margin and then I will maybe request Tejinder to also add a color from operations perspective . So energy margin in this quarter of course is very positive because of the deferred recognition . We continue to be on a pass through model with our customers, and like I have always said in the past , pass through means no gain, no loss but because we have usually some difference arising because of the actual cost and the expected cost and by the way these actual cost or expected cost can vary because of several factors that we face in our business , there could be seasonality, there could be high diesel consumption sometimes due to weather

disturbances, there could be timing differences in electricity bills and so on . So we do face these gaps and that really causes the energy margin to fluctuate . We are trying our best to sort of drive a reduction in diesel which will obviously have a huge bearing on these gaps and further I think you heard Tejinder talking about the ESG initiative, so even our ESG initiatives and all the focus on the operational efficiencies would help us in bringing this under control going forward . Anything you want to add Tejinder ?

Tejinder S Kalra – Chief Operating Officer – Indus Towers Limited

No, you largely covered it Vikas and I think this energy margin is as Vikas rightly said is a function of the actual cost incurred versus the expected cost at the operator side and there could be variations at times given the weather disturbances which we continue to face. The sites need obviously a 24/7 operations and if the EB (electricity from grid) availability at the sites is not consistent throughout , you need to resort to the diesel generating sets and therefore the diesel consumption during bad weather times and long EB outages tends to fluctuate and therefore the expected cost versus the actual costs vary . This leads into some kind of reconciliation challenges with the customer as well and which ultimately gets ironed out over time but reflects in the quarterly outcome . So broadly that is where we are, but we are obviously on a continuous journey towards reducing diesel as much as we possibly can through a lot of diesel replacement solutions and also EB continues to improve year -on-year which obviously helps towards the ESG initiatives that we have embarked ourselves on .

Pranav Kshatriya – Nuvama - Mumbai

Sure, thank you and all the very best.

Vandana – Moderator

Thank you very much, Mr. Kshatriya . The next question comes from Mr. Rakesh Sethia from HDFC Mutual Funds , Mumbai . Mr. Sethia , you may ask your question now.

Rakesh Sethia – HDFC Mutual Funds - Mumbai

Thank you for the opportunity . Can you help us understand based on your initial discussion how large the 5G roll out order for you guys, I mean, how should one think about it, what percent age of the sites, what percent age of the co-location probably would have

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- 8 - loading let us say in the next 12 to 18 months . If you can share some of details around that, and secondly would it be possible for us to quantify a ballpark what kind of a revenue upside are we looking from the 5G rollout ?

Tejinder S Kalra – Chief Operating Officer – Indus Towers Limited

Thanks for the question Rakesh . See typically the way we have seen these technology shift rollouts happening , the operators over a period of time will tend to cover 5G on all the site s they have with us or they have in the network . We have seen this already happening in the 4G space so 100% of the operator site s have 4G rolled out on them . This has obviously take n a long while and now they are beginning to set up standalone 4G sites as well . So over a period of time , I think the 5G curve follows a similar pattern, we already have seen good amount of orders coming in from the operators . The announced position from the operators is that within 18 months starting from September end they want to actually cover out almost 500 towns in the country which would largely cover the entire coverage area that they have . So I would expect a good percentage of the sites already b eing deployed with 5G and then as the capacity builds up on these sites and data consumption scales up , they would possibly then be coming up with new 5G sites or standalone 5G sit es as well , but as I said earlier this would take a little bit more time bey ond 18 months period of roll out that we are talking about .

As for the extent of loading that one can expect , I mean we ha d already indicated in the previous call that we expect the 5G loading revenue to be higher than the 4G revenue level that we are seeing . This is largely because of the higher power loading that is coming onto the sites and then the operators because they h ave chosen a sub gigahertz frequency . Some loading from the additional antennas because 700 gigahertz would need a separate set of antennas in some cases . So that kind of antenna loading that will come on the sites as well . So a substantially higher loadin g compared to the 4G loading that we already have would come as the 5G loading revenue builds up.

Rakesh Sethia – HDFC Mutual Funds - Mumbai

On the first part would it be possible to quantify that based on your initial discussions what percentage of the sites we are talking about, I mean understanding that eventually 100% of the sites will move to 5G like it happened in the 4G, but I am just trying to underst and, what is the near -term plan . The reason I am asking is of course we can go to 500 towns, but the operators would always have a choice I mean they can go cluster by cluster , they may not need to do 5G on the entire town in one go . So I was just trying to understand from a near -term perspective let us say over the next 12, 18 months are w e talking about 100% of the 5G site or we are talking about probably fraction of those site , is there any visibility you have around the same based on your initial discussion with the operators ?

Tejinder S Kalra – Chief Operating Officer – Indus Towers Limited

See obviously the operators are also yet finalizing the overall plan , but from the initial understanding that we get from them over an 18-month window my understanding is anywhere in the vicinity of about 50% to 60% of the sites the operators maybe covering . I will not be able to give you any operator specific details but that is largely looking to be the plan operators are talking about 500 odd towns that would be the minimum they would need to do.

Rakesh Sethia – HDFC Mutual Funds - Mumbai

Secondly on the loading revenues if you can also sort of clarify my understanding was that the antennas are much lighter weight in the 5G technology . Does it have any bearing the way 5G loading or the loading revenues work for us or that will not have any bearing.

Tejinder S Kalra – Chief Operating Officer – Indus Towers Limited

See while the 5G antennas or even the integrated antennas that you have on the 5G side , yes they are lighter in weight but as I said the power that we need to set up at the sites or the power load of the sites is higher in case of 5G and a big chunk of the way the loading revenue is structured there will be component coming from the power side as well . So since the power is higher therefore the loading revenue will be higher we are expecting somewhere in the vicinity of 5% to 10% of our average revenue to be coming from 5G overall over a period of time.

Rakesh Sethia – HDFC Mutual Funds - Mumbai

So you are talking about the energy part of the revenue right or we are talking about the aggregate energy plus non energy part.

Tejinder S Kalra – Chief Operating Officer – Indus Towers Limited

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- 9 - No, I am talking about the rental part of the revenue or the base revenue.

Rakesh Sethia – HDFC Mutual Funds - Mumbai

Understood thank you so much.

Vandana – Moderator

Thank you very much, Mr. Sethia . The

next question comes from Mr. Ravi Agarwal from UTI AMC Ltd , Mumbai . Mr. Agarwal , you may ask your question now.

Ravi Agarwal - UTI AMC Ltd - Mumbai

Thank you for the opportunity . My question is largely around the Vodafone and its receivables . So I would just try to bifurcate

the questions in to a couple of ways . First is can you just tell me how much was the original total receivable from Vodafone Idea before the write -off which was taken in the first quarter , the provisions which were made in the first quarter and how much is the outstanding right now after the second quarter's provision and what is the total receivable position still outstanding from Vodafone and what is the ageing . So that is the first question and I will come back with the second question after this.

Vikas Poddar – Chief Financial Officer– Indus Towers Limited

Ravi unfortunately we cannot disclose customer wise information so your questions regarding what is the receivable of Vodafone and how much is outstanding after the provision and ageing etc., unfortunately we would not be able to answer that in specific terms.

Ravi Agarwal - UTI AMC Ltd - Mumbai

So should we expect any further write -offs because what we understand from the previous one is that no major write -off would be coming in the next quarters or largely all the write -offs have been accounted for and now this quarter even seeing a larger provision . So how much can we expect in the second half of this fiscal.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Let me explain and this is very important point you have raised . So I think first of all we have already shared the payment plan that we have agreed with the customer and as per the payment plan like I mentioned, and I would like to just sort of reinforce and reiterate that the payment plan also includes payment of the accumulated receivables in the seven months from January 2023 and July 2023 . So currently we are providing because there is a delay and there is an ageing issue and we are basically providing in order to hedge our balance sheet and de-risk the receivables situation , but based on the payment plan , currently we are not expecting any write -offs. The payment plan envisages collection of the full dues and hopefully there will not be any write off involved.

Now coming to the other point within this question that you raised which is about the large provision in quarter two , I would like to explain that while from an optics perspective you see Rs.17.7 billion provision for doubtful debts , but if you recall I did explain that part of the payment that we collected were basically towards the settlement of past issues which otherwise if we had not settled that then those collections would have been applied towards the outstanding receivables and if that was the case then our provision for doubtful debts would have been much lower so the Rs.11 billion that I have mentioned which we collected towards the past dues would have been applied towards the current dues . So to that extent , I think it is a bit technical . The real bad debts or the real provision for bad debt needs to be looked at in conjunction with both the numbers . Does that make it clear Ravi ?

Ravi Agarwal - UTI AMC Ltd - Mumbai

So the provision towards the current receivables would be at just around Rs.6.7 billion is that the number that as we work around?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Yes if you look at it that way . Yes it would be Rs.6.7 billion if we basically take the total collections in this quarter which is certainly lower than that what we had in the previous quarter.

Ravi Agarwal - UTI AMC Ltd - Mumbai

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So the previous quarter 's Rs.1,200 crs was nothing towards the past receivables and this Rs.1,700 crs contains around
Rs.1,100 crs
of write -off from the past receivables . Now the understanding is correct that the entire past receivables have been written -off
and
from the current new billings t he payment plan will take care of that .

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Just a correct ion Ravi, you said the entire past receivable has been written off it is not the case of write -off like I said we do
not have
any write -off. What I mentioned was the past issues has been resolved and we had deferred the recognition till the time of
ultimate
collect ion in this quarter since we have collected the full amount , we have recognized and hence to that extent the payment
received
towards our normal receivables is less.

Ravi Agarwal - UTI AMC Ltd - Mumbai

Now coming back to the second question now what is the future accounting policy we are looking to adopt I mean just wanted
a
clarification about the deferred revenue and how are we looking to account for the new billings which would be done and plus
how
would the energy charges be dealt with.

Vikas Poddar - Chief Financial Officer – Indus Towers Limited

Well as far as the accounting policies are concerned, we do not have really any change in our accounting policy . We
basically had
deferred the recognition like I said because we wanted to be sure about the collection and that has been t he policy so there
is no
change . What really could change is because we a re constantly reviewing and reassessing the situation and like I shared in
the
previous quarter , we did adopt a more stringent ECL computation and as a result , we had made a provision of doubtful debts
of about
Rs.12 billion in the previous quarter that wa s based on the stringent ECL computation which was a bit of a change . We will
keep
reassessing and in third quarter if we feel that things are not progressing as we expect that we might adopt a more stringent
approach
again but as of now there is no change and if there is any change we will certainly let you know.

Ravi Agarwal - UTI AMC Ltd - Mumbai

Sure, thank you so much Sir.

Vandana – Moderator

Thank you very much Mr. Agarwal . The next question comes Mr. Aazeb Anwarali Parbatani from Omcara Capital , Mumbai.

Aazeb Anwarali Parbatani – Omcara Capital – Mumbai

Thank you for the opportunity . My question is medium -term of the Vodafone Idea . Firstly I want to ask that the payment plans which you have committed today which you have disclosed in the media also , as they agreed upon that means how the Vodafone Idea and how the management is giving the answers to your basically the forma which you have given to them in terms of the payment plan and secondly what percentage of revenue is basically contributed by the Vodafone Idea in your total revenue because you have stated that you are going to stop the services if they are not able to pay by the month of November or by the month of December so can you give some brief on that thing also ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

So Aazeb on the first point the payment plan is basically what the customer has proposed and that payment plan was discussed in our Board and we have agreed in order to support the customer as a temporary support . As far as the percentage of revenue is concerned , I think like I said unfortunately I am not able to disclose or share any customer specific information here so we may not be able to share what is the percentage of revenue from Vodafone and sorry could you just repeat your last question ?

Aazeb Anwarali Parbatani – Omcara Capital – Mumbai

My question is that what is the topline revenue which we are saying that we are not able to disclose in the call . My next question is in terms of the dividend policy looking forward in FY2023 and FY2024 in terms of the dividend announcement because you are facing pressure from Vodafone Idea . So how the dividend policy is going to be in FY2023 ?

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Vikas Poddar – Chief Financial Officer – Indus Towers Limited

So coming to dividend I think our policy is very clear the dividend this of course is linked to our free cash flow and we will certainly assess the free cash flow situation at the end of the year and make the decisions accordingly but we are fully committed to the policy and currently there is no change in the policy .

I think Aazeb you also mentioned about Indus stopping services I just want to put it on record that, that is purely speculation we have not mentioned this anywhere or made any such statements . So I just want to make sure that it is noticed that it is purely speculation . We are working with the customer to execute the payment plan and trying our best to make things normal.

Aazeb Anwarali Parbatani – Omcara Capital – Mumbai

To that extent , can you share your view on the call if it can be sorted out in the next three , four months or six months so that at least we have some idea also because we see now investors are waiting for this so at least you can give some tentative timeline let us say in the next five months, six months that this will be settled.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

From a timeline perspective I just want to reiterate what we shared earlier from a timeline perspective the payment plan is going

etting a substantial part of our monthly billing every month till December 2022 and from January 2023 we expect two things to happen as per the payment plan . We expect 100% collection of the monthly billing and whatever will be the accumulated outstanding as on December 31, 2022 , our payment plan basically says that those outstandings will be cleared in a phased manner over seven months starting January 2023 till July 2023 . So I think from a timeline perspective this is the process that we have agreed and this is the best indicator of the current situation.

Aazeb Anwarali Parbatani – Omcara Capital – Mumbai

Yes, Sir thank you for answering the questions and all the best to you . Thank you.

Vandana – Moderator

Thank you very much Mr. Parbatani . The next question comes from Mr. Utkarsh Mehrotra from Schonfeld , Singapore . Mr. Mehrotra, you may ask your question now.

Utkarsh Mehrotra - Schonfeld - Singapore

Thanks for the opportunity . Just one question from my side . So previously we had some collateral which basically helped us offsetting delay in getting the amounts from one of our three counter parties but going forward given the fact that there has been an inordinate delay and them raising capital so in a worst case scenario do we have anything similar plan going forward or how are we thinking about the worst case scenarios in case there is further delay in them raising the capital . Thank you.

Vikas Poddar – Chief Financial Officer– Indus Towers Limited

Utkarsh I think first of all regarding the security that we had, as we had shared earlier the entire security was restructured and we received the money in the quarter four of last fiscal and also in this current quarter through basically the equity injection that the promoters have done . So we received almost Rs.37 billion in March and then some more funds in the month of July , so currently our primary pledge or the security that we had has been completely monetized and is no longer there . Now coming to the worst case scenario like I said we are closely monitoring , we are also assessing our exposure and we will be making the right calls on the provisioning and if our ECL computation and methodology and our practices need to be tightened , we will also adopt that in this quarter depending on how things progress . So really it is very difficult to predict what would be the scenario because that would be crystal gazing so I think to a large extent we will keep watching and by the way the significant provisions that we have made in the last two quarters have already given us a very significant hedge on our balance sheet and I think to that extent the risk is less.

Utkarsh Mehrotra - Schonfeld - Singapore

Got it thank you.

Vandana – Moderator

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Thank you very much Mr. Mehrotra . The next question comes from Mr. Arun Prasath from Spark Capital , Chennai . Mr. Prasath you may ask your question now.

Arun Prasath – Spark Capital - Chennai

Thank you for the opportunity . Sorry last time the call got disconnected . I think my question is similar to the line of other participants regarding receivables is mostly answered but just to summarize what you are saying is that by December 2022 the receivable should peak out and then post that it will only decrease is it a right understanding ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Yes, that is the expectation Arun based on the payment plan that we have released.

Arun Prasath – Spark Capital – Chennai

Secondly on the leaner towers you shared some data points this time . Can you give a little bit color on what is the cumulative leaner towers count and cumulative co-location count on those leaner towers.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Yes. So I think we have started reporting lean towers from previous quarter . So this quarter like I said it is close to 1 ,500 the previous quarter was 1 ,000 and then we also had a few sites that we rolled out in the last year . So I would say the base of lean towers is somewhere in the range of 3 ,000 or little over 3,000. It is still a small number compared to our total portfolio but this is certainly picking up and we will see this segment growing much faster in the coming quarters.

Arun Prasath – Spark Capital – Chennai

This is not part of the total towers reported or total co -location , is it right ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Yes, what we report is the macro towers and because the segment is very small , the segment of lean is very small right now it is not significant and hence not included in the reporting.

Arun Prasath – Spark Capital – Chennai

Thank you very much.

Vandana – Moderator

Thank you very much Mr. Prasath . We do have a follow up question from Mr. Kunal Vora from BNP Paribas, Mumbai . Mr. Vora you may ask your question now.

Kunal Vora – BNP Paribas – Mumbai

Thank you for the follow up . So you did a booking of Rs.1100 Crores of past dues of which Rs.550 Crores pertains to energy

and there is no additional cost which has come against that . How should we look at this does it mean that the cost has already been booked in the past and the energy margins which we are looking at for the past quarter they would have been better considering this additional revenue.

Vikas Poddar - Chief Financial Officer – Indus Towers Limited

Yes, so Kunal the way it works is I mean whenever we have these gaps as Tejinder and I spoke about which is the gap between what is expected and what is actual and so on , we do have these sort of deferred recognition . We defer the revenue recognition till the gap is resolved and it had really accumulated, and we resolved this. So certainly, I mean if we were to really go back and look at each of

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- 13 - those periods where we had deferred the recognition , certainly the energy margin would change slightly . So you are right that the Rs.5.5 billion that is sitting in the energy revenue does not have a corresponding cost because these are basically the revenues coming from the past periods.

Kunal Vora – BNP Paribas – Mumbai

So similarly like you have seen in last two, three years the energy margins have been consistently negative . So it is possible that we could have some offset of that also in the subsequent quarters.

Vikas Poddar - Chief Financial Officer – Indus Towers Limited

Well like I said I mean we did sort of resolve a lot of these past issues as part of the one-time settlement that we did . So I do not think we expect to really see such lump sum recognitions going forward , but of course this gap of expected and actual obviously continues in the diesel world so to that extent I think some reversals will keep happening , some recognitions will keep happening , but I do not expect such large quantum .

Kunal Vora – BNP Paribas – Mumbai

Lastly on Capex , can you talk about your expectations going forward considering that large 5G investment will be underway from telcos will that require some additional investment from your end as well.

Tejinder S Kalra – Chief Operating Officer – Indus Towers Limited

Let me take that Vikas . Kunal on 5G side while since I said 5G is coming as a loading on our existing site , it could be a combination of new investment should the site need some electrical infrastructure to be upgraded or some mounts to be put up and so on . So some sites maybe already ready to receive the 5G equipment and there could be additional capacity sitting on some of those sites because we are ultimately into sharing business and some sites may already carry that capacity , but in some sites where we are kind of already sitting at the edge from a capacity perspective , we may need to increase the electrical infrastructure and therefore investment to that extent may be required for mounting the antennas or the radio equipment on the towers through some mounts so

it could be a kind of averaged out cost on the towers when one is talking about hosting the 5G equipment.

Kunal Vora – BNP Paribas – Mumbai

Understood that is it from my side . Thank you.

Vandana – Moderator

Thank you very much Mr. Vora . The last question comes from Mr. Vivekanand Subbaraman from Ambit Capital , Mumbai .
Mr.
Subbaraman you may ask your question now.

Vivekanand Subbaraman – Ambit Capital - Mumbai

Hi! Thank you for the opportunity . I have only one question when you spoke about the loading needs about 5G you mentioned that the frequencies you mentioned about 700 megahertz , you mentioned about multiple antenna requirements and power requirements . Could you highlight the differences between 4G loading and 5G loading in the context of the revenue opportunity for you as far as 5G is concerned and why you believe that 5G will be a bigger loading opportunity for you than 4G . Thank you.

Tejinder S Kalra – Chief Operating Officer – Indus Towers Limited

See the difference between 4G and 5G in terms of the equipment or the split radios , there is none so there is a split radio when it is coming if it is coming on the 5G space . In 5G , typically there are two types of equipments when it is in the 700 megahertz space you have separate a

ntennas and separate radios going up similar to what you see in the 4G space . When it is in the 3.3 gigahertz space 5G solution , you have the antenna and the radio integrated and both of them are going up on to the tower from a 5G rollout perspective . The power load of that equipment is little higher compared to what you see on the 4G radio side and therefore , as I said earlier , the rental revenues because loading revenue constitutes a big chunk of load and power the way it is structured from a TOCO perspective because of the higher power load of the sites the I P fee from a loading perspective is higher for 5G compared to the 4G . I hope that answers your question.

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Vivekanand Subbaraman – Ambit Capital – Mumbai

Just one small follow up . So Jio is the only one that has 700 megahertz, and they talk about carrier aggregation , so where they say that they are able to utilize all three bands of spectrum in tandem . So does this still entail separate antenna and loading equipment the 700 megahertz or are they talking about some other technology here?

Tejinder S Kalra – Chief Operating Officer – Indus Towers Limited

See carrier aggregation is primarily combining different frequencies and different carriers to give a better output that primarily what carrier aggregation is , but ultimately each spectrum frequency that needs to be fired would need a radio . If it is 700 they need 700

megahertz radios to fire the 700 spectrum and if it is 900 or 1800 or 2100 or 3.3 each one of them have separate radios , the radios need to be deployed at the site and then those different frequencies get aggregated which is what is carrier aggregation to give a better throughput or better capacity and so on . When it comes to the antennas I mean there are only two ways either you deploy standalone two port 700 megahertz antennas or the tower or you have multiport antennas already deployed in which 700 band is covered that means you have a wide band multiport antenna which would cover from 700 to let us say 3300 if that is available already at the sites which in Jio's case some sites they have then they do not need to put up additional antennas otherwise they will have to.

Vivekanand Subbaraman – Ambit Capital – Mumbai

Okay this is clear thank you so much.

Vandana - Moderator

Thank you very much Mr. Subbaraman . At this moment I would like to hand over the call proceedings to Mr. Tejinder Kalra for the final remarks.

Tejinder S Kalra – Chief Operating Officer – Indus Towers Limited

Thanks Vandana. So to sum up our strong performance during the quarter is very encouraging and we expect the increased demand for telecom infrastructure to continue . On the receivables front, we are constantly engaging with the customer and monitoring the situation vigilantly . We are excited about the 5G roll out scaling up across the country which we believe would act as the next leg of growth for the entire telecom industry . Thank you all for joining the call today . Good luck to us.

Vandana - Moderator

Ladies and gentlemen this concludes the conference call . You may now disconnect your lines . Thank you for connecting to audio conference service from Airtel and have a pleasant evening.

Call: Feb 2023

Indus Towers Limited

(formerly Bharti Infratel Limited)

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February 2 , 202 3

BSE Limited The National Stock Exchange of India Limited

Phiroze Jeejeebhoy Towers, Exchange Plaza, C -1, Block – G, Bandra Kurla Complex,

Dalal Street, Mumbai -400001 Bandra (E), Mumbai -400051

Ref: Indus Towers Limited (534816 / INDUSTOWER)

Sub: Transcript of the Earnings Call for the third quarter (Q3) and nine months ended December 31 , 2022

Dear Sir/ Madam,

Please find attached the transcript of earnings call conducted on January 25 , 202 3 for the third quarter (Q3) and nine months ended Dece mber 31, 2022 .

Kindly take the same on records.

Thanking you,

Yours faithfully,

For Indus Towers Limited

(former ly Bharti Infratel Limited)

Samridhi Rodhe

Company Secretary

Encl: As above

Transcr ipt of Indus Towers Limited Third Quarter Ended December 31, 2022 Earnings Confe rence Call

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- 1 - Conference Call Transcript ion

Event: Transcript of Indus Towers Limited Third Quarter Ended December 31, 2022 Earnings Conference Call

Event Date/Time: Jan 25, 2023 / 1430 hrs IST

Transcript of Indus Towers Limited Third Quarter Ended December 31, 2022 Earnings Conference Call

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CORPORATE PARTICIPANTS

Mr. N Kumar
Chairman and Independent Director - Indus Towers Limited

Mr. Prachur Sah
Managing Director and Chief Executive Officer - Indus Towers Limited

Mr. Vikas Poddar
Chief Financial Officer – Indus Towers Limited

Mr. Tejinder S Kalra
Chief Operating Officer – Indus Towers Limited

Mr. Dheeraj Agarwal
Head Investor Relations - Indus Towers Limited

CORPORATE CALL PARTICIPANTS

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BNP Paribas, Mumbai

Mr. Sanjesh Jain
ICICI Securities, Mumbai

Mr. Mitul Shah
Reliance Securities, Mumbai

Mr. Siddharth Gupta
Voyager Capital, Mumbai

Mr. Sachin Salgaonkar
BofA Securities, Mumbai

Mr. Giriraj Daga
K M Visaria Family Trust, Mumbai

Mr. Arun Prasath
Spark Capital, Chennai

PRESENTATION

Vandana – Moderator

Good afternoon, ladies and gentlemen, I am Vandana, the moderator for this conference . Welcome to the Indus Towers Limited Third Quarter ended December 31, 2022 Earnings Call. For the duration of the presentation, all participant lines will be in the listen - only mode . After the presentation, the question -and-answer session will be conducted for all the participants on this call. In case of a natural disaster, the conference call will be culminated post an announcement.

Present with us on the call today are the Chairman and Independent Director of Indus Towers Mr. N Kumar, along with the senior leadership team of Indus Towers, Mr. Prachur Sah, MD and CEO; Mr. Vikas Poddar, CFO; Mr. Tejinder Kalra, COO; and Mr. Dheeraj Agarwal, Head Investor Relations.

Before I hand over the call, I must remind you that the overview and discussions today may include certain forward -looking statements that must be viewed in conjunction with the risks that we face.

I now hand over the call to our first speaker of the day, Mr. N Kumar . Thank you, and over to you, Mr. Kumar.

N Kumar — Chairman and Independent Director – Indus Towers Limited

Thank you, Vandana, and good afternoon, everyone . A warm welcome to all of you today afternoon . Thank you for joining us on the earnings call of Indus Towers for the quarter ended December 31, 2022.

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- 3 - As you all may be aware, Mr. Prachur Sah has joined Indus Towers as Managing Director and Chief Executive with effect from 3rd January this year. He brings with him vast experience of about 22 years, spread across business domains including Operations, Strategic Planning, Oil and Gas management among various other strengths he has. He is also known for building a culture that is value -driven and encourages innovation, while maintaining highest levels of safety, sustainability, and governance . In his last role, he served as the CEO for the Oil and Gas vertical of Vedanta , and I have great pleasure in welcoming him to the Indus family and wish him all the success in the future.

I would also like to take the opportunity to thank both Tejinder Kalra and Vikas Poddar for leading the Company commendably during the period from September till Prachur Sah joined us.

I would now like to hand over the call to Prachur to take you through the key highlights of our quarter Q3 FY2023 and brief you on all question-and-answers. Over to you, Prachur.

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

Thank you, Mr. Kumar, and a very warm welcome to all the participants on the call. Joining me today are my colleagues Mr. Vikas Poddar, CFO , Mr. Tejinder Kalra, COO , and Mr. Dheeraj Agarwal, Head Investor Relations.

I would like to express my delight as having joined Indus Towers, the largest passive infrastructure company in India and one of the largest globally . I believe this is an exciting time to be in the telecom space with India marching towards digitalization and the ongoing transition to 5G being a key enabler of the journey . Along with my leadership team, I strive to realize Indus Towers'

mission
of enabling connectivity in every part of India.

Before I begin our agenda today, I would like to take a moment to recognize the contribution of our field force and its relentless efforts towards our vision of enabling Pan India connectivity. During this quarter, we installed six new mobile towers along the Kedarnath trek in Rudraprayag, which is one of the most popular religious places in India. These towers enable communication from Gaurikund to Kedarnath temple at an altitude of 12,000 feet. The connectivity is helping in transforming lives of locals, connecting pilgrims with their families, and also making it possible to summon help during an emergency. We will continue with these feats of installing towers in remote and difficult terrains to enable digital inclusion.

Moving on to key themes I would like to discuss today. On the industry front, the government continues to take measures to aid the swift deployment of telecom infrastructure across the country. To this end, it is working with cross sectors like NHAI, Ministry of Road Transport and Highways, Indian Railways to align their Right of Way policy with central notified policy for faster utilization of land, building available with them. Indian Railways have amended their policy and allowed IP1 infrastructure players to deploy telecom infrastructure on their land/property. Given the scale of railways and other institutional infrastructure, such actions would benefit in rapid rollout of telecom infrastructure, especially for 5G.

Talking about 5G, we are pleased to see that the 5G rollouts are in full swing as operators are working towards their plan for a Pan India 5G rollout in the next 12 to 15 months. In less than four months of launch of 5G services, more than 50,000 5G base transceiver stations, i.e., BTS have been deployed across the country, with the top two operators together putting up more than 5,000 BTS per week in the current month. This number should increase as the operators accelerate their 5G rollout across the country. As the leading passive infrastructure player in the country, we are committed to facilitate the swift rollout of 5G services. We are seeing increased demand in the form of additional loading of 5G equipment on our existing sites. We remain well-placed to cater to this demand and maximize the opportunity arising out of it. As the network matures with greater 5G adoption, we expect that there will be a need for increased capacity as well, driving the demand for new sites.

With regards to 5G adoption in India, we can draw parallels from the global 5G adoption story, which continues to play out strongly as confirmed by statistics mentioned in both Ericsson Mobility Report and the Deloitte CII report. As per Ericsson, global 5G subscriptions grew by 110 million in the September quarter to 870 million and are expected to reach 5 billion by the end of 2028, accounting for 55% of all mobile subscriptions. Comparatively, global 4G subscriptions increased by only 41 million with 5G expected to reach 1 billion subscriptions two years sooner than 4G. The number of commercial 5G service providers also increased from 218 in June 2022 to 228 in September 2022. As per Ericsson Mobility Report, 5G subscriptions in India are expected to reach 500 million mark by 2027 with a penetration of about 40%.

The formidable 5G adoption journey will further drive the already strong data consumption by the sizable Indian customer base. The total data consumed across the top three operators combined grew by 19% year-on-year in the September quarter. The average data consumed per user per month across the top three operators stood at more than 20 GB for the quarter, registering a year-on-year growth of over 18%.

Complementing this growth is the estimate from Deloitte CII report that India is set to lead the smartphone industry with 1 billion devices by 2026. The report from both Ericsson and Nokia have also indicated how India's data usage is among the highest in the world currently, and the average data consumption per user per month is expected to increase to around 40 to 50 GB in the next

five years. The rapidly progressing migration to 4G and 5G, supplemented by strong data consumption should continue to fuel the demand for passive telecom infrastructure both in the form of loading on existing sites and installing new sites, and we remain well-positioned to address this demand.

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- 4 - Moving on to our operational performance. We have witnessed steady growth in addition of macro and leaner towers. During the

quarter, we had net additions of 1,466 macro towers and 1,307 corresponding co-locations. Our gross co-location addition was

healthy at 2,130. However, higher churn at 823 resulted in lower net additions. Our total to

wers and co-locations at the end of Q3

were at 189,392 and 339,435, respectively, each growing by 2.5% and 1.3% on year-on-year basis. Our tenancy ratio dipped

marginally to 1.79 from 1.8, but continues to be amongst the best in the industry. We continue to see good demand for our leaner

tower portfolio, adding 1,408 co-locations in Q3 after reporting an addition of 1,535 co-locations in Q2. Including leaner towers, our

net co-location addition stood at 2,715 for the quarter. We believe that the need for capacity expansion and new sites will be primarily fulfilled through leaner structures and as a result, going forward, we are expecting a significant growth in the share of our

leaner structure portfolio in our overall business.

I would now like to touch upon ESG aspect, which is a key component of our long-term business strategy as a responsible organization. We have started taking necessary actions for achievement of our set targets across Environment, Social and Governance dimensions. I am happy to report that we are making good progress on this journey. To name a few focus areas, we

are constantly reducing our diesel consumption despite increase in energy demand at sites. We are bringing a full control over

handling and disposal of our waste. Workforce diversity and safety remain key focus areas and new initiatives have been taken to

improve them further. A robust business continuity plan is in place to ensure zero or minimal disruption to network with fastest

recovery during disasters. We are now extending it to all the critical areas across the organization. We are quite hopeful of our all-

round efforts yielding desired results in our ESG journey and we will start reporting on the same in the coming quarters.

I would now request Vikas to take you through our financial performance for the quarter ended December 31, 2022, and I look forward to your questions. Over to you, Vikas. Thank you.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Thank you, Prachur, and I am pleased to share with you all the financial results of the third quarter ended 31 December 2022.

Before moving to the financial performance, I would like to present our operational performance. The total tower and co-location

count was 189,392 and 339,435 respectively, each growing at 2.5% and 1.3% year-on-year basis, and 0.8% and 0.4% on quarter -

on-quarter basis. This was supplemented by an addition of 1,408 co-locations in our leaner tower portfolio, taking our lean co-

location base to 5,683.

Now coming to the financial performance, our reported revenues declined by 2.3% year-on-year to Rs.67.7 billion, of which the core

revenue from rentals was down by 5% year-on-year to Rs.41.7 billion. The year-on-year growth numbers were impacted by a

combination of tapering of exit revenues, discount on co-location renewal, optimization of site configuration by our customers; and

change in revenue recognition pertaining to revenue equalization assets. Normalized for these factors, our gross revenue

and core revenue grew by 2.6% and 2.8% respectively year-on-year. On a quarter -on-quarter basis, our reported gross revenue and core revenues from rentals were down by 15.1% and 12.7% respectively . The decline was largely due to the high base effect of previous quarter due to deferred revenue recognition of past settlements . Adjusted for this, gross revenue was down 0.4% and core revenue was up 0.2%, respectively, quarter -on-quarter.

Our reported EBITDA declined 68% year-on-year and 57.8% quarter-on-quarter to Rs.11.9 billion . EBITDA margin was down 35.9 percentage points year-on-year and 17.8 percentage points quarter -on-quarter to 17.5% . The decline in EBITDA was mainly due to a provision for doubtful debt of Rs.22.7 billion . The provision for doubtful debts is higher as the customer has indicated challenge in complying with the higher payment plan in future until fundraising materializes . Accordingly, the company has adopted stringent ECL computation resulting in additional allowance for doubtful debts during the quarter. Normalized for these factors, EBITDA grew by 3.5% year-on-year and 1.5% quarter -on-quarter.

Our reported energy margins were at -1.2% in Q3 FY2023 compared to 14.6% in Q2 FY2023. Adjusted for one-off in the previous quarter, energy margins were at -1.2% in Q3 compared to -3.5% in the previous quarter . Our constant endeavor to drive operational efficiency in our energy portfolio, coupled with seasonal benefits have aided the sequential energy margin improvement .

We have reported a loss of Rs.7.1 billion for Q3 FY2023, impacted by the substantial provision for doubtful debts and an exceptional item relating to impairment of revenue equalization asset . As per Ind AS 116 accounting, revenue is recognized based on straight - lining of rentals over the contract period and the corresponding revenue equalization asset is created . The revenue equalization asset of Rs.4.9 billion for the aforementioned major customer was impaired during Q3 FY2023, in addition to the non-recognition of Rs.0.7 billion pertaining to revenue equalization for Q3 FY2023. Normalized for these items, our profit after tax grew by 4.6% year-on-year and by 3.3% on quarter -on-quarter basis.

Our cash flow from operating activities improved from Rs.11.2 billion in Q2 FY2023 to Rs.22.7 billion in Q3 FY2023, and our free cash flow for the quarter was at Rs.6.2 billion . Our reported pre-tax return on capital employed and post-tax return on equity for the past 12 months were at 12.5% and 12.3% respectively , impacted by the provision for doubtful debts and impairment of revenue equalization assets.

Moving on, I would like to apprise you of the receivable s situation . Our receivables decreased by Rs.14.4 billion during the quarter to Rs.50.6 billion . Adjusted for the provision for doubtful debt, our receivables increased by about Rs.8.3 billion . The customer paid a part of the billed amount till December as per the agreement . However, with no fundraising in sight, it is likely that the customer will face challenge in complying with the higher payment plan as committed . Accordingly, we have taken measures to de-risk the

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- 5 - balance sheet . We continue to watch the developments at the customer's end pertaining to the fundraise plan, which is critical for clearing its old dues with us.

In summary, we had a steady quarter from an operational performance standpoint . Our financial performance is reflective of the collection challenges we faced from one of our major custome rs. However, the rapid rollout of 5G services across the nation

provides a growth runway to the telecom space and we remain optimistic about it.

I would now request the moderator to open the floor for question and answer , please . Thank you.

Vandana – Moderator

Thank you very much, sir. We will now begin the question -and-answer interactive session for all the participants who are connected to the audio conference service from Airtel. Due to time constraint, we will request if you could limit the number of questions to two to enable more participation. Hence management

will take only two questions per participant to ensure maximum participation.

Participants who wish to ask questions may please press “*” “1” on their touchtone enable telephone keypad. By pressing “*” “1”

participant will get a chance to present their question on a first in line basis . To ask a question participant may please press “*” “1”

now. The first question comes from Mr. Sanjesh Jain from ICICI Securities, Mumbai . Mr. Jain, you may ask your question now.

Sanjesh Jain — ICICI Securities — Mumbai

Yes, good afternoon . Thanks for taking my questions . I got a couple of them . First on the 5G loading opportunity . I just wanted to understand purely from the ability to load the 5G equipment on the existing towers. Do we have enough provision for an operator to come and load 5G and if possible, on how many bands can they rollout simultaneously? Or do you think there will be a situation where the operator has to shift to a fresh tenancy for loading this 5G site? How is the situation on the space availability on the tower purely from the 5G rollout perspective? That is number one.

Follow-up on the 5G. In the opening remarks, we did mention that the weekly run rate of 5G site addition is 5,000 per week . We have already done 50,000 of it. At our weekly run rate of 5,000 by next 12 months, we will be rolling out close to 250,000 BTS, which is more than the tower . So when we say BTS, what does it mean at this speed you anticipate a complete 5G loading on the existing towers? How should we see the rollout plans and what are you seeing on the rollout side by the operator? So these are my first two questions.

Tejinder Kalra — Chief Operating Officer – Indus Tower Limited

Yes. Thanks for the question, Sanjesh . First to answer on, whether do we have enough capacities , space and the loading capacity on the existing towers . The answer is most of the towers, yes. So far, whatever rollouts we have done, we have not faced any challenge, where we had to refuse a loading of 5G on any of the existing towers. What typically goes on the tower is the radio and some antenna, in some cases, especially in the areas where , in one of the operator 's case, for example, where 700 MHz spectrum for 5G is being rolled out. So some sites, they have to either put up antennas, otherwise, they may have multi-band antennas and therefore, no antennas required there as well. So limitation in terms of space and capacity on the towers is not an issue . Today , 5G is allowed only in 700 MHz and 3.5 GHz band . Should the operator need to refarm the existing frequencies into 5G, those radios are already up on the towers. So they are not going to come in as additional loading on the towers, but it is just a frequency switch from, let us say, 4G to 5G or 2G to 4G or whatever . So limitation none when it comes to the loading capacity on the towers. I think we are good with that, and I do not think the operator would need to go to an additional site for rolling out their 5G requirement there.

Your second question was on the 5G BTSs, and 5,000 run rate and the total number of towers they have and so on. In case of one

of the operators who is rolling a stand-alone 5G network because they are rolling out in 700 MHz and 3.5 GHz, there is one radio per frequency, and therefore, two for that operator on a particular site. The other operator is only rolling out in the 3.5 GHz, so therefore one radio. The BTS which we refer to is the frequency-specific radio on a site. So if there are two frequencies of one operator and one of another operator on the same site, then there are three BTSs going on the same site. So therefore, the count which you are calculating in terms of number of towers and so on, I think that is the way to look at it.

Sanjesh Jain — ICICI Securities — Mumbai

Fair enough. Now I got a fair idea. Second on the opportunity to further expand the tower footprint and considering that initially 5G will largely come in loading and considering that one operator is using 1800 MHz as an uplink and other operator 700 MHz as an uplink which put me to a thought that we may not see a tower upside from the 5G rollout, it can largely get restricted from a tower company perspective just being a loading opportunity from the 5G. Just wanted to get your thought around the opportunities in the 5G, will it be limited as a loading for us as a tower company? That is number one.

Number two, considering that the capacity creation is happening on the 5G, is it fair to understand that the 4G rollout may see a material slowdown and hence a lot of tenancy slowdown we saw in this quarter is a resultant of that?

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Tejinder Kalra — Chief Operating Officer – Indus towers Limited

Okay. So let me answer both the questions one by one. One, when we are talking about whether 5G is going to be primarily a loading opportunity or are there going to be new sites that are going to be required for 5G. Initially when the operators are doing the 5G coverage on their existing network, it is yes, largely going to be a coverage or a loading kind of an opportunity for the TowerCo. But as the data and the capacity utilization is going to build up on the 5G layer, operators will certainly need additional sites to fill up the capacity gaps and the coverage gaps that are going to come up as a result of the data utilization that is going to build up in the 5G layer. So maybe depending upon how quickly they are going to do the 5G rollout in the country or how fast the data capacity builds up in the network could be anywhere between one to two years before new stand-alone sites are required for 5G.

When it comes to 4G, the way the networks are being rolled out because we are currently still not seeing 5G as a blanket coverage layer. You will need a layer of 4G for giving the continuity of data coverage across the geography. So we do not think 4G is going to slowdown. We are actually seeing the opposite, 4G equal amount of loading going up on the existing sites to take care of the data needs and then 5G is being built-up parallelly. So we do not see 4G slowing down. In fact, a lot of rural coverage, the operators are going to be approaching us is initially going to be happening on the 4G space as well. So both are going on parallelly at the moment.

Sanjesh Jain — ICICI Securities — Mumbai

A last set of questions largely to Vikas. One, purely on the accounting side, straight-line method, what we have discontinued, and

which has resulted in RTP coming down, is it only restricted to this one operator or as a policy, we have done it for all the operators?

That is number one.

And number two, on the Capex, this quarter we have seen an acceleration to a Rs.1,000 Crores. It is just to reinforce the 5G loading

and hence to augment the batteries and the DG set capacity, that is the reason why the Capex has gone up? These are my last

questions. Thank you.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Yes. Sure, Sanjesh. So I think as far as the accounting treatment for the revenue equalization asset is concerned, that is specific to

the operator because of the uncertainty that we are facing. The other operators continue to basically be treated under the Ind AS

116 accounting.

On the Capex side, broadly, I think there are

two drivers that we had in quarter four. So one of them is, of course, what you

mentioned the 5G-related augmentation in our power infrastructure and so on, and the second driver is also the fact that we are

basically seeing operational momentum in terms of new rollouts and new builds. So they are pretty much work in progress and we

are sort of investing in that area.

Sanjesh Jain — ICICI Securities — Mumbai

Fair enough, Vikas. Thanks for all the questions and best of luck for the coming quarters.

Vandana – Moderator

Thank you very much, Mr. Jain. The next question comes from Mr. Arun Prasath from Spark Capital, Chennai. Mr. Prasath, you may

ask your question now.

Arun Prasath — Spark Capital — Chennai

Thank you. Thanks for taking my questions. My first question is on the receivables. I think since this receivable issue started in the

early part of the last year, we kind of said that post December 2022, operator has agreed to increase his payout. But now it seems

like all the hopes are based on their ability to raise the funds. So my question is, if they are not able to raise the funds, what are the

options we will have at our disposal to collect the regular invoice amount plus the pending amount? That is my question number

one.

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

Arun, thanks for the question. I think the situation is a little bit dynamic. So we are working with them to understand the funding

situation and our actions will be based on what we receive. So, as Vikas mentioned, we have done a derisking of the balance sheet

in the interest of the company's shareholders, and we will continue to look at the situation on how the payments come and we will

make calls accordingly.

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Arun Prasath — Spark Capital — Chennai

So I was asking, as per your MSA and under the contractual terms, what are the options you have at your hand to collect in case they continue to prolong this delay?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

So I think, Arun, as Prachur also mentioned, We are working closely, we are fully engaged with the customer, there are options that we are evaluating. We will certainly consult and take the guidance of our board eventually. So all those things are basically currently being evaluated. So it is very difficult, because it is a dynamic situation, it is changing every week, every month. So it is very difficult to really talk about any specific action right now, but certainly, I can assure you that there is a lot of focus from the senior management, as well as the board members to get to a solution on this one.

Arun Prasath — Spark Capital — Chennai

Okay. My second question is on the tower addition in the last one year. It seems that one of the anchor tenant added more than 25,000, 30,000 towers in, say, calendar year 2022, whereas in our case, of that, we have just got around close to 4,000 to 4,500 towers, so basically a market share of less than 15 percentage, whereas in the previous year, almost close to 45 percentage to 50 percentage. So how should we look at this from the market share perspective? Is it in some way related to our inability to invest because of the ongoing receivable issue? Or is it generally that we have been losing market share in the open market?

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

I mean, in general, this question can be answered in two parts. I think when you look at the market share, when it comes to macro sites

, we are currently doing about 53% of the new builds. Where we started late in the game is probably the leaner towers, which we are starting to catch up now, and we believe we will be competing equally very soon. So I think that is what I would like to speak.

Anything else you want to add, Tejinder?

Tejinder Kalra — Chief Operating Officer – Indus Towers Limited

I think the volume wise, as Prachur rightly said, scale up of the macro towers is happening. Obviously, in some cases, if the operator has a sharing opportunity on a nearby tower, that always becomes their first preference because of the speed-to-market sometimes and obviously from a cost perspective, duplication of assets is avoided. But nevertheless, we are now scaling up the numbers and also trying to see how we can reduce the TAT for building up the sites as well and fit the demand towards the operator. So that scale-up is currently ongoing.

Arun Prasath — Spark Capital — Chennai

So going forward, can we assume similar kind of steady-state additions even if your anchor tenant does much more than, or continues with the current pace?

Tejinder Kalra — Chief Operating Officer – Indus Towers Limited

Our run rate in the coming quarters should increase given the requirement that we see from the operators and the way they are expanding the network.

Arun Prasath — Spark Capital — Chennai

Okay . Thank you , and as a follow -up to the fall in Capex question raised by the previous participant . The current Capex will continue to be higher than the Q2 we were , in the coming four quarters as well? The increase in this is close to around Rs.250 Crores to Rs.300 Crores on a quarterly basis . So that means annually there is a Rs.1000 Crore increase in the Capex .

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

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- 8 - Arun, unfortunately, we cannot give you any forward-looking view or outlook here . But pretty much like I explained the higher quarter three Capex spend is largely driven by the 5G augmentation and basically the increase in the momentum that we are seeing in our rollout . So, I think this sort of a stable business -as-usual investment is clearly that we see going forward.

Arun Prasath — Spark Capital — Chennai

Thank you . That is it from me.

Vandana – Moderator

Thank you very much, Mr . Prasath . The next question comes from Mr . Mitul Shah from Reliance Securities, Mumbai . Mr. Shah, you may ask your question now.

Mitul Shah — Reliance Securities — Mumbai

Thank you for giving me the opportunity . Sir, first question is on this exceptional item of Rs.4.9 billion . Sir, can you give some details on this ?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Yes. So, as per the Indian Accounting Standard 116, which is on the lease accounting, basically the long -term revenue contracts have to be recognized on a straight -line basis over the contractual period and accordingly, there is a revenue equalization asset that gets created . Now, in the case of this particular customer because there is a challenge that is clearly visible to us, it is very uncertain that those long -term contractual revenues will be collected, so there 's that element of uncertainty because of which we have impaired that revenue equalization asset pertaining to this customer , and that amounts to Rs.4.9 billion on our balance sheet, which we have impaired . So that is the exceptional item that we have disclosed in this quarter.

Mitul Shah — Reliance Securities — Mumbai

Any visibility over near-term in terms of similar amount or similar item could be repeated in coming quarters, or it is almost done?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

So specific to this customer we have impaired the entire revenue equalization asset. Along with that, we have also stopped recognizing the revenue equalization-related revenue in this quarter, which is the Rs.0.7 billion I spoke about, and to that extent, obviously, we will follow a very consistent practice going forward.

Mitul Shah — Reliance Securities — Mumbai

Okay. Sir, second question is on provisioning - the Rs.22 billion-plus provision. Do you see now it is more or less done and the quantum could be much lower in coming quarters? Or still there is uncertainty on that side?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Again, that is a bit forward-looking, Mitul. So I would only say that, we have basically derisked our balance sheet to a large extent recognizing the uncertainty as far as the collections are concerned. Clearly, the higher payment plan that I was talking about in previous quarter, is dependent on the funding which has not materialized yet. So there is a higher uncertainty that we are facing. So accordingly, we have derisked the balance sheet by providing the Rs.23 billion roughly on account of the customer, which takes care of a large outstanding sitting on our balance sheet. Going forward there might be more provisions, but it is difficult to quantify at this stage, because like Prachur said, it is a dynamic situation, and a lot will depend on how the payments are received or the collections happen going forward. So, we will see how it goes.

Mitul Shah — Reliance Securities — Mumbai

Sir, in terms of revenue breakup, can you give approximate number, this customer's contribution currently?

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- 9 - Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Mitul, again, I mean, we really do not give customer-wise information because of the confidentiality that we have with the customer. So, unfortunately, I can not help you with that.

Mitul Shah — Reliance Securities — Mumbai

Sir, last question on this earlier discussion that you were indicating that 4G is still ramping-up despite 5G already launched and we also indicated in one of the report that by 2027 40% would be the 5G penetration. So whatever could be the penetration maybe 20%, 30%, 40%, by what level of penetration of 5G you think that 4G will slow down or will go reverse.

Tejinder Kalra — Chief Operating Officer – Indus Towers Limited

So, Mitul, I think this question operators can obviously answer better. But what we are seeing from the scale of rollout the

operators are doing, they are almost trying to get to, let us say, more than 90% of the sites with 4G coverage, and that means, all existing sites and we are also seeing a trend of fresh stand-alone 4G sites being set-up as well. Because of the handset penetration, probably, I do not think 4G is slowing down at the moment and 5G penetration of handsets all of us know where it is, at this moment. So we clearly do not see 4G stopping. Depending upon the geographic coverage and what strategy the operators would like to take on rolling out 5G and which cities and rural, how they want to handle it. Currently, the visibility which we see is still 4G expanding for some more time before we can say 5G is the only technology growing. We see both happening for now.

Mitul Shah — Reliance Securities — Mumbai

Thank you and all the best.

Prachur Sah — Managing Director and Chief Executive Officer — Indus Towers Limited

Thank you.

Vandana — Moderator

Thank you very much, Mr. Shah. The next question comes from Mr. Kunal Vora from BNP Paribas, Mumbai. Mr. Vora, you may ask your question now.

Kunal Vora — BNP Paribas — Mumbai

Thanks for the opportunity. My first question is on the receivables. So is it fair to assume that most of the old receivables are now provided and the receivables which you have now are mostly for the current quarter? And also, this quarter, the receivables increased by about Rs.8 billion excluding the provisions. Going forward, is that a trend which you can look at? And what is the payment understanding you have now from the customer from whom you are not receiving payments?

Vikas Poddar — Chief Financial Officer — Indus Towers Limited

Yes. Thanks, Kunal. So, I think a substantial part has been derisked with this provision that we have created in this quarter, and as far as the payment understanding is concerned, like we said earlier, the discussions are ongoing. We have not received any sort of new payment plan or a revised payment plan. So pretty much, we are still hoping for the current payment plan to sort of guide us as far as the future is concerned. So we are in discussions and if there is any update, eventually we will let you know. But right now there is no revised payment plan that we have.

Kunal Vora — BNP Paribas — Mumbai

Sir, just to understand, like October to December whatever billing you have done, what proportion of that you would have collected?

Vikas Poddar — Chief Financial Officer — Indus Towers Limited

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- 10 - I think, I would say basically, a significant part was collected, but certainly it was less than 100%. So because these percentages do vary, I really do not want to peg a percentage here, but rest assured that we are collecting a substantial part, but there is still a part that remains uncollected, which is why our receivables are going up, and we are working on this.

Kunal Vora — BNP Paribas — Mumbai

Sure. Sir, my second question is on the advantages and disadvantages of leaner towers. Would you consider shutting some of the macro towers and replacing them with leaner towers? Are there any Opex advantages and if you can talk about the Capex, Opex economics for the leaner towers? Incrementally should we expect mostly leaner towers getting constructed?

Tejinder Kalra — Chief Operating Officer – Indus Towers Limited

See, leaner towers both from a Capex spend perspective, as well as from an Opex perspective for the operator are definitely economical and depending upon the rural or the urban requirement because for urban if densification is to happen, there are very few possibilities of setting up these macro big towers, and a lot of rural and lean sites are now getting into the rural densification of the network.

When it comes to the rural coverage, still there are certainly ground base sites that need to be set-up, but those structures are also becoming leaner and therefore, Capex wise economical and Opex wise economical as well.

Coming to whether we will be shutting down any of the towers, I do not see that happening, unless otherwise in some cases where because of the operator network orientation reasons they choose to exit any site, and if a tower is becoming vacant, we will, obviously, in that case hold up the tower and kind of exit there. But other than that, we do not see anything like that coming to us from the operators for now, where they want to close down the bigger towers and go to the smaller ones. The new ones are certainly being set-up as the leaner structures to a large extent.

Kunal Vora — BNP Paribas — Mumbai

Sure, and the leaner towers, what is your return expectations? Assuming that there is a single tenant, what kind of return on capital would you expect for these towers?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Yes. Typically, I think we have shared this in the past also, Kunal. I think for leaner towers, because they are Capex light, Opex light sort of structure, our return profile is better than the macro towers at a single tenancy level. So typically, we get somewhere, let us say, high-single-digit to a low-double-digit sort of a return profile from the leaner towers. But again, it depends on geography, on the circle, various other factors, but broadly, high-single-digit to low-double-digit.

Kunal Vora — BNP Paribas — Mumbai

Sure. Sir, I have one last question, which is even as we saw the growth Capex increase, we did not see any increase in rental revenues. So would that happen with a lag?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Yes, certainly . I mean, the growth Capex that you see is basically, like I said, a lot of it could be work in progress as well . So certainly, the revenue will happen with a lag . But like I said, I mean, when I explained the sequential growth and the year-on-year growth, there are other factors also because of which you do not see that in the numbers yet.

Kunal Vora — BNP Paribas — Mumbai

Okay . That is it from my side. Thank you very much.

Vandana – Moderator

Thank you very much, Mr . Vora . The next question comes from Mr . Siddharth Gupta from Voyager Capital, Mumbai . Mr. Gupta, you may ask your question now.

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Siddharth Gupta — Voyager Capital — Mumbai

Good afternoon, sir . I must express my disappointment with the evasive answers with regard to the operator that we are not naming because , I mean, it is quite obvious that the Board is cognizant of the fact, and they will be engaging with the Company . My question is twofold . Firstly, do we again fixed sort of payment like you are negotiating on a payment plan, do we have any security from the operator in terms of one of their foreign promoters stake in our existing companies left with us? And if yes, does the Board have a contingency plan as to when would this be encashed against their particular payment? Because this is clearly hurting the company on a very, very deep level , and the security being shares of our own company, the market cap of which is eroding rapidly . It is a major cause of concern for all investors. If the management could shed some light and that would be great . Thank you .

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Yes. Sure, Siddharth . So, I fully acknowledge the concerns that you have raised, I think clearly, like we said earlier, all of us are working on this particular issue . It is a serious issue we realize . As far as the payment plan and the security is concerned, if you look at the history, we were certainly secured to a large extent through the primary pledge from the promoters , and that was sort of monetized through a deal back in the quarter four of last fiscal , and we did receive the proceeds of that in the month of March and subsequently some more in the month of May and June . So we did manage to control our receivables with the security that we had . Subsequent to that, we do hold some secondary pledge on some

more shareholding of one of the promoters. But because that is a secondary pledge, we do not think there is much value left in it based on the market share price today, etc . So pretty much the trade receivables that we have with the customer are largely unsecured at this point of time , and as I said earlier, we are working towards the resolution . But there is no sort of revised payment plan or an update on the payment plan yet.

Siddharth Gupta — Voyager Capital — Mumbai

Okay . So, does the Board have a tentative mindset as to by when do we call it quits and we drag the Company towards b

ing, say,
the IBC or till when do we negotiate with the Company at within a timeline, like even if it is a broader one that could be presented to the investors?

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

Yes. Siddharth, I think to be honest, currently, we are discussing with the Board as well. I think we are engaging with the customer .

So as Vikas is also mentioning, as we move forward and depending on the payments that we get, we will enact that plan and will share with you . But as of now, our intention is to keep working with the customer , and we are all fully cognizant of what needs to be done as well . So, we are working on that.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

I just want to add, Siddharth, that until December the payment plan basically envisaged the part payment of the dues and that plan has been met. So January is pretty much the first month wherein a higher payment plan needs to materialize and we are watching that situation very closely.

Siddharth Gupta — Voyager Capital — Mumbai

Okay . Thank you so much.

Vandana – Moderator

Thank you very much, Mr . Gupta. The next question comes from Mr . Sachin Salgaonkar from BofA, Mumbai . Mr. Salgaonkar, you may ask your question now.

Sachin Salgaonkar — BofA Securities — Mumbai

Hi. Thank you for the opportunity . Couple of questions . I think in your press release you guys indicated that there are challenges with one of the operators to comply with your higher payment plan in the future . So the question now here is, if one operator can't pay higher payments, then what incentives do other operators have to comply to that higher payment? Because anyways you guys are not taking any significant action against that operator, right? You are not shutting down their towers, you guys have not secured amounts from that . So, I mean, at some level other customers of yours are forced to pay slightly higher, which, one of the operators is not doing . So how do you resolve this issue between all three operators?

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Vikas Poddar — Chief Financial Officer – Indus Towers Limited

You are raising a very interesting point, Sachin. I think first of all, we need to understand that as per the MSA, if there is any delay in the payment, the MSA provides for the interest to be charged for the delayed payment . So, it is a very important point because the customer who is delaying payment is basically charged interest . So if the other customers adopt a similar way to delay payment,

then there will be an interest cost involved . So that is one factor.

The second important factor for us to realize is, it is not the same situation with all customers. I mean, our customers are at different stages . We have one customer with a very difficult financial situation, very stretched financial situation as we all know, whereas the other two customers are that way healthy . So, I do not think, simply because one of the customer s has less ability to pay should really put a question on the ability of the other two customers. So currently we are not seeing that situation, and I hope we will sort of continue to see cooperation from other customers.

Sachin Salgaonkar — BofA Securities — Mumbai

Okay , and what is the probability that you guys might waive off that interest payment from one of the customer s who is not paying?
Because we are not able to collect the current money and we are also expecting interest to be collected, right?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Yes. So, we have collected interest from the customer . So, it is not that we are waiving off , and that is reflected in our finance income in this quarter. So, we did manage to collect interest on the delayed payments.

Sachin Salgaonkar — BofA Securities — Mumbai

Because one of the statements what you guys have also mentioned in your press release is that ability is a going concern of this entity . If that is the scenario, how should we look at that?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Well, we have relied on the auditor statement and basically the entity is seen as a going concern, of course, with some dependencies on their lenders and other parties . But I think we sort of maintain that position . If there is any change in that position accordingly, we will do the needful.

Sachin Salgaonkar — BofA Securities — Mumbai

Okay , and when could we get an update? Because for last more than one year, obviously, you guys are engaging with the customer . Your Board is cognizant about that , and I do acknowledge it is an evolving situation . But how far are we away from getting some kind of a resolution, assuming there is no fundraising happening at that operator?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

I think if you look at it that way, we have been progressing on this . It is not that we have not made progress . So, at different stages in different quarters, we have made progress and we have updated . Like I said, till about March quarter and the June quarter, we had the security, and we were monetizing that security and managing receivables. Thereafter, we did engage with the customer and negotiate a payment plan , and we were sort of working towards that plan, obviously, subject to the fundraising, which has not materialized . So, there are discussions ongoing and we are keeping the investors updated on that , and if there is any further update, we will certainly let you know.

Sachin Salgaonkar — BofA Securities — Mumbai

I know you guys are making progress , but sometimes it looks like one step forward two steps backward, right, because again, we are seeing an additional allowance of doubtful debt , which has been taken again . So I just wanted to understand when we come at a point where we could see a sort of a decent amount of resolution? And a related question is, do you even think about taking a call on shutting down certain towers or sites, or that is not even something which is under consideration?

Prachur Sah — Managing Director and Chief Executive Officer — Indus Towers Limited

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- 13 - So, Sachin, if I may say, I think the question that you have asked is a very pertinent question . I think the question on what actions

we take on operations, what actions we take on collection is, it depends on few other things . As Vikas mentioned, there was a

payment plan agreed with that customer for the quarter ending December, which they met , and there was a higher

plan that was to

be met in January . So, we are working very closely to monitor that situation . Depending on how that payment plan gets activated ,

we will take the appropriate actions.

Sachin Salgaonkar — BofA Securities — Mumbai

Okay . Thank you.

Vandana – Moderator

Thank you . The next question comes from Mr . Giriraj Daga from K M Visaria Family Trust, Mumbai . Mr. Daga, you may ask your question now.

Giriraj Daga — K M Visaria Family Trust — Mumbai

Yes. Hello sir . Again, in the same point on the receivable side of it, just to get some broad things right . As from my understanding,

the receivables total outstanding, including the gross up will be closer to Rs.80 billion, 85 billion , and the numbers look scary,

because that is the last year PBT also, when I look at last year FY20 22 PBT that was Rs.85 billion . So, the point is that, will we

continue to make the new receivables which will look outstanding because everybody is asking the same question? How far we will

continue to go? In terms of priority ranking we understand you have already given that in terms of unsecured receivables has not

been the priority . So is the Board aware about that? Secondly, when we look at it like this , it looks like we are compromising the

share of the minority interest shareholder . So that way like, is Board is taking any action? Or will we continue to make new receivables?

Vikas Poddar — Chief Financial Officer — Indus Towers Limited

So, Giriraj, I think we will be belaboring this point a bit . Clearly first of all, the receivables figure that you are computing on a gross

basis, I presume that is all customers. So yes, we have a receivables issue , and I can only assure you that we are not compromising . We are working in the best interest of the shareholders. There are various options, and we are basically evaluating

those options to ensure that we do not do something which will have a long-term erosion. So, the Board is fully involved, the senior management is fully involved, and rest assured that we will take the right action. Now, simply taking an operating action and as you are envisaging, reducing services, or shutting down services, well, there are those options. But that may not be in the best interest. So, we are evaluating, and we will take the right action when the time comes.

Giriraj Daga — K M Visaria Family Trust — Mumbai

Lastly, any kind of cut-off date?

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

To be honest, it all depends on how the payment plan pans out. This is a discussion, and we will keep you updated. I think it all depends on how the payment pans out and the fundraising visibility we get. So, I think based on that, we will take the action.

Giriraj Daga — K M Visaria Family Trust — Mumbai

Okay. Thank you.

Vandana – Moderator

Thank you very much, Mr. Daga. Due to time constraint, I would like to hand over the call proceedings to Mr. Prachur Sah for the final remarks.

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

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- 14 - To sum up, I think despite the situation that we have all discussed just now, we remain confident on strong business fundamentals, both on the 5G side and the growth that we are seeing on the towers. The 5G journey that the industry has embarked upon makes this a very exciting phase as I outlined in the beginning of my commentary. We believe there are strong catalysts in the telecom space that will help industry continue to be on the growth trajectory. I thank you all for joining the call. Have a good day. Thanks.

Vandana – Moderator

Ladies and gentlemen, this concludes the conference call. You may now disconnect your lines. Thank you for connecting to audio conference service from Airtel and have a pleasant evening.

Call: May 2023

Indus Towers Limited

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May 04, 2023

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400001 The National Stock Exchange of India Limited

Exchange Plaza, C -1, Block – G, Bandra Kurla

Complex, Bandra (E), Mumbai - 400051

Ref.: Indus Towers Limited (534816 / INDUSTOWER)

Sub.: Transcript of the Earnings Call on the Company's performance for the fourth quarter (Q4) and Financial Year ended March 31, 2023

Dear Sir/ Madam,

Please find attached the transcript of Earnings Call conducted on April 27, 2023 on the Company's performance for the fourth quarter (Q4) and Financial Year ended March 31, 2023.

Kindly take the same on records.

Thanking you,

Yours faithfully,

For Indus Towers Limited

Samridhi Rodhe

Company Secretary & Compliance Officer

Encl.: As above

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Conference Call Transcription

Event: Transcript of the Indus Towers Limited Fourth Quarter and Year Ended March 31, 2023 Earnings Conference Call

Event Date/Time: Apr 27, 2023/ 1430 Hrs IST

Transcript of Indus Towers Limited Fourth Quarter and Year Ended March 31, 2023 Earnings Conference Call

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Chief Financial Officer – Indus Tower Limited

Mr. Tejinder Kalra
Chief Operating Officer – Indus Towers Limited

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Mr. Mitul Shah
Reliance Securities , Mumbai

Mr. Arun Prasath
Avendus Spark , Chennai

Mr. Nikhil Deshpande
Axis Bank , Mumbai

Mr. Vivekanand S
Ambit Capital, Mumbai

PRESENTATION

Vandana – Moderator

Good afternoon, ladies and gentlemen . I am Vandana, the moderator for this conference . Welcome to the Indus Towers Limited fourth quarter and year ended March 31, 2023 Earnings Call. For the duration of the presentation, all participants' lines will be in the listen -only mode. After the presentation, the question -and-answer session will be conducted for all the participants on this call. In case of a natural disaster, the conference call will be terminated post an announcement.

Present with us on the call today is the senior leadership team of Indus Towers , Mr. Prachur Sah , MD and CEO ; Mr. Vikas Poddar , CFO ; Mr. Tejinder Kalra, COO and Mr. Dheeraj Agarwal, Head Investor Relations.

Before I hand over the call, I must remind you that the overview and discussions today may include certain forward-looking statements that must be viewed in conjunction with the risks that we face. I now hand over the call to our first speaker of the day,
Mr. Prachur Sah . Thank you and over to you, Mr. Sah.

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

Thank you Vandana and a very warm welcome to all participants on the call. I am pleased to present our business performance for the quarter and the year ended March 31, 2023. Joining me today are my colleagues

Vikas Poddar, CFO ; Mr. Tejinder Kalra, COO, and Mr. Dheeraj Agarwal, Head Investor Relations. In my first full quarter at Indus, I am delighted to see the 5G and new tower rollouts occurring in full swing , which bodes well for the telecom space as a whole and is in line with the Government 's drive towards digitalization.

Before I begin our agenda today , I would like to reiterate Indus Towers ' commitment towards enabling Pan India connectivity including some of the most challenging and remote locations. Our team of brave hearts installed four mobile towers in Gurez Valley in Jammu and Kashmir which is located at an altitude of 8,460 feet . Working in the extremely harsh weather conditions in the

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months of November and December , the team managed to enable connectivity across 15 villages in the valley. This demonstrates the excellence in customer focus that is part of our day-to-day execution activities. The commitment of employees reflects in the accolades we continue to win for being employer of the choice. For the 10th consecutive year , we have won the Gallup Exceptional Workplace Award and Indus is one among the four global companies this year to have won this award for 10 years or more.

Now coming to the key themes, I would like to talk about today . With regards to the industry, the Government remains committed towards facilitating rapid deployment of telecom infrastructure across the country and is repeatedly taking steps to that end. A couple of quarters back , the RoW rules were amended allowing licensees to deploy telecom infrastructure over a private property without requiring approval from the concerned Government authority. Licensees are only required to intimate the local authorities . In the quarter gone by, many states have proceeded to notify this RoW policy which is an encouraging development. As more and more states follow suit in the future , the deployment of telecom infrastructure is bound to become easier and faster which is crucial for the swift 5G rollout.

Talking about the 5G rollout, the deployment of 5G infrastructure and rollout of 5G services have been progressing rapidly. The top two operators have launched 5G services in more than 500 cities and are planning to complete the urban coverage in India over the next three to six months. More than 140,000 5G Base Transceiver Stations or BTS have been deployed across the country with the average weekly run rate increasing from 5,000 BTS in December to 7,000 in March .

At Indus Towers , we remain steadfast in our commitment towards facilitating the rollouts by the operators. We are making necessary investments in our network to support installation of 5G equipment on our existing sites. As indicated in our previous

earnings call, the loading of 5G equipment has now started to add to our revenues and it should increase further. We expect the 5G opportunity to continue to build in the form of requirement of additional sites as the penetration of 5G services increases and capacity need arises. Given our leadership position and expertise in providing passive infrastructure, we stand to capitalize on the growing 5G opportunity.

The 5G adoption story continues to play out well globally as per statistics mentioned in the Ericsson Mobility Report. The pace of 5G subscription accelerated after addition of 136 million subscribers during the quarter of December 2022 compared to 110 million subscribers in the September quarter. This helped the global 5G subscriptions to cross the 1 billion mark, which are expected to reach 5 billion by the end of 2028 as per

the same report. The number of commercial 5G service providers also increased from 228 in September 2022 to 235 in December 2022. The adoption of 5G services is much faster than 4G as 5G reached 1 billion subscriptions two years sooner than 4G. With respect to India, 5G subscriptions are expected to reach the 500 million mark by 2027 with a penetration of about 40% as per the report.

The steady trend of increase in 5G adoption and upgrade from 2G to 4G stand to support the strong data consumption story playing out in the country. The total data consumed across the top three operators combined grew by 17% year-on-year in the December quarter. The average data consumed per user per month across the top three operators stood at almost 21 GB for the quarter ended December 2022 registering a year-on-year growth of 17%. This growth is underpinned by the continued migration from 2G to 4G given 31 million 4G data users were added and upgraded in 2022. As per Nokia India's MBIT index of 2023, data consumption per user per month is expected to grow to 46 GB by 2027. The healthy data consumption supplemented by the rapid uptake of 5G is expected to lead to increased demand for passive telecom infrastructure and we remain well equipped to cater to this demand.

Now coming to our operational performance, I am happy to report that we had a solid quarter wherein our tower addition including leaner towers was one of the highest in our history. During the quarter, we had net additions of 3,482 macro towers and 3,396 corresponding co-locations. A reduction in co-locations churn both sequentially and year-on-year also helped the net additions. Our total towers and co-locations at the end of Q4 were at 192,874 and 342,831 respectively, growing by 4.0% and 2.1% on year-on-year basis. Our tenancy ratio dipped marginally from 1.79 to 1.78 but continues to be industry leading. Our leaner tower additions were at 1,241 in Q4 compared to 1,408 co-locations in Q3. Including leaner towers, our net co-location additions stood at 4,637 in Q4 compared to 2,715 in Q3.

Over the past few quarters, we have revisited our internal processes with the focus on improving the time to market for our products which has been one of our major asks from the customers. The simplification of these processes coupled with aggressive roll outs by the customer has helped us deliver the substantial number of additions. Given our major customer has increased its focus on rural expansion, which is generating a good demand, especially for our macro towers we expect the demand to remain healthy.

I would also like to briefly touch upon the collections from one of our major customers. We are pleased to see progress on that front.

Our collections from this customer have improved during the quarter and were close to the invoicing amount. We are constantly engaging with the customer to also clear the past outstanding amount. The Government's decision to convert the interest dues of the said customer into equity is also a positive step and is expected to help ease the financial burden of the customer. We are

closely monitoring the development on the customer 's fund raise plan.

Now moving on to ESG which is a strategic priority for the organization. We have identified key focus areas within the environment, social and governance dimensions and made medium to long term commitments to work towards them .

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Given the scale and large energy footprints of our business , GHG emission is one of the major focus areas for us and we have committed to net zero GHG emissions

by 2050 in line with Science Based Targets initiatives. We are driving multiple energy interventions with a focus on reduction in diesel consumption and expansion of renewable energy portfolio. We are constantly reducing our diesel consumption through operational efficiencies and enhancing our storage solutions. Diesel consumption has decreased by about 6% year-on-year in FY2023 despite increase in number of sites and 5G loading. Our efforts are also yielding results through quarter -on-quarter increase in non-DG sites. We are working on building solar sites and also exploring greener technologies. We have recently signed an MOU to run a pilot for Aluminum -Air technology for generation of clean energy.

Responsible handling and recycling of waste is another key area which we have identified . We are working towards 100% recycling of our hazardous waste mainly lead and lube oil through driving a cultural change in our value chain.

Having a diverse work force and ensuring the highest safety standards are also something we are striving towards. We aspire to increase our gender diversity five times from the current levels of about 6%. A series of initiatives are being planned to improve the diversity at both field and management positions . With respect to ensuring safety of our people , especially in the field, we are using innovative ways to bring awareness and ensure compliance . This has helped us reduce our field incidents.

As we continue to intensify our actions on ESG , we are also enhancing our disclosures and reporting . An increased disclosure of our non -financial performance in our last year annual report and participation in ESG rating provider 's survey have resulted in improvement in our MSCI rating and S&P Global sustainability score. We are quite hopeful of our all-round efforts yielding desired results in our ESG journey and we will keep reporting on the same.

I would not request Vikas to take you through our financial performance for the quarter and year ended March 31, 2023 and I look forward to your questions. Over to you Vikas. Thank you.

Vikas Poddar – CFO – Indus Towers Limited

Thank you, Prachur . I am pleased to share with all of you the financial results of the fourth quarter and year ended March 31, 2023 for Indus Towers . Before I take you through the financial performance , I would like to reiterate our robust operational performance wherein we saw significant uptake in our tower and co -location additions . So as you heard , we added 3,482 macro towers and 3 ,396 corresponding co-locations in Q4 . We closed the year at a total tower and co -locations count of 192,874 and 342,831 respectively , each growing at 4.0% and 2.1% on year -on-year basis and 1.8% and 1 .0% on quarter -on-quarter basis. Addition in our

leaner tower

portfolio remained strong at 1,241 co-locations in Q4, taking our co-locations base for leaner tower to 6,924.

Next, I would like to take you through the financial performance for the fourth quarter. But before that let me remind you that in the previous quarters, there was a one-off provision impact of Rs.5.5 billion from deferred revenue recognition in Q4 FY2022 and a negative impact of Rs.22.7 billion from provision for doubtful debts in Q3 of FY2023. Hence, the Q4 FY2023 performance should be viewed accordingly.

Our reported gross revenue fell by 5.1% year-on-year to Rs.67.5 billion of which the core revenue from rental was down by 10.4% year-on-year to Rs.42.5 billion. Adjusted for the one-off, our gross revenue and core revenue grew by 2.8% and 2.4% respectively year-on-year. Please note that the revenue for Q4 FY2023 had an impact of non-recognition of Rs.0.8 billion pertaining to revenue equalization assets for one of our major customers. On a quarter-on-quarter basis our reported gross revenue was down by 0.2% and core revenue from rentals was up by 1.8% respectively. The growth in our core revenue from rental is reflective of the healthy tower and tenant addition and the loading of 5G equipment. Adjusted gross and core revenue grew by 0.1% and 2.2% respectively.

Reported EBITDA was down 15.3% year-on-year and up 190.6% quarter-on-quarter to Rs.34.5 billion. EBITDA margin was down 6.2 percentage points year-on-year and up 33.5 percentage points quarter-on-quarter to 51%. Adjusted for the aforesaid factors, EBITDA declined by 1.8% year-on-year and was up 0.7% quarter-on-quarter. EBITDA had an impact of increase in reported energy losses. Energy margins were lower at -2.2% in Q4 FY2023 due to the impact of certain year-end adjustments in energy billing. On a full year basis and adjusted for one-off, energy margin was -1.8% for the year. There is constant focus on improving this based on the initiatives Prachur mentioned in his speech earlier.

Our reported profit after tax was at Rs.14 billion compared to the loss of Rs.7.1 billion in Q3 FY2023 and was down 23.5% on year-on-year basis. Adjusted for the aforementioned factors of one-offs, profit after tax was down 0.8% on year-on-year basis and up 4.7% quarter-on-quarter basis.

I will now move to the performance of full year FY2023. Our gross revenues grew 2.4% year-on-year to Rs.283.8 billion and core revenue was down 1% year-on-year to Rs.174.3 billion. Adjusted for one-offs, gross revenue and core revenue were up 2.1% and 2% year-on-year respectively. On a reported basis, EBITDA declined by 34.6% to Rs.97.7 billion and profit after tax was down 68% to Rs.20.4 billion. Again, adjusted for one-offs and provisions, EBITDA and profit after tax were up by 0.5% and down 0.6% year-on-year respectively.

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Free cash flow for the year was Rs.14 billion, which was impacted by the short fall in collections during the year from a major customer. In the Q4, our collections from the customer saw an improvement thereby resulting in a muted impact of provisions for doubtful debts on Q4 financials. We had adopted and continued to follow a stringent ECL computation and accordingly carry a

provision for doubtful debts of Rs.54.5 billion relating to the said customer to de-risk our balance sheet. We continue to be in active discussions with the customer to improve the collections further to adjust the past outstanding and are committed to protect the interest of the shareholders.

Our reported pre-tax return on capital employed and post-tax return on equity for the past 12 months were at 11.0% and 9.4% respectively. The return ratios have been impacted by the provision for doubtful debts and impairment of revenue equalization assets during the year.

In summary, we are pleased with the operational performance we delivered during the quarter and it is a testament to our strengths as a leading player in the tower co space. Our financial performance reflects both our strong operating numbers and improved collection. Our customer's focus on expanding its coverage in rural market and the on going fast-paced 5G rollout make us optimistic about the demand outlook in the near to medium term.

So with this I would request the moderator to open the floor for questions and answers please. Thank you.

Vandana – Moderator

Thank you very much sir. We will now begin the Q&A interactive session for all the participants who are connected to the audio conference service from Airtel. Due to time constraint, we would request if you could limit the number of questions to two to enable more participation. Hence, the management will

take only two questions per participant to ensure maximum participation.

Participants who wish to ask questions may please press “*” “1” on their touchtone enabled telephone keypad. On pressing “*” “1”

participants will get a chance to present their questions on a first-in-line basis. To ask a question, participants may please press “*” “1” now.

The first question comes from Mr. Sanjesh from ICICI Securities, Mumbai. Mr. Sanjesh, you may ask your question now.

Sanjesh Jain — ICICI Securities - Mumbai

Sir, good afternoon and thanks for taking my questions. First on the 5G rollout and the loading revenue can you give us some direction what is the loading revenue as a percentage of rentals we get on the 5G and how much can it really drive in terms of ARPT

growth say over the next few years because this is where we should be banking most of our growth over the next two to three years

and considering that the weight of the equipment on the 5G has now significantly come down from 40kg to now about 18kg odd the opportunity on the loading reduces, is that the right assessment?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Thanks for the question Sanjesh. I will take the first question and then may be Tejinder take the second part of the question. So in

terms of loading revenue, I think we shared earlier that the 5G loading revenue drives roughly anywhere between 5% to 10% growth

in the ARPT depending on which towers we are rolling out and who is rolling out because in case of 5G rollout in the two bands the

loading is a bit higher than rolling out 5G on a single band. So anywhere between 5% to 10% is the sort of the growth that we see

because of the 5G loading.

Tejinder Kalra — Chief Operating Officer – Indus Tower Limited

Sanjesh, just to answer your question on the second portion that yes , the weight of radios on the towers in case of 5G has come down , yes 18kg to 20kg depending upon which is the vendor for the equipment . So from tower loading perspective we are fairly covered. I do not think we will have any issue in terms of accommodating our customers ' 5G equipment on our sites. This actually helps us in terms of any additional loading also that may come up , so we are quite secured from that perspective.

Sanjesh Jain — ICICI Securities - Mumbai

My second question is on the 5G rollout. India is in a bright spot probably there but apart from India if you look at what Ericsson and Nokia forecast , it does not look like the world is really sharing this 5G rollout at such an accelerated pace . Do we see any risk of

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India also probably say six to eight months down the line significantly slow down the 5G capex similar to what we have seen in the other part of the world? I understand say five-year, eight-year opportunities that there is a significant data that need to be carried and 5G is very important . I am talking more near term say a year or two , can we see a more gradual rollout on 5G than the accelerated pace which we are seeing and just one clarification , in the opening remarks you talked about 5 ,000 sites going to 7,000 sites in terms of towers . This we are talking about the number of towers right on which 5G is getting rolled out so that is the clarification.

Prachur Sah — MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER – Indus Towers Limited

I think that is more of BTS number overall and you talked about the 5 ,000 to 7 ,000 BTS.

Sanjesh Jain — ICICI Securities - Mumbai

It is a BTS number , right?

Tejinder Kalra — Chief Operating Officer – Indus Towers Limited

That is the BTS .

Prachur Sah — MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER – Indus Towers Limited

It is a weekly run rate. It is a weekly run rate from 5 ,000 BTS in December to 7 ,000 in March , that is the weekly run rate that we saw in March .

Sanjesh Jain — ICICI Securities - Mumbai

This is weekly run rate .

Tejinder Kalra — Chief Operating Officer – Indus Tower Limited

Yes. The operators are significantly scaling up the 5G rollout. Just to give you a sense while you raise the concern on the data offtake happening and with 5G giving much higher data capacities, I think the rate at which data consumption is growing in India and globally, at least our expectations, I am sure the operators can answer this better, we do not see the rollout slowing down at any given point in time. If you look at Ericsson Nokia projections as well from 21 GB per subscriber per month consumption they are projecting this to go up to about 47 GB, which essentially means more than doubling in the next two to three year timeframe and given that the cost per MB of data in 5G is significantly lower compared to 4G or other technologies, I think the operators will have all the incentive to roll out 5G more if they have to feed that kind of a data demand so we do not see that risk for now at the moment at least neither in the next couple of years.

Sanjesh Jain — ICICI Securities - Mumbai

Got it. Fair enough and thanks for answering those questions and best of luck for the coming quarters.

Vandana – Moderator

Thank you very much Mr. Sanjesh. The next question comes from Mr. Kunal Vora from BNP Paribas, Mumbai. Mr. Vora, you may ask your question now.

Kunal Vora - BNP Paribas - Mumbai

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Thanks for the opportunity. Congrats for collecting the current dues from Vodafone Idea. How are you thinking about the past dues now? Do you think it makes sense to continue the service till the time they keep clearing the current dues or do you think collection of past dues is a must in the coming quarters?

Prachur Sah — MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER – Indus Towers Limited

Kunal I think if you look at what has happened in the quarter, there have been some positive developments. The Government decided to convert the interest into equity that is a positive development. Given the fact that we made collections, I think we are closely watching the situation and engaging with the customer to make sure - first their debts do not increase, and we can expedite the collection of the past receivables. So I think while there have been some positive developments, I think we will have to monitor the situation. I can't tell you exactly when this is going to happen, but we believe this positive development does enforce that there is a possibility that this may happen, and we will be making sure that we do as much collection as possible for us. So as of now that is the plan I can share with you.

Kunal Vora — BNP Paribas - Mumbai

So for now fair to assume that as long as the current dues are getting collected it is fine. I mean like while you will be pushing the customer but for now if current dues keep getting collected you are okay ?

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

Yes.

Kunal Vora — BNP Paribas - Mumbai

Second is you saw strong tower additions in the fourth quarter what would be the ROI you will be making in these towers assuming we remain single tenant and is the capex and rental on these towers similar to the older towers or there is any difference to the terms ?

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

Let me answer the second part first then I will ask Vikas to comment on the ROI. See over the period of time I think there has been considerable improvement in the capex per tower right . So I think what used to be the capex per tower 5-10 years ago compared to what it is now is a much lower capex so from a capex profile it has changed. Vikas you want to add something to the ROI side.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

So Kunal on your ROI question I think first of all there are obviously lot of variants of towers that we do and each variant has a different investment profile and different return profile and so on . But at a broad level if I were to sort of give you a sense , I would say at single tenancy first of all the return profile is not negative. It is a positive return that we generate and depending on whether it is a GB T or an Eco site these are different variants . It could range between let us say high single digit to a low double digit sort of thing at single tenancy profile , but it is all positive.

Kunal Vora — BNP Paribas - Mumbai

But single digit will be below your cost of capital so it should be double digits right to cover the cost of capital.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Yeah , so usually these are very long-term assets and over the life of the asset we obviously see loading coming in and we also see the tenancy build up and so on . So obviously the return profile is never constant. As the loading increases and as the usage increases the return profile also improves over the life of the asset.

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Kunal Vora — BNP Paribas - Mumbai

Understood. And just one last question your thoughts on dividend going forward.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Well on the dividend as you can see, we have not announced it. So obviously as per our policy the dividend continues to be linked to the free cash flow. During the year we generated Rs 14 billion of free cash flow as you would have seen in the result. However, in this decision we are also sort of supposed to consider the working capital requirement of the Company. We are tracking the development on the receivable and working capital very closely so we will continue to review the situation time to time and take a decision on the dividend distribution in the coming period as we progress. But as of now I think we basically need to watch a few more quarters and be comfortable on the cash flow.

Kunal Vora — BNP Paribas - Mumbai

But why not distribute the free cash flow which you did generate this year.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

So like I said I mean somewhere there is in the working capital evaluation a bit of stress that we see and we need to really see the free cash flow generation for some quarters to be able to sort of be comfortable with the working capital situation. So most of the working capital for the year was generated towards the second half. We were struggling in the first half because of the receivable situation and lower collections and so on. So I think one or two quarters probably is a very short time frame. We really need to be confident for some more quarters.

Kunal Vora — BNP Paribas - Mumbai

Okay that is it for me. Thank you very much.

Vandana - Moderator

Thank you very much, Mr. Vora. The next question comes from Mr. Mitul Shah from Reliance Securities, Mumbai. Mr. Shah, you may ask your question now.

Mitul Shah — Reliance Securities — Mumbai

Thank you for the opportunity. Sir, first clarification on collection from VI. Can we safely assume that during Jan, Feb, and March this current quarter we collected sizeable or nearly say 90 to 100% of the current collection?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

So Mitul, I think certainly we have seen improvement versus what we were collecting in the past and yes I think pretty much we are in the range of 90 to 100% collection in this quarter. I mean it has been a good quarter for us as far as collection is concerned.

Mitul Shah — Reliance Securities — Mumbai

Just want to again confirm that this Rs 4,900 Crores kind of receivable, so again major portion will be from this client and this is pertains to entirely historical period right.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

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No, so receivables of course we have more than one customer. So the receivables represent the outstanding that we have from all our customers. Unfortunately, we cannot disclose specific numbers for our customers.

Mitul Shah — Reliance Securities — Mumbai

Yes Sir, I understand. My point is that in past when situation was normal, roughly we used to have Rs 300 to 500 Crores kind of receivable at the end of year, Now it has reached to Rs 4,900 Crores so that is nearly 85 to 90% receivable seems to be from this major customer or maybe near about those ranges. So that pertains to past period that is what I want to just confirm.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

There is certainly past period receivable sitting in this number, but I do not think we have ever had Rs 300 Crores of receivable. I mean usually we have a certain credit period with our customers and our receivables are sort of representing those outstanding net of provision. So we have basically the bad debt provision of almost Rs. 54 billion which is netted off in that number.

Mitul Shah — Reliance Securities — Mumbai

Sir, last question on this leaner tower related revenue. Is it because of that we are not factoring that into the number of tower or revenue per tower is slightly increased on a Q-on-Q basis?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Sorry could you repeat that question Mitul.

Mitul Shah — Reliance Securities — Mumbai

In our reporting number of towers, we are not calculating leaner tower, all these are macro tower.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Yes, that is right.

Mitul Shah — Reliance Securities — Mumbai

And our revenues are increasing from the leaner toweral so so is that a key reason, one of the reasons, major reason for the Q-on-Q improvement in revenue per tower.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Well, when comes to the revenue per tower metric they are representing the macro segment only so while we are rolling out leaner towers but the number of leaner towers as well as the revenue from those towers are not very material at the moment to be reported as a separate segment so the KPI represents the revenue per tower for macro segment only.

Mitul Shah — Reliance Securities — Mumbai

Okay Sir thanks.

Vandana - Moderator

Thank you very much Mr. Shah. The next question comes from Mr . Arun Prasath from Avendus Spark , Chennai. Mr Prasath you may ask your question now.

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Arun Prasath — Avendus Spark— Chennai

Thank you for the opportunity. Apologies if the question is repetitive , I joined late. This capex per tower in this year seems to be at least 25% higher than the previous year. Any specific reason for this Sir ?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

No Arun . I mean there is in fact from last year in terms of the metal prices and all we have seen softening , so I do not know really which number you are picking up and where you have picked this up from.

Arun Prasath — Avendus Spark— Chennai

So how I am doing is I am taking the total capex and removing the maintenance capex . So on the remaining growth capex I am just dividing it by the number of additional towers so I get the number around close to Rs 4.5 million in this year as compared to around Rs 3.5 million last year , but directionally it looks little higher.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

No you need to bear in mind that it is not a homogenous tower that we roll out . I mean we have many variants in our tower s. So there is always a mix effect of whet her we are doing ro of top or ground based or macro or lean or so on . So depending on the mix the averages could vary.

Arun Prasath — Avendus Spark— Chennai

I think unless and until we are doing some expensive G BM based towers or GB T towers , this 25% increase in a deflationary scenario seems to be very high.

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

No but Arun I think some of this capex is also related to the upgrade capex that is being spent . I do not know how you calculate d it but this must be including the 5G roll outs and the upgrades as well . So I do not think it is purely on tower. What we can confidently say is that the cost per tower is not increasing. In fact we are seeing an improvement in the per tower capex . So I think the number needs to be looked at from a holistic point of view in terms of how many 5G roll outs have been done , how many sharing has been added and how many new sites have been added . So I think there is a mix play here which may be giving you an impression like that because you know last year there was no 5G roll out. This year there was significant 5G roll out so that is what is sitting in the capex as well that you are probably not factoring in.

Arun Prasath — Avendus Spark— Chennai

In an answer to your earlier participant , you said this 20 , 23 kg of additional loading from the 5G base stations . Before that I thought that could be the reason but anyway I will take it offline. My second question is on the free cash flow generation. We are not able to pay dividend this year. Should n't we be taking a pause in our growth capex so that we are comfortable in paying out the shareholders unless and until we get compensated higher when you are rolling out for a single tenant ? What is the urgency for doing capex at this pace especially given the bleak outlook from the second tenant ? So obviously at this point of time it looks like gaining market share at the tower business seems to be counterintuitive . Have we considered that option and what is our thought process going forward with this ?

Prachur Sah — MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER – Indus Towers Limited

To be honest Arun I mean if I understood correctly you are saying is that why do the capex now. I think from my point of view what I can say is being in an annuity business if you do not make it now , you will probably never make it . So I think it is a n important year

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for growth , so we need to capture it. And on the dividend part Vikas already mentioned , I think we are currently evaluating the situation . I think in the coming quarters we will be considering it based on the funding situation of our customer changes and

we will

keep reviewing the dividend part. But I think from the capex point of view, we remain committed to the growth because this is something that is going to keep business healthy for a very long time. Vikas if you want to add something.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

No I think that is it. Certainly, it is a growth opportunity that we have and I do not think we should really let the opportunity go because with this growth in towers we are going to generate cash flows for the next 10 years which is very important. I hope that answers your question Arun.

Arun Prasath — Avendus Spark— Chennai

To an extent I understand. But what I am trying to understand is does our MSA allow to charge incrementally over and above what it is so that you get compensated given that the current situation does not allow you to monetize. All the tower companies hope that eventually the second tenant will come. Given that the uncertainty is there, is there any premium that we will be able to charge to the customer especially now given that one of the large customers is also a shareholder so obviously there is a conflict of interest. So is there a structure in place to manage these? These are all the top of the mind questions that I am trying to understand.

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

Arun to be honest I think you are asking quite a few questions in one question. I will try to simplify. I think as we were answering the earlier part of the question, the overall profile even the single tenant tower has changed in terms of both what we are doing with the capex in terms of return profile and what loading we expect on those towers in the coming years, right. So even if the risk of single tenant remains, as the 5G roll out happens and the loading occurs and with the base profile that we have, we believe it is not the right time to miss this opportunity and of course if the other customer comes along it further improves the margin right. That is what our approach is. And we are looking at many opportunities internally in terms of further operational efficiency. How we can reduce our operating cost and improve the overall profitability for the Company.

Arun Prasath — Avendus Spark— Chennai

Alright thank you. I will get back to you later. Thank you.

Vandana - Moderator

Thank you very much, Mr. Prasad. The next question comes from Mr. Nikhil Deshpande from Axis Bank Mumbai. Mr. Deshpande, you may ask your question now.

Nikhil Deshpande — Axis Bank — Mumbai

Good afternoon Sir. Thanks for giving me the opportunity. My first question was on your energy margin. In the opening remarks you have mentioned that energy margins are negative due to year-end adjustments. What is your outlook on energy margins for FY2024 and the second question is on the total energy cost. How much is the common energy cost and how much operator specific energy cost?

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

Let me answer the first part. Second part I actually did not understand the question. I will ask you again, but on the outlook for FY2024 as you heard Nikhil that there are certain initiatives that we are

currently working on to improve our overall profile of the energy operation or the energy cost that we have to take. So our outlook is that the energy margin in FY2024 is going to look better

than what it is in this year. We have taken internal targets to make sure that improvement is seen so I believe the outlook remains

that the energy margin will improve in the right direction in FY2024. The second question which you asked I probably did not understand it. Most of the energy cost is on a tower and with the operator.

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Tejinder Kalra — Chief Operating Officer – Indus Tower Limited

So Nikhil I hope I have understood your question correctly. So typically, if you have an indoor site there is a cost of running ACs on

those sites which is obviously a common cost between as many tenants that you have on the site which is the only cost which is

kind of common otherwise the cost of energy is dependent upon the load that the operator is running for their particular equipment

at our site and that consumption drives the energy cost for that operator.

Nikhil Deshpande — Axis Bank — Mumbai

Okay so the common energy cost which you said what percentage it would be of the total cost of the tower.

Tejinder Kalra — Chief Operating Officer – Indus Tower Limited

It depends on the profile of the site. If it is an indoor site typically 15 to 20%, 25% but it is also getting paid by the operator obviously

that common cost is being billed to the customer as well because it is required to run their equipment.

Nikhil Deshpande — Axis Bank — Mumbai

That is all from my side. Thank you.

Vandana - Moderator

Thank you very much Mr. Deshpande. The next question comes from Mr. Vivekanand S from Ambit Capital Private Limited, Mumbai. Mr. Vivekanand, you may ask your question now.

Vivekanand S — Ambit Private Limited — Mumbai

Thank you so much for the opportunity. Could you give us an update on potential consolidation that could happen in the tower space. There are media reports that one of your competitors is perhaps looking to exit and there is obviously distress and misery caused by this weak operator all across the sector.

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

Vivek for us it is very difficult to speculate or comment on the media reports per se and I think we will keep looking at what happens , but our objective still remains to be the market leader and get the market share whatever comes out . It will be the growth aspect so that is where our focus remains and for the media report that you are mentioning, let us see because to be honest we do not have any view on that right now.

Vivekanand S — Ambit Private Limited — Mumbai

Sure and as far as the update I missed a little bit of the initial part of the commentary so I just want to understand from the perspective of these new modular structures that are being built like lean sites and small cells. Are there consolidation opportunities outside of macro towers also for market leaders and large players like yourselves and if you could comment on how you could scale up the potential adjacent revenue opportunities.

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

I think if you are talking about the scale up of deploying more leaner sites I think for sure . I think that is something that we are driving and you will see more and more coming in the next few quarters.

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Tejinder Kalra — Chief Operating Officer – Indus Tower Limited

Vivekanand I need to understand. If you can elaborate the first part of your question a little bit. I think it is little unclear as to what you are expecting there.

Vivekanand S — Ambit Private Limited — Mumbai

Sure , my understanding is that macro towers there are only handful of players that are there in that business , but perhaps in the case of small cells or lean towers perhaps there are more players perhaps smaller players also in the market . Is it possible for you to scale up these businesses more aggressively through M &A or is this is something that you will just look to build organically ?

Tejinder Kalra — Chief Operating Officer – Indus Tower Limited

All kinds of opportunities of course. We are first of all at our end constantly up scaling the numbers that we rollout every quarter . Of course , we do not do proactive build of the sites. We are always building sites depending upon the operator demand. If there is any variation one sees in a quarter , it is purely because of the demand driven from the customer side . But if one were to say can we

scale up inorganically all opportunities we keep on exploring and depending on the evaluation outcome we will take the decisions as appropriate.

Prachur Sah — MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER – Indus Towers Limited

But Vivek in general we are quite cost competitive in that space as well . So unless there is a compelling reason , I strongly believe that we should be able to scale up and compete well in that space with our efficiency and second thing is what we offer the customers is beyond the construction of the tower. Our O &M and our uptime is industry leading so what the value we offer is not just in the construction of it , it is the post construction and delivering better uptime to our customers . So I think we remain confident that we have a very strong portfolio in terms of both delivering the tower and then actually doing the O &M of it . So unless there is a compelling reason to do that , I think our first focus remains to get the market share ourselves .

Vivekanand S — Ambit Private Limited — Mumbai

Understood . Last question . Have you and Vodafone Idea agreed upon a payment plan for fiscal 2024. If this has been discussed in the call before , please avoid answering it. I'll look up the transcript.

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Well, there was a payment plan that was agreed which we shared almost two quarters back . So while there are some challenges in meeting that payment plan , but we are still working with the customer to sort those issues out and basically follow on the payment plan. So there is no fresh payment plan that we have agreed for FY2024. So pretty much we are working on the same plan.

Vivekanand S — Ambit Private Limited — Mumbai

Okay thank you so much and all the best.

Vandana - Moderator

Thank you very much, Mr . Vivekanand . We do have a follow -up question from Kunal Vora from BNP Paribas , Mumbai . Mr. Vora , you may ask your question now.

Kunal Vora — BNP Paribas - Mumbai

So my question was on the minimal lease rental receivable. You have seen a sharp spike this quarter . Was this from extension of contracts . Because purely the new tower addition cannot explain that.

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Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Yes, Kunal, so basically the renewals that we signed back in the early part of this year are not really lumpsum. There are renewals which happened every quarter. So for all the towers that came up for renewal in Q4 obviously that has impacted the average lease period and the minimal lease commitment.

Kunal Vora — BNP Paribas - Mumbai

And does this renewal have any impact on average rental per tower or tenants?

Vikas Poddar — Chief Financial Officer – Indus Towers Limited

Well, the impact is same as what we had shared earlier so there is no fresh impact. It is the same framework that gets applied to all the renewals that happen every month and every quarter so there is no fresh impact to talk about.

Kunal Vora — BNP Paribas - Mumbai

Okay fine. That is it from my side. Thank you.

Vandana - Moderator

Thank you very much Mr. Vora. At this moment, there are no further questions from participants, I would now hand over the call proceedings to Mr. Sah for the final remarks.

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

Thanks Vandana. Thanks again for your questions. To sum up, our strong operational performance during the quarter is indicative of our strengths. The rural expansion by our major customer and rapid pace of 5G rollouts are extremely encouraging. There are many levers of growth in this industry, which we are confident of capitalizing upon, and we will be treading this path of growth in a sustainable and inclusive manner. Thank you all for joining the call and have a good day.

Vandana - Moderator

Ladies and gentlemen, this concludes the conference call. You may now disconnect your lines. Thank you for connecting to audio conference service from Airtel and have a pleasant evening.

Call: Aug 2023

Indus Towers Limited

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August 05, 2023

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai - 400001 The National Stock Exchange of India Limited
Exchange Plaza, C-1, Block – G, Bandra Kurla Complex, Bandra (E), Mumbai - 400051

Ref.: Indus Towers Limited (534816/ INDUSTOWER)

Sub.: Transcript of the Earnings Call on the Company's performance for the first quarter (Q1) ended
June 30, 2023

Dear Sir/ Madam,

Please find attached the transcripts of Earnings Call conducted on July 28, 2023 on the Company's performance for the first quarter (Q1) ended June 30, 2023. We wish to inform you that said transcripts are being submitted today due to exigencies being faced internally. Kindly take the same on records.

Thanking you, Yours faithfully, For Indus Towers Limited

Samridhi Rodhe Company Secretary & Compliance Officer

Encl.: As above

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- 1 - Conference Call Transcription

Event: Transcript of Indus Tower Limited First Quarter Ended June 30,
2023 Earnings Call

Event Date/Time: 28th July 2023, 2.30 PM IST

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CORPORATE PARTICIPANTS

Mr. Prachur Sah
MD & CEO – Indus Towers Limited

Mr. Tejinder Kalra
COO – Indus Towers Limited

Mr. Vinod Rao
Head Business Controller – Indus Towers Limited

Mr. Dheeraj Agarwal
Head Investor Relations – Indus Towers Limited

CORPORATE CALL PARTICIPANTS

Mr. Kunal Vora
BNP Paribas/Mumbai

Mr. Aditya Suresh
Macquarie/Mumbai

Mr. Sanjesh Jain
ICICI Securities/Mumbai

Mr. Vivekanand
Ambit Capital/Mumbai

Mr. Sonal
Prescient Cap/India

Mr. Arun Prasath
Avendus Spark / Chennai

PRESENTATION

Vandana – Moderator

Good afternoon, ladies and gentlemen. I am Vandana, the moderator for this conference. Welcome to the Indus Towers Limited, first quarter ended June 30, 2023, Earnings Call. For the duration of the presentation, all participant lines will be in the listen only mode. After the presentation the question-and-answer session will be conducted for all the participants on this call. In case

of a natural disaster, the conference call will be culminated post an announcement. Present with us on the call today is the senior leadership team of Indus Towers, Mr. Prachur Sah, MD and CEO, Mr. Tejinder Kalra, COO, Mr. Vinod Rao, Head Business Controller and Mr. Dheeraj Agarwal, Head Investor Relations. Before I hand over the call, I must remind you that the overview and discussions today may include certain forward-looking statements that must be viewed in conjunction with the risks that we face. I now hand over the call to our first speaker of the day, Mr. Prachur Sah. Thank you and over to you Mr. Sah!

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

Good afternoon everyone and thank you Vandana and a very warm welcome to all the participants on the call. I am pleased to present our business performance for the quarter ended June 30, 2023. Joining me today are my colleagues Mr. Tejinder Kalra, COO, Vinod Rao, Head Business Controller and Dheeraj Agarwal, Head Investor Relations.

The quarter gone by was especially satisfying for us on two fronts. Firstly, we continued to see good demand from one of our major customers, particularly in rural areas, resulting in the highest tower additions in a quarter for Indus Towers. Secondly the collection level from one of our customers seen in Q4 sustained in Q1 as well.

Before I dive into specific areas, I would like to take a moment to acknowledge the invaluable contribution of our field force, who continue to work tirelessly to help Indus Towers accomplish its goal of enabling nationwide connectivity. Our teams on the ground ensured connectivity in Gujarat, North East region, Uttar Pradesh and Bihar amidst the Biparjoy cyclone and harsh weather conditions including flash floods witnessed in these areas. The team also managed to install sites in the tough terrain of Uttarakhand.

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- 3 - and Gurez and Siachen located in the North of Jammu and Kashmir. This is a testament to our commitment to work with our customers to bridge the digital divide.

On the industry front, the Government remains dedicated to accelerating the roll out of telecom infrastructure across the country and is taking necessary measures to ease the process. These include composite billing schemes for multiple power connections, option of applying for a power connection for telecom infrastructure through Gati Shakti Sanchar portal and mapping of different ministries to the Gati Shakti portal to apply for Right of Way (RoW). These proactive measures by the Government reflect its commitment towards fostering a conducive environment for business growth in the telecom sector.

Moving on to 5G, the top two operators continue to roll out 5G rapidly, having launched 5G services in more than 3,500 cities and towns with Pan India urban coverage expected to be completed this year. Around 275,000 5G base transceiver stations or BTSs have been deployed by the operators across the country with average weekly run rate of deployment increasing significantly from approximately 7,000 in March to almost 12,000 in June. The aggressive roll outs by operators have translated into increased traction in our loading revenues. We expect to see good demand for new sites once the 5G network achieves a certain penetration level and creates a need for more capacity.

As per Ericsson, global 5G subscriptions have reached 1.1 billion with 125 million additions seen in March quarter alone. Total subscriptions are now expected to reach 5 billion by the end of 2028, with 5G subscription in India expected to reach 700 million.

mark by 2028 with a penetration of about 57% as per the report .

Data consumption in the country remains robust , aided by the rapid uptake of 5G and the continued upgrade from 2G to 4G. The average data consumed per user per month across the top three operators grew 14% year-on-year to 21.2 GB for the quarter ended March 2022 and the total data consumed grew by 21% year-on-year in the March quarter . With the thriving data consumption and the rapid integration of 5G , the demand for passive telecom infrastructure is expected to rise significantly to add more capacity , and we possess the capability to effectively cater to this increasing demand.

In terms of our operational performance , I am pleased to report that we have recorded our highest ever tower additions in a quarter. We continued the tower addition momentum seen in Q4, underpinned by strong demand from our customers. During Q1 we have

added net additions of 5,410 macro towers and 5,048 corresponding co-locations. Our total macro towers and co-locations at the end of Q1 was 1,98,284 and 3,47,879 respectively , each growing by 6.3% and 3.4% on year-on-year basis . Our tenancy ratio remains industry leading at 1.75. We continue to witness good demand for leaner towers primarily for densification purpose in urban areas. Our leaner tower additions stood at 936 in Q1 compared to 1,235 in Q4. Including leaner towers our net co-location additions were at 5,984 in Q1 against 4,631 in Q4.

Taking a cue from our operating performance , I would like to lay out our four key strategic priorities where we have been driving a sharp focus . These are market share, cost efficiencies, network uptime and sustainability . Let me spend some time to give you an update on actions taken and progress made on each of these priorities.

Firstly, regarding market share, we have significantly increased our share in business of our major customer and a total addition of 10,615 co-locations over the last two quarters is a testimony to the excellent work done by the team. We have formed a dedicated team to smoothen the deployment process and optimize delivery time through a real time tracking mechanism and logistics alignment. By way of digital intervention in our Pan-India partner and supplier ecosystem and close coordination with customers to align with their requirements , we have furthered our competitiveness helping us secure more wins.

Secondly, on cost efficiency , we are working on optimizing both operating and capital expenses. Energy makes up more than half of our opex and diesel cost accounts for a large part of it. Our multiple initiatives have yielded an 8% year-on-year reduction in diesel consumption in Q1 despite increase in load from installation of 5G equipment. These initiatives include augmenting our energy storage solutions. We added solar and piped natural gas energy solutions on our tower sites during the quarter and also converted tower sites from indoor to outdoor which further reduced diesel consumption. For sites with prolonged electricity outage, we are working with a technology partner to pilot an Aluminum -Air based energy solution to replace diesel. There are various measures under implementation to improve the overall capex productivity such as tower design standardization, automation in procurement process for better cost control and use of artificial intelligence and machine learning to enhance life cycle of equipment.

Thirdly , on network uptime, which is very critical for our customers , we continue to maintain a very high uptime and delivered an uptime of 99.95% in Q1 FY2024. Please note that the quarter was marked by severe natural calamities such as Biparjoy cyclone in Gujarat and heavy rains and floods in areas of North East, Bihar and Uttar Pradesh amongst others . Despite these challenges , our teams on the ground ensured a high level of uptime in these areas.

We are embarking on digital transformation of our network by connecting all our towers through the largest real-time telemetry data system. This will make our monitoring and action planning more robust and faster helping us further improve our industry leading network uptime. The system will also facilitate auto and self-healing measures in the network, which will improve the productivity of field staff and optimize the operating cost.

Now moving to sustainability which stands as a key priority for the organization. We are guided by our ESG vision and launched 'Zero Goal Hai' or 'Zero is the target' campaign during the quarter with the aim of achieving zero emissions, zero harm, zero waste, zero bias and zero tolerance to non-compliance. I have already highlighted our energy initiatives to reduce diesel consumption and adopt green sources of energy which will drive control over Scope 1 and Scope 2 emissions. We have recently concluded inventorization of our Scope 3 emissions which will help us target key sources of emissions in our value chain.

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- 4 - Our gender diversity inched up from 6.3% to 6.5% over the quarter aided by focused hiring programs and initiatives taken on fostering an inclusive work culture. However, a lot more work needs to be done here and we are currently focused to do the same. Regarding the safety of our work force, we are bringing in technological interventions such as introduction of virtual reality-based training modules and software application for correction of unsafe driving behaviour.

We have assessed our major suppliers and partners on key ESG parameters. We are now engaging with them to drive more focus on the identified ESG opportunities to make our sourcing more sustainable.

Our efforts towards ESG are being recognized as we were adjudged "Best Emerging Company of the Year" at the prestigious Transformance forums. Indus also ranked 31st amongst 200 companies at Business World Sustainable World Conclave.

Now I request Vinod to take you through our financial performance for the quarter ended June 30, 2023 and I look forward to your questions. Over to you Vinod.

Vinod Rao – Head Business Controller – Indus Towers Limited

Thank you Prachur and good afternoon everyone. I am pleased to share the financial results for the quarter ended June 30, 2023.

Reiterating our strong operational performance, this quarter marked the highest ever tower additions in a quarter for Indus. As

Prachur said, we added a total of 5,984 co-locations including those on leaner towers, driven by network expansion by our major customer and interventions taken by us to optimize the deployment time.

Moving on to financial performance for this quarter. Starting with revenues, our reported gross revenue was at Rs.70.8 billion growing by 2.6% year-on-year. Core revenue from rental increased by 2.7% year-on-year to Rs.43.3 billion, aided by strong tower additions and loading from 5G rollouts. Please note that the Q1 FY2024 had an impact of non-recognition of revenue equalization assets for one of our major customers. On a quarter-on-quarter basis total reported gross revenues and core revenue from rentals grew by 4.8% and 2.0% respectively.

Moving to profitability, the reported EBITDA grew by 51.3% year-on-year and 2% on a quarter-on-quarter basis to Rs.35.1 billion.

EBITDA margin was up 16 percentage points year-on-year and down 1.4 percentage points quarter-on-quarter to 49.7%. Just to remind that the EBITDA figures of Q1 FY2023 were impacted by a provision for doubtful debt of Rs. 12.3 billion. Energy margins were lower at -3% in this quarter due to seasonality as our diesel consumption increases during this period. As Prachur had highlighted earlier, we are taking several initiatives to reduce our diesel consumption which should help minimize our energy losses.

Our reported PAT, profit after tax, stood at Rs.13.5 billion growing 182% on a year-on-year basis and declining 3.6% on a quarter-on-quarter basis. The significant increase in depreciation and lower other income impacted our net profit.

Our reported pre-tax return on capital employed and post-tax return on equity for the rolling 12 months were at 13.8% each.

Moving on to cash flows, the free cash flow for the quarter was Rs.58 million as our capex increased substantially to Rs.22 billion.

We have invested a large sum of capital to capture the growth opportunity arising from the accelerated rollouts by our customer.

This is critical

to our business growth and a timely and swift response by Indus will generate long-term value to the shareholders. Our receivables increased by about Rs.4.3 billion during this quarter as our customers are seeking clarity on certain bills and we expect to resolve it soon. I am happy to report that the collections from one of our customers are now stabilizing at close to the invoiced amount after the short fall that we witnessed in 2022. Regarding this customer's past dues, we are in constant dialogue with the customer for clearance of the same. We also continue to closely monitor any developments around the customer's fund raise plans.

To sum up, we are pleased to have delivered a solid operational performance in Q1 coupled with the strides we are making in each of our strategic priorities. Steady collections have helped our financial performance while the accelerated 5G rollouts and rural expansion by one of our customers would serve as significant levers for our growth. I would now request the moderator to open the floor for Q&A.

Vandana – Moderator

Thank you very much Sir. We will now begin the question-and-answer interactive session for all the participants who are connected to the audio conference service from Airtel. Due to time constraint, we would request if you could limit the number of questions to two to enable more participation. Hence management will take only two questions per participant to ensure maximum participation. Participants who wish to ask questions may please press “*” “1” on their touchdown enabled telephone keypad. On pressing “*” “1” participants will get a chance to present their questions on a first in line basis. To ask a question, a participant may please press “*” “1” now. The first question comes from Mr. Kunal Vora from BNP Paribas, Mumbai. Mr. Vora you may ask your question now.

Kunal Vora — BNP Paribas/Mumbai

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- 5 - Thanks for the opportunity and congrats for a good quarter. I just wanted to get some sense on the growth capex of Rs.22 billion how much of that would be on macro towers, leaner towers, loading and any other initiatives, if you can help us understand

this
better , and how do you see it going forward ? That is part one .

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

Kunal thanks for the question. Our capex is being distributed between towers, 5G rolls out, replacement and sustenance and energy capex . These are the typical distribution of our capex . Vinod , you want to add anything further.

Vinod Rao – Head Business Controller – Indus Towers Limited

Sure . Kunal some high-level numbers for you on the breakup of the Rs.2 ,200 Crores of capex , around 1 ,400 of it is for the rollouts,
the macro rollouts and the rest are split across the other categories which Prachur just mentioned.

Kunal Vora — BNP Paribas/Mumbai

And the cost per macro tower how would that be now , like you added 5 ,000 towers, so it used to cost about Rs.25 lakhs.
Where is it
now, about Rs.15 lakhs to Rs. 20 lakhs . If you give a number which will help us to project the numbers better .

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

Kunal, I think it stays in the same range.

Kunal Vora — BNP Paribas/Mumbai

On the leaner towers thank s for sharing the details which you have , if you can share the cost per tower like margins compared to the
macro towers like any details which you can provide incrementally on the leaner towers?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

Typically, Kunal , leaner towers are definitely lower on capex and we have a typically high double -digit margins on the leaner towers.

Kunal Vora — BNP Paribas/Mumbai

And capex will be significantly lower? It will be like say compared to the close to 20 lakh which you have on macro , will it be like say
3 lakh, 4 lakh, and 5 lakhs ?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

I will not be very specific, but it is significantly low.

Kunal Vora — BNP Paribas/Mumbai

Okay one last question if I can which is how we should look at the average revenue per co-location going forward , like it is down
marginally year-on-year. Is it largely because of the rental renegotiations and should we expect it to increase going forward led by
escalations, loading and contribution from leaner towers?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

I feel that it is being impacted by the RER, otherwise I think the revenue from co-location should remain on the ballpark basis where it is.

Kunal Vora — BNP Paribas/Mumbai

Sorry I could not hear this clearly.

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Vinod Rao – Head Business Controller – Indus Towers Limited

Kunal what we were saying was the ARPT is impacted this quarter by the RER, the revenue equalization impact which I talked of in my opening session. Other than that, it should be pretty much same quarter-on-quarter.

Kunal Vora — BNP Paribas/Mumbai

But should we be building in some improvements because of annual 2.5% escalation you are having, 5G loading also, leaner towers as their revenue increases, but towers do not get counted so should we be expecting an increase going forward or flattish numbers?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

So Kunal it is from a forward-looking point of view. I think it has many factors like what kind of mix we are talking about so it will not be reasonable to assume one or the other but depending on the mix I would expect because primarily we will be doing the single tenancy towers as of now so I think the numbers should stay in the region, but it also depends on the mix that we will deploy going forward.

Kunal Vora — BNP Paribas/Mumbai

Thanks. That's it from my side. I will come back in the queue.

Vandana – Moderator

Thank you very much Mr. Vora. The next question comes from Mr. Sanjesh Jain from ICICI Securities, Mumbai. Mr. Jain, you may ask your question now.

Sanjesh Jain – ICICI Securities/Mumbai

Good afternoon, Sir. Thanks for taking my question. A few from my side. First on the 5G, you did mention that we have grown from 7,000 roll out in the month of March to 12,000 roll out and we have reached 275,000 BTS, is that the right data point? Just wanted to confirm that.

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

So, first of all let me clarify the 7,000 to 12,000 is the deployment by the operators so these are the total deployment by the

operators at the industry level and 275,000 is also an industry number as such, so it is not directly correlated to sites. Tejinder if you know technically what is the site?

Tejinder Kalra – Chief Operations Officer – Indus Towers Limited

Sanjesh, first of all as Prachur clarified 7,000 to 12,000, the industry is fast tracking its deployment of 5G over the network so that is the pace the industry is doing overall, so between our various customers put together and the full portfolio of towers that they have from all the towercos put together, that is the base and the overall volume of 5G BTSs that they have installed. If one were to look at out of the 275,000 BTSs what share would fall on Indian sites I would say roughly little over one third would be sitting on Indian sites from this overall base that we are talking about here.

Sanjesh Jain – ICICI Securities/Mumbai

From the market share perspective for the 5G, will it be lower for us when you compare to 4G because one of the operators has mentioned that they have rolled out 115,000 BTSs and that covers 65% scope of their immediate coverage, that means we are running closer to the first phase of completion of 5G roll out. How do you assess the market share for Indus Towers from the 5G?

Tejinder Kalra – Chief Operations Officer – Indus Towers Limited

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- 7 - Eventually if we have seen the 4G getting spread to almost 100% of the towers it is a matter of time when 5G will go to 100%. So we do not see 5G getting selective but yes it may take two to three years when that full scope roll out of 5G would happen. One of the operators has two frequencies and therefore two BTSs per site that they need to put up so obviously if they are talking of higher number of BTSs it does not mean they are covering higher number of towers because you can divide that by two and that is the number of sites that they are probably covering up. If you look at overall from an industry perspective my estimation is roughly about 25% to 30% of the sites get covered by 5G, even shade lower may be, but that is where we are at an industry level from my estimation.

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

And our market share will be reflective of the tower market share at the end of the day.

Tejinder Kalra – Chief Operations Officer – Indus Towers Limited

Correct.

Sanjesh Jain – ICICI Securities/Mumbai

Fair enough. From the loading charges, can you help us understand putting a full blown non-standalone 5G versus standalone 5G what will be the differential in terms of the rentals which we charge to the operator?

Vinod Rao – Head Business Controller – Indus Towers Limited

So Sanjesh this is Vinod. The rentals that we charge to the operator is a function of the equipment that they deploy, the power and the space and the weight so standalone or non-standalone is the operator's technology preference. For us it is a function of the se three in terms of the loading revenue that we generate.

Sanjesh Jain – ICICI Securities/Mumbai

Fair enough. Just one last on the capex side what is the payback period right now we are seeing for both macro as well as the loading that we are putting on the 5G side?

Vinod Rao – Head Business Controller – Indus Towers Limited

So Sanjesh from a payback perspective what we need to understand is the operators come with us on a tenancy for a 10-year duration and as you are already aware, significant amount of the portfolio has already got renewed last year which means we are seeing another 10 years on those tenancy. So, if we are getting loading on them that loading revenue is going to come with us for the next nine years or eight years as the case may be and it is payback accretive from a very early stage from a loading perspective.

Sanjesh Jain – ICICI Securities/Mumbai

That is fair enough, but what will be the payback assuming that it is an incremental cost over incremental revenue right and that is number one. Number two for the fresh macro tower the single tenancy towers we are putting what is the payback period for that?

Prachur Sah — Managing Director and Chief Executive Officer – Indus Towers Limited

Sanjesh, typically for macro towers we are at a high single digit IRR on a single tenancy basis without any loading and for the leaner towers it is probably high double digits. That is the IRR that we operate in and as the loading comes in the IRR further improves or when the second tenancy comes the IRR improves further so that is the numbers that we are currently operating in.

Sanjesh Jain – ICICI Securities/Mumbai

Fair enough Sir. Any update on the dividend you want to share? We have not announced any dividend last fiscal year. What is the general thought process on the dividend payout now considering that we are into an elevated capex mode as well for probably next one to one and a half year?

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- 8 - Vinod Rao – Head Business Controller – Indus Towers Limited

Sanjesh, as you are aware our dividend policy requires us to distribute 100% of the free cash to the shareholders. At this point in time, it is very difficult for us to predict the free cash flow for the whole year given the number of moving parts. As you rightly said it is capex on the one side but on the other side it is also the visibility of the collections from a major customer and the funding

plan of that customer. Unless we sort of get a grip on those factors which are extraneous to us, it is difficult for us to sort of think of dividends at this point in time. Once we get clarity on some of them, we will be able to come back to the Board and then to you all in terms of our plans for dividend.

Sanjesh Jain – ICICI Securities/Mumbai

That is clear. Thank you very much for answering all my questions and best of luck for the coming quarters.

Vandana – Moderator

Thank you very much Mr Jain. The next question comes from Mr. Aditya Suresh from Macquarie, Mumbai. Mr. Suresh you may ask your question now?

Aditya Suresh – Macquarie/Mumbai

Thank you. So, I had a question on the dividend but you just answered that. The second question I actually had was on the under-recovery of energy reimbursement so that is 3% in this quarter, 2% last quarter, and 1% the previous quarter? There seems to be an increase here. Any color you can provide here on this?

Vinod Rao – Head Business Controller – Indus Towers Limited

The major reason as we mentioned at the outset is really the seasonality in the transition between the winter period and the summer period. So that is usually a high diesel consumption period and plus as Prachur already mentioned we have had a couple of weather disturbances during the quarter which is I would say taken the energy cost up higher and hence to that extent some amount of non-recoverability is there, and Prachur has already talked about this that we are taking multiple initiatives to reduce our diesel consumption as highlighted which going forward will help us reduce the losses.

Aditya Suresh – Macquarie/Mumbai

And on the accounts receivable? Is it a mild increase here this quarter? Any colors on this and it is connected to your larger tenants?

Vinod Rao – Head Business Controller – Indus Towers Limited

So yes, you are right there is minor increase of around Rs 4 to 5 billion in the account receivable for this quarter end. The way we look at it is a timing issue as one of our customers is sort of looking at our bills and we are expecting it to get unwind in this quarter. In fact as we speak I can say a significant portion of that has already unwound and we have got the cash in our bank.

Aditya Suresh – Macquarie/Mumbai

Thank you.

Vandana – Moderator

Thank you very much Mr Suresh. The next question comes from Mr. Vivekanand from Ambit Capital, Mumbai. Mr. Vivekanand you may ask your question now.

Vivekanand – Ambit Capital/Mumbai

So I had a question related to the energy margins so just to understand better, Prachur you said that this quarter you saw 8% lower diesel consumption despite the higher 5G load, so in that light if I look at the energy margins on a year-on-year basis they are more

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- 9 - adverse compared to last year so what has changed on the energy side that in the last four quarters the energy spread has widened

and I am considering 1Q FY2023 as the comparison to adjust for seasonality?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

I think Vivekanand if I am not wrong you are asking for the comparison to Q1 of FY2023. I believe in Q1 of FY2023 there was a one off that was impacting and giving an impression. If I correct it, it was probably actually higher negative than what it is in Q1 of this year. I think it was close to 3.8 negative in last year so actually the energy costs are on the improving trend given that we are reducing the diesel. Of course, we want the pace to be faster. All of us want the pace to be faster, but just to correct last year because of the one off it appears, but if you correct for it, it is minus 3.8. Vinod anything else?

Vinod Rao – Head Business Controller – Indus Towers Limited

No Prachur that is it.

Vivekanand – Ambit Capital /Mumbai

That is very clear. Thank you for clarifying. The second question is on the capex outlook. So I understand that you have seen increased demand from one of your large customers especially to roll out sites in rural markets. So based on the plan that the operator may have shared with you, how should one think about the capex for FY2024 considering that perhaps the rural roll out appears to be the single biggest factor for your capex to be so high?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

I think the demand for new towers from the rural expansion and densification in urban areas still seems to be robust. We expect this demand momentum to remain healthy at least in this year and probably extending in the first two quarters of next year but I think it remains based on rural expansion, the densification of urban areas and the 5G roll out that will primarily drive the capex for Indus.

Vivekanand – Ambit Capital/Mumbai

Sir my last question is on the market share that we may now have of Airtel. So, I think a couple of quarters ago this was discussed quite a bit with respect to Indus' market share. You mentioned in your opening comments that your market share has gone up, Could you help understand where it was say a year ago and where it is now?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

All I can talk about is the numbers that I have right now. As of now we have rolled out close to 5,984 co-locations for all our customers combined, this includes urban, rural and lean and in my view the market share has improved substantially and we intend to keep it that way with operational performance so that is what I can comment on but I believe it has increased.

Vivekanand – Ambit Capital/ Mumbai

Okay that is clear. Thank you. All the best.

Vandana – Moderator

Thank you very much Mr Vivekanand. T

he next question comes from Mr. Sonal from Prescient Capital, India. Mr. Sonal you may ask your question now?

Sonal – Prescient Cap/India

So, I have a question with regard to your debt paydown and debt levels, if you could give me a guidance around what is the plan for the Company to repay the debt? What is the comfortable level over the course of the next one to two years? That will be helpful. Thank you.

Vinod Rao – Head Business Controller – Indus Towers Limited

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So as far as the debt is concerned you would have noticed our net debt remains relatively flat for the last couple of quarters. It is around Rs.5,000 Crores ballpark is the number which we are comfortable at. Having said that there is some head room in case we need to borrow more to help us capture these opportunities that are there in the market, but for now we sort of look at this number as a guiding light for us in terms of where we want to see our debt levels.

Sonal – Prescient Cap/India

Got it Sir, so this is the range you want to operate in typically. Sir I had second question on the sharing factors that you see post the 5G roll out? This is again a two-to-three-year kind of outside perspective, if you could just give broadly like what are the numbers you are talking about, broader reach that will be helpful if you could?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

If I understand your question correctly you are asking about a sharing factor and in my view 5G and sharing factor are not correlated because if whoever is on the tower wants to roll out the 5G, it should not impact the sharing factor per se. It is a fact though that the newer towers that we are currently rolling out are single tenancy towers so that will potentially impact our sharing ratio. It has impacted, from 1.78 we went to 1.75 primarily driven by the roll out of the new towers not so much the 5G.

Sonal – Prescient Cap/ India

So at a blended level Sir, if the sharing fact or blended levels will go down will the unit level revenue go up if I were to just talk about let us say on a per operator basis if you could give that as a guidance?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

I am not sure that is the right reference. I will not be able to comment on that.

Vinod Rao – Head Business Controller – Indus Towers Limited

So the ARPT what we measure is the average revenue per tenant. That is the number which we are reporting and that number is a function as you rightly said of some of the 5G revenue that we will get, but I am not able even to get the drift of your question in terms of what you are probably driving at. The ARPT continues to go up as and when we get more 5G revenue. That is the percentage. It is a small percentage because currently it is loading revenue so that is how the ARPT will move.

Sonal – Prescient Cap/India

I will take this offline. That is it. Thank you.

Vandana – Moderator

Thank you very much Mr Sonal. We do have a follow-up question from Mr. Sanjesh Jain from ICICI Securities, Mumbai. Mr. Jain, you may ask your question now?

Sanjesh Jain – ICICI Securities/Mumbai

Thanks for this follow-up question. Just one thing, wanted to understand do we have any plan on the battery side? We are one of the largest consumers of batteries and there is a growing demand for batteries, replacement batteries because of the adoption of EV do we plan to do anything around it to see that the assets can be better sweet? Is there any thought process there and I know we have largely been using Lead-Acid, but this will also help us in terms of getting into a more better quality battery, any thoughts there?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

Sanjesh the battery is a very important topic. We have a full dedicated technology team working on that one, Currently, we are working as you said on lead acid batteries. We are looking at lithium ion and other new solutions as I mentioned aluminum solution as well. So absolutely, battery is a very important component of our network and we have actually laid out a very clear strategy on

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- 11 - how we want to operate and make that as a part of a very important ecosystem for us in operations especially as we reduce the diesel cost across our operations, so we are going into specifics, yes. Lead acid, lithium ion and any new technology on the battery side will remain at the forefront in our opportunities and we are constantly looking at partners to participate where they come and participate with us and work with us in this area.

Sanjesh Jain – ICICI Securities/Mumbai

But is this technology limited for the internal consumption or you want to build a business model around it?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

Sanjesh we will look at the opportunity. As of now I can tell you that currently it is more focused on the tower side and as more opportunities come up which is more feasible, we will be happy to update you.

Sanjesh Jain – ICICI Securities/Mumbai

Got it. That's it from my side. Thank you.

Vandana – Moderator

Thank you very much Mr Jain. We have another follow-up question from Mr. Kunal Vora from BNP Paribas, Mumbai. Mr. Vora, you may ask your question now?

Kunal Vora – BNP Paribas/Mumbai

Thanks for the follow-up. So, I wanted to check on the receivable provision which you created? It is not a very large amount but at the same time why it is created and is that a disputed payment or why is the provision created?

Vinod Rao – Head Business Controller – Indus Towers Limited

This is Vinod, so there are two things you are probably asking at the same time. So, we have certain provisions for disputes and as a general provision for doubtful debts that gets created. The provision for doubtful debts is a function of the number of days of overdue so there is not really anything specific concerned with the disputes why we have sort of created this provision this quarter and the figure this quarter is fairly miniscule in terms of the hit to P&L.

Kunal Vora – BNP Paribas/Mumbai

And the second is on the energy margin, is it a timing issue? Last year if I recollect right, you also made a large reversal of energy losses and you had reported some gain so should we expect something similar going forward or this is permanent?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

It was a one-off last time.

Kunal Vora – BNP Paribas/Mumbai

Last time was a one off but last time I think was also a reversal of accumulated losses. I thought it was something like that? You had losses for many quarters and like finally you managed to get some money from the customers and there was some reversal. So, is that something which we can expect on ongoing basis or was that clearly a one off? It is not something we should expect?

Vinod Rao – Head Business Controller – Indus Towers Limited

Kunal that was clearly a one off. There were certain settlements done with the customers and as a result of that we recognized the one-off last year. We do not see that continuing forever.

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- 12 - Kunal Vora – BNP Paribas/Mumbai

And finally, you had allowed like some 9% exits to the customers without any penalty. Is this fair to assume like going forward you will not have any meaningful exit penalty revenue because it has come off obviously to miniscule levels right now, so going forward there should not be any exit penalty revenue.

Vinod Rao – Head Business Controller – Indus Towers Limited

That is right Kunal.

Kunal Vora – BNP Paribas/ Mumbai

That's it from me. Thank you.

Vandana – Moderator

Thank you very much Mr. Vora. The next question comes from Mr. Arun Prasath from Avendus Spark, Chennai. Mr. Prasath you may ask your question now?

Arun Prasath – Avendus Spark / Chennai

Thank you for the opportunity. Largely I wanted to understand given that we are now mostly rolling out in the rural site what will be the difference in the tariff between say in a tower in a rural site versus with our existing portfolio because this will obviously pull down the sharing revenue per operator number which is kind of not hinting us in figuring out what is the impact of loading revenue?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

Arun I am not very clear on the question because loading revenue is irrespective of the location. It depends on what loading comes from that particular tower.

Arun Prasath – Avendus Spark / Chennai

Loading revenue should have already had some kind of impact on the sharing revenue per operator, right? It finally goes and impacts the sharing revenue per operator but we do not see that in the numbers, so I am wondering is there any because the mix related shift business is not impacted? This is not reflecting in the numbers?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

I can only say that depending on the tower mix, depending on the kind of tower we deploy and in general there is a movement towards a certain kind of tower that we are deploying in rural and even some parts of the urban so that will drive our revenue and in fact, I believe the loading revenue would happen on each depending on the timing when the 5G comes through it will happen eventually on the rural as well. You may probably not be seeing it because of the RER impact last year but otherwise we are seeing from our point of view if we correct for RER and we are seeing the growth in the ARPT as well.

Vinod Rao – Head Business Controller – Indus Towers Limited

That is right and Arun we mentioned it at the outset that we had a correction taken from Q3 onwards in terms of the RER for one customer. That is the impact from a downside you will see on a year-on-year perspective in our ARPT.

Arun Prasath – Avendus Spark / Chennai

So, most of the contracts are now repriced, so last year I think we did only around I think one third of the total. The remaining two thirds are also now repriced that is the reason why it is not reflecting?

Vinod Rao – Head Business Controller – Indus Towers Limited

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- 13 - So, it does not happen like over one year or one and a half years. Significant part of the portfolio was up for renewal last year which got done and now we are sort of spread over the next including FY2024, they are spread over the next couple of years Arun.

Arun Prasath – Avendus Spark / Chennai

So, what percentage of the contracts are coming for renewal this year and next year?

Vinod Rao – Head Business Controller – Indus Towers Limited

Ballpark it is a round 10% Arun.

Arun Prasath – Avendus Spark / Chennai

10% this year and 10% next year is it right?

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

Ballpark.

Arun Prasath – Avendus Spark / Chennai

I will reconcile the numbers offline. Thank you.

Vandana – Moderator

Thank you very much Mr. Prasath. Due to time constraints, I would like to hand over the call proceedings to Mr. Prachur Sah for the

final remarks.

Prachur Sah — Managing Director & Chief Executive Officer — Indus Towers Limited

Thank s a lot, Vandana . Thanks everyone for the questions. In summary , we are very pleased to have built on robust operation al performan ce of Q4 and delivered signifi cantly to our customer 's rapid network expansion in 2023. We continue to make progress o n each of our key strategic priorities, which are critical to our growth , competitiveness and customer satisfaction over the long run. One of our maj or customers' rural expansion and swift rol lout of 5G by operator s are underpinning the positive momentum . We ar e excited to facilitate our customers in this next leg of growth in a sustainable and inclusive manner. I once again thank you all for joining t he call. Have a good day.

Vandana – Moderator

Ladies and gentleme n, this concludes the conference call. You m ay now disconnect your lines. Thank you for connecting to audio conference service from Airtel and have a pleasant evening.

Call: Nov 2023

Indus Towers Limited

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November 01, 2023

BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai - 400001 The National Stock Exchange of India Limited Exchange Plaza, C-1, Block – G, Bandra Kurla Complex, Bandra (E), Mumbai - 400051

Ref.: Indus Towers Limited (534816/ INDUSTOWER)

Sub.: Transcript of the Earnings Call on the Company's performance for the second quarter (Q2) ended September 30, 2023

Dear Sir/ Madam,

Please find attached the transcripts of Earnings Call conducted on October 26, 2023 on the Company's performance for the second quarter (Q2) ended September 30, 2023. Kindly take the same on records.

Thanking you, Yours faithfully, For Indus Towers Limited

Samridhi Rodhe Company Secretary & Compliance Officer

Encl.: As above

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Earnings Conference Call Transcript

Event: Indus Towers Limited Second Quarter Ended September 30, 2023, Earnings Call

Event Date/Time: October 26, 2023 /1430 Hrs IST

Transcript of Indus Towers Limited Second Quarter ended September 30, 2023 Earnings Conference Call

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CORPORATE PARTICIPANTS

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Mr. Vikas Poddar
CFO - Indus Towers Limited

Mr. Tejinder Kalra
COO - Indus Towers Limited

Mr. Dheeraj Agarwal
Head Investor Relations – Indus Towers Limited

CONFERENCE CALL PARTICIPANTS

Mr. Vivekanand Subbaraman
Ambit Pvt Ltd/Mumbai

Mr. Sanjesh Jain
ICICI Securities/Mumbai

Mr. Sanket Baheti
GeeCee Holdings/ Mumbai

PRESENTATION

Sunita - Moderator

Good afternoon ladies and gentlemen, I am Sunita, the moderator for this conference. Welcome to the Indus Towers Limited Second Quarter Ended September 30, 2023, Earnings Call. For the duration of the presentation all participant lines will be in the listen-only mode. After the presentation the question-and-answer session will be conducted for all the participants on this call. In case of a natural disaster the conference call will be terminated post an announcement. Present with us on the call today is the senior leadership team of Indus Towers. Before I hand over the call, I must remind you that the overview and discussions today may include certain forward-looking statements that must be viewed in conjunction with the risks that we face. I now hand over the call to our first speaker of the day, Mr. Prachur S ah, MD & CEO. Thank you and over to you Mr. Sah!

Mr. Prachur Sah - MD & CEO - Indus Towers Limited

Thank you and a very warm welcome to all participants. Joining me today are my colleagues, Mr. Vikas Poddar, CFO ; Mr. Tejinder Kalra , COO and Mr. Dheeraj Agarwal , Head Investor Relations on the call . I am pleased to present our business performance for the quarter ended September 30, 2023 .

To begin with , we are pleased to have further built upon our strong operational performance in the previous quarters. Driven by robust demand from one of our major customers, particularly in rural areas, our tower additions during Q2 were the highest ever. On the collection front from one of our major customers, it continued in Q2 as well.

Before going into detail about the key aspects of our business, I would like to express gratitude to our teams on the ground for their commitment and dedication towards helping Indus Towers drive digital inclusivity for all . During the quarter our team of bravehearts installed solar -powered towers in the Siachen base camp, which at an altitude of 17 ,000 feet above sea level, is one of the most remote and isolated regions in the country. The team is also actively facilitating the rapid tower additions in the underpenetrated areas of rural India by one of our major customers , thereby enabling connectivity for all. The Government is also doing its bit to enhance connectivity in remote areas by working towards improving the backhaul infrastructure in these areas.

The Government remains steadfast in its commitment to facilitate the swift rollout of telecom infrastructure across the nation , while keeping sustainability in view. To this end, the Ministry of Power has notified the Green Open Access Policy and a few states have already adopted the same with minor amendments. The Government is also engaged in discussions with multiple stakeholders for faster implementation of Green Open Access at the ground level. These steps aimed at incentivizing the use of cleaner sources of energy , reiterate the Government's focus on infrastructure expansion in a sustainable way.

With regards to 5G , rollouts by the top two operators continue to progress at swift pace with these operators now catering to over 50 million 5G customers each. The total number of 5G base transceiver stations or BTS deployed stands at almost 340,000 with more

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than 7,000 BTS being deployed per week in August. Our loading revenues have continued to increase in lieu of this accelerated deployment of 5G on our sites. As the network matures, we expect the demand for new sites to increase in order to aid the network decongestion, that bodes well for us given our leadership position in the passive infrastructure space.

Statistics mentioned in the Ericsson Mobility Report reaffirm the growth potential of 5G. As per the report, global 5G subscription grew by 175 million in the June quarter , compared to the 125 million additions in the March quarter and have reached almost 1.3 billion. The 5 billion mark is expected to be reached by the end of 2028 with 5G subscriptions in India also expected to reach 700 million by the same time. Also, the emergence of use cases of 5G such as launch of fixed wireless access or FWA by major operators will also drive the data consumption , which will need infrastructure.

The data consumption story in the country continues to play out well, underpinned by continued migration of users from 2G to 4G and the swift adoption of 5G. The total data consumption across the top three operators grew by 24% year-on-year in the June quarter, and the average data consumed per user per month grew by 15% year-on-year to 22.4 GB in the same period. We firmly believe that the burgeoning data consumption in conjunction with the rapid uptake of 5G will provide a boost to the demand for passive infrastructure. Being the largest passive infrastructure player in the country, we remain well placed to address the demand.

Moving on to the operational performance for Q2, as highlighted earlier we have surpassed our record tower addition reported in Q1. We have managed to achieve this despite the harsh weather conditions usually witnessed during this time of the year. Driven by continued strong demand from one of our customers, we added 5,928 macro towers and 5,583 corresponding co-locations. Total macro towers and co-locations at the end of Q2 stood at 2,04,212 and 353,462 respectively, which represented a significant milestone for Indus when we crossed 200,000 macro towers, with each growing by 8.7% and 4.5% on a year-on-year basis. Our industry-leading tenancy ratio stands at 1.73.

Addition of co-locations on leaner tower remained healthy at 789 in Q2 and the overall base increased to 8,643 co-locations. Including leaner towers our net co-location additions were at 6,372 in Q2 as against 5,984 in Q1.

Next, I would like to bring you up to speed on the progress we have made on our four key strategic points namely market share, cost efficiency, network uptime, and sustainability.

Firstly, on market share, we are pleased to see that the digital interventions undertaken across our value chain coupled with organizational changes to ensure a faster time to market of our sites continue to bear fruit for us. We have further strengthened our partner ecosystem and simplified our internal processes to smoothen the workflow. The run rate of our quarterly tenancy additions has nearly doubled on a year-on-year basis thereby helping us increase our share in the business of our major customer. We expect the rural expansion of our major customer to continue in the near term, which augurs well for us as we possess the capabilities to match our customer stride for stride in its rollouts.

Secondly, on cost efficiency, we continue to take steps towards optimizing both operating and capital expenses. We have been consistently reducing our diesel consumption and recorded an 8% year-on-year reduction in Q2. Please note that such a significant reduction was achieved despite an increase in overall energy load from the addition of new sites and 5G equipment. During the quarter, we were especially pleased to have signed an agreement with IOC Phinergy to deploy clean energy systems. We have agreed to deploy 300 zero emission energy systems based on aluminum-air technology to optimize diesel consumption at our telecom tower sites. We have also added more than 2,200 solar sites during the quarter and continued to convert tower sites from indoor to outdoor, which aided the overall energy cost optimization.

Our sharp focus on reducing the rental cost per tower through negotiations, site selection and product selection to minimize footprint has also yielded positive results.

On capex, our initiatives are directed towards driving cost efficiencies across processes including designing, procurement, and erection through use of automation and digital interventions. This has helped us build towers that are cost competitive.

Thirdly, on network uptime, which reflects robustness and resilience of our system and also a key requirement of our customers, we

are maintaining a high level of uptime of 99.96% despite increase in weather disruptions. Due to the changing climatic conditions, the number of instances of significant weather events in Q2 of this year was more than 1.5 times those in the same period last year. Amid the heavy rain, thunderstorms, and lightning in areas of Uttar Pradesh and West Bengal, our field forces persevered to deliver such a high network uptime.

On the road map for digital transformation, we established the connectivity solution in four circles during the quarter. We will use the learning from these circles to complete the implementation of real-time telemetry data system in the remaining circles.

Shifting focus to ESG, a vital aspect of the business that we continue to make steady progress in.

On the Environment front, we continue to make strides in our journey towards reducing our GHG emissions. As highlighted earlier, our tie-up with IOC Phinergy and initiatives towards adoption of renewable energy solutions would help us reduce our consumption of diesel and grid electricity. Out of more than 2,200 solar sites added in Q2, 27 sites in Rajasthan run entirely on solar power. This

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is a testimony to the Company's commitment to build ecofriendly telecom tower sites by investing in clean energy solutions. The Company is also committed to reducing emissions from its value chain and is working towards tying up with Electric Vehicle aggregators for its employees' travel.

With regards to the Social dimension, the improvement in our gender diversity during the quarter was quite satisfying for us. Driven by our focused hiring programs, policy interventions, and top-down approach, our gender diversity has reached close to 10% over the quarter. Ensuring the safety of our field force is of paramount importance to us. We have been conducting trainings and awareness programs to inculcate a behavioral change with our field force to address certain aspects such as safe driving, appropriate use of safety gear, hazard reporting, etc.

We continue to evaluate our top value chain partners on various ESG parameters during onboarding and collaborate with them to improve their sustainability practices and disclosures.

I would now request Vikas to take you through the financial performance for the quarter ended September 30, 2023 and I look forward to your questions. Over to you Vikas! Thank you.

Mr. Vikas Poddar - CFO - Indus Towers Limited

Thank you, Prachur and good afternoon, everyone. I am pleased to share with you all the financial results for the quarter ended September 30, 2023.

Before I apprise you of our financial performance, I would briefly touch upon our robust operational performance. In Q2 we managed to improve upon the record tower additions in Q1, adding a total of 6,372 co-locations including those on leaner towers. We expect the rural expansion of one of our major customers to continue in the near term. This coupled with the measures we are taking to improve our share of the customers rollout should help us continue the momentum.

Now moving on to our financial performance for Q2 FY2024, our reported gross revenues declined by 10.5% year -on-year to Rs.

71.3 billion whereas the core revenues from rental declined by 9.3% year -on-year to Rs. 43.4 billion. Please note that Q2 of last year included the benefit of deferred recognition of revenues arising from the settlement of old dues with our customers, which amounted to Rs.11 billion in gross revenues and Rs.5.5 billion in core revenues. After adjusting for the deferred recognition of revenue, our gross revenues and core revenues were up 3.5% and 1.2% respectively on a year-on-year basis. The Q2 FY2024 revenues were impacted by the non -recognition of revenue equalization assets for one of our major customers.

On a quarter -on-quarter basis, our reported gross revenue and core revenue from rentals were up by 0.8% and 0.1% respectively.

Our reported EBITDA increased by 22.9% year -on-year and declined by 1.6% quarter -on-quarter to Rs.34.6 billion. EBITDA margins were up 13.2 percentage points year -on-year and down 1.2 percentage point quarter -on-quarter to 48.5%. Please note that the EBITDA figures of Q2 FY2023 included an impact of provision for doubtful debts of Rs.17.7 billion . Adjusted for the impact of the provision for doubtful debts and deferred recognition, EBITDA increased by 1.4% year -on-year and was flat quarter -on-quarter. Energy margins stood at -2.1% in Q2 FY2024. We believe that the initiatives we are taking to reduce our diesel consumption will help us improve our energy margins.

Our reported profit after tax grew by 48% year -on-year and declined by 4% quarter -on-quarter to Rs.12.9 billion. The adjusted profit after tax was down by 1.5% year -on-year and 1% quarter -on-quarter. A meaningful increase in depreciation due to rapid rollouts and the change in accounting treatment of asset life had a dampening effect on the net profit.

Our reported pre-tax return on capital employed and post -tax return on equity for the rolling 12 months stood at 14% and 15.1% respectively.

Free cash flow for the quarter was at negative Rs.10.3 billion, which was impacted by a combination of an increase in receivables and the elevated capex of Rs.23 billion . As we had intimated in the previous quarters , the increase in capex is on account of strong tenancy additions we are seeing from the swift roll outs by one of our major customers. The Company' s prompt response by investing in this opportunity will yield long -term benefits for shareholders.

Our receivables increased by Rs.8.8 billion during the quarter due to delay in payment from one of our customers. I would like to highlight that this amount has already been cleared in the current month .

Additionally, we remain in active discussions with the customers for clearance of its past dues and are keeping a keen eye on the customers' fundraise plans.

In summary, our continued robust operational performance is satisfying and is a testament to the capabilities we possess as one of the leading passive infrastructure players. We firmly believe that the progress we are making in each of our strategic priorities will drive growth and generate value for our shareholders over the period. Improvement in collections this year has helped our financial

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performance while the accelerated 5G rollouts and rural expansion by one of our major customers would serve as significant
levers
of our growth.

I would now request the moderator open the floor for questions and answers.

Sunita - Moderator

Thank you very much Sir. We will now begin the Question & Answer interactive session for all the participants who are
connected to
the audio conference service from Airtel. Due to time constraint, we would request if you could limit the number of questions
to two
to enable more participation. Hence, the management will take only two questions per participant to ensure maximum participation.

Participants who wish to ask questions may please press "*" "1" on their touchtone enabled telephone keypad. On pressing
"*" "1"

participants will get a chance to present their questions on a first-in-line basis. To ask a question participants may please
press "*" "

"1" now. First question comes from Mr. Vivekanand Subbaraman from Mumbai. Mr. Subbaraman, you may ask a question
now.

Mr. Vivekanand Subbaraman - Ambit Pvt Ltd/Mumbai

Hi, thank you for the opportunity. Just two questions. So as far as the customer from whom the receivables increased during
the
current quarter, Vikas I noted that you mentioned that this receivable has been cleared. What about the past dues, some of
which
have been written off, where are your discussions going on in that regard and secondly related to this same customer, how
do you
see the ability of this customer to sustain payments for the remainder of fiscal 2024 and hence your ability to pay dividends for
fiscal
2024? Thank you.

Mr. Prachur Sah - MD & CEO - Indus Towers Limited

So maybe Vikas you can add, I will just summarize this payment situation so while the customer had some challenges during
the
quarter, but we have received

the monthly payments till October from them. Our expectation is that the monthly payment would
continue and we will continue to charge as per the MSA to the same customer and we are currently working with them on
creating a
robust time bound plan to unwind the past dues but just want to correct that there is nothing being written off.

Mr. Vikas Poddar - CFO - Indus Towers Limited

So just to elaborate, I think first of all Vivekanand we have provided as we had explained in the previous quarters as well to
derisk
our balance sheet, we have not written off any receivable, we are in a very active engagement, so as Prachur was saying
we have
received the payment subsequently, and those delays have been cleared now and we do expect the 100% or the near 100%
payment to continue going forward. There are basically some positive developments as we all know there was a hump of
some
financial commitments that they had in the previous quarter, but that hump is pretty much over so we do expect the near
100%
payment to sort of continue and as far as the past dues are concerned once again while we all know that there is a bit of
dependency on the fundraising plan, etc., but we are again monitoring that very closely. We are in touch with the customer
and
trying to work on that settlement as well and when we have more clarity we will certainly keep updating you.

Mr. Vivekanand Subbaraman - Ambit Pvt Ltd/Mumbai

Thank you. This is helpful. Just one followup, so the receivables, Rs.13 billion that increased in 1H are you confirming that in October this amount also has been cleared by the customer and related point is the provision or the receivables provision that was made, provision for doubtful debtors in first half, Rs.2.2 billion what was this regarding?

Mr. Vikas Poddar - CFO - Indus Towers Limited

So first of all, let me clarify the Rs.13 billion it is a mixed bag there are various things, but the amount pertaining to this particular customer has been cleared subsequently. The provision basically relates to the fact that there are always some timing issues, some ongoing reconciliation issues and also the fact that we are collecting some interest, etc., so in terms of the accounting we follow a very stringent ECL sort of computation and as a result we have provided for doubtful debts in this quarter to the extent of about Rs.1.3 billion, but that is as per our current accounting treatment, but I can confirm that we have subsequently received the amount that was delayed.

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Mr. Vivekanand Subbaraman - Ambit Pvt Ltd/Mumbai

Thanks. I think you did not answer my question on the dividend or the likelihood of investors getting a dividend in fiscal 2024 in light of the reality as far as the payments are concerned.

Mr. Vikas Poddar - CFO - Indus Towers Limited

So, Vivekanand I think as far as the dividend is concerned, as we have always explained, our dividend policy is linked to our free cash flow generation, so our dividend policy requires us to distribute 100% of our free cash flow. Currently, as you know from our results, our capex is elevated as we are investing in growth to generate those long-term returns. We are also ensuring that the collection against our monthly billing is managed well, and our working capital situation is managed well. We are working with the customer to also create a robust payment or settlement plan for the past dues as Prachur was mentioning, so based on the free cash flow situation at the end of the year, which we keep assessing every quarter as well, management along with the Board will

certainly take a decision and we will basically see where we stand at the end of the year.

Mr. Vivekanand Subbaraman - Ambit Pvt Ltd/Mumbai

Thank you for the elaborate explanation. All the best.

Sunita - Moderator

Thank you, Mr. Subbaraman. Next question comes from Mr. Sanjesh Jain from ICICI Securities, Mumbai. Mr. Jain, you may

ask
your question now.

Mr. Sanjesh Jain - ICICI Securities/Mumbai

Yes, good afternoon. Thanks for taking my question. I got few of them. First on the rental per month that has declined sequentially while we are adding a lot more single tenancy which has a much higher rental than the base one as well as we are adding a lot more 5G loading particularly for the Airtel, the combined effect should have been a steady increase in the rental, can you help us understand why has it dropped sequentially this time around?

Mr. Vikas Poddar – CFO - Indus Towers Limited

So, thanks for the question Sanjesh. So first of all, I think your observation is right, we have basically seen a slight drop in our average revenue per tenancy or the ARPT, so while the underlying business growth continues as a result of the extra loading and tower rollouts and so on, we have had some transactions related to customers where we deferred the recognition of revenue in this quarter. There is no cash flow impact of the same and as a result we have seen some decline in this quarter but on an underlying basis the quarter-on-quarter sequential growth pretty much continues to be the same in line with what we have seen in the previous quarter.

Mr. Sanjesh Jain - ICICI Securities/Mumbai

Is it fair to assume that revenue will get recognized next quarter and we will have some one-off kind of a gain which will offset decline in this quarter?

Mr. Vikas Poddar - CFO - Indus Towers Limited

So, this is basically a matter under discussion, we are still evaluating our position and hopefully we will be able to close and conclude this in the current quarter, but at this point in time till we have concluded it is very difficult to comment.

Mr. Sanjesh Jain - ICICI Securities/Mumbai

Fair enough, but generally revenue recognition we have very stable MSA, now why has this situation arisen?

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Mr. Vikas Poddar - CFO - Indus Towers Limited

Well, you are right, it is a stable MSA, but we do keep having evolutions in terms of products and in terms of some terms and conditions and so on, so while the core MSA is stable you are right, but as and when we have these evolutions there are some changes and we are sort of having some transaction on which we are still concluding the treatment.

Mr. Sanjesh Jain - ICICI Securities/Mumbai

Fair enough. My second question is on the tower addition , first half has seen a very strong uptake , how does the order book look like for the second half, will it be same because Airtel has said in the ir cal l that by November -December it appears that the rural expansion will largely be behind us, that means starting next calendar year there could be a deceleration in the way Airtel is rolling out the rural expansion , does it appear in your order book?

Mr. Prachur Sah - MD & CEO - Indus Towers Limited

So Sanjesh in the near term our order books look quite healthy . I am expecting similar sorts of rollouts probably slightly higher than this current quarter in the next couple of quarters, so in the near term I do not see the order book reducing. If there is any change, we will let you know but as of now the order book remains quite strong in the near term.

Mr. Sanjesh Jain - ICICI Securities/Mumbai

Got it. The next question is on the lean tower , now that uptake looks much lower than probably what you have anticipated , is that the telcos are more focused today on the macro expansion and our lean tower expansion will play role more when they are looking at expanding the capacity or infill sites ?

Mr. Prachur Sah - MD & CEO - Indus Towers Limited

Yes, Sanjesh I need to be honest I think yes there has been a mixed change compared to last year , but as you said I think the situation would keep evolving as we go , so I think this quarter was much stronger on macro compared to lean, but the things may evolve as we go forward, but that is a fair observation.

Mr. Sanjesh Jain - ICICI Securities/Mumbai

But any more insight on why the lean has not been because this has been one of the asks by the operators in terms of the infill sites, macro sites, but the uptake looks much below expectation ?

Mr. Tejinder Kalra - COO - Indus Towers Limited

Typically the lean sites the customers are using as infill or wherever there are any coverage gaps in the urban areas and so on and depending upon how the operator wants to either go for rural geographic coverage or capacity build in some of the urban areas this mix continues to change and evolve, so we are obviously currently building up as the customer demands us to build sites and wherever they want to focus first, so this mix will keep on shifting to that order , but we do not see from an order book perspective a big scale down in the demand of either kind of sites , it is just that the rollouts keep getting shifted depending upon where the operator wants to focus in a particular quarter.

Mr. Sanjesh Jain - ICICI Securities/Mumbai

So, Vikas we have mentioned that there has been some change in the useful life of an asset which has increased the depreciation and amortization number , which are the assets where we have done a change in useful life , is it more to do with the battery , DG set?

Mr. Vikas Poddar - CFO - Indus Towers Limited

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Yes, got it. So basically this is again annual review process that we have to assess the useful life and as part of the process we have assessed the useful life of all the power equipments so that includes the battery, the rectifier modules and all the other equipments and that basically has resulted in a change from 10 to 8 years so that has created some one-time impact in depreciation so that is the change that has happened. I want to highlight that it is noncash because it is basically a change in the useful life, so it is noncash impacting item.

Mr. Sanjesh Jain - ICICI Securities/Mumbai

No but my thing was that now that the EB availability in India has improved but should have actually positive impact because the DG Set or battery life is more of the cycle they run, and the cycle would have come down and so the useful life would have gone up, but reduction is quite contradictory.

Mr. Vikas Poddar - CFO - Indus Towers Limited

That is a fair point. The thing is when we do this reassessment, we look at the data points and we have certainly considered the data for the last 12 months in terms of what is the replacement cycle, etc. There is a fair obsolescence that we have noticed despite the EB situation improving, I think eight years is not really out of norm, it is pretty much the norm if you look at other industries as well when it comes to DGs or other power equipments, so I think the 10 years was probably a bit different from the reality, so we have sort of readjusted now.

Mr. Sanjesh Jain - ICICI Securities/Mumbai

Got it. Thanks for that answer and best of luck for the coming quarters.

Sunita - Moderator

Thank you, Mr. Jain. The next question comes from Mr. Arun Prasad from Avendus Spark Chennai. Mr. Prasad, you may ask your question now.

Mr. Arun Prasad – Avendus Spark /Chennai

Thanks, my questions are answered. Thank you very much.

Sunita - Moderator

The next question comes from Mr. Sanket Baheti from GeeCee Holdings, Mumbai. Mr. Baheti, you may ask a question now.

Mr. Sanket Baheti - GeeCee Holdings/ Mumbai

Thank you for the opportunity , Sir. I have couple of questions. Sir, what is the capex that we are building in for the full year and what is the capex requirement for lean tower versus a macro tower and what are the return ratios we are targeting for a macro tower versus a lean tower ?

Mr. Vikas Poddar – CFO - Indus Towers Limited

Thank you for the question Sanket . As far as the capex for the full year is concerned, I think Prachur did mention that the order book is quite healthy, and we do expect the rollout momentum to continue. So, I think from that perspective the capex will remain elevated for some time . As far as the capex requirement for a lean and a macro tower is concerned, I think first of all I just want to sort of make you aware that the towers are not really homogeneous there are different varieties of towers and depending on the type of macro tower or the type of lean tower that we are building the capex profile and the return profile could be very different , but I will try to give a very generic answer , so a lean tower could be anywhere between let us say Rs.3.5 to 5 lakh and a macro tower could be anywhere between Rs.15 to 25 lakh sort of, so it is a very wide range because depending on the type of towers that we are building and typically in terms of return with lean towers our return profile is slightly better I would say probably somewhere around mid

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double digit and with macro it is usually depending on the tenancy, it would start with maybe a single digit and if the tenancy improves then we even see double digit returns there .

Mr. Sanket Baheti - GeeCee Holding s/Mumbai

Thank you so much.

Sunita - Moderator

Thank you, Mr. Baheti . At this moment, I would like to hand over the call proceedings to Mr. Prachur Sah for the final remarks .

Mr. Prachur Sah - MD & CEO - Indus Towers Limited

Thank you. To sum up, we are pleased to have maintained the strong tower addition momentum in Q2 as well. We expect the accelerated rural expansion of one of our major customers to continue in the near term , which coupled with the 5G rollouts augur well for us given our leadership position in the passive infrastructure space . We endeavor to ride this growth journey in a sustainable way and create value for all our stakeholders including shareholders, customers and partners. I wish to thank you all for joining this call. Have a good day.

Sunit a - Moderator

Ladies and gentlemen, this concludes the conference call. You may now disconnect your lines. Thank you for connecting to audio conference service from Airtel and have a pleasant evening.

Call: Jan 2024

Indus Towers Limited

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January 31, 2024

BSE Limited Phiroze Jeejeebhoy Towers, Dalal Street, Mumbai - 400001 The National Stock Exchange of India Limited Exchange Plaza, C-1, Block – G, Bandra Kurla Complex, Bandra (E), Mumbai - 400051

Ref.: Indus Towers Limited (534816/ INDUSTOWER)

Sub.: Transcripts of the Earnings Call on the Company's performance for the third quarter (Q3) ended December 31, 2023

Dear Sir/ Madam,

Please find attached the transcripts of Earnings Call conducted on January 24, 2024 on the Company's performance for the third quarter (Q3) ended December 31, 2023.
Kindly take the same on records.

Thanking you, Yours faithfully, For Indus Towers Limited

Samridhi Rodhe Company Secretary & Compliance Officer

Encl.: As above

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Earnings Conference Call Transcript

Event: Indus Towers Limited Third Quarter Ended December 31, 2023
Earnings Call

Event Date/Time: January 24, 2024 / 1430 Hrs IST

Transcript of Indus Towers Limited Third Quarter Ended December 31, 2023 Earnings Conference Call

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CORPORATE PARTICIPANTS

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CFO – Indus Towers Limited

Mr. Tejinder Kalra
COO – Indus Towers Limited

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Head Investor Relations - Indus Towers Limited

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Mr. Arun Prasath
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Mr. Sanjesh Jain
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Mr. Pradyumna Choudhary
JM Financial/ Mumbai

Mr. Nikhil Pradip Deshpande
Axis Bank /Mumbai

Mr. Aditya Suresh
Macquarie/ Mumbai

Mr. Angad Katdare
Sameeksha Capital/ Mumbai

Ms. Saloni Shah
Sohum Asset Managers /Mumbai

Mr. Raunak Himmatramka
Robocapital /Mumbai

PRESENTATION

Vandana – Moderator

Good afternoon, ladies and gentlemen. I am Vandana, the moderator for this conference. Welcome to the Indus Towers Limited Third Quarter ended December 31, 2023, Earnings Call. For the duration of the presentation all participant lines will be in the listen-only mode. After the presentation the question-and-answer session will be conducted for all the participants on this call. In case of a natural disaster the conference call will be terminated post an announcement. Present with us on the call today is the senior leadership team of Indus Towers. Before I hand over the call, I must remind you that the overview and discussions today may include certain forward-looking statements that must be viewed in conjunction with the risks that we face. I will now hand over the call to our first speaker of the day, Mr. Prachur Shah. Thank you and over to you Mr. Sah!

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

Thank you Vandana and a very warm welcome to all participants. Joining me today are my colleagues, Mr. Vikas Poddar, CFO, Mr. Tejinder Kalra, COO and Mr. Dhruv Agarwal, Head Investor Relations on the call. I am pleased to present our business performance for the quarter ended December 31, 2023.

Transcript of Ind

us Towers Limited Third Quarter Ended December 31, 2023 Earnings Conference Call

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This month marks the completion of my first year at Indus and I am truly honored to be a part of such a great organization and contribute to its commitment towards 'Putting India First'.

Coming to the quarter, in line with the trajectory of the previous few quarters, we are proud to have delivered the highest ever tower additions in our history. This momentum continues to be underpinned by strong demand from one of our major customers, especially in rural areas. Another update is that the collection from one of our major customers slightly improved in Q3 with some collection against the past overdue.

Before I apprise you of the developments within the key facets of business, I would like to take a moment to acknowledge and appreciate the contribution of our field force, as they continue to work relentlessly towards Indus' goal of enabling Pan-India connectivity. During the quarter, our teams on the ground overcame formidable geographical challenges to install 13 solar-powered towers in Ladakh's Zaskar Valley. Being situated at 7,700 meters above sea level, the team enabled connectivity along the entire 250-kilometer-long route.

Moving to the regulatory landscape, the Government continues to take steps to help accelerate the rollout of telecom infrastructure in the country, while being cognizant of the environmental aspect. During the quarter, the landmark Telecommunications Bill was passed in Parliament, and we are optimistic that its progressive provisions will help maintain a robust telecom network. The recognition of

telecom infrastructure as Critical Telecom Infrastructure ensures network security with punitive consequences for damage, which is a commendable aspect. Additionally, we remain hopeful that this bill will play an important role in eliminating the burden of multiple levies, taxes, and Right of Way (RoW) challenges, while ensuring uniformity across the diverse landscape of India and promoting ease of doing business.

After the Green Open Access policy was notified in the September quarter by the Ministry of Power, the same has been adopted by Karnataka, Madhya Pradesh, Maharashtra, Punjab and Uttarakhand. Additionally, the composite billing scheme for multiple power connections, which was introduced a couple of quarters back has been adopted in Madhya Pradesh and select DISCOMs of Rajasthan and Uttar Pradesh amongst others.

Moving on to 5G, rollouts by the top two operators continue to proceed at an accelerated pace with 5G services now available to customers located across the country. The industry-wide total number of 5G Base Transceiver Stations or BTS deployed stands at almost 400,000 with more than 7,000 BTS being deployed per week in November. Therefore, we continue to see good traction in our loading revenues. We expect the 5G loading revenues to be gradually supplemented by a demand for new sites once a certain penetration level is achieved to aid the network decongestion. Given our expertise in the passive infrastructure space, we believe that we are well placed to capitalize on these opportunities.

The swift deployment of 5G infrastructure is expected to be complemented by a rapid uptake of 5G by the end consumer as well, as per statistics mentioned in the Ericsson Mobility Report. As per the report, the 5G subscriptions are expected to reach 860 million in India and over 5.3 billion globally by 2029. During the September quarter, global 5G subscriptions grew by 163 million compared to the 110 million additions in the corresponding quarter of the previous year, and have touched 1.4 billion.

The rapid uptake of 5G in conjunction

with the ongoing migration of users from 2G to 4G is providing a boost to data consumption within the country. For the top three operators, the total data consumption grew by 23% year-on-year in the September quarter and the average data consumed per user per month grew by 14% year-on-year to 23.6 GB in the same period. The robust data consumption story coupled with the swift uptake of 5G is expected to spur the demand for passive infrastructure, and we remain well positioned to address this demand.

In terms of the operational performance for Q3, we are excited to have recorded the highest ever tower additions in our history as I alluded to earlier. Please note that during Q3 FY 2024, we increased our macro tower and co-location additions more than five times compared to our additions in Q3 FY 2023. We managed to add 7,563 macro towers and 7,217 corresponding co-locations underpinned by robust demand from one of our major customers coupled with our efforts towards significantly increasing our share in the business of this customer. Total macro towers and co-locations at the end of Q3 stood at 211,775 and 360,679 respectively, each growing by 11.8% and 6.3% on year-on-year basis. Our industry-leading tenancy ratio stands at 1.70.

Co-location additions on our leaner tower was the highest in the four quarters at 1,351 in Q3 and the overall base increased to 9,994 co-locations. Including leaner towers, our net co-location additions were at 8,568 in Q3 as against 6,372 in Q2.

Shifting now to a progress update on our four key strategic priorities namely market share, cost efficiency, network uptime and sustainability.

Firstly, regarding the market share, as I had mentioned earlier our quarterly macro and co-location additions increased more

than five times over the same period last year. This indicates a significant improvement in our share in the business of our major customer who has been rolling out extensively. The proactive measures we have been taking to cater to this huge demand for tower additions have helped us increase our share. Our robust partner ecosystem coupled with meticulous resource planning and continuous product harmonization has helped us improve the time-to-market of our products further. These efforts continue to be supplemented by digital

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interventions we have been implementing. We expect our major customer to continue with the rollouts in rural areas in the near future and we are confident of being its preferred and trusted partner for its network expansion.

Secondly, on cost efficiency, our initiatives towards reducing our operating and capital expenses have continued in Q3 as well. Diesel accounts for a large part of our operating costs and we have been constantly reducing diesel consumption despite the increase in energy requirement from the addition of new sites and 5G equipment. We reduced our diesel consumption by 7% year-on-year in Q3 through ongoing measures including use of renewable energy, electrification of non-electrified sites and operational efficiencies. We are accelerating the addition of solar sites every quarter and we added more than 3,300 solar sites in Q3.

Regarding capex, our sharp focus on product standardization and resource efficiency is helping us optimize our spend per site. Negotiating with vendors and reusing existing infrastructure after redesigning it for upgrade activities are also under focus to keep a check on the cost.

Thirdly, on network uptime, which is an important aspect for the customer, we managed to deliver a higher uptime of 99.97% despite challenging weather co

nditions including cyclones and heavy rains in the areas of Tamil Nadu, Andhra Pradesh and West Bengal. The determination of our field forces coupled with our robust response framework for adversity go a long way towards delivering such performance.

Moving on to ESG, which is a key focus area for the Company. We are pleased to see that we continue to make steady progress within each dimension of ESG.

With regards to the Environmental aspect, our initiatives towards reducing our GHG emissions continue to bear fruit. We have been increasingly using cleaner sources of energy to power our sites. We have significantly increased our solar sites to 6,665 from 1,496 at the beginning of the year. As I mentioned earlier, the continuous reduction in diesel consumption is helping us reduce our emissions. We are also taking steps to promote the use of ecofriendly solutions in our transportation activities and employee travel.

On the social front, our resolute approach towards improving gender diversity is yielding impressive results, given it has increased to 11.3% from 6.3% at the beginning of the year. Our focused hiring programs across levels and locations, policy interventions and a conducive and inclusive working environment are helping us attract and retain female employees.

Ensuring the health and safety of our employees and partners remains at the forefront of our thinking and to this end, we launched an electrical and road safety campaign during the quarter to create awareness for safe practices among our field force. We have

also

been providing ESG training to our workforce including partners to inculcate a behavioral change among our people.

I would now request Vikas to take you through our financial performance for the quarter ended December 31, 2023, and I look forward to your questions. Over to you Vikas ! Thank you.

Mr. Vikas Poddar – CFO – Indus Towers Limited

Thank you, Prachur, and good afternoon everyone. I am pleased to share with you all the financial results for the quarter ended December 31, 2023.

I will briefly touch upon our operational performance before moving to financials, a strong addition of 8,568 co-locations including those on leaner towers have really helped the overall financial performance of the Company.

Coming to the financial performance for Q3 FY2024, total revenues increased by 6.4% year-on-year to Rs. 72 billion wherein the core revenues from rental grew by 7.3% year-on-year to Rs. 44.8 billion. On a quarter-on-quarter basis, our reported gross revenue and core revenue from rentals were up by 0.9% and 3.2% respectively. The core revenue quarter-on-quarter growth was also aided by the base effect of deferment of revenue recognition for a transaction in the last quarter.

In terms of profitability, our reported EBITDA increased by over 2x year-on-year and 4.8% quarter-on-quarter to Rs. 36.2 billion. EBITDA margin increased by 32.8 percentage points year-on-year and 1.9 percentage points quarter-on-quarter to 50.3%. Please note that the EBITDA of Q3 last year was impacted by provision for doubtful debts of Rs. 22.7 billion. With regard to the provision for doubtful debts of Rs. 0.6 billion reported in the current quarter, I would like to explain the transaction with a major customer and the treatment of the same in the books. We have collected and recognized Rs. 3 billion against the past overdue in addition to the 100% monthly collection which resulted in reversal of provision for doubtful debts of the same amount. Additionally, we have adjusted a part of the monthly collection with interest receivable to the extent of Rs. 3.3 billion during the quarter. That has resulted in an increase in interest income in the quarter and correspondingly a similar amount of provision for doubtful debts has been created. The reported provision for doubtful debts in the books hence reflects the net effect of the additional provision created and the reversal of Rs. 3 billion. Normalized for provision for a major customer, EBITDA grew by 5.3% year-on-year and 2.4% quarter-on-quarter.

Energy margins were at negative 2.7% in Q3 FY2024 against negative 1.2% in Q3 last year and negative 2.1% in Q2 of FY 2024. Given the nature of our energy business, we work on reconciliation with our customers. In Q3 FY2024, we had an impact of a

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settlement for the past period. After adjusting for the impact, the energy margins are similar to Q2 FY2024. Q3 last year had benefits from reversal of certain provisions. As touched upon by Prachur, we continue to work on reduction in our energy expenses.

Our reported profit after tax grew by 19% quarter-on-quarter to Rs.15.4 billion as against a loss of Rs. 7.1 billion in the corresponding quarter of the previous year. Q3 FY2023 PAT was impacted by the substantial provision for doubtful debts and an exceptional item relating to impairment of revenue equalization asset. Please note that with regards to pending matters on entry tax before the

cour ts,
we have reassessed our contingent liabilities and based on the views emanating from various judicial bodies , we have provided for them in Q3 FY2024 . Accordingly , there is an increase of Rs.1.3 billion in depreciation and Rs. 0.5 billion in interest cost .

In addition to the interest adjustment that I explained earlier overall finance income was also aided by cash interest collection on overdue from a major customer. After normalizing the one -off impacts of provision for doubtful debts, entry tax and impairment of revenue equalization asset , our profit after tax increased by 4 .6% year -on-year and 15.8% quarter -on-quarter .

The reported pretax return on capital employed and post-tax return on equity for the rolling 12 months were at 19.2% and 24.8% respectively.

In terms of the cash flows, free cash flow for the quarter was at Rs.8.7 billion despite capex remaining elevated at Rs. 26.5 billion . As I had stated in the last earnings call , subsequent collection of delayed payment for Q2 from a major customer aided the free cash flow in this quarter. The capex continues to be high on account of strong tower additions by one of our major customers. We believe that these investments will aid business growth and help us generate long -term value for the shareholders.

Our trade receivables decreased by Rs.1.7 billion due to higher collections from one of our major customers. The full impact of the higher collection is not reflecting due to some timing differences as Rs.3 billion was collected in January. With regards to the past overdue, we remain in constant discussions with the customer for clearance of the same.

To sum it up, we are pleased to have delivered a robust operational and financial performance during the quarter. In addition to the business growth , the financial performance was also aided by unwinding of the past dues. The strong operational performance was underpinned by an accelerated rollout by one of our major customers in rural areas. We expect its network expansion and 5G rollouts to continue to support our business growth in the near future. I would now request the moderator to open the floor for questions and answers please.

Vandana – Moderator

Thank you very much Sir. We will now begin the question -and-answer interactive session for all the participants who are connected to the audio conference service from Airtel. Due to time constraints, we would request if we could limit the number of questions to two to enable more participation. Hence,

management will take only two questions per participant to ensure maximum participation. Participants who wish to ask questions may please press “*” and “1” on their touch tone enabled telephone keypad . On pressing “*” and “1” participants will get a chance to present their questions on a first in line basis. To ask a question participants may please press “*” and “1” now. The first question comes from Mr. Sohan Joshi from Mumbai. Mr. Joshi you may ask your question now.

Mr. Sohan Joshi – Individual Investor/Mumbai

I want to ask what is the status of tower fiberization , have we achieved 100% coverage on tower fiberization?

Mr. Tejinder Kalra - COO – Indus Towers Limited

So Mr Joshi the tower fiberization of course is being done by the operators as of now as per the data available from various sources. Typically, the Indian tower fiberization for most of the customers is in the vicinity of about 30 % to 35% so there is still a long way to go for tower fiberization , barring one of the operators which has recently , in the last few years, launched the services . The

fiberization is
at a little higher level but overall there is still quite a gap.

Mr. Sohan Joshi – Individual Investor/Mumbai

So by what duration are we expecting to cover a larger part of the coverage for the fiberization maybe within two to three years?

Mr. Tejinder Kalra - COO – Indus Towers Limited

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I would not like to hazard a guess on this because this is something which is being driven by the operators but all we know is that in the advanced markets where 5G has scaled up pretty much, fiberization eventually needs to go to about anywhere between 80 % to 90% for good end user experience. So, I am sure the operators are going to be covering the journey quite fast if they have to give a good experience.

Mr. Sohan Joshi – Individual Investor/Mumbai

My second question is if we closely look at the subscribers' data released by TRAI each month there has been a greater addition by Jio each month so are we witnessing demand of more size from Jio or is the growth mainly coming from Airtel side only?

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

I think on this information we will have limited input to this. I think it is probably just answered by the operators themselves. We do not have any inputs on this matter, per se.

Mr. Sohan Joshi – Individual Investor/Mumbai

Thanks a lot, and just one last question if I may ask if it is possible to take one more question. Once the demand for additional sites stops, are we looking at a broader digital space like data center especially on the enterprise and IT side, demand for the 5G will be more for enterprise, are we then looking for it or maybe a couple of quarters later?

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

As of now it is too early to say. I think but if an opportunity presents itself, we will consider it.

Mr. Tejinder Kalra - COO – Indus Towers Limited

Are you talking about enterprise 5G, is that the question?

Mr. Sohan Joshi – Individual Investor/Mumbai

Yes. Are you looking at a broader digital space once the demand for the additional sites stops, like say data centers and something

like that?

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

If you are asking about additional business opportunities , yes we are evaluating that. I will not be specific on this one but we are looking at all the opportunities where we can participate as an infrastructure provider and we will come and let you know.

Sohan Joshi – Individual

Investor/Mumbai

Thanks a lot. That is it from my side.

Vandana – Moderator

Thank you very much Mr . Joshi. The next question comes from Mr. Arun Prasath from Avendus Spark/Chennai . Mr Prasath you may ask your question now.

Mr. Arun Prasath - Avendus Spark/Chennai

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Good afternoon. Thanks for the opportunity. I have a couple of questions. First of all , the receivables just wanted to understand if the operator is paying , the one with the overdues if he is paying during this quarter will it be first counted towards past pending payments and hence the provisions will be reversed or it will be counted towards the current invoice h ow do we do that?

Mr. Vikas Poddar – CFO – Indus Towers Limited

As far as the settlement is concerned t he payments are basically first accounted towards the old invoices so it basically pretty much largely moves on a FIFO basis .

Mr. Arun Prasath - Avendus Spark/Chennai

FIFO basis, u nderstood . So which means a large part of the reversal on the provisions is because of this accounting type so whatever they have paid in this quarter or this period it is still not crossing certain threshold limit, it is still accounted as a good receivable right?

Mr. Vikas Poddar – CFO – Indus Towers Limited

Yes so, the way we provide is anything which is overdue more than the credit period t hat is agreed in th e MSA is as per our current ECL policy is provided in the books . So if there is any reduction in the receivables because of better collection s then that really results in or leads to unwinding of the provision s.

Mr. Arun Prasath - Avendus Spark/Chennai

So if we look at the last I think so far we have provisions close to 5,000 Crores even after reversing of this , so at this point of time what is the kind of levers we have to collect this apart from restricting the access to the operator . Do we have any other levers at this point of time?

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

We are currently working with our customer to see how we can unwind quickly and we have seen some progress now. I think the idea is to see how we can sustain that and unwind the dues . I do not want to talk anything specifically about levers per se but we are working with our customers to make sure that we continuously get paid for what we are doing today and unwinding of the past dues .

Mr. Arun Prasath - Avendus Spark/Chennai

Secondly on the loading revenue because 5 G is currently we see most of them are rolling out the 5G but hardly this is reflecting in our sharing revenue data , either on a per operator basis or a per tower basis , this loading revenue is still not reflecting . Is it very insignificant because few quarters before when we asked this question you said that it will take some time to reflect but it is still not reflecting in this. What is your instinct ? can you just guide us ?

Mr. Vikas Poddar – CFO – Indus Towers Limited

Arun I think the revenue that we report is a sum total of various elements right so there is also the upside coming from the loading , there is upside in terms of the rollouts that we are doing, but at the same time there are few downsides because if you remember in the same quarter last year we had basically taken an accounting position with regard to the lease accounting or the straight lining of lease rentals with regard to one of our customers so we have not recognized those long -term revenues based on the Ind AS lease accounting which obviously is basically a bit of a drag on the revenue line. Apart from that we also have been renewing the towers

and the tenancies with our customers with some discount so there is also that sort of drag on the revenue line . So basically there are growths, and I am assuming you are talking at a per tenancy level there are upsides and downsides both and they are sort of offsetting each other.

Mr. Arun Prasath - Avendus Spark/Chennai

Given there are so many variables can you give a little bit more disclosure on this front going forward what we should be assuming it as upside from the loading revenue or this downside will also continue in the upcoming quarters?

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Mr. Vikas Poddar – CFO – Indus Towers Limited

Well like we had disclosed in the past I think the upside from the loading revenue is broadly in the range of 5 to 10% depending on how much load is there on account of 5G on each site. So anywhere between 5 to 10% is the sort of upside that we are seeing on account of 5G loading.

Mr. Arun Prasath - Avendus Spark/Chennai

On the downside that you spoke about that some of the downside will also offset this upside going forward ?

Mr. Vikas Poddar – CFO – Indus Towers Limited

We had basically made some disclosures with regard to the renewals that was almost a year back so that continues and as and when more portfolio is coming up for renewal although bulk of the renewal was done in FY2023 there is some bit which is happening every year, so to that extent the same sort of renewal discount is reflected in the numbers.

Mr. Arun Prasath - Avendus Spark/Chennai

So, what part of the portfolio is still not yet renewed assuming that will renew at the lower rates , so what part of that is still to renew ?

Mr. Vikas Poddar – CFO – Indus Towers Limited

Well, I think back in FY2023 we had renewed almost one third of our portfolio and thereafter we did not have any major bulk renewal in the subsequent periods, but I would say probably anywhere between 50 to 60% portfolio will be coming up for renewal in the forthcoming years.

Mr. Arun Prasath - Avendus Spark/Chennai

Understood. Lastly on this leaner tower can you just give me some indication of what is the cumulative capex we have spent on this leaner tower ?

Mr. Vikas Poddar – CFO – Indus Towers Limited

I think we will have to really take it offline Arun. We will basically need to compute that separately because I do not have that number readily at hand.

Mr. Arun Prasath - Avendus Spark/Chennai

No issues. What I am trying to understand is that from the operators ' perspective , is a small cell more advantageous as compared to leaner tower and from a tower company that is from our perspective which is more beneficial, obviously we will be working on ROCE but from an operator perspective how it differs so that is what we are trying to understand ?

Mr. Tejinder Kalra - COO – Indus Towers Limited

The operators depending on their networking needs and their network plan will decide whether a small cell will fit the need or whether a leaner side will fit the bill because of them have different coverage characteristics and load taking capacity, so depending upon the

network plan of the operator they clearly decide. I do not think each is replaceable by the other. It is more from a network demand perspective as a solution fitment that will go in there, so I do not think the operators are also blindly trying to put in small cells or the lean sites because they are more cost efficient.

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Mr. Arun Prasath - Avendus Spark/Chennai

We do not have small cell portfolio right?

Mr. Tejinder Kalra - COO – Indus Towers Limited

First of all the structure that we provide is given loading capacity that the operator has asked us. In some cases the operators may be putting up high powered small cells or high power BTSs. It is again as I said the type of the structure is what we provide to them, what they are putting on top there into those sites is depending upon their network requirement.

Mr. Arun Prasath - Avendus Spark/Chennai

You spoke about the lean tower co-locations, is the tenancy ratio very different from our macro tenancy ratio or is it more towards one in the leaner portfolio?

Mr. Vikas Poddar – CFO – Indus Towers Limited

Well, the lean tower currently is more towards a single tenancy, and they are like we had explained in the past also they are modular structures, so as and when the second tenant comes with a very small probably investment, we will be able to enable the second tenancy also.

Mr. Arun Prasath - Avendus Spark/Chennai

Understood and this is geographically spread or is it more consolidated in urban areas?

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

It is geographically spread around.

Mr. Arun Prasath - Avendus Spark/Chennai

Thank you very much. All the best.

Vandana – Operator

Thank you very much Mr. Prasad. The next question comes from Mr. Sanjesh Jain from ICICI Securities Mumbai. Mr. Jain, you may

ask your question now.

Mr. Sanjesh Jain – ICICI Securities /Mumbai

Good afternoon. Thanks for taking my questions . First a gain on the leaner towers we have still got a lot of regional players who have become quite aggressive in the leaner towers and in my discussion with them , they suggested they are more agile. They can put up the tower and deliver it in a much lower lead time than the established players . How do we want to protect our market share in the leaner towers markets where a lot of regional players are cropping up ?, You know the geography better you can deliver the structure faster, how are we placed in that market?

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

Sanjesh thanks for the question. I think leaner towers when the portfolio started we probably started a little bit slower but we have caught up. I think both our commercial offering and execution abilities are as competitive as anybody else and I think we have ramped up our TSP third party infrastructure as well to support that, so in all the markets we are quite competitive and as you can see from our results we have been increasing our leaner portfolio year-on-year and we are equally present geographically for them and at the

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end of the day one of the things that we offer is the better uptime to the customers, which is a differentiation that the customers have started seeing . So I believe we will remain competitive, agile , and will continue to grab the market share even in the leaner portfolio.

Mr. Sanjesh Jain – ICICI Securities /Mumbai

Apart from the leaner portfolio , power is less of a problem because we are talking of more like an urban infrastructure and I do not think these towers come with a power solution . will uptime really give a differentiation there ?

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

I think it is a combination of things. As I said, if you are commercially competitive, if you are able to deliver on time and you can provide uptime , I think that is the best solution that a customer can get.

Mr. Sanjesh Jain – ICICI Securities /Mumbai

Fair enough. Second question on the tower tenancy addition, which looks phenomenally strong . now again going by what are the operators are commenting on the their side it appears that FY2024 could be peak of capex and then we may see a material moderation in the addition and then tenancy will take some time from the 5G to prop up we will have a period more of a loading growth do you agree with this thought process?

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

Sanjesh I do not want to forecast on behalf of anybody else. I think what we are looking at is we currently have an order book that we are executing. I think we expect the order book to remain strong for the coming quarters and if there is any moderation we will deal accordingly, but as of now for the next two to three quarters I do not see a reduction in the order book, so we will address that if there is any change or reduction from the operators accordingly.

Mr. Sanjesh Jain – ICICI Securities /Mumbai

That is good. Just on the growth side, the growth in the rental revenue is almost 7% plus, volume wise 5%, is that the large single tenancy towers is moderating the growth on the EBITDA side versus the revenue growth and what we are seeing?

Mr. Vikas Poddar - CFO – Indus Towers Limited

Of course, tenancy ratio certainly has an impact on the profitability Sanjesh, if there is higher tenancy ratio then given that we have a very high operating leverage that would certainly boost the EBITDA but I think talking specifically about this period I think apart from the revenue flowing into EBITDA there are other factors. So there is basically the provision for doubtful debts that we create which also has a bearing on the EBITDA and then there are some seasonality-related things, for example Q3 has certain impact from higher rates and taxes, which we recognize on cash basis as and when we get those property and municipal tax bills and so on. Otherwise I think if you look at the underlying performance both revenue and profitability are pretty much in tandem.

Mr. Sanjesh Jain – ICICI Securities /Mumbai

Got it and this last question on the reimbursement margins which continues to remain negative, you have said this earlier also that we are making efforts towards reducing these losses do you see this materially reducing in FY2025 or do you think it will take more time than that?

Mr. Vikas Poddar - CFO – Indus Towers Limited

So maybe I will just give some color first of all on the operational side, as you heard Prachur saying I think there is a lot of focus Sanjesh on reducing the diesel consumption in this year we have already achieved a pretty sizable efficiency as far as our diesel costs are concerned. Now when it comes to energy margin in a pass through regime we basically have a lot of these reconciliation issues with our customers because of several factors. Sometimes there are basically higher costs related to weather disturbances, there are sometimes timing differences in the electricity bills and so on. So we do see these fluctuations impacting our quarterly energy

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performance and hence when it comes to energy margin I think it is better to really look at the longer period. I think going forward all the efforts that we are putting in terms of driving efficiency and lower energy cost will eventually start reflecting in our energy P&L also

at some stage. So, we are currently working on it and hopefully at some point they will translate into better energy P&L.

Mr. Sanjesh Jain – ICICI Securities /Mumbai

Got it. Thanks Prachur , thanks Vikas for all those answers and best of luck for coming quarters.

Vandana – Operator

Thank you very much Mr. Jain. The next question comes from Mr. Pradyumna Choudhary from JM Financial /Mumbai . Mr. Choudhary you may ask your question now.

Mr. Pradyumna Choudhary - JM Financial/Mumbai

More on the dividend side how should we really understand, like now the payments have been regular from your customer , so should we expect a good regular dividend payout or would it also depend on the future outlook for the customer?

Mr. Vikas Poddar - CFO – Indus Towers Limited

So Pradyumna I think we have clarified this on the earlier calls also. I think our dividend policy if you look at the policy it is linked to the free cash flow of the company at the end of the financial year. Now within our free cash flow because of the elevated capex cash flows that we are seeing, which is in a way good for the business because we are also then generating long-term revenues, long-term cash flows and value for the company , but at least within the financial year it is putting some pressure on the free cash flow, but at the same time there are many other variables within our free cash flow. So there is basically the focus on collection of the old overdues , the leverage, etc., so at the end of the year we will take stock of all these things and we will see where we land on the free cash flow and we will evaluate the possibility of dividend together with our Board members and come up with a decision around that time , so as of now, I think suffice to say that the policy is intact there is no change in our policy.

Mr. Pradyumna Choudhary - JM Financial/Mumbai

Alright so basically just a bit of clarity here. As long as we are able to generate positive free cash flow and the payments from our customers is regular then there should be a dividend right ?

Mr. Vikas Poddar - CFO – Indus Towers Limited

That is the policy Pradyumna that is the policy yes.

Mr. Pradyumna Choudhary - JM Financial/Mumbai

Alright. Thank you.

Vandana – Operator

Thank you very much Mr. Choudhary . The next question comes from Mr. Nikhil Pradip Deshpande from Axis Bank, Mumbai. Mr. Deshpande you may ask your question now.

Mr. Nikhil Pradip Deshpande – Axis Bank /Mumbai

Yes, good afternoon, Sir. We have taken a provision of Rs 649 million during the quarter on bad debts, so this is a net provision or is this a new provision?

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Mr. Vikas Poddar – CFO – Indus Towers Limited

Well, this is a new provision Nikhil. So, we have reported the additional provision on the basis of whatever has been received. So, I had explained this in my comment earlier. So, there was basically there were two effects, there was recognition of the additional 3 billion that we received because of which there was a reversal of the provision for doubtful debts and at the same time there was an adjustment with the interest which resulted in creation of the provision, so as a result we have roughly Rs 0.6 billion of addition provision in the quarter.

Mr. Nikhil Pradip Deshpande – Axis Bank/Mumbai

So what would be the reversal can you quantify that?

Mr. Vikas Poddar – CFO – Indus Towers Limited

So the reversal is the amount that we have collected as part of the backlog overdue and that has been collected in the month of January, but we have recognized that in our quarterly financials and because that was provided for earlier so that has resulted in the unwinding of the provisions.

Mr. Nikhil Pradip Deshpande – Axis Bank/Mumbai

Can you quantify the reversal?

Mr. Vikas Poddar – CFO – Indus Towers Limited

I have said that it is 3 billion, 300 Crores.

Mr. Nikhil Pradip Deshpande – Axis Bank/Mumbai

In the finance income which is 5 billion, what portion would be due to the payment of backlogs and what would be the normal financial income?

Mr. Vikas Poddar – CFO – Indus Towers Limited

Again, the interest income largely represents the interest that we have collected on the delayed payments by the customer. So broadly our interest accounting is on receipt basis or collection basis, so we keep billing, if there are any delays in the payments, we keep billing to our customers as per our MSA and as and when we collect those interests we recognize them. Most of these

interests of
course then pertains to the backlog itself because that is where the interest billing is getting generated.

Mr. Nikhil Pradip Deshpande – Axis Bank/Mumbai

Just for clarity this 3 billion is over and above the monthly billing?

Mr. Vikas Poddar – CFO – Indus Towers Limited

Yes, that is right.

Mr. Nikhil Pradip Deshpande – Axis Bank/Mumbai

Thank you . That is all from my side.

Vandana – Operator

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Thank you very much Mr. Deshpande . The next question comes from Mr. Aditya Suresh from Macquarie , Mumbai . Mr. Suresh, you may ask your question now.

Mr. Aditya Suresh – Macquarie /Mumbai

Thank you so much . Just one question from my side was on the industry structure can you give us an update here on the industry structure itself and are you seeing any kind of customers migrate towards you , are your tenancy ratios kind of going up because of the third player , their market shares are falling? Thank you.

Mr. Prachur Shah – MD & CEO – Indus Towers Limited

Aditya if I understand your question correctly, I think you are asking from tower industry point of view or a telecom ?

Mr. Aditya Suresh – Macquarie /Mumbai

From tower industry perspective , we have Indus, we have Summit, the third player ATC, we have issues at ATC, and I guess the question really was are you seeing migration of tenancies on to Indus?

Mr. Prachur Shah – MD & CEO – Indus Towers Limited

No, I think to be honest I do not think there is anything material per se. I think our main growth is coming from the new towers that we have been rolling out, so I do not think that there is anything material. I think there are occasional cases where there must be some migrations, but it is not material enough to highlight.

Mr. Aditya Suresh – Macquarie /Mumbai

Understood and any further kind of comments which you can provide on the dividend I appreciate that the comment that we need to see a bit more visibility here on your payments and more conviction on your free cash flows but at least based on our modeling, etc., the free cash flow improvement compared to last year seems very tangible so can you speak about the next steps here for the dividend any tangible steps which we can think about ?

Mr. Prachur Shah – MD & CEO – Indus Towers Limited

No Aditya I think that as Vikas said I just want to reiterate , I think we have a clear dividend policy along with the Board in conjunction with the policy we will make the decision at the end of the year and we will decide . I do not think there is anything much to add beyond that as of now.

Mr. Vikas Poddar – CFO – Indus Towers Limited

So just to clarify the cash flow point

Aditya I think while this quarter we have shown a good positive free cash flow, but if you recall we had a delay in the previous quarter, so to some extent it is basically a rollover effect of that delay in this quarter. Overall if you look at the nine months our cash flow is pretty much being used for the capex deployments, so to that extent I think the pressure continues on the cash flow even though we are collecting the 100% . Well coming to the dividend point as we also explained earlier I think it is largely linked to where we land at the end of the year and we are sort of working on the backlog, we are working on various other things, so we will see where it lands at the end of the year.

Mr. Aditya Suresh – Macquarie /Mumbai

Thank you so much.

Vandana – Operator

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Thank you very much Mr. Suresh. The next question comes from Mr. Angad Katdare from Sameeksha Capital , Mumbai . Mr. Katdare , you may ask your question now.

Mr. Angad Katdare – Sameeksha Capital /Mumbai

Thank you for the opportunity. Over the past few quarters we are seeing a downtrend in the tenancy ratio, over the long term what do you think is a sustainable tenancy ratio going forward, will it stabilize at this level or can we expect a further fall?

Mr. Prachur Shah – MD & CEO – Indus Towers Limited

So Angad I think that tenancy ratio currently, the reason of the downturn that you are seeing is significant additions that we are currently doing for one of our major customers which is primarily a single tenant that is the effect that you are seeing and as I

told
earlier on another question I think we will continue to roll out and make sure we get the market share from that customer so you may see an impact of that in the tenancy ratio. I think it is difficult to predict exactly where that could end depending on the rollout but yes
I think that is the reason why you are seeing the drop is because of the rollouts currently are happening on a single tenant basis.

Mr. Angad Katdare – Sameeksha Capital /Mumbai

One small question, an observation, the co-location exits during the quarter is 655, but we have not recognized the exit revenues for the press release. Can you throw some light on that?

Mr. Vikas Poddar - CFO – Indus Towers Limited

So Angad I think these exits that you see are business as usual, part of the business and they are within the permitted exit that we have in our MSAs, and the exit charges do not apply on these.

Mr. Angad Katdare – Sameeksha Capital /Mumbai

Got it. That is it from me.

Vandana – Operator

Thank you very much Mr. Katdare. We do have a follow-up question from Mr. Pradyumna Choudhary from JM Financial /Mumbai. Mr. Choudhary you may ask your question now.

Mr. Pradyumna Choudhary - JM Financial/Mumbai

Thanks for the follow up, to one of the questions you just said that the declining tenancies is because of the new towers which are being set up primarily for Bharti, so for our existing portfolio are we seeing stable tenancies or even there we are seeing that one of our customers is actually giving up some of the towers?

Mr. Prachur Shah – MD & CEO - Indus Towers Limited

I think it is broadly stable, I think. I think the other portfolio is broadly stable. There is nothing to add.

Mr. Vikas Poddar - CFO – Indus Towers Limited

I mean the exit what we were talking about earlier the 655 is basically from the existing portfolio so it is a very small number compared to the total portfolio, so it does not really impact the tenancy ratio on the legacy portfolio.

Mr. Pradyumna Choudhary - JM Financial/Mumbai

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Understood and one was on the return profile for these towers based on single tenant, what would be the exact return profile, a ballpark maybe?

Mr. Vikas Poddar - CFO – Indus Towers Limited

So, ballpark we have shared this. I would say low to mid double digits sort of return profile for most of our new portfolios. In some cases, it could be high single digit as well but broadly low to mid double digit.

Mr. Pradyumna Choudhary - JM Financial/Mumbai

Understood. Thank you.

Vandana – Operator

Thank you very much Mr. Choudhary. The next question comes from Ms. Saloni Shah from Sohum Asset Managers /Mumbai. Ms. Saloni you may ask the question now.

Ms. Saloni Shah - Sohum Asset Managers /Mumbai

I wanted to understand if the telecom operators take a price hike in both voice and data so we as a tower company will benefit from this in terms that will it translate into better tenancy terms for us during renewal?

Mr. Prachur Shah – MD & CEO - Indus Towers Limited

I do not think I want to comment that right now. I think we will see how the commercial situation is and at that time we will make a call. While we remain competitive and make sure the market share remains where we are. I think it is a question that is quite speculative at this point of time.

Ms. Saloni Shah - Sohum Asset Managers /Mumbai

Okay Sir, thank you.

Vandana – Operator

Thank you very much Ms. Sah. The next question comes from Mr. Raunak Himmatramka from Robocapital, Mumbai. Mr. Himmatramka you may ask your question now.

Mr. Raunak Himmatramka – Robocapital /Mumbai

I want to ask like how is the effect of Starlink coming to India on our business, is it a threat to us or will it be kind of beneficial and would increase the reach of the towers?

Mr. Tejinder Kalra - COO – Indus Towers Limited

Yes Mr. Himmatramka we said it in the past all this satellite connectivity companies that are coming in whether it is Starlink or the other competitors to them it is only going to provide complementary services to the telecom services that there are and largely as of

now to uncover ed areas because transmission network s are very difficult to reach out into some of those places and the satellite provides primarily with the call connectivity . So we do not see that as a threat to the tower requirements from the operator at this stage at least.

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Mr. Raunak Himmatramka – Robocapita I/Mumbai

One more question is regarding the recovery from Vodafone how are we seeing this , like we have taken some recovery in the provision bu t how we see it going forward ?

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

So again Raunak as I have informed in this call earlier as well I think we are working with our customers in terms of making sure that we are getting paid and we have a recovery plan for the past dues , so I think that is the basis of our engagement with our customers and we will see how things go forward but I think payment of 100% and whatever we can recover is the plan that we are currently working on so I think I would expect this to continue.

Mr. Raunak Himmatramka – Robocapita I/Mumbai

Got it. Best o f luck. That is it from my side. Thank you.

Vandana – Operator

Thank you very much Mr Himmatramka . Due to time constraint I would like to hand over the call proceedings to Mr. Prachur Sah for the final remarks.

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

Thanks, Vandana. In summary , strong operational and financial performance s are testimony to our inherent strength as a leading player in the passive infrastructure space. The third consecutive quarter of record tower additions underp inned by network expansion of our major customer and Indus being a successful partner has been a pleasing aspect. We expect the rural expansion to continue in the near term to be supplemented by 5G rollout that will aid both in terms of new additions and loading revenues. We believe the re are enough growth levers for us in the near future and we are well positioned to capitalize on these opportunities in a sustainable manner. Thank you al l for joining the call. Have a good day.

Vandana – Operator

Ladies and gentlemen, this concludes the conference call. You may now disconnect your lines. Thank you for connecting to audio

conference service from Airtel and have a pleasant evening.

Call: May 2024

Indus Towers Limited

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May 07, 2024

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400001 The National Stock Exchange of India Limited

Exchange Plaza, C -1, Block – G, Bandra Kurla Complex,

Bandra (E), Mumbai - 400051

Ref.: Indus Towers Limited (534816/ INDUSTOWER)

Sub.: Transcript s of the Earnings Call on the Company's performance for the fourth quarter (Q4) ended March 31, 202 4

Dear Sir/ Madam,

Please find attached the transcript s of Earnings Call conducted on May 01 , 202 4 on the Company's performance for the fourth quarter (Q4) ended March 31, 202 4.

Kindly take the same on records.

Thanking you,

Yours faithfully,

For Indus Towers Limited

Samridhi Rodhe

Company Secretary & Compliance Officer

Encl .: As above

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Earnings Conference Call Transcript

Event: Indus Towers Limited Fourth Quarter and Full Year ended March 31, 202 4 Earnings Conference Call

Event Date/Time: May 1, 2024 / 1430 Hrs IST

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CORPORATE PARTICIPANTS

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CFO – Indus Towers Limited

Mr. Tejinder Kalra
COO – Indus Towers Limited

Mr. Dheeraj Agarwal
Head Investor Relations - Indus Towers Limited

CORPORATE CALL PARTICIPANTS

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BofA/Mumbai

Mr. Manish Adukia
Goldman Sachs/Mumbai

Mr. Arun Prasath
Avendus Spark/Chennai

Mr. Kunal Vora
BNP Paribas/Mumbai

Mr. Vivekanand Subbaraman
Ambit Capital/Mumbai

Mr. Sanjesh Jain
ICICI Securities/Mumbai

PRESENTATION

Sunita– Moderator

Good afternoon, ladies and gentlemen. I am Sunita , the moderator for this conference . Welcome to the Indus Tower Limited fourth quarter and year ended March 31, 2024 earnings call. For the duration of the presentation all participants' lines will be in the listen only mode . After the presentation , the question -and-answer session will be conducted for all the participants on this call . In case of a natural disaster the conference call will be terminated post an announcement . Present with us on the call today is the senior leadership team of Indus Towers - Mr. Prachur Sah , MD and CEO , Mr. Vikas Poddar, CFO , Mr. Tejinder Kalra , COO and Mr. Dheeraj Agarwal, Head Investor Relations . Before I hand over the call , I must remind you that the overview and discussion today may include certain forward -looking statements that must be viewed in conjunction with the risks that we face . I now hand over the call to our first speaker of the day Mr . Prachur S ah. Thank you and over to you Mr. S ah.

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

Thank you, Sunita and a very warm welcome to all participants. Joining me today are my colleagues Vikas Poddar, CFO, Tejinder Kalra , COO, and Dheeraj Agarwal, Head Investor Relations on the call. I am pleased to present our business performance for the quarter and year ended on March 31 , 2024 .

We are pleased to have delivered a stellar year with our yearly tower additions being one of the highest , in fact the highest ever in our history . This has also helped us surpass the milestone of 200,000 towers in our portfolio . The progress we made on each of the strategic priorities which we had outlined at the start of the year, centered around market share , cost efficiency , network uptime , and sustainability has been pivotal to this achievement .

Keeping with the momentum observed during the year , tower additions in Q4 were our highest ever quarterly rollout . The strong additions continue to be aided by the accelerated rollouts by one of our major customers, especially in rural areas and significant increase in our share of customers rollout . With regards to collections from a major customer , we sustained 100% collection against our billing during the year and also made some collection against the past dues . We are pleased to see the recent positive developments at the customer 's end around its fund raise and we remain engaged with the customer for clearance of our past dues .

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Before we delve into the details of our core business areas, I would like to express my sincere gratitude to our field forces for their commitment towards helping Indus bridge the digital divide . In the quarter gone by , our field force exhibited exceptional courage and perseverance to install two towers in the mountainous regions of Nilgiris district which is situated at the highest altitude above sea level in Tamil Nadu . Enabling connectivity in the remotest of areas and difficult terrains by installing a huge tower is truly remarkable and reflects the commitment of our people on the ground .

The year gone by saw several encouraging developments on the regulatory front and reemphasizes the Government's commitment

towards facilitating the swift rollout of telecom infrastructure across the country , keeping sustainability in view . The landmark Telecommunications Act 2023 aimed at easing Right-of-Way challenges and ensuring network and infrastructure security among other things came into effect during the year and was notified in Q4 . The Green Open Access policy aimed at incentivizing the use of cleaner sources of energy has been notified by more than 12 states . Additionally , the composite billing scheme for multiple power connections , the option to apply for a power connection for telecom infrastructure through Gati Shakti Sanchar Portal and mapping of different ministries to the Gati Shakti Portal to apply for Right of Way were other key highlights of the year .

On the topic of 5G , rollouts by the top two operators continued at an accelerated pace in Q4 as well taking the total count of 5G Base Transceiver Stations or BTS deployed to over 435,000 . The large rollout of 5G services by operators during the year has added to our loading revenues and helped us deliver strong growth . The wider adoption of 5G is expected to spur the demand for newer sites in order to facilitate network decongestion . We remain confident in our ability to make the most of the opportunity on offer, given our leadership in the passive infrastructure space .

The accelerated pace of 5G infrastructure deployment is expected to be supported by swift adoption by users , and statistics mentioned in the Nokia MBit Index Report 2024 give credence to the same . As per the report the total 5G subscribers stood at 131 million in 2023 and are expected to grow to 575 million by 2026 . The device ecosystem for 5G is also progressing well with 17% of the active 4G devices now capable of offering 5G .

The contribution of 5G to total data traffic has increased from 1.7% in 2022 to 15% in 2023 .

The data consumption trend remains strong , underpinned by both the swift proliferation of 5G and the ongoing migration of users from 2G to 4G . For the top three operators , the average data consumed per user per month grew by 14% year -on-year to 24 GB in the December quarter and the total data consumption grew by 24% year -on-year in the same period . The confluence of robust data usage and surging 5G adoption presents a compelling opportunity for the passive infrastructure industry and given our pole position in the space , we believe we are well positioned to cater to this demand .

As touched upon earlier , we delivered our highest ever tower additions in Q4 as well , in line with the trends of the year. Our macro tower and co -location additions for Q4 more than doubled compared to the same period last year and our full year additions were more than 3.5 x compared to the previous year . In Q4 we added 7 ,961 macro towers and 7 ,909 corresponding co -locations supported by a combination of strong customer demand and our ability to increase our share in the business of the customer . Total macro towers and co -locations in Q4 increased by 13.9% and 7.5% each on year -on-year basis to 219 ,736 and 368 ,588 respectively . On a full year basis , tower and co -location additions were at 26,862 and 25 ,757 respectively . Our industry -leading tenancy ratio stands at 1.68 .

In terms of leaner towers , co-location additions were at 692 in Q4 resulting in the overall base increasing to 10,686 . Including leaner towers our net co -location additions were at 8,601 in Q4 compared to 8 ,568 in Q3.

Moving on to a progress update on our four key strategic priorities namely market share , cost efficiency , network uptime and sustainability .

Firstly, on market share , as I alluded to earlier , our quarterly macro tower and co -location additions more than doubled over the same period last year . This was underpinned by substantial improvement in our share in the business of our major customers whose aggressive rollouts continued in this quarter as well . At the beginning of the year , we focused on improving the time to market of our products further in order to increase our competitiveness . To this end , we formed a dedicated team to expedite the

deployment process through continuous monitoring and proactive logistics management . Supplementing this have been our efforts towards strengthening our partner ecosystem , systematic resource planning , streamlining of product offering and the digital interventions we have been taking across our value chain . We expect the rural rollouts of our major customer to continue in the near term at least, providing us with significant headroom for growth .

Secondly , regarding cost efficiency , we remain focused on optimizing both operating and capital expenses . One of the major contributors to our operating cost is diesel and we have taken various initiatives to reduce its consumption. These measures include augmentation of energy storage solutions , increasing the use of renewable energy solutions and conversion of sites from indoor to outdoor which helped us reduce our diesel consumption by 6% in Q4 on a year-on-year basis . With a sharp focus on expanding our renewable energy portfolio , we more than doubled our quarterly run rate and added more than 8 ,000 solar sites in Q4 .

In terms of capex , we have been focusing on various aspects such as product standardization , resource planning to optimize spend per site and refurbishing existing infrastructure for efficient upgrades . Supplementing this were the technological interventions including the automation of processes and use of artificial intelligence and machine learning to enhance the life cycle of equipment .

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Thirdly , moving to network uptime, a metric which is critical to customer satisfaction . In Q4 of this year , we managed to further improve our industry high uptime to 99.97% . We were able to achieve these numbers despite the heavy rains seen in areas of Uttar Pradesh and northeastern states as well as the power outages caused by severe heat in the areas of Punjab and Haryana which underscores the perseverance and determination of our field force.

Coming to ESG , a strategic priority for the organization . We want to create an agile and future ready business model that will preserve the environment , promote inclusive culture , strengthen communities , and create resilient value chains. To this end , in the year, we launched our 'Zero Goal Hai' or 'Zero is the target' campaign with the aim of achieving zero emissions, zero harm, zero waste, zero bias and zero tolerance to non-compliance .

On the Environment front , we are driving multiple interventions to reduce our GHG emissions by increasing the share of renewable sources of energy in our overall energy portfolio and reducing our diesel consumption . During the year our solar portfolio increased more than 10-fold to 14,731 sites. We reduced our diesel consumption by about 7% during the year despite increase in overall energy consumption . We also participated in the CDP that is Carbon Disclosure Project survey , which is a snapshot of a Company's performance on environmental action . We are pleased to have scored 'B-' which underscores that we are addressing the environmental impacts of our business and ensuring good environmental management .

We are pleased to see our gender diversity almost double from 6% at the beginning of the year to close to 12% at the end of the year. We have always been dedicated towards creating a workforce where women thrive through our focused hiring programs, inclusive policies , and supportive work environment and we will continue to work in this space along with our entire ecosystem to

continue driving this program .

Our CSR initiatives have helped us positively impact more than 40 million lives across India through our flagship program Saksham and Pragati which focus on girl child education , digital literacy , and livelihood promotion amongst others .

To create a safer work environment, we launched electrical and road safety campaigns for our field force and E SG training for our entire workforce , including partners .

During the quarter we also launched a sustainable procurement policy which reiterates our belief that the sustainability practices of our business partners would play a major role in the long -term success of our business . We believe these programs will promote safe practices and a deeper appreciation of Environmental , Social, and Governance issues .

Our efforts towards ESG are being recognized as we were judged 'Best Emerging Company of the Year' at the prestigious Transformance forums . We were also pleased to have won the Gallup Exceptional Workplace award for the 11th consecutive year .

I would now request Vikas to take you through our financial performance for the quarter and year ended on March 31 , 2024, and I look forward to your questions . Over to you Vikas . Thank you.

Mr. Vikas Poddar – CFO – Indus Towers Limited

Thank you , Prachur , and Good Afternoon everyone. I am pleased to share with you the financial results for the quarter and year ended 31st March 2024 . Before presenting the financial performance , I would like to reiterate our exceptional operational performance during the year , with a large number of tower additions recorded each quarter .

Coming to the

financial performance for Q4, our reported gross revenues were at Rs.71.9 billion , growing by 6.5% year-on-year. The core revenues from rental grew by 7.7% year-on-year to Rs.45.8 billion aided by strong tower additions and 5G loading . On a quarter -on-quarter basis our reported gross revenues were almost flat while core revenues from rental were up by 2.2% .

Moving to profitability , the reported EBITDA for Q4 grew by 19% year -on-year and 13.3% quarter -on-quarter to Rs.41 billion . EBITDA margin was up 6 percentage points year -on-year and 6.7 percentage points quarter -on-quarter to 57.0% . Similar to the previous quarter , we recognized collection of more than 100% of average monthly billing against the past overdues from a major customer resulting in write back of provisions for doubtful debt . Adjusted for these factors EBITDA increased by 8.5% year -on-year and 3.3% quarter -on-quarter .

Energy margins improved sequentially from -2.7% to -2.1% in Q4 driven by seasonality and also the initiatives we have taken to reduce our diesel consumption and other energy expenses .

Our reported profit after tax stood at 18.5 billion growing 32.5% on year -on-year basis and 20.3% on quarter -on-quarter basis. Please note that Q3 FY 2024 Profit after Tax was impacted by matters pertaining to entry tax resulting in an increase in depreciation and interest cost . Normalized for this and other aforementioned factors the Profit after Tax increased by 5.2% year -on-year and 4.3% quarter -on-quarter .

I will now move to the full year performance for fiscal 2024 . Please note that FY 2024 included the one -offs I mentioned before . And as a reminder , FY2023 included one -time revenue recognition of about Rs.11 billion from settlement of old dues and its profitability

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figures were marked by the provision for doubtful debt of about Rs.53 billion and impairment of revenue equalization reserve of

Rs.4.9 billion . On a full-year basis , our reported gross revenues grew 0.8% year -on-year to Rs. 286 billion and core revenues were

up 1.7% year -on-year to Rs.177.3 billion . Adjusted for one -offs gross revenues and core revenues were up by 4.7% each on year -

on-year basis . On a reported basis , EBITDA increased by 50.4% to Rs.146.9 billion and Profit after Tax grew to almost 3 x to Rs.

60.4 billion. Again , adjusted for one offs and provision s, EBITDA was up by 4% and profit after tax was down by 1.2% year -on-year.

The reported pre -tax return on capital employed and post tax return on equity for the rolling 12 months were at 19.4% and 25.1% respectively .

We generated free cash flow of Rs. 3.3 billion in Q4 and our total free cash flow stood at Rs. 1.8 billion for the year . On account of

accelerated rollouts by our major customer , our capex remained elevated in Q4 as well . We believe that the investments we have

made to capture this growth opportunity will stand us in good stead for the future given the long -term nature of our business and will

help create value for our shareholders . Our trade receivable increased by Rs.4.3 billion mainly due to the timing difference as the

provision write back occurred in Q4 while the collections against the past dues were made in April .

With regards to the outstanding overdues from a major customer , we are pleased to see progress in its fundraising . We expect that

these developments will help the customer clear our past dues and also provide us with a growth opportunity given the customer is

planning to make investments in its network expansion .

To conclude , we are excited to have delivered a solid operational and

financial performance during the year , with the latter being

also aided by steady collections and part clearance of the past dues from a major customer . We expect the rural expansion of a

major customer and 5G rollouts to continue to act as significant levers of near -term growth . The positive development around the

financial situation of one of our major customers is another pleasing aspect that we expect to benefit from .

With this, I would now request the moderator to open the floor for questions and answers please . Thank you .

Sunita– Moderator

Thank you very much sir. We will now begin the question -and-answer interactive session for all the participants who are connected

to audio conference service from Airtel. The first question comes from Mr. Sachin Salgaonkar from Bof A Mumbai. Mr. Salgaonkar

you may ask your question now.

Mr. Sachin Salgaonkar –BofA /Mumbai

Hi, thank you for the opportunity and congrats for a great set of numbers . I have two questions . First question , I just wanted to

understand and you guys mentioned about one of your customers raising funds, so from that aspect any changes in outlook , any

colour you could give in terms of how tenancies and rentals for you guys could improve and as far as the pending dues are concerned , should we expect some kind of an amount to come every quarter with an interest agreement or is it that you

might get one-off amounts on a regular basis , and second question is would love to know your thoughts on outlook for capex as well as dividends.

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

I will take the first question and then I will ask Vikas to take the second question on dividends. So on the customers question on dues and tenancies, at this point of time , we are currently working with the customer to define how this is going to work , but we expect our dues to be cleared . We are in touch with our customer to do that and of course as the dues are getting cleared and the network expansion activities will happen , we expect the tenancies to grow positively . At this time , it is too early to commit on the numbers as we are in discussion with the customer .

Mr. Vikas Poddar – CFO – Indus Towers Limited

So on the capex outlook , I think we have seen sort of almost three to four quarters of very strong tower rollouts . I think the momentum has not slowed down so we do expect the momentum to continue for a few more months and quarters , so from that perspective I think there will be sort of a high capex phase for some more time . On the dividend outlook , I think as you can see from the results the free cash flow performance for FY 2024 has been low and that is largely because of the elevated capex which in a way is a good thing because capex is really for the long -term growth of the business , it is an annuity business as you know so whatever we invest today will certainly give us the cash flow for the next 10 years and because it is a long -term contract , I mean it is always good to capture the business up front . So I think this year has been a year of low cash flow , but as Prachur said I think we are engaging with the customer and especially after their good development on the fund raise and so on , there is a possibility that

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our cash flow situation might improve in FY 2025 in which case certainly dividend will be an important consideration and our Board will take the call at the right time , Sachin.

Mr. Sachin Salgaonkar – BofA /Mumbai

Thank you . Just a followup out there by what time could we get more clarity in terms of the incremental business you guys are getting or you know when the pending dues will be cleared , is it a few months or there could be a risk that this might move on to may be a few quarters .

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

We are working with the customer so I cannot commit time but from our point of view now that the fund raise has occurred , we expect the discussions to happen sooner rather than later so I think we are already in touch with them so we will keep you posted as it comes . I can not give you a time frame right now but it should be quick .

Mr. Sachin Salgaonkar – BofA /Mumbai

Thank you and all the best.

Sunita – Moderator

Thank you very much Mr. Salgaonkar . The next question comes from Mr. Manish Adukia from Goldman Sachs , Mumbai . Mr.

Adukia you may ask your question now.

Mr. Manish Adukia – Goldman Sachs/Mumbai

Hi, Good Afternoon . Thank you so much for taking my questions . My first question is your comment around market share where you mentioned that you have had an increase in market share , just wanted to understand , this is pertaining to one large customer of yours or is it at an industry wide level? What I am trying to understand is are you also seeing share across the number one customer also in the industry or is it just restricted to Bharti Airtel from market share standpoint , that is one . And the second question on new rollouts from Vodafone Idea post their fundraise , is it safe to assume that most of these new rollouts will be in the form of incremental tenancies and you are unlikely to need to set up new towers for Vodafone Idea, just your thoughts on that.

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

So Manish on the first question I think the market share comment stands for the entire market . I think to be honest all the new tower growth is primarily driven by one major customer . So I would say the market share comment is holistic , so I think whatever new builds have been built in the market , we have taken a larger portion of the share because it has been driven by that one major customer . From a second question point of view , as I told earlier to Sachin as well that it is too early to say whether the rollout will be new towers or new tenancies and when the dues will get cleared so let us understand what the customer strategy is and then we will be able to give you a better position in terms of whether it is going to be new towers or tenancies so once we have the clarity we will come back to you .

Mr. Manish Adukia – Goldman Sachs/Mumbai

Sure, thank you for the color. Just a clarification on the first response of yours . So from our understanding last 12 months have also been a period of incremental rollout of 5G for Reliance Jio as well , so basis your comment like I am just trying to understand because you also would have rolled out a number of towers in the last 12 months and your rollouts are pertaining to only one customer so how would that translate to industry wide market share just trying to reconcile that .

Mr. Prachur Sah – MD & CEO - Indus Towers Limited

So, Manish , I think there are two separate aspects - one is the new build rollout which is not driven by the 5G rollout . There are two aspects of the rollout one is the 5G rollout which typically happens on the towers that is already on the ground, which comes in the form of loading that happens on the existing towers so whichever customer be on our towers , we have rolled out 5G for both the

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customers wherever we have tenancies. When I am discussing market share, I am talking about the new build rollout which is not directly correlated to a 5G, but a regular rollout which serves the 4G and 2G customers, so I think that is the market share I am talking about is the new build towers.

Mr. Manish Adukia – Goldman Sachs/Mumbai

Understood thank you so much for clarification. All the best.

Sunita – Moderator

Thank you very much Mr. Adukia. The next question comes from Mr. Arun Prasath from Avendus Spark, Chennai. Mr. Prasath you may ask your question now.

Mr. Arun Prasath – Avendus Spark/Chennai

Good afternoon, thanks for the opportunity. Sir my first question is you mentioned that there is a receivable increase mainly because the collection happened in April so can you just clarify, is it not the case in the last quarter also you will do the billing by quarter end and the collection will happen in the next, so is it the recurring phenomenon or is there anything one time which has led to the receivable increase.

Vikas Poddar – CFO – Indus Towers Limited

So, Arun I think just to sort of refresh the memory, last quarter there were sort of two things that happened. We collected some part of the overdues or the backlog and at the same time there was an interest adjustment and as a result there was basically an increase in receivables on account of that interest adjustment as well. So, this time in this quarter there is basically not much of that interest adjustment. It is more about the collection which has happened in April, but the implication of that on our provision has been recognized in Q4 itself so that is why you see some amount of receivables increasing, but that is only timing because we have already collected the amount in the month of April.

Arun Prasath – Avendus Spark/Chennai

Okay just to get better clarity suppose your billing is for Rs.100 and if the customer is paying say Rs.105, Rs. 100 you will collect it you will want it towards the current invoice and Rs.5 you will reverse the previous provision, directionally is the right way to think?

Vikas Poddar – CFO – Indus Towers Limited

Sorry could you just repeat that again Arun.

Arun Prasath – Avendus Spark/Chennai

So, if the billing is happening for say Rs.100 and the collection is happening for Rs.105, the Rs.5 will be the reversal in the provision is the right way to think directionally.

Vikas Poddar – CFO – Indus Towers Limited

Yes, so anything which is more than 100% is basically applied towards the old receivables for which we are carrying provisions so that leads to write back of provisions.

Arun Prasath – Avendus Spark/Chennai

So, your 100 % calculation is on the amount due or of the amount invoiced ?

Vikas Poddar – CFO – Indus Towers Limited

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Yes, Arun , basically this 100% is based on the average billing so there are certain nuances to this. I suggest maybe we can take you through the reconciliation offline , but all I want to mention is in this quarter we have collected more than 100% and that has resulted in some provision write back as you can see in our P&L.

Arun Prasath – Avendus Spark/Chennai

Thank you and cumulatively so far since this receivable issue started, we had provisions cumulatively around Rs.5,500 Crores? Of that we have collected around Rs.370 Crores in this quarter that is the bottom -line right, and we will expect to collect more out of this Rs.5,500 Crores in the coming quarters ?

Vikas Poddar – CFO – Indus Towers Limited

So, I think broadly and directionally you are right but like I said I mean if you want very specific recon of the numbers we can take it offline , but yes directionally you are right, there is a reduction in our provisions. The original number was Rs. 57 billion. It is now down to Rs. 54 billion.

Arun Prasath – Avendus Spark/Chennai

Understood. Now secondly if you look at your one of the large customers, if you look at the RHP document which is talking about the utilization of the funds it does not talk about the repaying operational vendors like us . It is talking about future capex so where is this confidence that we will be able to collect ? Is it because it does not look like it will be paid through the fund raised so it has to come from the natural operational cash flows for the customer or do we have some other way of collecting ?

Prachur Sah – MD & CEO - Indus Towers Limited

Arun to be honest I think I would not guess on behalf of the customer in terms of how the overdues will be cleared . I think we are working with them on how the over dues will be cleared but where the cash comes from, I do not think we will be able to comment on

that one . So our confidence comes from the fact that we are engaged with them to see how the overdues can be cleared and we will keep you posted .

Arun Prasath – Avendus Spark/Chennai

Okay and lastly on the growth that we are we are anticipating because the customer will do more capex on expansion from our side all our towers which we have done in the past does it require some additional capex to support more loading in anticipation of this customer expanding or that part of the capex is done and our capex is more towards the new sites?

Prachur Sah – MD & CEO - Indus Towers Limited

No Arun , even in loading based on the site configuration there may be some capex required . So I think there is not a general statement that I can give. It is based on the site-by-site configuration on what is required on the site to provide the additional loading . So I think in some sites it may be lower but some sites may be higher as well, so I think it is a mix .

Tejinder Kalra — Chief Operating Officer – Indus Tower Limited

Yes, just to add on to what Prachur said obviously every tower has a certain loading capacity and you know with various tenants on the tower different loading capacities are utilized so depending upon what new requirement comes from this customer either we strengthen or a little bit of incremental capex or no capex could be a situation but depends upon tower to tower .

Arun Prasath – Avendus Spark/Chennai

Understood so all this means that we are kind of nearing peak capex and possibility of say the dividend will also be there given that the uncertainty is more or less now reduced , that is a fair assumption ?

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Prachur Sah – MD & CEO - Indus Towers Limited

No I think for the dividend Vikas already answered the question . As we said I think our elevated capex remains and we have a visibility for the next few quarters as well where the rollout momentum will continue and depending on how the over due clearance or when the over due clearance happens , I think that will be a discussion that will happen in the Board in terms of how we can give the dividend.

Arun Prasath – Avendus Spark/Chennai

Alright fair. Thank you very much and thanks for the clarification. All the best.

Sunita – Moderator

Thank you very much Mr . Prasath . The next question comes from Mr . Kunal Vora from BNP Paribas , Mumbai . Mr. Vora , you may ask your question now.

Kunal Vora – BNP Paribas/Mumbai

Sorry I was on mute. Sir, my first question is on the average rental per tenant for

FY 2025 , how should we look at that number

trending ? Directionally will it be stable or increase or decrease if you can just tell us based on like whatever renewals are coming up

and your expectation on average rental.

Vikas Poddar – CFO – Indus Towers Limited

So, I think ARPT , Kunal , has been fairly stable. I think except for one factor which is within our macro also you know we have

different designs of towers and as a result there is a mix impact that we see and obviously the new rollout is leaning more towards

designs that are more agile and nimble and as a result carry a lower rental so to that extent there are some minor movements in the

ARPT but otherwise ARPT other than the mix is fairly stable so no major movement anticipated there .

Kunal Vora – BNP Paribas/Mumbai

Sir, for the old macro towers do we see some rental escalation every year? I understand the mix part that new towers are coming

with like slightly lower rentals but for the older towers ?

Vikas Poddar – CFO – Indus Towers Limited

The older towers are basically following the MSA construct and we have the normal contractual escalations built in so they go through the normal MSA process .

Kunal Vora – BNP Paribas/Mumbai

Which is what , around 2 .5% annual escalation?

Vikas Poddar – CFO – Indus Towers Limited

That is right.

Kunal Vora – BNP Paribas/Mumbai

Understood okay and on capex , I understand you already discussed but like just if you can provide like what kind of visibility do you

have at any point in time ? Is it for three months, six months, one year, so like we will get at the beginning of FY 2025 it will get like

the orders for 15 ,000 to 20,000 towers put together which is like the key tenant might be willing to add over the next one year so if

you can provide what kind of visibility do you have for FY 2025 compared to FY 2024 , and also if the tower additions get back to the

run rate which you had earlier which is what you had in FY2021, FY 2022 and FY 2023 would the capex also come down sharply by

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like say 50% maybe in second half of FY 2025 or FY 2026? What kind of decrease you can see as and when the tower additions moderate ?

Prachur Sah – MD & CEO – Indus Towers Limited

Kunal I can tell you that normally as any Company , we also work with our customers to get a forecast for the year , so I think as Vikas mentioned in the commentary , the order book looks very strong for the remaining part of the year , so I think the capex will remain elevated for the next few quarters and by the time the year ends , we will get more understanding on the customer plans for the subsequent years so I think FY 2025 s till remains a high rollout year for us in terms of towers .

Kunal Vora – BNP Paribas/Mumbai

Understood as strong as FY 2024 or even stronger or like you can provide some color on this ?

Prachur Sah – MD & CEO – Indus Towers Limited

I think Kunal we hope to be stronger, but I think it remains quite uncertain .

Kunal Vora – BNP Paribas/Mumbai

Understood okay I will not probe further on that . The last question , you can talk about like the MOU which you signed with NTPC on renewable energy -based power project , how does it align with like what you are doing and what would be the return expectation ?

Prachur Sah – MD & CEO – Indus Towers Limited

Yes so I think Kunal , the MOU that we have signed actually as I mentioned one of the key deliverables both in terms of energy , cost efficiency and our ESG commitments , our plan is to increase the renewable portfolio and as you know the Green Open Access policy has been rolled out and 12 states have adopted it , so directionally with this MOU what we are looking at not just with NTPC , with other players as well on how we can get into an agreement with them on the Green Open Access based on the capacity they have and how we can get both the arbitrage and improve on carbon footprint , so I think it is an initial MOU. We will see how we can deploy at scale and increase our renewable portfolio across the board .

Kunal Vora – BNP Paribas/Mumbai

Can you help me understand the financial implications - what kind of capital deployment might happen ? Whether there will be any revenue implications or is it not really material from modeling perspective ?

Prachur Sah – MD & CEO - Indus Towers Limited

No, I think it will impact the cost efficiency. The exact numbers of capex and how much will be the cost is probably the next stage of the MOU right depending on which state we deploy because every state has a different tariff structure and also the agreement of the PPA price with the players . So I think I can not comment on exactly what the benefit would be but as we move forward on the next

stage from the MOU , we will be able to go state by state and quantify what benefit we will get from both cost efficiency perspective and carbon.

Vikas Poddar – CFO – Indus Towers Limited

Yes, just to add I think this is a bit early stage as far as our initiatives on Green Open Access or renewable energy is concerned . So

I think the commercials on both sides , on the renewable Company side as well as on our customer side , they need to be sort of
firmed up and that is going to take some time so that is work in progress . So I think in terms of the financial impact and so on it will
be too early to really call out anything but as and when we sort of make progress on this we will update you .

Kunal Vora – BNP Paribas/Mumbai

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Understood but just like say follow -up on that like you had an older initiative you are working on Smart Cities like where is that now?

I mean like it has been many years now we have not really heard much about it . Is it having any impact at all or it is not something
which is a priority now ?

Prachur Sah – MD & CEO - Indus Towers Limited

I think to be honest Smart City and Green Open Access are not related but just to give you an update on Smart City. Smart City as a
project even from the GOI, Government of India side as well has taken a little bit of a back seat so whatever our commitments were
made on the Smart City, we have executed and whatever revenue but it is not material enough but I think the Smart City initiative
was very much dependent on what the Government of India was planning to do. I think that has scaled down a bit so I think
whatever limited we have in terms of our scope we are executing .

Kunal Vora – BNP Paribas/Mumbai

Understood. That is it from my side. Thank you, Sir .

Sunita – Moderator

Thank you very much Mr . Vora . The next question comes from Mr. Vivekanand Subbaraman from Ambit Capital , Mumbai .
Mr.
Subbaraman you may ask your question now.

Vivekanand Subbaraman – Ambit Capital/Mumbai

Thank you for taking my question . For this dues pending operator , so when they expand their network do they have a
choice of
expanding their network in terms of population coverage expansion only through lean sites and not through macro towers ,
that is
question number one . Secondly as far as the overdue amounts are concerned how should we think about that amount and

the aging
of that ? I understand that there is some amount th

at is there in the trade receivables segment or reporting and then there is a
balance sheet provision also that has been made so there has been amounts that are written off so in your discussions with
this
operator how are the payment terms being worked upon and is there any discussion on the ac crued interest as well ?

Tejinder Kalra – COO – Indus Towers Limited

Vivekanand , I will just take the first part when you say whether they have a choice to do the expansions onl y through lean
towers
and so on. S ee typically different types of tower structures have a coverage need or a capacity need or what kind of terrain is
to be
covered and since the operator will plan their network depending upon where they want to strengthen their network , I do not
think it
is one type of structure that would suffice . They would need multiple solutions to bring in that capacity or coverage need and
therefore to our understanding different types of structures would be required . We have a full portfolio so whatever the
customer
needs to expand their network and coverage and capacity we have all the solutions available to support them and therefore
we are
at least fully geared up to do that.

Prachur Sah – MD & CEO - Indus Towers Limited

On the second question Vivekanand as I answered earlier , I think the terms of payment and the overdue clearance , I think
we are in
discussion with the customer. I would share it as we have a more firm answer and as we get the overdues cleared . So I think
I
cannot comment much on the structure per se at this time , from an unwin ding point of view.

Vivekanand Subbaraman – Ambit Capital/Mumbai

Okay fair enough. J ust one follow up on the macro towers versus lean tow ers point so currently you have lean co-locations
of
around 11,000 but when you look at the total towers that you have they are around 2.2 lakhs so from your vantage point the le
an
towers as a percentage of the total portfolio that you have is not very significant right so it is maybe just 5% of the portfolio but
as a
percentage of let us say an operator's network is this much bigger in percentage terms ? Is it like operators now have 10 % to
20% of
their network on lean towers? I am just trying to understand the other side so that when we look at the rollout plans of let us
say the
third operator now that they have the funding how to think about the incremental tenancy for you on your macro towers where
you
are incurring large amount of capex and on the lean towers ?

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Tejinder Kalra – COO – Indus Towers Limited

See, let us put it this way. As I said, different towers have different capabilities. A macro tower gives a larger height. It gives a
larger
throw and therefore depending upon what frequency they are radiating on they wil I need certain number of towers. We can
do a
wider coverage through a taller tower. Leaner towers o bviously have much lower height. T hey have a smaller configuration ,
smaller

loading capacity and so on. Therefore depending upon where they are going to expand whether it is rural or semi-urban or whatever typically macro sites are a better solution. If one is just trying to add capacity into a dense area and so on, leaner tower is the solution so as I said earlier it will clearly depend upon where they want to focus, what pockets they want to densify and grow and therefore different solutions for those kind of needs.

Prachur Sah – MD & CEO - Indus Towers Limited

I think but the portfolio will remain balanced.

Tejinder Kalra – COO – Indus Towers Limited

That is true. We have not seen across operators a big swing in terms of lean versus macro. It depends upon where they want to add capacity or coverage.

Vivekanand Subbaraman – Ambit Capital/Mumbai

Fair enough. Just pressing a little bit on the provisions and the receivable from this operator right so the way to think about collections from them now is to look at your trade receivable which is there on the balance sheet and the amount that you provided for against bad debts both right you are looking to recover? I am just trying to understand that when you say that you are confident of recovering this amount, I am trying to understand whether this includes the amount that you have written off from the balance sheet and the balance sheet recorded trade receivable or is it just the trade receivable on the balance sheet.

Vikas Poddar – CFO – Indus Towers Limited

No, you are right Vivekanand I think obviously the recovery will be the gross figure. By the way I mean technically we have not written off any receivable. We have only provided to de-risk our balance sheet, but we are very much pursuing the payment of full amount.

Vivekanand Subbaraman – Ambit Capital/Mumbai

Right okay that is very clear. I think there are some media reports that are perhaps carrying an erroneous number in terms of outstanding? I mean if you clarify on this then it will certainly help in the general public's understanding of how much you can potentially recover from the said customer. Thank you so much.

Vikas Poddar – CFO – Indus Towers Limited

Yes sure I mean maybe offline if you can let us know Vivekanand which media reports you are referring to, we can certainly see how we can correct it.

Vivekanand Subbaraman – Ambit Capital/Mumbai

Sure, okay thank you thank.

Sunita – Moderator

Thank you very much Mr. Subbaraman. The next question comes from Mr. Sanjesh from ICICI Securities, Mumbai. Mr. Sanjesh you may ask your question now.

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Sanjesh Jain – ICICI Securities/Mumbai

Good afternoon all. I have got couple of them. The first is on the ARPT . I know you touched upon it but a little bit more clarification this quarter , it was flattish quarter -on-quarter despite single tenancy tower going up and we have a strong 5G loading which is adding to the revenue and not to the tenancy that means effectively it should reflect in ARPT but despite both the things we have a flattish ARPT? I understand that you said there is a change in the mix but again is that change so drastic that it is actually the rentals are lower than macro rental to an extent that it is pulling given the loading revenue effectively down in the ARPT conversion ?

Vikas Poddar – CFO – Indus Towers Limited

So if I take that Sanjesh I think we had sort of tried to explain this even some time back so basically in ARPT there are again lot of moving parts so of course there is a 5G uplift that we see in the ARPT , but at the same time there is a sort of downward pressure coming from the mix as I was explaining because most of the new rollouts that we are doing are low rental roll outs. There is also the element of every month and every quarter some tenancies coming up for renewal and we are sort of following the same framework we had signed with our customers back in FY2022 whereby we had given them some renewal discounts and so on so basically there are some of these main factors which are creating downward pressure and of course the loading is helping us so the net result is broadly we are seeing a very stable ARPT scenario .

Sanjesh Jain – ICICI Securities/Mumbai

Fair enough. Just one more on that what is the renewal tenancy expected to come up in FY 2025?

Vikas Poddar – CFO – Indus Towers Limited

Well, we have roughly 8 % to 10% of our portfolio getting renewed almost every year Sanjesh so we had a bulk renewal in FY 2022 and thereafter till about next two to three years we have pretty much 8 % to 10% or 12% coming up for renewal every year .

Sanjesh Jain – ICICI Securities/Mumbai

Okay so that phenomena will stay for say next another two to three years at least if not more ?

Vikas Poddar – CFO – Indus Towers Limited

It is an ongoing phenomenon I would say because I mean typically our contracts are 10 years and the Company has been in existence for longer than that and every year we have been building towers so there will be some renewal or the other every year so it is an ongoing phenomena .

Sanjesh Jain – ICICI Securities/Mumbai

Got it and this is getting renewed again for the 10 years right ?

Vikas Poddar – CFO – Indus Towers Limited

Yes, that is right.

Sanjesh Jain – ICICI Securities/Mumbai

So, the cycle remains very smooth and stable ?

Vikas Poddar – CFO – Indus Towers Limited

Yes, that is right.

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Sanjesh Jain – ICICI Securities/Mumbai

Second on the leaner towers, so we have been seeing smaller companies being quite more aggressive on the small cell side and we have seen numbers being quite strong for some of them. Where are we in this cycle? We earlier alluded that we were focused on rolling out macro sites so these small cells have for a while taken a back seat and you were still evaluating the business which you want to establish in the small cell. Now that you expect macro rollout to be stronger even for next two to three years is it fair to believe that small cell rollout would remain in the same range as what we are doing today?

Prachur Sah – MD & CEO - Indus Towers Limited

Sanjesh, first of all I think the rollouts for macro will continue as I said earlier. Now from a leaner tower perspective and small cell are two separate things. I think on the leaner towers while you mentioned that the smaller companies were making but I think we have done quite a big rollout on the leaner tower this year as well if I am not wrong close to 4,500 leaner towers in place so I would expect that we have bounced back very strong as far as leaner tower is concerned and we expect to do even better in the coming years in terms of percentage of share available. Now if you talk about small cells or indoor solutions as well I think maybe we were a little bit slow earlier but I think our plan remains that we will be aggressive while we do macro as well leaner towers so we remain hungry for the market share for the entire portfolio.

Sanjesh Jain – ICICI Securities/Mumbai

Got it. Just one last question from my side, any plans for the new business introduction? We have spoken this earlier? I think you were also intending to do some strategic meet to highlight the path for the Indus. Now that we will be generating good amount of cash flow do we have any more plans to build any business across the tower?

Prachur Sah – MD & CEO - Indus Towers Limited

Sanjesh as we mentioned earlier we will continue to look at all those opportunities as they come right and there are a couple of them that have been currently discussed with the board as well however given the fact that the current growth on the towers remains very strong, I think from an execution point of view the focus remains to grab the market share as it is an annuity business and we do not want to divert the focus but from a new business point of view the time will come when we will need to look at more and we are currently discussing and we will bring to you in case we do something substantial on that front ?

Sanjesh Jain – ICICI Securities/Mumbai

Fair enough. Thanks for taking my questions and appreciate all the answers. Best of luck for the coming quarters.

Sunita – Moderator

Thank you very much Mr. Sanjesh. At this moment, I would like to hand over the call proceedings to Mr. Prachur for the final remarks.

Prachur Sah – MD & CEO - Indus Towers Limited

Thank you, Sunita. So, to sum up, the year 2023–2024 was exceptional with record tower additions driven by our major customer's network expansion strategy and Indus' role as their trusted partner. Looking ahead, we anticipate to continue the expansion in the near term further bolstered by the ongoing 5G rollouts. We also look forward to the recent positive developments at one of our major customer's end. All in all, we have multiple growth levers in terms of new tower and co-location additions and increasing loading revenues along with improving collections against the past dues. We are confident in our ability to capitalize on these opportunities in a sustainable manner given our strong foundation. I again thank you all for joining the call. Have a good day.

Sunita – Moderator

Ladies and gentlemen, this concludes the conference call. You may now disconnect your lines. Thank you for connecting to audio conference service from Indus and have a pleasant evening.

Call: Aug 2024

Indus Towers Limited

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August 06, 2024

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400001 The National Stock Exchange of India Limited

Exchange Plaza, C -1, Block – G, Bandra Kurla Complex,

Bandra (E), Mumbai - 400051

Ref.: Indus Towers Limited (534816/ INDUSTOWER)

Sub.: Transcript s of the Earnings Call on the Company's performance for the first quarter (Q1) ended June 30, 202 4

Dear Sir/ Madam,

Please find attached the transcript s of Earnings Call conducted on July 31, 202 4 on the Company's performance for the first quarter (Q1) ended June 30, 202 4.

Kindly take the same on records.

Thanking you,

Yours faithfully,

For Indus Towers Limited

Samridhi Rodhe

Company Secretary & Compliance Officer

Encl .: As above

Final Transcript

Transcript of Indus Towers Limited First Quarter ended June 30, 2024 Earnings Conference Call

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Conference Call Transcript

Event: Transcript of Indus Towers Limited First Quarter ended June 30, 2024 Earnings Call

Event Date/Time: July 31st, 2024 at 14:30 hrs

Final Transcript

Transcript of Indus Towers Limited First Quarter ended June 30, 2024 Earnings Conference Call

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Mr. Arun Prasath
Avendus Spark/Chennai

Mr. Aditya Suresh
Macquarie/Mumbai

Mr. Vivekanand Subbaraman
Ambit Capital/ Mumbai

Mr. Sanjesh Jain
ICICI Securities/Mumbai

Mr. Tanmay Gupta
Motilal Oswal/ Mumbai

Mr. Yash Dalvi
Systematix/Mumbai

PRESENTATION

Sunita – Moderator

Good afternoon, ladies and gentlemen. I am Sunita, the moderator for this conference. Welcome to the Indus Towers Limited's First

Quarter ended June 30, 2024 Earnings Call. For the duration of the presentation, all participants' lines will be in the listen-only mode.

After the presentation, the question-and-answer session will be conducted for all the participants on this call. In case of a natural

disaster, the conference call will be terminated post an announcement. Present with us on the call today is the senior leadership team

of Indus Towers. Before I hand over the call, I must remind you that the overview and discussions today may include certain forward-

looking statements that must be viewed in conjunction with the risks that we face. I now hand over the call to our first speaker of the

day Mr. Prachur Sah. Thank you and over to you Mr. Sah!

Prachur Sah – MD & CEO – Indus Towers Limited

Thank you Sunita, and a very warm welcome to all participants. Joining me today are my colleagues, Mr. Vikas Poddar, CFO; Mr.

Tejinder Kalra, COO; and Mr. Dheeraj Agarwal, Head Investor Relations on the call. I am pleased to present our business performance

for the quarter ended June

30, 2024.

We are happy to see the robust performance we delivered in the previous financial year continue in the first quarter of this year as

well. Our tower additions continue to be strong, driven by our ability to maintain a high share in the rollouts of one of our major

customers. We would also like to highlight that we have made collections against the past over due for the third consecutive quarter

from a major customer while sustaining 100% collections against the monthly revenue.

The quarter was quite eventful with significant development taking place at the end of our promoter and customer. Vodafone PLC had

indicated monetizing its stake in Indus Towers in the past and sold off its 18% stake during the quarter. One of our major customers,

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Vodafone Idea successfully raised a substantial amount through equity funding and has also announced its plan to raise debt. Given

these developments, we remain confident of collecting our past dues and participating in the network expansion of the said customer.

Before I dive into specific areas of the business, I would like to take a moment to appreciate the perseverance and commitment of our

field force towards helping Indus achieve its vision of enabling connectivity across the nation. During the quarter our teams on the

ground braved challenging weather conditions including heavy rains to install towers in the hilly regions of Idukki and Wayanad in

Kerala amongst others. Their spirit truly embodies our mission of transforming lives through enabling communication.

On the regulatory front, the Government continues to take measures to speed up the deployment of telecom infrastructure across the

country while keeping sustainability in view. During the quarter, certain clauses of The Telecommunications Act 2023 were notified

including those related to public safety, SIM ownership and Right of Way for telecom infrastructure and came into effect on June 26, 2024. As per the recent announcement, the Government plans to notify all rules and provisions of the Act within 180 days. The Green Open Access policy introduced last year has been adopted by more than 15 states and we continue to work with various ministries for faster implementation of the same. We are also engaging in discussions with the Ministry of Petroleum and Natural Gas, IGL and GAIL to implement piped natural gas solutions at our sites in order to reduce our diesel consumption.

Moving on to 5G, the total number of 5G Base Transceiver Stations or BTS deployed now stands at almost 450,000 after an accelerated rollout by the operators within two years of 5G spectrum auction. We are pleased to see our loading revenues continue to increase and act as a fillip to our growth. After reaching a certain level of penetration probably over the next two to three years, 5G rollouts would require addition of towers primarily in the form of small cells to address network decongestion, which would aid the growth. We believe that we are well placed to leverage our expertise in order to capitalise on this opportunity.

The adoption of 5G by the end customer is also expected to be swift as highlighted by statistics mentioned in the Ericsson Mobility Report. As per the report, global 5G subscriptions are expected to reach almost 5.6 billion by 2029 accounting for approximately 60% of overall mobile subscriptions. In India subscriptions reached 119 million by 2023 and are estimated to touch 840 million by 2029 accounting for approximately 65% of total mobile subscriptions.

Fueled by the rapid rollout of 5G and the continuous shift of users from 2G to 4G networks, data consumption continues to experience a significant surge. For the top three operators, the total data consumption grew by 29% year-on-year for the March quarter, the highest growth witnessed in the last eight quarters. The average data consumed per user per month grew by 18% year-on-year to 25 GB in the same period. The rapid growth in data usage coupled with the widespread adoption of 5G presents a growth opportunity for the passive infrastructure sector. Being the leading passive infrastructure player in the country, we remain well positioned to address the resulting demand.

Moving to operational performance, we are pleased to see that our tower additions continue to be strong, underpinned by robust demand from one of our major customers and our efforts towards sustaining our market share in the business of the customer. We added 6,174 macro towers and 6,340 corresponding co-locations in Q1. The total macro towers and co-locations increased by 13.9% and 7.8% each on year-and-year basis to 2,25,910 and 3,74,928 respectively. Our tenancy ratio continues to be industry leading at 1.66. Addition of co-locations on leaner towers stood at 492 in Q1 and the overall base increased to 11,178 co-locations. Including leaner towers our net co-location additions were at 6,832 in Q1 versus 8,601 in Q4.

Shifting gears to the progress we have made on our four key strategic priorities namely market share, cost efficiency, network uptime and sustainability. Firstly, regarding market share, as highlighted earlier our quarterly macro and co-location additions continue to be robust. We remain our customers' preferred partner for their rollouts, which coupled with the initiatives we have been taking have helped us sustain our market share. During the quarter, we continued to work towards strengthening our partner ecosystem further supplemented by the digital solutions we have been implementing. To increase our penetration in urban areas, where space is a constraint, we took steps towards tailoring our product offering to offer the best value proposition to the customer. We anticipate continued network expansion by our major customer in the near term, providing us with growth opportunities. In addition, we are making progress on deployment of In-Building and Small cell solutions enabled by organizational change and capability

building to
deliver in a quick turnaround time.

Moving to cost efficiency, wherein we continue to take initiatives towards optimizing our operating and capital expenses. Reducing our diesel consumption has been one of our key focus areas and we managed to reduce our diesel consumption by 7% in Q1 on a year-on-year basis. Driving this reduction was our continued focus towards expanding our renewable energy portfolio. After setting up 14,000 solar sites last year, we continued the momentum and set up close to 7,000 solar sites in Q1. Supplementing this was the electrification of non-electrified sites and conversion of sites from indoor to outdoor. Additionally, prudent site and product selection coupled with negotiations with landlords continue to bear fruit and help us tighten our rental costs. Continuous improvement in resource productivity and technological interventions are also helping us optimize our network maintenance cost.

With regards to capex, we are working towards using more cost-efficient batteries with greater longevity in order to reduce overall cost.

Thirdly, network uptime, an important metric for the customer. We continued to improve the uptime and delivered a high level of uptime of 99.97% despite weather disruptions in Q1 which saw severe cyclones and heavy rains in the areas of West Bengal, Kerala and the Northeastern states. I would like to reiterate the dedication and commitment of our field force, which continue to raise the benchmark for itself.

Now moving to ESG, a
focus area for the organization .
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On the Environment front, we continue to make progress in our journey towards limiting our GHG emissions. As I earlier alluded to, our strong solar site additions during the quarter have taken the overall count to over 21,000. We continue to take initiatives to encourage the transition to electric vehicles for the business travel needs of both our employees and partners. We also recently introduced a carpooling application for employees for their work commute to reduce their carbon footprint further. To ensure sustainable practices across the value chain, we continue to monitor the disclosure practices of our partners and are happy to see improvements in the same.

With regards to our focus on diversity and inclusion, we are pleased to see our gender diversity remain strong at 11.2% in Q1. In addition to the numbers, we are looking to create equal opportunities for women across all levels from field operations to the management. As part of a CSR activity, we have partnered with local NGOs to conduct the cleanup drive for Rispana River in Dehradun where almost 200 kg of plastic was collected. Our digital transformation drive in association with NIIT Foundation continues to educate and upskill disadvantaged individuals.

Before I hand over to Vikas, I would like to state the buyback proposal that is approved by the Board is an indication of management's belief in the sound fundamentals of the business, its future outlook and our commitment to generate value for our shareholders.

I would now request Vikas to take you through the financial performance of the quarter ended June 30, 2024 and I look forward to your questions. Over to you Vikas! Thank you.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Thank you, Prachur, and good afternoon everyone. I am pleased to share with you the financial results for the quarter ended June 30, 2024.

So to begin with, I would like to reiterate our robust operational performance wherein we added 6,832 co-locations on our towers including lean towers during the quarter.

Moving to the financial performance for Q1 FY25, gross revenues increased by 4.3% year-on-year to Rs. 73.8 billion wherein the core revenues from rental grew by 7.0% year-on-year to Rs. 46.4 billion driven by the strong co-location additions and loading. On a quarter-on-quarter basis, our reported gross revenue and core revenue from rentals were up by 2.6% and 1.3% respectively.

Our reported EBITDA increased by 29.4% year-on-year and by 10.8% quarter-on-quarter to Rs. 45.5 billion. EBITDA margins were up 11.9 percentage points year-on-year and 4.5 percentage points quarter-on-quarter to 61.6%. In line with the trend witnessed in the past two quarters, we collected a sum against the past overdue along with the collection of 100% of the monthly billed amount from a major customer. This has resulted in write back of provision for doubtful debt and aided our profitability for Q1. Adjusted for an overall provision write back of Rs 7.6 billion, EBITDA increased by 5.5% year-on-year and was largely flat quarter-on-quarter due to higher seasonal energy costs in Q1 as electricity outage increases in summer months.

Reiterating what Prachur had said earlier, we continue to take initiatives to reduce our diesel consumption and work towards addressing the reconciliation issues, which should help minimize our energy costs.

Reported profit after tax grew 42.9% year-on-year and 3.9% quarter-on-quarter to Rs. 19.3 billion. Please note that Q4 of last year had a higher finance income

due to clearance of interest receivables of a major customer. Adjusted for the provision write back, PAT was largely flat year-on-year and declined 10% quarter-on-quarter.

The reported pre-tax return on capital employed and post-tax return on equity for the rolling 12 months were at 20.9% and 25.7% respectively. We generated free cash flow of Rs. 18.7 billion in Q1, on account of higher collections and lower capex. Trade receivables decreased by Rs. 7.3 Bn primarily due to the better collections.

We continue to engage with our major customer to finalize a payment plan and are seeing a regular collection of our past overdue.

We are also having positive discussions with the customer on participating in its network expansion plan following its fundraising and expect to see co-location additions this year.

In summary, we are pleased to see the momentum in tower additions witnessed last year continue in this quarter as well. Our financial performance continues to be aided by strong additions and collection of past dues. We remain optimistic about our growth outlook in view of network expansion and 5G rollouts by our major customers. Our cash flow situation should also improve further with a sustained collection of the past overdue. With this I would now request the moderator to open the floor for questions and answers. Thank you.

Sunita - Moderator

Thank you very much Sir. We will now begin the question-and-answer interactive session for all the participants who are connected to audio conference service from Airtel. Due to time constraints, we would request if you could limit the number of questions to two to enable more participation hence, management will take only two questions per participant to ensure maximum participation.

Participants who wish to ask questions may please press “*” and “1” on their touchtone enabled telephone keypad. On pressing “*” and “1” participants will get a chance to present their questions on first in line basis. To ask a question participants may please press

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“*” and “1” now. The first question comes from Mr. Sachin Salgaonkar from BofA Mumbai. Mr. Salgaonkar you may ask your question now.

Sachin Salgaonkar – BofA Mumbai

Thanks for the opportunity. Congrats on a good set of numbers. My two questions are, first question again just wanted to understand on this buyback a bit more. One way to look at it is we have still not received full dues from Idea and there was this intention to return back cash to shareholders whenever we receive full dues from Idea. So, is it fair to say that whenever let us say Idea raises debt on back of which it returns the past dues to Indus, Indus could think about another dividend or another potential buyback to return cash back to shareholders. Is that a fair assessment or something has changed after the recently announced buyback?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Sachin thanks for the question. I think just to give you a bit more details on the buyback of course there are a couple of reasons but I think the overall objective of this buyback is of course to basically distribute cash. So as you know we have not been able to pay dividend in the last two years but the fact that we have started collecting our past dues gives us the confidence in the free cash flow improvement going forward so that is one of the important reasons. The other reason is also the fact that we do see buyback as a tax efficient way of distributing cash for a large group of our shareholders especially in the current tax regime because from October 1, 2024 with

the change in tax regime things may not be the same. From a Company perspective it certainly improves the financial ratios for us and it also helps us in preserving our distributable reserves to some extent for any future dividend.

On the second part, basically as far as after this buyback scenario is concerned obviously like I said there is more confidence in our free cash flow generation going forward. Our dividend policy continues to be linked to free cash flow. So at the end of the year we will continue to assess our free cash flow situation and if the situation permits then there is a possibility of considering dividend again.

Sachin Salgaonkar – BofA Mumbai

Thank you so much for the comprehensive answer. My second question is again wanted to understand I know you guys cannot speak on any forward-looking statement but in a very simplistic manner the way to look at it is your core revenues for the last few quarters have grown in the range of 7% to 8% and this is mainly on the back of one customer giving a good business. So is it fair to assume that whenever business picks up from Idea we should see an acceleration on the growth from current levels and that should also be a bit margin accretive because this is at the end of the day an incremental tenancy improvement which is being seen?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Sachin I think you know all our customers . We don't want to restrict to the two customers that you mentioned . We are looking at opportunities across all the customers . So as I mentioned in my commentary , the growth looks strong. We have a strong order book and depending on how we progress with other customers in terms of tenancies as well yes while I cannot give you a percentage but I think I am looking forward to continuing strong growth .

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Sachin from a margin perspective of course second tenancy onwards is high operating leverage for us so certainly it is going to be margin accretive .

Sachin Salgaonkar – BofA Mumbai

Got it. Very clear and all the best. Thank you.

Sunita - Moderator

Thank you so much Mr Salgaonkar . The next question comes from Mr. Kunal Vora from BNP Paribas/ Mumbai. Mr Vora you may ask your question now.

Kunal Vora - BNP Paribas/Mumbai

Thanks for the opportunity. The first one on the energy margins you did mention that there was a problem this quarter but in the past what we have seen is that you recovered some of this money with a lag so would you expect this to happen because this quarter energy margins are significantly more negative compared to what you typically see ?

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Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Kunal let me just put some perspective on this , like I had explained earlier also . I think our negative margin is a result of various issues that arise largely because of difference between our expected cost and what the actual cost is and like I explained earlier I think these costs can vary because of several factors right , the seasonality, there is sometimes high diesel consumption due to weather disturbances, there are some timing differences in electricity bills and so on . So it is possible that we will have these fluctuations on a quarter -on-quarter basis . However, I think what is really best to do is look at energy from a full year perspective . So this quarter, Q1 particularly we certainly have seasonality issues because of E B availability and some of the cyclone and flood situations in some states a

and so on, but at the same time as Prachur said I think we are sort of still driving a lot of costs out in terms of diesel and so on . So I think from a full year perspective , we will try to achieve whatever our ambition is but certainly first quarter is a bit of seasonality issue.

Kunal Vora – BNP Paribas/Mumbai

So on a full year basis you will expect what like slight negative number or do you think it is possible to get to a breakeven on energy?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

I think certainly the long -term ambition would be to sort of reach a breakeven but there are obviously operational issues and so on that we need to keep sorting so to that extent I think there will be some negative always. We will just try to build up on t hat and try to improve that situation year -on-year.

Kunal Vora – BNP Paribas/Mumbai

Thanks and second one do you see any synergy benefit between tower business and data center business . There have been some news report s that Airtel might look to merge these business es. I am not asking about your thoughts on the merger but just wanted to understand your th oughts on whether there is any s ynergy benefit at all between a data center and a tower business?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

To be honest I think Kunal it is a bit premature or ear ly to discuss this. We have not done any analysis per se from the synergy point of view . At the end we are an infrastructure Company , so we evaluate whatever opportunities are there. If there is something that we can add value to but at this time I w ould not be able to tell because we have not done analysis from a synergy opportunity point of view.

Kunal Vora – BNP Paribas/Mumbai

Understood and just one last one if I can? We have seen receivables decrease this quarter as things normalized at Vodafone Idea , where do you see the receivable d ays stabilizing?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Well like we said Kunal we are working on finalizing a payment plan. Obviously for the last three quarters we have seen colle ction of past dues. Sometimes there are also timing differences in the receivables so I think where we see it stabilizing is probably a few months down the line but it is very difficult to put a very concrete timeline because the discussions are still ongoing.

Kunal Vora – BNP Paribas/Mumbai

Just wanted to understand that like normal receivable days like say where do you see the normal receivable days like it might take two quarters, three quarters or four quarters whatever but what will be the aspiration in terms of receivable days once things normalize ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Our aspiration is always to get it done right away but I think we are working with our customers to see how we can do this quickly so again as I said I will not like to put a date on it but as you have seen good progress in the last quarter I think we expect to gain more momentum in the coming quarters and hope to unwind as quickly as possible.

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Kunal Vora – BNP Paribas/Mumbai

That is it from me. Thank you very much.

Sunita - Moderator

Thank you very much Mr Vora. The next question comes from Mr. Arun Prasath from Avendus Spark/Chennai . Mr. Prasath you may ask your question now.

Arun Prasath - Avendus Spark/Chennai

Good afternoon . Thanks for the opportunity. My first question is on the new tower orders from Vodafone . So they have indicated they will be expand

ing their tower base to 20,000, 30,000, 40,000 numbers that they are talking about so apart from the ROF R that we have with this customer , what is our right to win because for your major competition also it is a very high operating leverage play so they can also offer a lower rate . So what is our strategy to gain maximum market share from this expansion from this customer ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

I think our strategy remains for all the customers even for our current major customer . Our strategy is to make sure we deliver a commercially competitive offer from a tower point of view and then offer a service that offers a robust uptime and a delivery to them .

So, that remains our focus in terms of delivery and of course the third element is the turnaround time . From the time any customer ask us for delivery and we should be able to turn it around so not specific to any customer . I think we have made a good impact in

FY2024 in our market share compared to FY2023 . We significantly changed our way and we want to continue the momentum for all our customers .

Arun Prasath - Avendus Spark/Chennai

What is realistically the market share that we can expect from these new tower orders from the customer ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

I will not give a number. As a Company our target remains to gain the maximum market share possible , but I would not like to quote a number on outlook of tenancies .

Arun Prasath - Avendus Spark/Chennai

But what I am trying to understand is the way to gain market share or retain the market share is by discount gain because the other party is also fairly good in turnaround time and that keep every parameters that we are talking about . So is the discount only way to

retain the market share?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

No I do not think that is the only way. I think again it is a comparative result so we will do whatever we can to get market share .

Tejinder Kalra – Chief Operating Officer – Indus Towers Limited

Arun just to kind of add a little more to what Prachur just said. So while commercial of course is one way of addressing the opportunity , we have a performance that we have delivered over the years to the customer. We have a total cost of ownership that we address to our customer . I think the speed of delivery and speed to market is another strong element that we have demonstrated to all our customers in the past so given all this is a comprehensive package, which Indus brings to the table and that is the differentiation the customers also see and the reason why they have given that kind of business to us so we are banking on that and we are very confident that this should be a win-win proposition for us as we go forward as well .

Arun Prasath - Avendus Spark/Chennai

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Understood . Just to understand at least in the past can you share what is the market share on the macro tower side , our market share , market share wins?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

I think if you see at an overall macro tower count perspective we are probably 50 % to 60% of the total macro towers in India. I think that is the number that I would be looking for . 45% to 50% I think that is the number that we are currently there .

Tejinder Kalra – Chief Operating Officer – Indus Towers Limited

That is on a pan India footprint .

Arun Prasath - Avendus Spark/Chennai

S

so our endeavor is to maintain this , that is what we can understand from you?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

I think that's the current status .

Arun Prasath - Avendus Spark/Chennai

I will move on to my second question . So secondly if we look at your sharing revenue per operator it has been constantly decreasing quarter -after-quarter but where we can expect this number to be stabilized at the portfolio level ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

There are various moving parts as to why the ARP T number moves . It is not that it has been declining significantly every quarter . I just want to comment on the movement in this quarter versus last quarter and particularly in this quarter the reason is in Q4 we get a lot of these taxes from municipal corporations and property related taxes and so on and that gets passed on to the customer s o that gets bi lled to the customer and accordingly the ARPT has some up tick from these rates and taxes. In Q1 there is a slowdown in these rates and taxes billed back to the customer so as a result there is this nuance where there are these minor changes from a quarter - on-quarter perspective and like I said there are several other moving parts, which may not have impacted this quarter but there is also the mix angle because we do not make only one type of towers . We make several types of towers so recently as we have been making towers which are lower capex, more frugal, etc., and obviously those have lower rents and so on . So, I think there are various things but broadly if I were to single out a reason that is because of the seasonality in rates and taxes .

Arun Prasath - Avendus Spark/Chennai

Right and regarding the remaining contracts it will be where the new rate will be passed on, we will complete by this year or there will be some pending in the next year as well ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Sorry your question is not clear Arun.

Arun Prasath – Avendus Spark/Chennai

I was asking about the new contracts where the yields were lower , the remaining contracts so that is also contributing to the reduction ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

No not in this quarter so much. Li ke I said every quarter has its own reaso ns. This quarter the primary reason is the rates and tax es seasonality.

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Arun Prasath – Avendus Spark/Chennai

Sir what is the pending amount of contracts which is yet to be renewed because two years before we had around one third and then over the last two ye ars we renewed majority of that?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

We have answered in the past Arun . There are basically some contracts that come up for renewal every year . So, if you refer to the

past calls you will get the answer. Thank you.

Sunita - Moderator

Thank you very much Mr. Prasath . The next question comes from Mr. Aditya Suresh from Macquarie/ Mumbai. Mr. Suresh you may ask your question now.

Aditya Suresh – Macquarie/Mumbai

Thank you so much and good afternoon . My first question is more on the competitive dynamics in the context of looking to acquire or consolidate ATCs operations and given that they also sponsor for Summit . I was just curious to understand what the dynamics have been for you in terms of tenancies from Jio on your network and how should we think about this going forward ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

I thi

nk we still maintain a good tenancy number with Jio and that is continuing but I do not think there is anything else per se to add.

Aditya Suresh – Macquarie/Mumbai

I guess the question more framed along the lines of Jio has lots of tenancies at the urban sites with Indus. Are we seeing any kind of tenancy erosion there as Brookfield looks to expand its tower footprint ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

There is nothing out of the ordinary that I can call out .

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

It requires a lot of network reconfiguration and there are various other activities Aditya . So to that extent , I think so far the situation is quite stable . So we do not really see any major dynamics happening.

Aditya Suresh – Macquarie/Mumbai

Thank you and the second question was more on the fuel cost and you mentioned this a few times in the call but I just want to understand whilst your diesel consumption was done your kind of spoke about this just in absolute terms it seems like in sequentially quarter -on-quarter your power and fuel cost is up fairly meaningfully - what explains this sorry if I missed the understanding ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Typically Aditya the fuel cost quarter -on-quarter would increase because of the volume that has increased . If you look at the number of towers that we have added every quarter so the absolute cost is going to grow in proportion of the volume . So the growth of the fuel cost line is an impact from the volume point of view as well .

Aditya Suresh – Macquarie/Mumbai

And this under recovery which was question which was previously asked that you would expect to normalize in the upcoming quarter

as well . Is that a fair understanding ?

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Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

And that is what Vikas earlier explained that you know Q1 has some seasonality effect , and we will see how to make sure that it normalizes over a period of time.

Aditya Suresh – Macquarie/Mumbai

Thank you so much.

Sunita - Moderator

Thank you very much Mr. Suresh. The next question comes from Mr. Vivekanand Subbaraman from Ambit Capital/ Mumbai. Mr Subbaraman you may ask your question now.

Vivekanand Subbaraman – Ambit Capital/Mumbai

Thank you very much for the opportunity. Two questions - Vodafone PLC with 3% shareholding , is it still categorized as a promoter ? I just wanted to understand what is the condition under which they will exit as a promoter . Will they still be categorized as promoters with very low shareholding that is one , and related point is have the promoters indicated whether they will participate in the buyback or not so that is question one , second question is this quarter you rolled out around 6,000 macro towers higher than last year same quarter yet your capex is down around 15% year -on-year so how do you reconcile this and on a related note since you have order book visibility from Airtel , can you help us understand how many macro towers or lean sites you are likely to add this year ? Thank you so much .

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

I will try to answer all the four questions that you asked so first let me go back to the tower count. Capex is a combination of towers, upgrades and replacement so I think compared to last year that may be a combination that is showing the effect right . There is no specific reason per se on just because of tower count the capex I think it is a combination of all these factors and I think last year Q1 there was a larger rollout of 5G as well so that could be a reason for the capex on that one. On the other question they will still be called a promoter . There are certain SHA causes that are there that give the timeframe so I believe they would still be called a promoter . I will let you know the exact timeline till which that is going to be the case but I think they will still be called the promoter to a certain date.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

So on the other point regarding the promoter participation in the buyback , I think just like other shareholders even the

promoters have the right to participate in the buyback. We have already disclosed that one of our major promoters has decided not to participate so that is already disclosed, and we will get to know their full status only when the offer opens eventually.

Vivekanand Subbaraman – Ambit Capital/Mumbai

Right there was one thing you missed so you mentioned that these factors - tower additions, upgrades, replacement and perhaps more cabinet space for 5G these are factors driving capex, would you have visibility on how many towers would you end up rolling out in FY 2025 since you may have some sort of order book from Airtel?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

I think rather than giving a number because I think the customer plans are in place. All I can say is that we continue to have a robust growth plan from not just one customer, from other customers as well. So the momentum I believe will continue for the next foreseeable few quarters. So if there is any change we will let you know but I think we have still retained a strong order book for the next three quarters.

Vivekanand Subbaraman – Ambit Capital/Mumbai

Thank you so much. All the best.

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Sunita - Moderator

Thank you very much Mr. Subbaraman. The next question comes from Mr. Sanjesh Jain from ICICI Securities/ Mumbai. Mr. Jain, you may ask your question now.

Sanjesh Jain – ICICI Securities/Mumbai

Thanks for taking my question. I got few clarifications from earlier comment. Prachur you said that you are working on some cost efficiency in the batteries can you elaborate on that please?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Sanjesh I think there are many elements. First is the type of batteries. Secondly in the past the technology limited the form factor of the batteries in terms of how big a minimum module of the battery was available so these are the things that we are trying to work on. The kind of batteries and the form factor of the batteries on how we can modularize the things better so these are the things that we are looking at and of course leveraging our volume from a supply chain point of view to get our per unit price down. So I think these are three to four things that potentially helping us or working towards reducing our costs.

Sanjesh Jain – ICICI Securities/Mumbai

But will this have any material impact on the capex number we are looking at per tower because of this ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Sanjesh I think at the end as I mentioned this is part of our cost efficiency efforts right so whether it is going to have a material impact

or not , see the fact is we are a large infrastructure company. Any saving that we do will always have a material

impact if we can scale

it up so I think from a cost efficiency point of view this is one of the initiatives and I expect once we deploy it at scale , it will be material

enough over a period of time because it is something that we replace very regularly as well.

Sanjesh Jain – ICICI Securities/Mumbai

Fair enough. Second on the receivable days, I think overdues are being provisioned that means the receivable days what we see

because we said that all customers are paying on time that means in terms of what we report in the balance sheet receivable days

that is more sustainable number right?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Yes that is right Sanjesh.

Sanjesh Jain – ICICI Securities/Mumbai

That is fair assumption right.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Yes that is right.

Sanjesh Jain – ICICI Securities/Mumbai

There is no deviation from that thought process , correct ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Yes.

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Sanjesh Jain – ICICI Securities/Mumbai

My last question again a last bookkeeping question a bit . The depreciation which is excluding the lease liability impact in the depreciation and amortization , that tends to be declining for last two quarters while our capex remain to be very healthy what explains

the falling depreciation ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

So I think there was some catch -up depreciation in the previous quarter . So to that extent the depreciation that we reported in last

quarter was slightly higher and that is why it looks flat quarter -on-quarter despite the new rollouts that we have done.

Sanjesh Jain – ICICI Securities/Mumbai

Okay because I think in last four quarters it has been a little volatile and been broadly around Rs. 960 Crores while capex continues to be healthy so in terms of modeling , we should be looking at this number to be going up right sequentially ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

So Sanjesh I think the other important thing to understand is depreciation also has several parts so there is one which is capex driven . There is also the Ind-AS116 lease accounting and amortization of RO U assets that basically goes and sits in that line and then as and when we also write off some of the assets because of various flood or damage or things like that , that also goes and sits in the depreciation line so there could be small fluctuations quarter -on-quarter because of these factors but broadly I think if you look at the broad trend the depreciation has gone up which is largely driven by fresh investments that we have done and also the fact that we have rolled out much more and as a result of which we have a lot of lease liabilities.

Sanjesh Jain – ICICI Securities/Mumbai

Fair enough. That answers all my questions. Thanks for answering the questions and best of luck for the coming quarters.

Sunita - Moderator

Thank you very much Mr. Jain. The next question comes from Mr. Tanmay Gupta from Motilal Oswal/ Mumbai. Mr. Gupta you may ask your question now.

Tanmay Gupta – Motilal Oswal/Mumbai

Thank you for the opportunity . Sir, I have two questions. First is when we can expect the tenancies to increase from another customers in second half of FY2025 or in FY2026 and secondly on the pricing pressure from any of the competitors like are we feeling any such kind of pricing pressure from Brookfield or ATC like wanted to understand on that?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

I think from a tenancies point of view , it all depends on customer 's planning . So we are working with the customer in terms of how we will unwind the receivables and how we can participate in network expansion and when they will start releasing the tenancies. I can not give you a date right now but I think it all depends on the customer requirements and how we can work with them in parallel towards unwinding of past dues . So unfortunately I can not give you exact date but that is a work in progress and we are currently closely engaged with the customer in terms of planning the growth. From a pricing pressure point of view I think even if you look at past FY2023 – FY2024 we have managed to increase our market share . So I think we have managed to deal with the advent of pricing pressure and remain very competitive in the market . So as of now I do not expect any new thing coming through but we will be ready in case there is any such thing coming to remain competitive .

Tanmay Gupta – Motilal Oswal/Mumbai

Sir the reason I am asking because if the competitor provides lesser pricing to Vodafone is there any probability or possibility whether they will shift to the competitors or since we have a larger market share of 50% as you mentioned that will restrict them not to shift to the competitors ?

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Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

I think there are two elements - one is shifting to the competitor as you mentioned or I am talking about the new tenancies. I think there is an established base. We are a large company so I think shifting always has its own nuances and we managed to renew a larger portfolio as Vikas earlier mentioned. We have managed to renew our portfolio for two of the major customers so I do not see that much of a risk from that point of view but we will be wary of any competitive pressure that comes through but we remain confident that we are through our product offerings and our solutions we will remain competitively well placed to grab the market share.

Tanmay Gupta – Motilal Oswal/Mumbai

Sir whether there has been any discussion with the customer Vodafone Idea whether they will be enrolling more into macro towers or leaner towers means any such kind of guidance you can provide?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Tanmay I think that is a good question. We are currently in the planning phase with the customer so I can not give you a specific guidance as such but that is a discussion that is currently ongoing and once the customer makes its plans firm you will see that reflecting in the orders.

Tanmay Gupta – Motilal Oswal/Mumbai

Understood Sir. Thank you Sir.

Sunita - Moderator

Thank you very much Mr Gupta. The next question comes from Mr. Yash Dalvi from Systematix/ Mumbai. Mr. Dalvi you may ask your question now.

Yash Dalvi – Systematix/Mumbai

Good afternoon Sir, thank you for taking up my question. So my question was regarding the pending dues from Vodafone. Sir if you would quantify the amount which was due which you can expect to come?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Yash unfortunately we cannot really discuss customer specific details here . I think all I can say is the overdues are provided and as and when we collect the overdues , we are writing back those provisions but I cannot really give very specific numbers .

Yash Dalvi – Systemati x/Mumbai

Anything regarding the timeline like how long can it take or how many quarters we can expect it to come in ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

I answered the same question earlier that we are working with the customer. We have started seeing unwinding . Our endeavor or our working with the customer is to get that unwinded as soon as possible rather than putting a deadline , I think we have seen progress but our objective is to get this unwound as soon as possible.

Yash Dalvi – Systemati x/Mumbai

Okay Sir that was it from my side. Thank you and all the best.

Sunita - Moderator

Thank you very much Mr. Dalvi. At this moment I would like to hand over the call proceedings to Mr. Prachur Sah for the final remarks.

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Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Thanks Sunita. Our strong operational and financial results reaffirm our pole position in the passive infrastructure space. We anticipate sustained network expansion, supplemented by the 5G rollouts to continue to drive both tower and co-location additions, and loading. Given these growth prospects, we are confident in our ability to capitalize on these opportunities while maintaining our commitment to sustainability. I again thank you all for joining the call and have a good day .

Sunita - Moderator

Ladies and gentlemen this concludes the conference call . You may now disconnect your lines . Thank you for connecting to audio conference service from Airtel and have a pleasant evening.

Call: Oct 2024

Indus Towers Limited

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October 29 , 2024

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block – G, Bandra Kurla Complex,

Bandra (E), Mumbai - 400051

Ref.: Indus Towers Limited (534816/ INDUSTOWER)

Sub.: Transcript s of the Earnings Call on the Company's performance for the second quarter (Q2) ended September 30, 202 4

Dear Sir/ Madam,

Please find attached the transcript s of Earnings Call conducted on October 23 , 202 4 on the Company's performance for the second quarter (Q2) ended September 30, 202 4.

Kindly take the same on records.

Thanking you,

Yours faithfully,

For Indus Towers Limited

Samridhi Rodhe

Company Secretary & Compliance Officer

Encl .: As above

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Conference Call Transcript

Event: Transcript of Indus Towers Limited Second Quarter ended September 30, 2024 Earnings Call

Event Date/Time: October 23rd, 2024 at 14:30 hrs

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CORPORATE PARTICIPANTS

Mr. Prachur Sah
Managing Director & Chief Executive Officer – Indus Towers Limited

Mr. Vikas Poddar
Chief Financial Officer – Indus Towers Limited

Mr. Tejinder Kalra
Chief Operating Officer – Indus Towers Limited

Mr. Dheeraj Agarwal
Head Investor Relations – Indus Towers Limited

CORPORATE CALL PARTICIPANTS

Mr. Aditya Suresh
Macquarie/Mumbai

Mr. Sanjesh Jain
ICICI Securities/Mumbai

Mr. Arun Prasath
Avendus Spark/Chennai

Mr. Kunal Vora
BNP Paribas/Mumbai

Mr. Sachin Salgaonkar
BofA/Mumbai

Mr. Vivekanand Subbaraman
Ambit Capital/ Mumbai

PRESENTATION

Sunita – Moderator

Good afternoon, ladies and gentlemen. I am Sunita, the moderator for this conference. Welcome to the Indus Towers

Limited's second quarter ended September 30, 2024 Earnings Call. For the duration of the presentation, all participants' lines will be in the listen-only mode. After the presentation, the question-and-answer session will be conducted for all the participants on this call. In case of a natural disaster, the conference call will be terminated post an announcement. Present with us on the call today is the senior leadership team of Indus Towers. Before I hand over the call, I must remind you that the overview and discussion today may include certain forward-looking statements that must be viewed in conjunction with the risks that we face. I now hand over the call to our first speaker of the day, Mr. Prachur Sah. Thank you and over to you Mr. Sah!

Prachur Sah – MD & CEO – Indus Towers Limited

Thank you, Sunita and a very warm welcome, to all participants. Joining me today are my colleagues, Mr. Vikas Poddar, CFO; Mr. Tejinder Kalra, COO; and Mr. Dheeraj Agarwal, Head Investor Relations. I am pleased to present our business performance for the quarter ended September 30, 2024.

I am pleased to report that in line with the trajectory of the previous three quarters, we sustained 100% collection against monthly billing from a major customer while our collections against past over due improved further during the quarter and our tower additions remain strong despite unfavorable weather conditions such as severe floods and heavy rainfall impacting rollouts. The demand outlook for the next few quarters continues to be strong and we expect to continue the delivery momentum.

Having said that, it also gives me great pride to see that despite challenging weather conditions, our teams on the ground continue to show remarkable resilience and fortitude to ensure network connectivity. Amidst the devastating landslides and heavy rains in Wayanad, Kerala, our field force set up temporary Cell on Wheels sites to aid rescue operations by ensuring that communication is not impacted. Similarly in Tripura, our field force braved the landslides and flash floods triggered by incessant rainfall to continue rolling out sites. We also installed towers in the high-altitude areas of Leh and Kargil and certain remote locations of Kashmir.

The regulatory landscape continues to become more conducive for the swift deployment of telecom infrastructure in the country. This is underpinned by the proactive measures taken by the Government while being cognizant of the sustainability aspect. With the

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objective of improving telecom services in rural, remote, and underserved urban areas, the DoT notified the 'Bharat Nidhi Rules 2024' enabling the 'Digital Bharat Nidhi' fund to support projects to fulfill the objective. Additionally, the move also aims to enhance telecom security and foster innovation.

The department has also notified Right of Way Rules 2024 under Telecommunication Act 2023 that aims to resolve interpretational issues within the industry and ensure efficient deployment of telecommunication infrastructure among other things. Additionally, the Green Open Access Policy introduced last year has now been adopted by more than 21 states. The policy is aimed at incentivizing the use of cleaner sources of energy.

Shifting gears to 5G, the total number of 5G Base Transceiver Stations or BTS deployed now stands at over 4,50,000, with

India

witnessing one of the fastest 5G rollouts in the world . Our loading revenues continue to act as a lever for growth . We expect our loading revenues to be gradually supplemented by a demand for new sites once a certain penetration level is achieved to aid the network decongestion . Given our inherent strength as a leading player in the passive infrastructure space including strong execution capability , we believe that we are well placed to address this demand .

5G subscriptions have continued to increase both globally and in India as more and more users migrate from 4G . As per the latest Ericsson mobility report , global 5G subscriptions at the end of June 2024 now stand at over 1.9 billion with 161 million additions seen during the quarter . On the other hand , 4G subscriptions declined by 25 million in the same period . 5G subscriptions are expected to reach almost 5.6 billion by 2029 accounting for around 60% of the overall mobile subscriptions .

As per the latest TRAI report the total 5G subscription base in India grew to 190 million in Q1 FY2025 increasing by 31 million . Comparatively, 4G subscriptions saw a decline of 15 million .

The swift uptake of 5G in conjunction with the ongoing migration of users from 2G to 4G is providing a boost to data consumption within the country . For the top three operators , the total data consumption growth at 28% year -on-year for the June quarter was well above the average of the previous eight quarters . The average data consumed per user per month increased to 26 G B in the same period , growing by 17% year -on-year. Additionally, as per T RAI, 5G data consumption grew 28% quarter -on-quarter to 11.4 billion GB and contributed to 20.3% of total data usage in Q1 FY2025 compared to 16.9% in Q4 FY2024.

The robust data consumption story coupled with the rapid uptake of 5G is expected to spur the need for passive infrastructure and we are confident of leveraging our core strengths to capitalize on this opportunity .

Moving to operational performance , our tower and tenancy additions continue to be material despite seasonal disturbances . In Q2 , we added 3,748 macro towers and 4,308 corresponding collocations . Our total macro towers and collocations base stood at 229,658 and 379 ,236, each increasing by 12.5% and 7.3% year -on-year respectively . Our tenancy ratio continues to be industry leading at 1.65 .

Addition of collocations on leaner towers stood at 182 in Q2 and the overall base increased to 11,360 collocations . Including leaner towers , our net co -location additions were at 4,490 in Q2 versus 6,832 in Q1.

I will now talk about the progress we have made on our four key strategic pillars, namely market share , cost efficiency , network uptime , and sustainability . On market share , we are pleased to see that the proactive measures we are taking have helped us maintain our share in the business of our major customers . The technological interventions we have been taking across the value chain along with the strengthening of our partner ecosystem have contributed to our achievement . We continue to grow our presence in urban areas underpinned by the capabilities we have built which help us deploy towers 24 x7 and at speed . These have helped us address challenges specific to urban areas including minimizing disturbances during deployment .

We have also continued to leverage the Government's RoW Policy relating to the deployment of sites on lands owned by Government bodies including state municipal corporations and PSUs in order to increase our reach further . Additionally , our robust internal processes and quality standards have helped us improve our competitiveness , which is further supplemented by expanding our portfolio to bridge the gap in network footprint .

In addition to the rollouts of one of our major customers , we are anticipating incremental tenancies to flow through from other major customers as well in the near term , which we believe will act as a fillip to our growth. We believe the demand for other

offerings including in-building and small cell solution will grow as the telecom infrastructure landscape evolves further .

In terms of cost efficiency , our initiatives towards reducing our operating and capital expenses continued in Q2 as well . Our diesel consumption reduced further by 2% in Q2 on a year -on-year basis . The reduction in diesel consumption was lower primarily due to weather disturbances I had alluded to earlier . Our renewable energy portfolio continues to expand with our solar site count increasing to more than 25,000 and quarterly additions being close to 4,000 . The conversion of sites from indoor to outdoor and electrification of non -electrified sites continued to be part of our op ex strategy . All these actions will help us optimize our energy costs .

With regards to capex , we are working towards implementing technological solutions at our sites which would enable remote monitoring of sites on real -time basis and provide requisite data . This in turn would help us carry out infrastructure rationalization and resource optimization resulting in cost efficiencies .

Thirdly network uptime which remains the key ask of the customers . I would like to reiterate that Q2 saw large number of weather disruptions with such instances being

more than 1.5 times compared to the same period last year . In addition to Kerala and

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northeastern states , heavy rains and floods were also seen in parts of West Bengal , Uttar Pradesh , Gujarat , and Bihar . Despite this ,

the dedicated efforts of our field teams helped us maintain a PAN-India uptime of 99.96% reaffirming our competitiveness in operating and maintaining such an extensive distributed asset base .

Now moving to ESG , a strategic priority for the organization . We are pleased with the headway we have made within each dimension of ESG , underpinned by our consistent efforts .

With regards to the Environmental dimension , we continue to maintain a strong focus on reducing our GHG emissions by both reducing our diesel consumption and increasing the contribution of renewable sources to fuel our energy needs . Our solar site additions continue to be robust with our overall base now standing at over 25,000 sites . During the quarter , we launched our Future Earth Programme, through which we aim to plant 1 million trees by 2027 in order to create a sizable carbon sink for our country . With a view to ensure sustainable practices across the value chain , we conducted ESG training for more than 80 major partners .

In terms of making our workforce diverse and inclusive , our focused hiring programmes have led to our gender diversity improving to 14.3% in Q2 compared to 11.2% in Q1 . During the quarter , we also launched our women leadership development programme, 'Shakti', in collaboration with IIM Indore to equip our women employees with the requisite skills and behaviors needed to take up leadership roles in the future . Another pleasing aspect was to see our ESG efforts being appreciated as BW Business world recognized Indus Towers as one of the most sustainable companies for 2024 in the infrastructure sector .

On the CSR front , we supported flood affected communities of Andhra Pradesh by distributing over 1,000 relief kits. We are pleased to see our 'Digital Transformation Van' initiative aimed at educating and upskilling disadvantage individuals expanding to six states in Q2 . Our scholarship programme for disabled children has now over 600 beneficiaries .

During the quarter , the Company successfully completed the buyback of 56.8 million shares at a price of Rs.465 per share . Post this, shareholding of Bharti Airtel in the company increased to more than 50% .

I would now request Vikas to take you through our financial performance for the quarter ended September 30, 2024, and I look forward to your questions. Over to you Vikas.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Thank you Prachur and good afternoon everyone. I am pleased to share with you all the financial results for quarter ended September 30, 2024.

We had a robust financial performance in Q2 aided by meaningful rollouts wherein we added 4,490 collocations on our towers including lean towers.

In terms of the financial performance for Q2, our revenues stood at Rs. 74.7 billion growing 4.7% year-on-year while the core revenues from rental grew by 8.5% year-on-year to Rs. 47.1 billion. These were driven by collocation additions and loading. On a quarter-on-quarter basis our reported gross revenue and core revenue from rentals were up by 1.1% and 1.5% respectively.

Moving to profitability, the reported EBITDA increased by 42% year-on-year and 8% quarter-on-quarter to Rs. 49.1 billion. EBITDA margins increased by 17.3 percentage points year-on-year and 4.2 percentage point quarter-on-quarter to 65.7%. Our collections against the past

overdue from a major customer have continued in this quarter and this has resulted in write back of provision for doubtful debt and aided our profitability for Q2. A adjusted for overall provision write back of Rs. 10.8 billion in Q2, EBITDA increased by 6.9% year-on-year and 1.2% quarter-on-quarter.

Coming to energy performance, we are actively taking steps to cut down on diesel usage and expanding our renewable energy portfolio and addressing the reconciliation challenges that we face.

Moving on to the profit after tax, reported profit after tax was Rs. 22.2 billion increasing 71.8% year-on-year and 15.5% quarter-on-quarter. A adjusted for the provision write back, the profit after tax was up 13.8% year-on-year and 4.6% quarter-on-quarter.

The reported pre-tax return on capital employed and post-tax return on equity for the rolling 12 months were at 22.9% and 29.0% respectively.

We generated free cash flow of Rs. 14.4 billion in Q2 aided by higher collections and lower capex. Trade receivables decreased by Rs. 0.9 billion mainly due to better collections.

For the last few quarters, we have been collecting a sum against the past overdue from a major customer. We have collected a total of more than Rs. 23 billion in the last 12 months. This has resulted in our provision for doubtful debt reducing to about Rs. 35 billion.

We are also in constant discussions for clearance of the remaining over due and additionally as touched upon by Prachur earlier we are expecting additional tenancies from this customer as it expands its 4G capacity and coverage.

In summary, the consistent collection of past overdue from a major customer in addition to collection of 100% of the monthly billing amount continued to support our financial performance. On our operational performance, we were able to record a meaningful

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number of tower and tenancy additions despite the weather disturbances seen during the quarter. We believe that the network

expansion and the 5G rollouts of our customers will continue to act as levers of growth .

With this , I would now request the moderator to open the floor for question s and answers please.

Sunita - Moderator

We will now begin the question -and-answer interactive session for all the participants who are connected to audio conference service from Airtel . Due to time constraints, we would request if you could limit the number of questions to two to enable more participation . Hence , management will take only two questions per participant to ensure maximum participation. Participants who wish to ask questions may please press “*” and “1” on their touchtone enabled telephone keypad. On pressing “*” and “1” participants will get a chance to present their questions on first-in-line basis . To ask a question participants may please press “*” and “1” now. The first question comes from Mr. Aditya Suresh from Macquarie/Mumbai . Mr. Suresh , you may ask your question now.

Aditya Suresh – Macquarie/Mumbai

Thank you and good afternoon . I just had one question actually so , can you help us understand the competitive dynamics as we speak in particular given the consolidation of the number two , number three player . The real question is I mean , are we seeing any changes whether it be in the rental terms or migration of tenancies from whether it be Jio or Vodafone in that consolidated entity . Thank you.

Prachur Sah – MD & CEO – Indus Towers Limited

If I understand the question correctly , you are asking about the consolidation in the tower cost side if it is impacting Indus. To be honest , I mean

we have not seen any such thing . I think we continue to be driving tower tenancy growth from our customers so I have not seen any impact as such in terms of any change in the competitive dynamics . I believe it is a reflection of the market from operator side which is reflected in the towers consolidation so I do not see any impact on us. Our focus remains on our own performance making sure we capture the market share , remain very competitive in terms of deploying in time with the right quality and delivering a strong operational performance .

Aditya Suresh – Macquarie/Mumbai

Maybe just as a follow -up if I could ask as your rental contracts coming up for renewal , what sort of discounts are we seeing here right now .

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

So Aditya I think as far as the renewal discounts are concerned the framework is very consistent , so just as a recap we had signed a renewal framework in FY2022 and that was the time when we had really a bulk sort of a renewal , thereafter there has not been any major lumpy renewal in the last two financial years but pretty much the framework remains consistent and the discount levels are also very similar to what we had worked out .

Sunita - Moderator

The next question comes from Mr. Sanjesh Jain from ICICI Securities/Mumbai . Mr Jain you may ask your question now.

Sanjesh Jain - ICICI Securities /Mumbai

So I was telling this is one of those quarters after many quarter s where ten ancy growth is materially higher than the tower growth which indicates that we are getting additional ten ancies from the VIL and BSNL roll out . This trend , is it fair to assume will continue for next few quarters ?

Prachur Sah – MD & CEO – Indus Towers Limited

I would assume so . I think S anjesh as our major customers continue to roll out , I believe this growth will continue and in fact if you see over the last one , one and half years because of our strong tower rollout , we will remain the prime candidate to make sure we capture this growth .

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Transcript of Indus Towers Limited Second Quarter ended September 30, 2024 Earnings Call

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Sanjesh Jain - ICICI Securities /Mumbai

Got it and its incremental roll out of these two telcos who are aggressively rolling out network , will we retain our market share say

60-70% market share what we have today in VIL and some amount of incremental tenancy from BSNL. Are we confident about that?

Prachur Sah – MD & CEO – Indus Towers Limited

I cannot give you a number Sanjesh. H owever as I mentioned earlier because of the rollouts that we have done in the last one and a half years and we have a significant amount of tower rollouts done, we remain in the prime position in terms of the second tenancy

and third tenancy being available at the towers so from an availability point of view , we remain in the prime position so we will continue to make sure that tower operation performance keeps us in the pole position to get the majority market share.

Sanjesh Jain – ICICI Securities/Mumbai

The second question is on the capex side, Reliance Jio has already announced their results and it appears that in the first half , their

capex intensity from last year has halved and Airtel has also guided of slowing or decelerating capex? Do you think the incremental

growth from the aggressive players historically can materially reduce in the next two years?

Prachur Sah – Managing Director & Chief Executive Officer – Indus Towers Limited

Sanjesh , it is hard to predict. Of course , the amount of growth we have seen in FY2024 is not going to be repeated every year.

However , if you look at rollouts t

hat have happened this year , they still remain on the higher side than what we have done in the past and looking at order book , I believe we will continue this momentum.

Sanjesh Jain – ICICI Securities/Mumbai

When you say we continue the momentum , we are referring to tower growth or tenancy growth here?

Prachur Sah – Managing Director & Chief Executive Officer – Indus Towers Limited

Both.

Sanjesh Jain – ICICI Securities/Mumbai

Both. That is clear. That is it from my side. Thanks for taking my questions and best of luck for the coming quarters.

Sunita – Moderator

The next question comes from Mr Arun Prasath from Avendus Spark/Chennai . Mr Prasath you may ask your question now.

Arun Prasath – Avendus Spark/Chennai

Good afternoon everyone. My first question is on this tower build number this quarter , can you just broadly indicate how much of the deployment reduction can be attributable to the weather? Is it substantial or is it due to reduction from the telco activities?

Prachur Sah – Managing Director & Chief Executive Officer – Indus Towers Limited

It is very hard to give you a bifurcation of how much each number is split into , but you can look at historical performance. The Q2 is impacted by the weather conditions but as I mentioned in the earlier question that Sanjesh had asked , the momentum of FY2024 where the numbers of FY2024 may not be repeated every year , but FY2025 so far , if you look at the historical performance , we still continue to deploy a significant amount of towers which are very meaningful , so I cannot give you a split on how much is the order book related and how much is weather related, but I think the tower growth continues from where I stand.

Arun Prasath – Avendus Spark/Chennai

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Right alright. Fair enough. Secondly , we have already seen this solar addition is picking up speed , but how much of the loading in terms of loading activities is the second customer has started? Is it just started or it will start? Some color would be helpful .

Prachur Sah – Managing Director & Chief Executive Officer – Indus Towers Limited

Yes. I cannot give you the exact numbers again Arun because I do not have it. The others I think but there are three things. One is the colocation addition as you mentioned from the other customers who can come on the towers that we are starting to see. Secondly , the loading , both 4G and 5G where the conversion from 2G to 4G is happening , they have started to materialize and we expect that momentum to pick up in the coming quarters.

Arun Prasath – Avendus Spark/Chennai

This is even for your largest customers this 4G to 5G that is fairly done or is it still what kind of a momentum we can expect on the largest customer?

Prachur Sah – Managing Director & Chief Executive Officer – Indus Towers Limited

Arun , from a 5G point of view , there was a large rollout that has happened over the last one to one and a half years. I do not believe it is going to be at that speed but there is going to be additions of 5G , may be not at the rate it was being done last year but some orders continue to come.

Arun Prasath – Avendus Spark/Chennai

Alright. Thank you. All the best.

Sunita – Moderator

The next question is from Mr Kunal Vora from BNP Paribas/ Mumbai. Mr Vora you may ask your question now.

Kunal Vora – BNP Paribas Paribas/Mumbai

Thank you for the opportunity. I have a few questions. First can you share your thoughts on the GST notice that you received , what is your stance? What is the industry practice regarding the Infotech sales?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Kunal , the show -cause notice that we have received is basically putting a question on the GST credit on passive infrastructure assets like the diesel generator, AC, and battery bank that we deploy and based on our assessment , we believe that the liability currently is not evolving on the company, and we consider this as remote. This is an ongoing thing. Just because it is a very large number , we have disclosed it , there are also other matters linked to this which are currently in the courts, so the matter is a bit of sub-judice matter but currently it is a disclosure. We really do not see this as a major risk.

Kunal Vora – BNP Paribas Paribas/Mumbai

What are the next steps? When do you think this will end?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Like I said the matter is sub-judice . We are waiting for the judgment from the court , so once the judgment is known thereafter there will be some proceedings so sometimes these things take time , Kunal.

Kunal Vora – BNP Paribas Paribas/Mumbai

Understood. The second thing is the negative energy margins , like last couple of quarter s have been weaker compared to what we have seen historically , so how should we project then going forward ?

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Prachur Sah – MD & CEO – Indus Towers Limited

Again, there are two elements to it. Of course, we have to look at what is the reconciliation that we have to do with our customers to make sure it becomes reflective and that is an ongoing process and that will happen and typically in Q1 and Q2, in these quarters which are impacted by heavy rainfall and monsoons. So typically Q1 and Q2, the energy margin is impacted by the seasonality which we expect to recover in the Q3 and Q4, but yes that is something as I mentioned in my talk earlier as well that is the constant effort that we are making to improve operational efficiency which reduces our energy cost and improves the margin, so I believe there is a little bit of a timing issue. We should see the margins getting improved in the later part of the year.

Kunal Vora – BNP Paribas Paribas/Mumbai

Understood. For the new tenancies from Vodafone Idea do you negotiate it at all? Is there any scope for that especially if competition offers bulk discount? Can you respond or you have a flat rate and there is no scope for negotiation?

Prachur Sah – Managing Director & Chief Executive Officer – Indus Towers Limited

As I said our offering besides commercial is a strong operational performance. I would not like to discuss the commercial aspect here, but I think we remain very competitive both commercially and operationally to make sure we get the larger part of the share.

Kunal Vora – BNP Paribas Paribas/Mumbai

Can you share your thoughts on dividend payment in the coming quarters which include cash collection and lower capex?

Prachur Sah – Managing Director & Chief Executive Officer – Indus Towers Limited

Kunal as we have always maintained in our previous calls and now as well we have a very clear dividend policy which directs us to distribute the free cash flow so at the end of the year the Board will take a call in line with the policy.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Just to add Kunal, the free cash that we generated in H1, we have already used that for distributing through the buyback so that policy is unchanged and we will certainly evaluate again at the end of the year based on the collections and the cash flow situation and we will take that call together with the Board.

Kunal Vora – BNP Paribas Paribas/Mumbai

Thanks and just one last question how should we look at the finance cost going forward? The number has increased in the recent quarters?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

The finance cost is largely the cost of borrowing and I do not think there is anything major that has changed there. If you are looking at the net finance cost number then obviously there is a bit of fluctuation in our finance income which is driven by the fact that we are trying to collect interest on the overdue as well from one of our customers so whenever that fluctuates to that extent the net

finance cost fluctuation is visible , but otherwise at a gross level , the finance cost is pretty stable.

Kunal Vora – BNP Paribas Paribas/Mumbai

I was referring to the net finance cost , which is elevated now compared to the recent quarters , so the recent quarters the numbers which you have seen are they sustainable numbers or will they come down?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Like I said , it is very difficult to predict because the net finance cost is also dependent on the finance income which is nothing but the interest that we collect on the overdue right. So last year we manage to collect a large part of interest both in cash as well as via the accounting adjustment that we have explained in the Q3 and the Q4 results , so that effort continues and when we will collect those

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interest certainly that will reflect in the finance cost so I do not think we can really sort of peg the current finance cost for the next couple of quarters.

Kunal Vora – BNP Paribas Paribas/Mumbai

That is it from me. Thank you very much.

Sunita – Moderator

The next question comes from Mr Sachin Salgaonkar from Bofa/ Mumbai. Mr Salgaonkar you may ask your question now.

Sachin Salgaonkar – Bofa/Mumbai

Thanks for the opportunity. My first question is just wanted to understand a bit that in one of your earlier comments did mention

about loading increasing from 4G to 5G , but when I look at the reported average rent per tenant or for that matter even the normalized one , it is actually not showing a meaningful increase so I presume there are other factors which is leading this entire

loading not get fully reflected into the numbers? Can you throw some color on that?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Sachin , you must be referring to the ARPT the average revenue per tenancy which is showing a very stable sort of a number for the

last few quarters. Now as you explained earlier the ARPT is basically a function of couple of factors. There are factors that really pull

up the ARPT and there are factors that drag it down . So in terms of the loading from 4G to 5G certainly that basically helps the

ARPT. What also help the ARPT is the annual escalation but apart from this what has been dragging down the ARPT is the mix

because , like we have explained earlier the new towers that we are doing are basically low capex and the ARPT relating to those

new towers are also lower than the legacy portfolio , so to that extent there is a bit of a drag and then of course there is a renewal

discount not very significant in terms of the portfolio but there is a drag coming from there also . So overall with the upsides

and the
downsides together, we are looking at a very stable situation but large part of the offset that is happening in the loading is
the mix.

Sachin Salgaonkar – Bofa/Mumbai

Thanks Vikas, very clear, but is it fa

ir to say that whenever we see the second anchor customer coming and using a lot of towers as
a second tenant, we should see an increase in ARPT right?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

ARPT is the revenue per tenancy, so obviously with additional tenant coming in, the average revenue per tower will increase
but per
tenancy should be stable or slightly declining because the new tenant may not come with the same load.

Sachin Salgaonkar – Bofa/Mumbai

Okay from a loading perspective. Okay fair point. That is very clear. The second question is Vodafone Idea recently
concluded a
USD 3.6 billion deal with multiple vendors; is it fair to assume that there is not much of a contribution from that deal come into
numbers and in subsequent quarters we should see that flowing through, and any timeline you could give from that
perspective?

Prachur Sah – MD & CEO – Indus Towers Limited

I believe you are talking about the deal they have done for the active equipment.

Sachin Salgaonkar – Bofa/Mumbai

Correct.

Prachur Sah – MD & CEO – Indus Towers Limited

The active equipment comes on board, I think that is when the tenancy would start showing up.

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Tejinder Kalra – Chief Operating Officer – Indus Towers Limited

Sachin, so obviously there is a time lag between when they close the deal and when they start getting the equipment for rol
lout so
for this current quarter obviously there is none. We see this coming towards the mid-to-end quarter is what indications we get
from
the customer so hopefully this quarter will see some things rolling out.

Sachin Salgaonkar – Bofa/Mumbai

My last question is, has anything changed for you from a Vodafone Idea perspective after the recent AGR verdict and I am
asking
that because there was this on e school of thought that whenever Idea finishes with their debt raise they may look to give a
lump -
sum amount in terms of whatever payable s is remaining? Does that change or should we expect quarterly Rs 7 billion to 8
billion

kind of a payment what we see every quarter?

Prachur Sah – MD & CEO – Indus Towers Limited

Again , I cannot give you the look ahead and as I ha d informed earlier in the calls and now as well . We have started receiving our overdue payments and I think we remain engaged with the customer to get the overdue paid as fast as possible . So from our perspective the timeline has to be as quick as possible but we are working with the customer to make sure we get the overdue unwound .

Sachin Salgaonkar – Bofa/Mumbai

Got it. Very clear. Thank you.

Sunita – Moderator

The next question comes from Mr Vivekanand Subbaraman from Ambit Capital Private Limited /Mumbai. Mr Subbaraman you may ask your question now.

Vivekanand Subbaraman – Ambit Capital Capital/Mumbai

Thank you for the opportunity. Further to an earlier participant 's query on the show -cause notice that you received , I also note that your contingent liabilities recorded in FY2024 they include some income tax claims again connected to the treatment of network equipment and passive infrastructure assets . I just wanted to understand , I know this matte r is sub-judice, the one that you have recorded in notary , but does this verdict have any bearing on the way the income tax liabilities for which you have recorded Rs 41 billion rupees contingent liability or does that have any ramification on the income tax case, thank you? That is question one.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Okay if I may just take this question Vivekanan

d . The show -cause notice that we have disclosed is with regard to GST so it is a different matter. The contingent liability for direct tax or income tax that you are referring to is a legacy matter that has been going on for a long time and that is basically goes back to almost 2010, 2011 and 2012 , so that matter is also at various levels of jurisdiction . So I think because we believe those matters are probably not based on the merits of the case and not a high -risk and that is basically being disclosed as contingent liability , so these two are very different. Have I understood the question right ?

Vivekanand Subbaraman – Ambit Capital Capital/Mumbai

I was just wondering if they are linked or are they very different.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

They are very different.

Vivekanand Subbaraman – Ambit Capital Capital/Mumbai

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Okay so you are confirming that even if there is an adverse verdict in respect to the AGR claims for which you have received the show-cause notice, it does not rub the income tax liability the wrong way? I mean, it does not mean that you will automatically inherit the income tax liability, correct?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

No, these are very different matters Vivekanand. We can maybe discuss offline. I may share more details if you want but these are very different matters.

Vivekanand Subbaraman – Ambit Capital Capital/Mumbai

Sure that is very clear. The second question is as far as your maintenance capex expenditure is concerned, is there any lumpiness in this regard as well because when I look at the maintenance capex trajectory, I mean when the merger had happened it was around Rs.600 Crores to Rs.700 Crores? Now it has more than doubled in the last four years so does this mean that the maintenance capex levels will remain elevated because the network has become bigger or how to think about the maintenance capex aspect?

Prachur Sah – MD & CEO – Indus Towers Limited

Vivekanand, I am not sure how you split the maintenance capex there, but before the merger the tower count was what it was and after the merger the tower count has increased substantially, so I do not think there is any lumpiness as far as maintenance capex is concerned. It is a very standard practice that is followed in terms of how the equipment is replaced or refurbished, so I do not think there is any lumpiness on maintenance capex.

Vivekanand Subbaraman – Ambit Capital Capital/Mumbai

I am calculating maintenance capex as the overall capex minus growth capex. I do understand that the number of towers has gone up but even otherwise the maintenance capex per tower or maintenance capex per tenant that has moved up that is why I was asking this question.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Just to sort of add some color to this, I mean probably maintenance capex should not be looked at in that manner because if you are simply looking at capex minus growth. By the way, we are reporting maintenance capex as a separate line in our investors pack and that shows pretty sort of stable numbers quarter-on-quarter. If you look at those numbers and in case if you have the pack in front of you. In September 2024 we have spent Rs.2.9 billion and before that was Rs.2.6 billion and before that was Rs.3.4 billion and so on so it is a stable number quarter-on-quarter. Now coming to the lumpiness part of it, I think while you could see some quarterly fluctuations but from an overall year perspective and annual perspective it is pretty stable, consistent year-on-year.

Vivekanand Subbaraman – Ambit Capital Capital/Mumbai

Okay fair enough. I will seek more clarify if needed on the legal basis. Thank you.

Sunita – Moderator

I would now hand over the call proceedings to Mr Prachur Sah for the final remarks.

Prachur Sah – MD & CEO – Indus Towers Limited

To sum up, the progress we are making on each of our strategic priorities furthers our competitiveness and reaffirms Indus as a leading player. Our strong financial performance is underpinned by continuous rollouts, also supplemented by collections of past overdue from a major customer. We expect the ongoing rollouts of a major customer coupled with start of rollouts and 5G loading by the other major customer to continue to drive our near to medium term growth. Keeping sustainability at the core, we believe that we remain well positioned to capitalize on the growth opportunities on offer. I thank you all for joining the call and wish all of you a very Happy Diwali .

Sunita – Moderator

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Ladies and gentlemen, this concludes the conference call. You may now disconnect your lines. Thank you for connecting to audio conference service from Airtel and have a pleasant evening.

Call: Jan 2025

Indus Towers Limited

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January 30, 2025

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block – G, Bandra Kurla Complex,

Bandra (E), Mumbai - 400051

Ref.: Indus Towers Limited (534816/ INDUSTOWER)

Sub.: Transcript s of the Earnings Call on the Company's performance for the third quarter (Q3) ended December 31, 202 4

Dear Sir/ Madam,

Please find attached the transcript s of Earnings Call conducted on January 24, 2025 on the Company's performance for the third quarter (Q3) ended December 31, 202 4.

Kindly take the same on records.

Thanking you,

Yours faithfully,

For Indus Towers Limited

Samridhi Rodhe

Company Secretary & Compliance Officer

Encl .: As above

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Transcript of Indus Towers Limited Third Quarter ended December 31 , 202 4 Earnings Call

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Conference Call Transcript

Event: Transcript of Indus Towers Limited Third Quarter ended December 31, 202 4 Earnings Call

Event Date/Time: January 24th, 2025 , at 14:30 hrs IST .

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Transcript of Indus Towers Limited Third Quarter ended December 31 , 2024 Earnings Call

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CORPORATE PARTICIPANTS

Mr. Prachur Sah
Managing Director & Chief Executive Officer – Indus Towers Limited

Mr. Vikas Poddar
Chief Financial Officer – Indus Towers Limited

Mr. Tejinder Kalra
Chief Operating Officer – Indus Towers Limited

Mr. Dheeraj Agarwal
Head Investor Relations – Indus Towers Limited

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Mr. Manish Adukia
Goldman Sachs/Mumbai

Mr. Vivekanand Subbaraman
Ambit Capital/ Mumbai

Mr. Sumangal Nevatia
Kotak Securities/Mumbai

Mr. Sanjesh Jain
ICICI Securities/Mumbai

Mr. Arun Prasath
Avendus Spark/Chennai

PRESENTATION

Sunita – Moderator

Good afternoon, ladies and gentlemen. I am Sunita, the moderator for this conference . Welcome to Indus Towers Limited's

third

quarter ended December 31, 2024 Earnings Call. For the duration of the presentation, all participants' lines will be in the listen-only mode. After the presentation, the question-and-answer session will be conducted for all the participants on this call. In case of a natural disaster, the conference call will be terminated post an announcement. Present with us on the call today is the senior leadership team of Indus Towers. Before I hand over the call, I must remind you that the overview and discussions today may include certain forward-looking statements that must be viewed in conjunction with the risks that we face. I now hand over the call to our first speaker of the day Mr. Prachur Sah. Thank you and over to you Mr. Sah!

Prachur Sah – Managing Director & Chief Executive Officer – Indus Towers Limited

Thank you, Sunita, and a very warm welcome to all participants. Joining me today are my colleagues, Mr. Vikas Poddar, CFO; Mr. Tejinder Kalra, COO and Mr. Dheeraj Agarwal, Head Investor Relations, on the call. I am pleased to present our business performance for the quarter ended December 31, 2024.

We are happy to have deli

vered strong tower and tenancy additions in Q3, driven by our ability to maintain dominant share in our major customers' rollouts. As a major customer has now embarked on its network expansion, we were able to garner a substantial share in its rollouts, which aided our tenancy additions. This shows the operator's trust in our capabilities and Indus Tower s being its preferred partner. Continuing with the collections against past dues from this customer, we managed to recover a substantial amount in this quarter. This was aided by the monetization of our secondary pledge on the 3% shares of Indus Towers held by Vodafone Plc.

Before I delve deeper into the major business developments, I would like to take a moment to acknowledge the dedication and perseverance of our teams on the ground, who braved harsh conditions and worked round-the-clock to ensure seamless connectivity. During the quarter, we installed towers in some of the most geographically challenging locations in the country including Leh, Ladakh and Tawang, as well as Mechuka and Etalin in Arunachal Pradesh. The efforts of the field team are praiseworthy which helped in digital inclusion of people in these locations.

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Moving to the regulatory landscape, the Government continues to take steps to help accelerate the rollout of telecom infrastructure in the country, while being cognizant of the environmental aspect. The recently announced Right of Way Rules, 2024 have been implemented from 1st January, 2025, and have to be mandatorily followed by the states. The rules aim to resolve interpretational issues within the industry and ensure efficient deployment of telecommunication infrastructure among other things. The Centre is coordinating with all stakeholders including State Governments and industry bodies to provide support for resolution of initial teething issues.

Additionally, the Green Energy Open Access policy has been notified in almost 24 states which will be a key enabler for not only driving use of renewable energy but also making the energy consumption more efficient. The composite billing scheme introduced a few quarters back has now been implemented in 11 states including the likes of Rajasthan, Madhya Pradesh and Maharashtra. The scheme can optimize the overall billing process by combining the bills for multiple connections and easing the handling of hundreds and thousands of bills.

Moving on to 5G, the industry-wide total number of 5G BTS deployed stands at almost 465,000 with over 50,000 BTS being deployed in the last calendar year. Though the pace of deployment has slowed down, 5G loading contributes meaningfully to

the overall loading revenue. We expect the 5G loading revenues to be gradually supplemented by a demand for new sites once a certain penetration level is achieved to aid the network decongestion. Given our expertise in the passive infrastructure space, we believe that we are well placed to capitalize on these opportunities.

The swift deployment of 5G infrastructure is expected to be complemented by a rapid uptake of 5G by the end consumer as well, as per statistics mentioned in the Ericsson Mobility Report. As per the report, global 5G subscriptions are expected to reach over 6.3 billion by 2030, accounting for around 67% of the total subscriptions. During the September quarter, global 5G subscriptions grew by 163 million to total 2.1 billion, with 4G subscriptions falling by 69 million. In India, 5G subscriptions are expected to reach around 970 million by the end of 2030, accounting for 74 percent of mobile subscriptions.

As per the latest TRAI report, total 5G subscription base in India grew to 218 million at the end of Q2 FY2025 increasing by 28 million quarter-on-quarter. Comparatively, 4G subscription saw a decline of 29 million.

Data consumption in the country remains robust, aided by the rapid uptake of 5G and the continued upgrade from 2G to 4G. The average data consumed per user per month across the top three operators grew 13% year-on-year to 26.6 GB for the quarter ended September 2024 with the total data consumed growing 21% year-on-year. Additionally, as per TRAI, 5G data consumption grew 12% QoQ to 12.8 billion GB and contributed 22.7% of total data usage in Q2 FY25 compared to 20.3% in Q1 FY25.

Moving to operational performance, we recorded robust tower and tenancy additions in Q3. During the quarter, we added 4,985 macro towers and 7,583 corresponding co-locations. The total macro towers and co-locations base grew by 10.8% and 7.2% each year-on-year, standing at 234,643 and 386,819 respectively. A significant number of tenancy additions during the quarter helped our industry-leading tenancy ratio remain stable at 1.65x, which has been declining for many years.

Addition of co-locations on leaner tower stood at 132 in Q3 and the overall base increased to 11,492 co-locations. Including leaner towers our net co-location additions were at 7,715 in Q3 versus 4,490 in Q2.

Following on from our operational performance, I would now like to provide an update on the progress we have made on each of our four key strategic priorities, namely market share, cost efficiencies, network uptime and sustainability.

Regarding market share, we are proud to have maintained a dominant share in the business of our major customers. This has been underpinned by the digital interventions we have been taking across the value chain and continued strengthening of our partner ecosystem which has resulted in a reduction in turnaround time for a tower site. Our effective employee incentive and recognition programs along with regular review mechanism are also critical to our performance.

Our In-Building Solutions (IBS) portfolio continued to witness good traction, and we are pleased to have recorded the highest quarterly IBS deployment in our history. We expect this momentum to continue as we continue to work towards strengthening our IBS portfolio.

The resumption of the network expansion by a major customer bodes well for us. Similar to Q3, we believe that we are well placed to capture a meaningful share of its tenancy additions in the coming quarters as well.

Secondly, on cost efficiency, we are working on optimizing both operating and capital expenses. Energy accounts for a sizable amount of our opex and diesel cost makes up a large part of it. Our ongoing initiatives including electrification of non-electrified sites and deployment of energy storage solutions have yielded an 8% year-on-year reduction in diesel consumption in Q3. We also

continue to focus on increasing the share of renewable sources of energy with our solar sites growing to over 28,000.

We continue to optimize our rental cost through product design and negotiation strategy based on benchmarking, prioritization of sites, and landlord segmentation. To manage our network cost, we are working on improving the productivity of technicians through benchmarking and optimizing their scope of work through use of digital interventions.

On capex, we continue to transition our battery portfolio to Li-ion batteries, which have a lower charging time and a longer life, thus providing both operating and cost efficiencies. Similarly, our tower portfolio is also pivoting towards an increased share of a lighter tower variant which has helped reduce our civil and product costs.

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Thirdly, on network uptime, which is very critical for our customers, we continue to maintain a very high uptime and delivered an uptime of 99.98% in Q3 FY25, compared to 99.96% in Q2. Please note that the quarter was marked by severe natural calamities such as Dana cyclone in Odisha and heavy rains and thunderstorms in areas of Rajasthan and Punjab amongst others. Despite these challenges, our field force ensured a high level of uptime.

On the front of sustainability, which remains a key priority of organization, our initiatives towards reducing GHG emissions continue. We continue to work towards reducing our dependency on fossil fuels for energy needs by transitioning to renewable sources of energy. Our solar portfolio stands at over 28,000 at the end of Q3. In order to expand our renewable energy portfolio, we have entered into a power purchase agreement with a strategic partner for procurement of renewable energy of 130 MW solar plant under captive mode. As part of the agreement, we would acquire 26% of the equity shares of the said entity for a consideration of around 38 Crores.

The sustainability practices of our partners are also important to us, and we conducted ESG training of close to 100 major partners during the quarter. We also continue to work towards increasing the usage of EV vehicles for business travel. We were happy to see our efforts in the Environment domain recognized, being bestowed with a Great Indian Sustainable performance in Energy Efficiency award by Transformance.

In our workforce our gender diversity stood at 14.2% in Q3 FY25 compared to 11.3% in the corresponding period last year. We continue to make efforts towards improving gender diversity across the value chain and to this end we launched "Her Success" programme during the quarter. The programme focuses on mutual sharing of proven strategies, best practices and success stories with our partners to drive progress. On the CSR front, we carried out relief activities related to floods in Bihar supporting over 2,000 lives.

We were pleased to see our social initiative being recognized by multiple bodies. In Q3, we won the Mahatma Award 2024 for CSR excellence and the Gold award under social initiative category at Bharti Changemaker Awards 2024.

The quarter witnessed landmark decisions from the Honourable Supreme Court and Delhi High Court for resolution of the long pending tax matters of the industry. I believe that the decisions are progressive and will support investment in the sector. I will have Vikas share more details on this.

I would now request Vikas to take you through the financial performance for the quarter ended December 31, 2024 and I look forward to your questions . Over to you Vikas ! Thank you.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Thank you Prachur and good afternoon everyone. I am pleased to share with you all the financial results for the quarter ended December 31, 2024.

We are pleased to report a strong financial performance for the quarter under pinned by substantial tower and co -location additions.

Our financial performance was further supplemented by the clearance of substantial part of our overdues from a major customer.

In Q3, total revenues grew by 4.8% year -on-year to Rs.75.5 billion while the core revenues from rental grew by 7.5% year -on-year to Rs.48.2 billion driven by strong tower and co-location additions . On a quarter -on-quarter basis, our reported gross revenue and core revenue from rentals increased by 1.1% and 2.3% respectively .

In terms of profitability , EBITDA stood at Rs.70 billion growing 93 % year -on-year and 43% quarter -on-quarter. EBITDA margins increased by 42.4 percentage points year -on-year and 27 percentage point s quarter -on-quarter to 92.7%.

Please note that during th

e quarter , we collected Rs.19.1 billion for monetization of the secondary pledge on the shares held by Vodafone Plc in Indus Towers. We also recovered an add itional amount against the over dues from a major customer . This resulted

in an overall write -back of provision s for doubtful debt of Rs.30.2 billion reducing our provision for doubtful debt to about Rs.5 billion.

The writeback helped our overall profits and adjusted for the same , EBITDA increased by 8.3% year -on-year and 3.7% quarter -on-quarter .

Our energy margins were at -3.4% in Q3 compared to -4.8% in Q2. We are taking many initiative s to improve our energy margins, which includes reducing our diesel consumption and increasing the share of renewable energy to benefit from the lower cost . Tying up with strategic partners under Green Energy Open Access and deploying solar sites are expected to optimize our overall energy cost.

Our f inance income increased quarter -on-quarter to Rs.2.1 billion on account of interest collection from a major customer on its overdues . Our income tax had a benefit of Rs.1.4 billion from reversal of provisions following a favo urable judgment from Income Tax Appellate Tribunal pertaining to past period.

Our profit after tax grew by 160% year -on-year and 80% qu arter-on-quarter to Rs.40 billion . Adjusted for provision write -back s, our profit after tax increased by 7.7% year-on-year and 9.6% quarter -on-quarter . The reported pre -tax return on capital employed and post-tax return on equity for the rolling 12 months stood at 29.3% and 34.8% respectively .

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We generated free cash flow of Rs.26.6 billion in Q3 underpinned by higher collections . Trade receivables increased by Rs.16.9 billion primarily due to the significant provision reversal against which the amount was collected subsequently in this month.

During the quarter, the honourable Supreme Court in a landmark ruling allowed CENVAT credits on towers and shelters resulting in a reduction of Rs.37 billion in our contingent liability. Following the Honourable Supreme Court ruling, the Delhi High Court quashed the show cause notice issued by the DGGI on the issue of disallowance of input tax credit availed by the Company on passive infrastructure and towers. This resulted in a reduction of Rs.62 billion in our non-contingent liability.

To sum up, we are pleased to have delivered a robust financial performance during the quarter underpinned by substantial tower and co-location additions. The collection of a significant amount against the overdue of a major customer was another material positive and bodes well for the clearance of the balance amount. Looking ahead, we expect the ongoing network expansion of our customers to act as a key pillar of our growth. I would now request the moderator to open the floor for questions and answers please. Thank you.

Sunita - Moderator

Thank you very much Sir. We will now begin the question-and-answer interactive session for all the participants who are connected to audio conference service from Airtel. Due to time constraints, we would request if you could limit the number of questions to two to enable more participation. Hence, management will take only two questions per participant to ensure maximum participation. Participants who wish to ask questions may please press "*" and "1" on their touchtone enabled telephone keypad. On pressing "*" and "1" participants will get a chance to present their questions on first-in-line basis. To ask a question participants may please press "*" and "1" now. The first question comes from Mr. Kunal from BNP/Mumbai. Mr. Kunal you may ask your question now.

Kunal Vora – BNP Paribas/Mumbai

Thanks for the opportunity and congrats for a strong quarter. First is the co-location additions this time were much higher versus tower additions, looks like you are getting new business from Vodafone Idea, so wanted to get a sense on how the pipeline is looking both from Airtel and Indus. I know you would not be able to share specific details but if you can just talk about how is the pipeline looking?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Thanks Kunal. I think your observation is correct. This was a strong quarter with both tower and co-location additions. I think our order book remains quite strong both on towers and co-locations from all the customers. So we expect the growth to remain robust in the foreseeable future.

Kunal Vora – BNP Paribas/Mumbai

What is the kind of visibility which you have right now?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

If you are looking at a timeframe, I think we are looking at a timeframe of visibility of the next three to four quarters, that is what we have today.

Kunal Vora – BNP Paribas/Mumbai

That is helpful. Thank you and second is what is the kind of investments you are looking to make in the EV charging infrastructure, a few years back you invested in Smart Cities eventually it settled out. So how different is this opportunity like if you can just give us sense on what you are looking at here?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Kunal, I think EV and Smart City are very different and the Smart City was a Government driven initiative. From an EV business point of view, it is too early to say on the investment. It is a very early stage discussion that we are currently looking at. We are planning to look at or capitalize on our core strengths of managing space, power, and as we expand our discussions with the potential customers on a case-to-case basis, we will make the decisions accordingly. So I think it is a bit early to say any numbers in that side.

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Kunal Vora – BNP Paribas/Mumbai

But if you can just give some sense on like what is your right to win, how many sites might have any potential, what is the kind of competition which is also working on this, like you do not own the land so how would the deal with landlords work out whatever you can provide on this?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

From a land acquisition perspective, it is quite similar to what we do in the tower space. I think the model for space and power is quite similar to what we do for towers, maybe some dimensioning is a bit different and our right to win probably comes from the ability to manage and deliver the sites and provide a large uptime for the chargers, which need to stay up when they are on the streets. So our O&M practices, operation centre will give us the right to win. So that is the broad thinking on which we have started doing some pilots and as we progress we will understand how big this opportunity can be for us and we will keep you posted.

Kunal Vora – BNP Paribas/Mumbai

By when do you think we can hear more about this?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Again, as I said Kunal it is very early stage. I cannot give you a timeframe. It is something that we have started just now so as things progress we will come to know now.

Kunal Vora – BNP Paribas/Mumbai

Thank you. That is it from me. I will come back in the queue.

Sunita - Moderator

Thank you very much Mr. Kunal The next question comes from Mr. Manish Adukia from Goldman Sachs/Mumbai . Mr. Adukia you may ask your question now.

Manish Adukia - Goldman Sachs/Mumbai

Now when you think about the new customer Vodafone Idea, which you said has started rolling out and you have a good share of those rollouts can you give us a sense of what your market share with Vodafone Idea has been in the new roll out and is that broadly similar to the market share you have with your number one customer Bharti Airtel and is it safe to assume that majority of the rollouts have the visibility, which you talked about for the next few quarters for Vodafone Idea that is largely going to be on existing towers and for Vodafone Idea in particular you do not necessarily have to roll out new tower so they should largely come in the form of tenancy that is my first question?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Thanks for the question again. Rather than giving you a specific number of the share what I can say is if you have seen the rollouts that we have done over the last couple of years that has put us in a prime position to have towers available for a second tenant so I think that is a broad strategy that works out and I think hence we are in a pole position to be able to monetize those towers, which are currently single tenant and when I was talking about the next three, four quarters it was not just VIL . I was talking about the overall market in terms of pipeline that we have. As far as building new towers for VIL or any other customer I think it will depend on their planning and network expansion. While we will not pick and choose, but I am very confident that with the footprint now that we have for our 1T towers , we can largely capitalize on them for a second tenant . But we will make sure the network expansion is met one way or the other.

Manish Adukia - Goldman Sachs/Mumbai

Got it helpful and just a second quick book keeping question so after the collections from Vodafone Idea in the quarter of about 30 billion odd in the form of past dues I know that the outstanding provision amount is about 5 billion or thereabouts . Is that all that is remaining now as far as past dues are concerned from Vodafone Idea or is there anything else on top of that as well ? Thank you.

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Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Manish just to clarify the 30 billion is the provision write-back. Like I mentioned in my commentary a large chunk of that has been collected subsequently, but because we had the security with us we recognized the provision writeback in Q3 itself. As far as the 5 billion is concerned, I just want to clarify this 5 billion is the provision for doubtful debts that is remaining after the write back. Now just to give you a bit of history, we had provided two years back some of the overdues to derisk our balance sheet and as and

when we are collecting those overdues , we are writing back the provision . So the 5 billion is what is remaining. Obviously, the overall outstanding is more than that because as we have explained in the past we have been providing for the overdues, which were beyond the credit period and already matured, so the outstanding is not 5 billion, the overall outstanding within the credit period plus the overdue is bigger than that.

Manish Adukia - Goldman Sachs/Mumbai

Thank you for clarifying. All the best.

Sun

ita – Moderator

Thank you very much Mr. Adukia. The next question comes from Mr. Vivekanand from Ambit Capital/Mumbai . Mr. Vivekanand, you may ask your question now.

Vivekanand Subbaraman – Ambit Capital/Mumbai

Thank you for the opportunity. So the first question that I have is on the capacity, in any given quarter what is the maximum number of co-locations that you are capable of rolling out and is that going to be a constraint at all if Vodafone Idea decides to aggressively expand population coverage like it has suggested and is there a theoretical limit in terms of let us say 20,000 to 30,000 co-locations per quarter that your field force is capable of deploying that is one . Secondly , as far as the balance sheet is concerned I see that your debt excluding lease liabilities is down to only Rs.1 ,000 Crores now that you are collecting money on time from Vodafone as well as the Company is clearing past dues with you when can we expect the balance sheet to get more optimized and leverage to come back so that investor get amplification of returns like they do with other global tower companies ? Thank you.

Prachur Sah – Managing Director & Chief Executive Officer – Indus Towers Limited

So let me answer the first question and then I will ask Vikas to answer the second question. So, from a capability of co-location deployment see once we deploy our 1T tower , co-location deployment is actually very straight forward . So from a technical limit point of view I think there will be no limit from our side in terms of co-location deployment. Our turnaround time and our spread of the field force is enough that we can meet all the requirements of co-location orders that come from the customer . So I think from a co-location deployment point of view the technical limit of execution is not much of a constraint. I think as long as we have the first tenant available and the tower is there co-location deployment is quite quick and it is not limited because we have field force managing the towers that are operating anyways so that is not a constraint from our side. Now I will ask Vikas to answer your second question.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Vivekanand I think as far as the debt is concerned clearly there is a reduction in this quarter Q3 and that is a function of good cash flow that we have generated in this quarter as a result of better collections as well as our capex cash flow has been lower and as part of our normal cash management we have sort of repaid some of our short-term loans etc. So I do not see this first of all as a very long-term situation this is basically just part of our normal cash management. Coming to the long-term view on how the balance sheet can be optimized , clearly we know that there is a lot of headroom. In the past , as I had explained why we were not very keen

about increasing debt levels was because there was lot of uncertainty that we were facing. Now with the uncertainty reducing I think clearly there will be more appetite, as we go along there will be capital allocation decisions, etc., that will be made in the next couple of months and quarters and that will probably improve the leverage situation and the balance sheet optimization. So I think give us couple of months and quarters and then we will see how this goes, but currently we are just coming out of a very uncertain phase with a very good collection in the Q3, Q4 sort of a time period.

Vivekanand Subbaraman – Ambit Capital/Mumbai

Thank you very much for your elaborate answers and all the best.

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Sunita – M

oderator

Thank you very much Mr. Vivekanand. The next question comes from Mr. Sumangal Nevatia from Kotak Securities/Mumbai. Mr. Nevatia you may ask your question now.

Sumangal Nevatia – Kotak Securities/ Mumbai

Good afternoon and thanks for the chance. My first question is on our new venture for EV charging. I appreciate it is very early stage but just want to understand from a capital allocation point of view what sort of hurdle rate do we look at when we evaluate and decide to pilot and then maybe eventually sign contracts on this business?

Prachur Sah – Managing Director & Chief Executive Officer – Indus Towers Limited

Again to be honest hurdle rate once we are looking at the project on a case-to-case basis we are evaluating that but I think the hurdle rate is going to be in line with what our overall business is.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Again Sumangal I think I just want to probably add to what Prachur said, I think broadly we have made this announcement it is early stage, obviously we are aspiring for let us say mid to maybe somewhere in the double digits so mid to high sort of double digit returns, but currently the business scale is very small to really talk about returns, because currently we need to first develop this business and see where it goes and see the competitive situation in the market and so on, but obviously aspirational ly the returns are expected to be double digit.

Sumangal Nevatia – Kotak Securities/ Mumbai

I understand and since we are kind of doing some sort of pilot do we have any sense on the time of the business any external agency we would have deployed before we get into this business?

Prachur Sah – Managing Director & Chief Executive Officer – Indus Towers Limited

No, as I said I think very early stage . I think we are learning as we are doing. I Tare certain parts of pilot where we are primarily focusing on technical feasibility and our ability to deploy so again as I said as we go forward we will learn more.

Sumangal Nevatia – Kotak Securities/ Mumbai

Got it. One small clarification. I do not know if this was discussed as I got disconnected. On the dividend since we are now coming out of the bad phase when all the bad debt provisions are largely behind what should we expect with respect to dividend payout , do we expect to get back to old ways paying out almost all of free cash flow eventually?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

I think the cash flow situation certainly has improved significantly compared to what we were seeing in the past, so with this sort of visibility we will certainly evaluate the whole situation at the year end, which is just two, three months away and I am sure the Board will then take a call on the dividend also . We are fully aware that no dividend has been paid in the last two years although we did a buyback in Q2 and distributed some cash, but clearly by year end if we are still in a very strong cash flow situation , I am sure the Board will evaluate all this .

Sumangal Nevatia – Kotak Securities/ Mumbai

Got it. Thank you and all the best.

Sunita - Moderator

Thank you very much Mr. Nevatia . The next question comes from Mr. Sanjesh Jain from ICICI Securities/Mumbai . Mr Jain you may ask your question now.

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Sanjesh Jain - ICICI Securities/Mumbai

Good afternoon . Thanks for taking my question . Couple of them are book keeping question s. I will start with them . First on the provision reversal your note to account says that this quarter had the provision reversal of the collection of 29 billion , in your opening statement you suggested 30.2 billion so what is the difference between the two so I am referring to Notes to Account 11C?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Hi Sanjesh so it is basically the 29 billion is the provision reversal on account of the monetization of security and also some of the past collection and apart from that there has been some other adjustment also so the 29.6 that you see in the notes to accounts relates to one customer and a specific transaction, but in the overall books the provision reversal has been 30 billion or there about ,

so there are other TDS -related adjustments and so on, so the total number is 30 billion so that is the small difference that we are explaining .

Sanjesh Jain - ICICI Securities/Mumbai

Second on the trade receivable, if I look at quarter -on-quarter trade receivable has gone from 56 billion in last quarter end to 73 billion in this quarter . What has led to the sharp increase in the trade receivable s?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

So in the accounting books as we write back the provision because the balance sheet shows the receivable s net of provision so as we write back the provisions that goes and sits in the trade receivable s.

Sanjesh Jain - ICICI Securities/Mumbai

Money was received in January.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

That is right it is just a timing issue .

Sanjesh Jain - ICICI Securities/Mumbai

That is a timing issue and that is very clear now. The next question is on the capex. We had one of the highest tenancy addition and fixed number was quite muted what explains this capex?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

No, it is just the sort of procurement sort of a time frame . Obviously the procurement for the roll outs that we have done were much earlier and then there is also the adjustment on account of the Supreme Court ruling wherein we are now able to avail the CENVAT credit on towers and to that extent we have also reversed some capitalization to the extent of 6.6 billion that we have explained in the notes .

Sanjesh Jain - ICICI Securities/Mumbai

Got it and followup question on the tenancy addition I do not know if you can help us understand or ascertain what is your existing run rate for market share in the Vodafone's roll out, even on the market share we had earlier if not the number?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

I think we are currently the dominant market share for all our customers that are rolling out and I think we will continue to do so.

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Sanjesh Jain - ICICI Securities/Mumbai

I know we have a dominant market share , Do we also have a dominant incremental market share ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Yes.

Sanjesh Jain - ICICI Securities/Mumbai

That is very clear . One last question on the EV infrastructure business . The tower business was quite straight forward for us, we used to get order and based on the order we used to put the tenancy or tower, but in case of EV we need to choose the location and then look for a potential business out of it, are we building the expertise, are we building a different business unit for it because though on the face of it the business most looks same but the business economics are very different . Will it be run by a separate team as a different BU?
U?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

See again I think since there have been a few questions I would like to clarify see our primary driver of the business remains the tower business . But I think EV is at an early stage of course . We will maintain that difference so that the tower business does not suffer so I think it is a separate business unit, separate team that is going to drive the business and as you mentioned earlier I think there are certain things, which are different especially on the market side that is why our selection of contracts or the deals that we make with customer will be very prudent in terms of making sure that we are close to the business model that we are doing with towers. I think it is something that will be new to the industry as well so we will be very cautious on that one but it is a separate business , yes.

Sanjesh Jain - ICICI Securities/Mumbai

You mentioned that you had one of the highest IBS addition in this quarter can you help us understand how big has it become , what is the opportunity are we looking at it, along with that can you also help us understand the effort what we are doing towards building the micro cell towers where are we in that ecosystem now , I know we do mention the leaner towers but are they same as micro towers ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

So let me first answer the IBS question . I think you know like I mentioned in my speech at IBS for last year we focused a lot on the tower addition this year we put a specific effort on making sure that our team , our ways of working , our processes , and even the technology that we are deploying in IBS that now includes 5G right . We put a robust team and drive behind it and that has resulted in a very strong uptake and our ability to acquire sites for IBS even in larger cities, so I think that has been the reason behind the IBS update and I think that has proven to our customers that we can deliver right so we are aggressively present in this space and we will continue to expand. As far as the micro cells and the lean sites are concerned, I think Tejinder can correct but it is a

little bit

of a customized solution based on what the customer is asking for any given site and I think we have the capability to provide those customized solutions as the requirements come.

Tejinder Kalra – COO – Indus Towers Limited

Yes pretty much right Prachur as you said. There are solutions required for the customer's need. It could be the small 3 meter, 6 meter, 9 meter kind of whole structures or the single one sector, two sector depending upon their coverage requirements that is how the micro cell structures are built up, but pretty much we have the solutions to cater to all the needs.

Sanjesh Jain - ICICI Securities/Mumbai

Got it. That is pretty much clear now. On the loss we are making on the energy in fact it continues to remain sticky though the diesel proportion has been coming down and the renewable proportion is going up but the percentage loss has been sticky can we expect some reduction starting FY2026 as a percentage of energy margin losses?

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Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

That is a good question. If you see quarter-on-quarter, there is some improvement but I think there a lot of effort has been going there.

The reason sometimes you do not see the impact of let us say the solar sites or something coming in because it is a different revenue model so

the solar revenue gets captured in service revenue not in the energy so you may not see that impacting the energy margin per se, but it is there in service revenue. So if you bring that here the margin definitely improves. So I think overall on the energy side while I think there is still a lot of work to be done some of them always remains a timing issue in terms of how the energy margin looks like but I believe as we move forward as we put in more and more efforts on renewable, I think these numbers will continue to improve.

Sanjesh Jain - ICICI Securities/Mumbai

Thank you. I got one last question on the rental per tenant, which has grown 0.7% sequentially while our tenancy sharing has been improving, which should have ideally led to some dilution in the rental per tenant as the tenancy sharing goes up, was it a timing issue and that should start showing up from Q4 or do you think the loading will still be driving this rental per tenant going up even in the ensuing quarters?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

So Sanjesh let me explain this. As far as the ARP T metric is concerned like we have explained in the past also there are several variables and moving parts that impact this metric, but particularly referring to Q3 movement over last quarter there is another

element, which is basically the seasonality right , so Q3 -Q4 generally are seasonally good quarters for Indus Towers in terms of weather , the electricity availability etc. So we have better up time, lower diesel cost and so on and sometimes better uptime also translates into sort of better ARPT , so particularly for this quarter while there are other moving parts also, but the single biggest factor is also the fact that there is a seasonality benefit .

Sanjesh Jain - ICICI Securities/Mumbai

Got it but structurally as the tenancy sharing goes up the ARP T should slightly come down right?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Yes to some extent you are right because there is always a tenancy discount that kicks in so ARP T logically should come down but like I said we cannot attribute the movement in ARPT to single factor , there are mix of towers , there is tenancy, there is renewal discount , there is loading , there is 5G , there is seasonality, so there are several factors so something or the other keeps playing in this little movement that we see every quarter .

Sanjesh Jain - ICICI Securities/Mumbai

Got it one probably last question . In the opening remark you said that now the loading is catching up and we are nearing the 5G tenancy roll out in how many quarters do you think you will start seeing the 5 G standalone tenancy being rolled out by the operator ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

To be honest I can not answer that question right now . I think let us see how the proliferation of 5G is and then we come back , it is too early to say if you are going to see something like that happening soon .

Tejinder Kalra – COO – Indus Towers Limited

This is something that is driven by the data optic at the operator end and how they want to cater to that data need so I think it is not easy to kind of predict when the 5G stand alone things will be coming in, but the rollout 5G in any case has also slowed down a little bit.

Sanjesh Jain - ICICI Securities/Mumbai

Given the FWA rollout by Airtel , will that help in adding more tenancies ?

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Prachur Sah – MD & CEO – Indus Towers Limited

No, I think the 5G coverage will

cover that part .

Tejinder Kalra – COO – Indus Towers Limited

FWA has got nothing to do with tenancy; it is the 5G network and the last mile reach of 5G into the homes is what FWA caters to so they are using the on air capacity and FWA is the last mile element there.

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

I am sorry there is a queue building up Sanjesh so maybe we can discuss offline if there is anything more and you come back in the queue.

Sanjesh Jain - ICICI Securities/Mumbai

Thanks for offering me this opportunity .

Sunita - Moderator

Thank you very much Mr. Jain. The next question comes from Mr. Arun Prasath from Avendus Spark/Chennai . Mr Prasath you may ask your question now.

Arun Prasath - Avendus Spark/Chennai

Thank you for the opportunity . Good evening everyone so my first question is on the anchor tenant characteristics with Vodafone no longer a share holder are they still anchor tenant or what are the benefits that we had because of the anchor tenancy we tend to have or tend to lose because of this?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

If I am to understand your question correct ly I do not think shareholder and anchor tenant have any correlation per se . I think anchor tenant is somebody who makes the tower , gives us the order of the tower and brings the initial rollout when the tower is being built that becomes the an chor tenant, so shareholding and anchor tenant have no correlation . So if we make towers for VIL as per their request and it is a new tower they would become the anchor tenant . If we do it for Airtel they will become the anchor tenant or for Jio so I think anchor ten ancy and shareholding have no relation .

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Just to add commercially there is no difference Arun if that is what you are trying to understand .

Arun Prasath - Avendus Spark/Chennai

But we will be still building towers for Vodafone if they request ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

If there is a need for them to build new towers and the existing towers or co -locations do not serve the purpose then we will have a look at it because we have to h elp them with network expansion, of course our primary aim is to support as much as co -location as possible but if there is a network expansion requirement we will continue.

Arun Prasath - Avendus Spark/Chennai

Right and now that we are finally fully out of the bad debts and the receivable s issue in future if this kind of a situation repeats what do we have where the things can play differently , do we have any plan or any levers to tackle the same issues in a different manner in the future ?

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Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

So I think you are asking something which has not happened so I can not give you a response but I think one , two years ago when we were having the discussion I think we were quite confident that we will be i n the situation we are in today . So I think the patience has paid off and we are a point where we are getting our dues collected and we are also participating in network expansion so as the situation comes based on the kind of situation the Management and the Board will act accordingly and make sure the interest of the compan y is protected so that is the answer I can give you .

Arun Prasath - Avendus Spark/Chennai

Why I am asking you is in the past we had some kind of

security in terms of their interest in our stake or shareholding pattern, which is no longer will be there so initially we had that cushion probably going forward we will not have so that is the basis behind the question but nevertheless because I think you are also actively pursuing the business from the BSNL expansion also is it the right understanding ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Yes I think whe rever available we are serving BSNL as a customer and I think we will continue to do that . I think BSNL is an important customer for us.

Arun Prasath - Avendus Spark/Chennai

So typically the government PSUs being counterparts again the receivable issues kind of props up we have seen it in the multiple other sectors so what kind of a framework we have to safeguard the risk coming from these future businesses , any thoughts on that?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

So I think just to give you a sense that BS NL is not just future business we actually have existing tenancies with BSNL and we have been working with them for quite some time and we have an MSA under which we operate . Of course the issues that come across we handle on a case -to-case basis so BSNL is not just future business . We have existing tenancy with BSNL and we have a relationship where we work with them to see that we get paid on time and I think we have seen some good progress in the last one

year in this front as well.

Arun Prasath - Avendus Spark/Chennai

Right any indication from their side how their roll outs look s like and what kind of business you expect in terms of relatively with respect to say Vodafone's business ver sus Bharti's business , some colo ur on that please?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

No, I cannot compare with the others . All I know is that BSNL is actively looking to upgrade their network so all our tenancies are getting , wherever they are asking we are providing the upgrades to 4G and wherever there is a co -location requirement we are making sure that we are serving them and we are actively working with them to make sure that any co -location s that they are offering in the market we are there and trying to capture that market .

Arun Prasath - Avendus Spark/Chennai

Also regarding the investments in the energy business not the separate one but within the tower energy business so far I think if you can broadly split the capex that we have spent in the last three years on the core business versus what we have invested in the energy that will help us in understand ing the magnitude of the investment we have made ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Arun basically energy is also part of our core business . Because in the end while we report the two revenue s separately but in the end they are one business right . So broadly if you are referring to the replacement capex as we have clarified in the past roughly

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20% of our capex goes in replacement and then roughly 5 to 10% in other things like IT and a few other initiatives but broadly we really do not track energy because for example if we are replacing a battery whether that is a replacement capex or energy capex how do we really classify that so we really do not differentiate energy capex .

Arun Prasath - Avendus Spark/Chennai

So put it in another way , so we are s pending close to Rs 800 Crores of maintenance capex roughly every year so this energy capex will go into the maintenance one ?

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Yes our replacement capex is more than Rs 800 Crores so any energy capex is pretty much part of the replacement .

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

But I think you keep calling it energy capex , it is not energy capex that is required to provide energy and provide the uptime so I do

not think we should look at in that way , it is an energy capex . Providing power is our core business so I do not think energy capex should be looked at in that sense .

Arun Prasath - Avendus Spark/Chennai

Anything you can call out on the investments in the renewables within this ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

No, I mentioned to you . I think first of all in the past we have rolled out about 28,000 solar sites so I think that is part of the upgrade capex that is there and in future besides solarizing the individual sites we are looking at investment in green open access where I mentioned in my talk that we have signed a PPA with a strategic partner of 130 megawatts at a 26% equity so that are the two elements I could highlight from a renewable point of view .

Arun Prasath - Avendus Spark/Chennai

Alright. Thanks for answering all the questions . All the best.

Sunita - Moderator

Thank you very much Mr. Prasath . Moving to the next participant we do have a followup question from Mr . Vivekanand from Ambit Capital/Mumbai . Mr. Vivekanand you may ask your question now.

Vivekanand Subbaraman - Ambit Capital/Mumbai

Thanks for the followup opportunity . As per the DoT India has around 817,000 towers now you have 235,000 towers , Altius has around 250 k towers and BSNL has 70,000, so who has the industry's remaining towers and are there any consolidation opportunities left in the tower space for you presently . Secondly can you talk about the size of the revenue pools that are there in the small cells and lean tower markets compared to the current macro tower opportunity that we are pursuing ? Thank you .

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Again I will try to see if I can answer this question . So you are asking is there any other major players from a tower point of view not that I am aware of right so I think we can look at the numbers again on what because DoT may have some numbers which are actually not radiating also right , so I think that could play a part in that number game , but I think the tower players you have listed out which seems to be correct and your second question was that besides macro what are the markets that we can participate in if that is what you were implying , so I think besides macro as I mentioned small cells , lean towers we have deployed close to 11,000 over the last couple of years . IBS portfolio is becoming stronger for us and I think we have started to become a supplier of choice for IBS for our major customer , and we continue to provide bespoke solutions as far as small cells are concerned based on customer requirements so I think these are the three ways we are looking at the market outside the macro market .

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Vivekanand Subbaraman - Ambit Capital/Mumbai

Is there any quantification possible at all in terms of potential revenue opportunity maybe say broad ranges like 10% of current macro opportunity or 20%, 50% I do not know I am just asking if small cells , lean towers , IBS put together, can it be material for you or is it just very small and perhaps only the need is marginal ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

In our business where revenue is driven by the capex that is invested right I think these sites cost much lower than a macro tower, so when you start talking about a percentage of revenue I do not know what the percentage is we can have a look, but the materiality comes from the fact what role these solutions play in the customers network , so I think more than revenue I think it is important to look how they play the role in the customers network and we being the solution provider to meet all their customer network demands, so while in revenue because we are in a infrastructure industry and we get paid on the investment that we make the materiality may not look that great but it is a very critical element to provide the holistic solutions to our customers .

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

Just to add Vivekanand I think while Prachur explained the rationale which is basically meeting the network solution requirements of the customer , revenue wise it is not material enough to be disclosed and that is why we do not talk about revenue numbers for each of these segments . It is a small number not really material to be talked about.

Vivekanand Subbaraman - Ambit Capital/Mumbai

Fair enough no I was not just referring to the current number I was thinking more from a 3 -to-5-year perspective that can this be 10% or 20% of your business on aggregate ?

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Again it is a good return business . We have been participating . I think the leaner sites have a better return but I think 3 to 5 years down the line as the urban territory expands and the urban requirements are there I believe these opportunities will become bigger . How big that will become it depends on how the network expands , what are the spectrum , what are the other issues associated with it but it is an important element from a network point of view .

Vikas Poddar – Chief Financial Officer – Indus Towers Limited

So Vivekanand just to add to what Prachur is saying . I think this small cell or IBS or micro site solutions is more from a network densification and network capacity need focused kind of solutions as the networks mature, as the data capacity grows or higher technologies come in there will definitely be a need of such kind of solutions, which will increase and therefore probably over time it could become material, but for today these numbers look considerably small because the macro sites are able to cater to a large part of the need of the operator and that is the reason why we are in this space already so that we are ready once the densification begins to happen .

Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

But I just want to clarify no matter how small the contribution of this is in revenue and revenue share . From other competitors point of view , Indus has still a significant share in this market right . So if you look at IBS market overall I think we are a large player in that space .

Vivekanand Subbaraman - Ambit Capital/Mumbai

Yes this is very helpful . Thank you for the perspective and all the very best.

Sunita - Moderator

Thanks very much Mr. Vivekanand . At this moment, I would like to hand over the call proceedings to Mr . Prachur Sah for the final remarks .

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Prachur Sah – Managing Director & Chief Executive Officer - Indus Towers Limited

Thank you. In summary, we are pleased to have delivered strong operational performance in Q3 reaffirming our execution capabilities and customer centric approach . Our constant engagement with a major customer has helped us collect most of the overdue and we are confident of clearing the balance amount . We expect the ongoing network expansion by our major customers to provide us with ample opportunities to grow . We endeavor to ride this growth journey in a sustainable way and create value for all our stakeholders including shareholders , customers , and partners . Have a good day . Thank you .

Sunita - Moderator

Ladies and gentlemen this concludes the conference call . You may now disconnect your lines. Thank you for connecting to audio conference service from Airtel and have a pleasant evening .

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Q4 and full year ended March 31, 2025, Earnings
Conference Call "
May 01, 2025

MANAGEMENT : Mr. Prachur Sah – Managing Director and Chief
Executive Officer
Mr. Vikas Poddar – Chief Financial Officer
Mr. Tejinder Kalra – Chief Operating Officer
Mr. Dheeraj Agarwal – Head of Investor Relations

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Moderator: Good afternoon, ladies and gentlemen. I'm Michele, the moderator for this conference. Welcome to Indus Towers Limited fourth Quarter and full Year ended March 31, 2025, earnings call. For the duration of the presentation, all participant lines will be in the listen-only mode. After the presentation, the question and answer session will be conducted for all the participants on this call.

In case of a natural disaster, the conference call will be terminated post an announcement. Present with us on the call today is the senior leadership team of Indus Towers. Before I hand over the call, I must remind you that the overview and discussions today may include certain forward-looking statements that must be viewed in conjunction with the risks that we face. I now hand the conference over to the MD and CEO of Indus Towers, Mr. Prachur Sah. Thank you, and over to you, Mr. Sah.

Prachur Sah : Thank you, Michele and a very warm welcome to all participants. Joining me today are my colleagues, Mr. Vikas Poddar, CFO; Mr. Tejinder Kalra, COO and Mr. Dheeraj Agarwal, Head of Investor Relations on the call. I'm pleased to present our business performance for the quarter and year ended on March 31, 2025. We're proud to have delivered another stellar year with our tower and tenancy additions being one of the highest in our history, after having a record-breaking performance in FY24.

Our inherent strengths including superior execution capabilities have helped us maintain a major share in our customers rollouts. This in turn has led to a significant tenancy accretion from our customers. In addition to the operational performance, we were also satisfied to see our persistent engagement reap rewards, resulting in our customer clearing the entire overdue amount with Rs. 51 billion in this financial year alone. Additionally, in line with our strategy of expanding our portfolio, we executed a transaction to acquire about 12,600 towers from Bharti Airtel during the year.

Before moving on to the key aspects of our business, I would like to applaud the exceptional commitment of our field teams who worked tirelessly amidst the backdrop of tough environmental and logistical challenges to ensure seamless connectivity. The quarter gone by saw a historic 45-day long Maha Kumbh event bringing together more than 616 million devotees and we are proud to have contributed to the grand spectacle by deploying 177 towers in collaboration with the Government. This not only showcases the capabilities of Indus Towers to manage the connectivity need of such a large congregation, but also reflects the greater agility of its people on the ground. The field teams also braved adverse weather conditions to install the towers in Northeastern District of Tawang ensuring connectivity.

On the regulatory front, the Government continues to push reforms to support the swift development of telecom infrastructure, keeping sustainability in mind. To this end, the central Government made it mandatory for states to follow the Right of Way Rules 2024 since the start of the calendar year. These are aimed at resolving inter pretational issues within the industry and ensuring efficient deployment of telecommunication infrastructure . Furthermore, the

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Green Energy Open Access policy has been adopted by nearly 24 states, serving as an important catalyst for accelerating the shift towards renewable energy and enhancing overall energy efficiency. Separately, the composite billing scheme, which was rolled out a few quarters ago has now been operationalized in 11 states including Rajasthan, Madhya Pradesh and Maharashtra. By consolidating multiple connections bills into a single invoice, the scheme simplifies billing operations and streamlines the management of large volume accounts. When it comes

to 5G, close to 40,000 5G base stations were rolled out in the industry in the last financial year, with a total base now standing at close to 475,000. While the pace of deployment has moderated, 5G -related loading continues to contribute meaningfully to our overall loading revenues. We anticipate that once 5G penetration deepens further, there will be a natural uptick in the demand for new sites to support network de-congestion. Given our expertise in passive infrastructure, we are well positioned to capture these emerging opportunities.

Statistics mentioned in the Ericsson Mobility Report reiterate the rapid adoption of 5G by the customers. As per the report, global 5G subscriptions grew by 162 million in the December quarter to a total of 2.3 billion with 4G subscriptions falling by 54 million. Global 5G subscriptions are expected to reach over 6.3 billion by 2030, accounting for around 67% of the total subscriptions. In India, 5G subscriptions are expected to reach around 970 million by the end of 2030. As per the latest TRAI report, the total 5G subscription base in India grew to 243 million at the end of Q3 FY25, increasing by 25 million during the quarter.

The data consumption story in the country continues to play out strongly, underpinned by the continuous migration of users from 2G to 4G and the swift adoption of 5G. The average data consumed per user per month across the top three operators grew 15 % year-on-year to 27.5 GB for the quarter ended September 2024, with the total data consumed growing by 20% year-on-year. Additionally, as per TRAI, 5G data consumption grew 18% quarter-on-quarter and contributed 26.5% of total data usage in Q3 FY25 compared to 22.7% in Q2 FY25. As data consumption continues to soar and 5G technology becomes more ubiquitous the requirement for passive infrastructure is expected to increase consistently to handle additional capacity and we believe that we have the expertise to meet this rising demand efficiently.

Our operational performance continues to be strong as we recorded one of our highest new tenancy additions during the quarter. Additionally, we also acquired 12,600 towers, including lean from Airtel to strengthen our tower portfolio further. In Q4, we added 14,662 macro towers and 18,606 corresponding co-locations including this acquisition. Our total macro towers and co-locations base stood at 249,305 and 405,435 growing by 13.5% and 10% year-on-year, respectively. On a full year basis, tower and co-location additions were at 29,500 and 36,800, respectively. Our industry-leading tenancy ratio stands at 1.63. In terms of lean towers, co-location additions were at 2,386 in Q4 including acquisition of about 2,200 towers from Airtel. This resulted in the overall base increasing to 13,870. Including leaner towers our net co-location additions were at 21,000 in Q4 compared to 7,700 in Q3.

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Following on from our operational performance, I would now like to provide an update on the progress we have made on each of our four key strategic pillars, namely market share, cost efficiency, network uptime and sustainability.

On market share, we are pleased to have consistently maintained the majority of the market share in the business of our major customers. Our inherent strengths, focus on automation, speed of acquisition and construction while ensuring quality and safety remain the key reasons for us being our customers' preferred pick. We also improved our market share through the consolidation as we've acquired about 12,600 towers from Airtel. The asset base is a single operator portfolio and offers the potential of sharing these towers with other operators.

During the year, we continued to make digital interventions across the value chain, strengthened our partner ecosystems and worked towards improving operational turnaround times. We also le

veraged the Government's Right of Way policy to expand our reach across Government lands. As witnessed in FY25, we remain focused on gaining a significant share of tenancies from all our customers, which bodes well for our growth prospects.

Our In-Building Solution (IBS) portfolio continues to show strong growth as we maintain leadership position in new rollouts for our customers. We are pleased to see that our deployments in Q4 surpassed those in Q3, which were the highest in our history. We are confident of expanding this portfolio further.

Looking at cost efficiency, we continue to focus on optimizing both operating and capital expenditure through multiple initiatives. Energy remains a major opex driver, particularly diesel cost. Through electrification of non-electrified sites, deployment of energy storage solutions and a continued expansion of our renewable energy portfolio, we further reduced the diesel consumption by 6% year-on-year in FY25. We also added more than 15,000 solar sites during the year, taking the total base close to 30,000.

We are optimizing rental costs through targeted site prioritization, benchmarking, landlord segmentation and leveraging the Gati Shakti portal. Furthermore, our continued efforts on technological interventions and resource efficiency is driving productivity improvement, which can be seen in our network costs.

On the capex front, we are transitioning our battery portfolio to cost-efficient Lithium-ion batteries offering faster charging and longer life. In parallel, our tower portfolio is pivoting towards lighter tower variants helping lower civil and material costs. We also implemented remote monitoring technologies to enable real-time site oversight and data collection, supporting infrastructure rationalization and resource optimization to achieve cost savings. Collectively, these initiatives are enabling sustained improvements in both our operating and capital cost structures.

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On network uptime, an important metric of customer satisfaction and quality of service. We continue to maintain a very high uptime and delivered an industry-leading uptime of 99.98% in Q4 FY25, similar to Q3. We were able to deliver these numbers despite heavy rains and thunderstorms witnessed in areas of Karnataka, which is a testament to the dedication and perseverance of our teams on the ground.

Moving on to ESG, which remains central to our organizational priorities.

On the Environmental front, we are steadily advancing our efforts to curb greenhouse gas emissions. Our key focus area has been minimizing our reliance on fossil fuels by progressively shifting our energy consumption towards cleaner renewable sources. To that end, we added more than 15,000 solar sites during the year, taking the base close to 30,000 at the end of March. Supplementing this was a strategic investment in captive solar projects under the Green Open Access initiative, as we entered into agreements with JSW Green Energy and Amplus for the procurement of solar power to fuel our energy needs. I would like to highlight that 2 years ago, we committed to net-zero GHG emissions by 2050 in line with SBTi, i.e. Science Based Targets initiatives. We are pleased to see that our near term and net-zero targets have now been validated and approved by SBTi.

To drive responsible practices across our value chain, we conducted ESG training sessions for more than 100 key partners to bring greater awareness and alignment to sustainability standards. We continue to take initiatives to encourage the transition to electric vehicles for the business travel needs for both our employees and partners. During the year, we launched our FutureEarth program in partnership with 1t.org for which we aim to plant 1 million trees by 2027 in order to create a sizable carbon sink for our country. We were happy to see our efforts

efforts towards the environment being recognized as Transformance bestowed Indus with the Great Indian Sustainable Performance in Energy Efficiency Award.

We are pleased to see our gender diversity increase from close to 12% at the beginning of the year to 16.2% by March 2025. Our efforts are geared towards enabling equal opportunities for women across the board from on-ground field roles to leadership positions. To that end, we launched our women leadership development program, Shakti, in collaboration with IIM Indore to equip our women employees with the requisite skills and behavior needed to take up leadership roles in the future.

Gender diversity across the value chain is also important to us. And to this end, we launched "HerSuccess" program focusing on mutual sharing of proven strategies, best practices and success stories with partners to drive progress. On the CSR front, we carried out relief activities relating to the floods in Bihar supporting over 2,000 lives. We are pleased to see our 'Digital Transformation Van' initiative aimed at educating and upscaling disadvantaged individuals, expanding to 9 states over the year.

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We were pleased to see our social initiatives being recognized by multiple bodies. During the year, we won the Mahatma Award 2024 for CSR excellence and Gold Award under social

initiative category at Bharti Changemaker Awards 2024.

Now as part of the Company strategy, I, along with the Board discussed the path forward for Indus given that now we have the backlog issue behind us. The strategy includes aggressively pursuing market share through both organic and inorganic routes as demonstrated by our acquisition of Bharti Airtel's towers. In addition, given the scale of Indus, we are working on transforming our site infrastructure and leveraging digital solutions and AI to create new benchmarks of performance. This will further encourage all our customers to move tenancies to Indus.

Furthermore, I'm committed to distributing the cash to shareholders and considering the discussion, the Board has decided to appoint a subcommittee to comprehensively assess the modalities of distribution.

I would now request Vikas to take you through our financial performance for the quarter and year ended March 31, 2025, and I look forward to your questions. Over to you, Vikas. Thank you.

Vikas Poddar : Thank you, Prachur and good afternoon, everyone. I'm pleased to present our financial results for the quarter and full year ended 31st March 2025. FY25 was another strong year for us. We achieved substantial tower and tenancy additions, driven by our ability to capture a significant share of our customers rollout plans. A key highlight of the year was the clearance of large portion of overdue receivables from a major customer, which positively impacted our cash flows and overall financial health.

Turning to the financial performance for Q4 FY25. We reported gross revenues of Rs. 77.3 billion, a year -on-year growth of 7.4%. The core revenues from rental grew by 10% year -on-year to Rs. 50.4 billion, supported by robust tower and co -location additions. On a sequential basis, our reported gross revenues and core revenues grew by 2.4% and 4.6%, respectively. In terms of profitability, reported EBITDA for the quarter stood at Rs. 44.0 billion, representing a 7.1% increase year -on-year, but a 37.2% decline quarter -on-quarter. The EBITDA margin was largely flat year -on-year at 56.9%, but declined by 35.8 percentage points sequentially. It is important to note that Q3 FY25 included a onetime write -back of approximately Rs. 30 billion related to the collection of overdue receivables which significantly boosted EBITDA for that quarter. In Q4, we recorded a further write-back of Rs. 2.3 billion as the customer cleared additional dues.

On the Airtel Tower acquisition, as you know, we completed the a

cquisition of approximately

12,600 towers with the asset transfer occurring in the last week of March. The acquisition is accounted as a common control transaction as per Indian Accounting Standards, which requires assets and liabilities to be recorded at carrying value. Accordingly, the difference of Indus Towers Limited

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Rs. 18 billion between purchase consideration and carrying value is recognized as common control reserves. Further, the common control business combination requires restatement of financial results from the date of common control, which is 19th November, 2024. Accordingly, the Q4 financials include net loss of Rs. 1.7 billion being operating expenses and depreciation from 19th November 2024 to 31st March 2025. This impact is largely noncash in nature as the towers were operated by Airtel during this period. Adjusted for the write -back and the accounting impact of the acquisition, our EBITDA grew 12.8% year -on-year and 7.6% quarter -on-quarter.

Our reported energy margins were -5.2% in Q4, which includes accounting impact of common control transaction as explained earlier. Adjusted for this, energy margins improved to -2%, driven by seasonality and reduction in diesel consumption. We undertook initiatives such as deployment of solar sites and storage solutions to help us reduce our use of diesel.

Profit after tax for Q4 stood at Rs. 17.8 billion, down by 4 % year -on-year and 55.6% quarter -on-quarter. Excluding the aforementioned one -offs, the normalized profit after tax grew 19% year -on-year and 15.3% sequentially.

Now on to the full year performance for FY25. Our reported gross revenues grew 5.3% year -on-year to Rs. 301 billion and core revenues were up 8.3% year -on-year to Rs. 192 billion. Reported EBITDA was Rs. 208.4 billion, up 41.9% year -on-year and profit after tax stood at Rs. 99.3 billion, an increase of 64.5% year -on-year. On a normalized basis, excluding one -offs, EBITDA and PAT grew 8.5% and 10.1%, respectively.

We delivered strong returns with a reported pretax return on capital employed of 29.1% and a post -tax return on equity of 33.4% over the past 12 months. Our free cash flow generation remained robust at Rs. 38.7 billion for Q4 and Rs. 98.5 billion for the full year. Improvement in cash flow was driven by the continued business momentum and the collection of overdue receivables which also led to a Rs. 25.5 billion reduction in trade receivables during the quarter.

In summary, FY25 was a year of strong operational and financial performance. We achieved significant tower and tenancy growth, driven by our customers' network expansion and strengthened by the full clearance of our overdues. Looking ahead, we are well positioned to benefit from ongoing 5G rollouts, the rising data consumption and industry consolidation opportunities.

So with that, I'll now hand it back to the moderator to open the floor for questions.

Moderator: Thank you very much, sir. We will now begin the question and answer interactive session for all the participants who are connected to audio conference service from Chorus Call. The first question comes from Mr. Sachin from Bank of America.

Sachin: Thank you for the opportunity. I have two questions. First question is on dividend. There was a general expectation that once backlog from Vodafone Idea is cleared, your Company will start

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giving dividends. Wanted to know the reasons for dividend being not declared and a committee being constituted. And any general thoughts that what would be a timeline when we could see a decision either on dividend or buyback coming?

Related question to that is, we are acquiring Bharti's 12,600 towers. So the amount, roughly Rs. 20-odd billion what you're paying to acquire these towers, will that also be constituted when you guys consider paying dividends? So that's question number one.

Prachur Sah: So for both the questions, I'll take the first one, and maybe you can take the second one, Vikas.

So as I explained in my opening remarks, I think -- the Company has generated a significant amount of FCF for the year, which was also aided by the clearance of the past dues. This enabled us to return a part of it to the shareholders through the buyback during the year. And as I discussed, the Company's strategy with the Board was to pursue growth, both organic and inorganic, some of that you saw in the results as well. And also to see how we can drive transformation on our sizeable infrastructure and leverage digital solutions. And as I said earlier, I remain committed to rewarding the shareholders in implementing our strategy. Considering this, the Board has formed a committee to comprehensively assess various viable options and place it before the Board for its final approval. Now as far as the timeline is concerned, I think since the committee has been announced yesterday, I don't believe it's going to be a long-drawn process. And we'll make a suitable disclosure once we have an update on this one. As far as the Airtel towers question..

Vikas Poddar: Yes. So Sachin, on the question about the amount, which was paid to Bharti Airtel for the purchase of towers, that will obviously be factored in by the Committee in deciding whatever distribution is decided later on.

Sachin: Okay. And sorry, just to be clear that the committee is not going to take too much time. So within 3 months, a decision should be then by the time you end up reporting your 1Q numbers before that we should get a visibility on dividend or buyback, right?

Prachur Sah: Sachin, as I said, I'm not giving you timeline in months or weeks and what I'm expecting is it's not going to be a long-drawn process, and we'll keep you informed.

Sachin: My second question is I just wanted to understand when should we start seeing tenancy improvement? Now I understand the incremental towers which have been acquired, these towers have dipped a bit of a tenancy, but from the business which is coming from Vodafone Idea ideally should lead to a tenancy improvement, which we are not seeing in the numbers. So wanted to understand, should tenancy remain range-bound in the range of 1.63 to 1.65 or we should directly see that moving up going ahead?

Prachur Sah: I mean, Sachin, I'm not sure what you mean by that because if you remove the Tower acquisition, in Q4, we have deployed 4,200 towers or 4,300 new towers and the total tenancy has increased by more than 8,800. So I think there's a significant tenancy addition that we have seen in Q4 and like we saw in Q3 as well. So maybe because of the addition of Airtel to towers,

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you're not seeing the tenancy impact, but I believe the tenancy growth has been, in fact, a record growth in this quarter compared to what has happened in the last many years.

Sachin: And that momentum should continue going ahead. Prachur?

Prachur Sah: I think we'll work with the customers to make sure that if based on their network expansion plans, we'll continue to grab the maximum share.

Sachin: Okay, alright. Thanks

Moderator: Thank you. The next question comes from Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Thanks for taking my questions. I have a couple of them. First, starting with the dividend. The dividend policy remains intact, right? 85% of the free cash flow will be distributed to the investors. Does the method of repaying the cash is to be decided or even the dividend policy is being rethought by the committee?

Prachur Sah: No. I think what the committee is going to focus on is the modalities of distribution of the cash, right. And if there is any discussion that is going to come up on the policy as well, they will look at it. But the primary aim of the subcommittee

is to look at the modalities of distribution of the cash to shareholders.

Sanjesh Jain: And number two, we still have some debt on the book. What will be the priority in terms of cash distribution from the capital allocation perspective? Is it to first go net debt free and distribute the remaining cash to the investor or we are okay with the small leverage on the balance sheet?

Prachur Sah: Again, Sanjesh, I don't want to pre-empt what the committee would decide. But what I know for a fact that, as I told you earlier, I think there are multiple elements here. You said that in addition, what we have to look at is the growth ahead of us in terms of what is the capex requirements for the growth in the times to come. And this is that the committee will make a call on how the cash has to be distributed or allocated.

Sanjesh Jain: Clear. My next question is on the growth. Again, Prachur, you mentioned in your opening remarks that we will look at both organic and inorganic options to drive the acceleration in the growth. What are we really looking at in the next 2 years in terms of an acquisition, if we have anything in the mind? And from an organic perspective, anything in the mind apart from the normal business of passive infrastructure?

Prachur Sah: No. When I'm talking about the growth, I'm talking about towers. Towers and IBS is growth. When I said inorganic, I meant if there is any opportunity available to do the consolidation we will do like we did for the Airtel towers in this quarter as far as the inorganic growth is concerned. While all our customers continue to rollout tower tenancies at different speeds, different quantities, and our idea is to make sure that we capture every single opportunity that

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is out there, whether it's a new tower or whether if there's an opportunity to bring more tenancies from other Companies to our site.

So when I'm talking about growth, I'm focusing on the tower growth, which we have seen substantial growth over the last 2 years, and we want to keep the momentum going in the coming year as well.

Sanjesh Jain: Thanks for allowing me. Best of luck.

Moderator: Thank you. We'll take the next question from Mr. Vivekanand Subbaraman from Ambit Capital. Please go ahead.

Vivekanand S: Thank you for the opportunity. At the time of announcing the purchase of towers from Airtel, you had mentioned that you will take loans to fund this transaction. Just to understand this better, in your balance sheet, I see that the borrowings are flat on a sequential basis. Does this mean that the transaction has not been funded with debt? That is question one.

And secondly, I think to Sachin's question on dividends, I think Vikas, you said that the Airtel transaction will also be a consideration for payment of dividend. Why is that the case? Because it seems to contradict what you said in the press release when you announced the purchase of towers.

Vikas Poddar: So Vivekanand to answer that, broadly, the intent is to fund the tower acquisition through borrowing. But because we have substantial collection in this year, we used that to basically purchase the towers, but it should be seen more as a timing issue. So as and when the distribution decision is made, whatever is required will be done at that point of time in terms of borrowing.

Vivekanand S: Okay. And on my second question, which pertains to dividends. Will the amount that was paid out to Airtel, will it be available? Or has it already been earmarked for that purchase, so now it is not available for distribution? Just to clarify that. I know the committee is still evaluating it, but because you had specifically called out that this transaction will be debt funded, we thought that this money is available for dividend distribution?

Prachur Sah: As Vikas mentioned earlier, I think it's purely a timing issue. The intent

is to fund the transaction

through borrowing. So it's only a cash management that was done.

Moderator: We'll take the next question from the line of Mr. Aditya Suresh from Macquarie.

Aditya Suresh: Two questions. First is, can you give us an update on the industry structure, in particular, kind of I will be curious to see what you're seeing on the ground with Summit and ATC combining

operations?

Prachur Sah: I mean, to be honest, I've answered this question earlier in the previous calls as well. I mean, I don't think it impacts as much because the structure remains the same with the entity that has Indus Towers Limited
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changed. So modus operandi I don't see much change and I can speak for Indus, our focus remains to make sure that we remain the market leader in terms of having the market share that is out there. But from an industry structure point of view, we don't feel any change per se with this particular change.

Aditya Suresh: There's no migration which you're seeing, is that a fair understanding?

Prachur Sah: Yes, we only see positive migration towards us.

Aditya Suresh: Okay. The second question is on the tower rentals per operator, which you're collecting right? So despite the increased 5G loading, despite the inflation is embedded in the contracts, we've seen that moderate, right? So in the context of kind of what you said about this aggressive market share capture plans, plus noting that kind of I appreciate that if a second operator kind of comes into these towers, all operators get a discount. How should we directionally think about your rental revenues per operator trending?

Vikas Poddar: I'll take that, Aditya, so see, as far as the ARPT is concerned, like we have -- while we report this as a KPI but we have always maintained that there are several variables that impact this KPI. I just, maybe as a reminder, talk about some variables. First of all, there is a product mix, there are towers which are -- traditional towers, which are more expensive in terms of rental, there are towers which are less costly. Then there is also the other thing, other variable, which is the standard escalation that kicks in every year. There are loading like 5G, 4G, etcetera, which are different on each tower. There's a renewal discount. There's also sharing discount. So as and when, let's say, you will see the co-location increasing or the sharing increasing, which was the case in Q4 with a lot of the VIL rollouts. There's obviously a sharing discount that kicks in, right, in the infra business that we are. So all that basically impacts the ARPT.

The other technical point that you need to keep in mind is the acquisition that happened was pretty much towards the end of the year, right, in the last week of March. So while that sits in the tower numbers and the tenancy numbers, but when it comes to ARPT, obviously, that has a bearing in terms of the mathematical calculation, right? So that dilutes the ARPT simply by virtue of being there in the denominator. I think broadly, I mean, while this metric does indicate the trend, but with several moving parts, it's very difficult to really try to reconcile this with the revenue growth. Does that help, Aditya?

Aditya Suresh: Thank you for the clarification.

Moderator: The next question comes from Mr. Arun Prasath from Aventus Spark.

Arun Prasath: Prachur, in your opening remarks, you mentioned that there is roughly 40,000 5G towers added during the year in the industry. Can you talk about more qualitatively on these, where this was done and what kind of towers was done and similar kind of attributes in these 5G towers?
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Prachur Sah: See when I talked about the 40,000 number, it was not tower, it was base stations. So I think it's not tower, 5G comes in form of loading at our towers as additional technology. So the add

ition is actually more on the technology side on an existing tower, not a separate tower.

Arun Prasath: Okay. So as such, there is the infill towers for 5G, it's not yet started on a broad basis?

Prachur Sah: No, I don't think.

Tejinder Kalra : It's not started yet. So first, the operators still need to have a full 5G coverage and then depending upon the data capacity needs we'll see. I mean, it happened in the 4G times, probably we'll see in the 5G times as well.

Arun Prasath: Okay, understood. Is there any instance where operators have felt congested in certain clusters and adding infill towers? Is that started in certain clusters or it's largely they are having lower utilization in the cluster level?

Tejinder Kalra : See, we would not be able to comment on the utilization of per cluster for the operators. We certainly see data growing and obviously, that's the reason why coverage and capacity infills, sites are continuing to grow. But of course, as the operators feel congested in any clusters, they certainly would come back and ask us to put up either new towers or they'll roll out more capacity on the same site but that's a continuous thing that is yet happening.

Arun Prasath: Okay. Actually, I'll just rephrase the question. So as and when the certain clusters grids get congested, is it the tendency to put more, say, equipments in the existing towers? Or have they

reached a situation where they are thinking about the new infill towers?

Prachur Sah: I think it's a combination. I think we can't comment from an overall strategy for each operator.

But I think it's a combination, wherever possible, they would add on the same tower. And wherever there is -- like last year or the year before last, there was a significant additions of lean towers. And that probably served the purpose of infill to an extent.

Moderator: The next question comes from Mr. Saurabh Handa from Citigroup.

Saurabh Handa: I had 2 questions. Firstly, again, just to clarify on the dividend bit, so your free cash flow in the fourth quarter was Rs. 39 billion. This obviously does not include the consideration for the tower acquisition, which was Rs. 18 billion. So if I take -- I mean what would be the number you would consider for dividend payout? Would you take Rs. 39 billion? Or would you take Rs. 39 billion minus Rs. 18 billion, which is Rs. 20 billion. So I assume your policy remains to pay out 100% of free cash flow? Just wanted some clarification because I think I've been a bit confused because previously, you had said that the acquisition would be completely debt funded and therefore, not have a bearing on shareholder returns?

Vikas Poddar: Saurabh, if I take that question, I think this pretty much we tried to address and explain in the first round itself when Sachin had raised a very similar point. So while from a cash management perspective and because we have generated a very healthy cash in Q4 as well as on a full year

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basis, we have used that cash to fund the acquisition which obviously will lead to long-term growth and all that.

And like I said, obviously, the committee will take into consideration all these things, they will obviously look at the free cash flow generation and then decide the distribution modalities and the amount, etcetera.

And like I said, the fact that any acquisition, etcetera, or any inorganic growth needs to be funded through debt or leverage is basically more like a timing thing because there was surplus available, we used that, but we are open to sort of leverage in future depending on whatever decision gets taken.

Saurabh Handa: Okay. Sure. And just my second question, you spoke about the ARPT being impacted by the denominator, which makes sense. So in fiscal 2025, the ARPT, which was 40,856 what would be the number if you hadn't adjusted for the acquisition? I'm just trying to get a sense of, say,

se of, say,

compared to the previous financial year, I think the number you've declared was 41,198. So what would that number be now?

Vikas Poddar: See, the number that you see is roughly a 1.1% growth sequentially that probably without the acquisition would have been something like a 2.5% growth sequentially.

Saurabh Handa: Okay. So even the ARPT of that 41,893 includes the acquisition?

Vikas Poddar: Yes, that includes the acquisition because, like I said, we included those sites in our overall portfolio in the last week of March. So as on 31st March, that was sitting in the portfolio and hence, the calculation.

Saurabh Handa: I'm sorry, you said that would be how much without it, 2 point...

Vikas Poddar: Roughly 2.5%, Saurabh.

Moderator: We'll take the next question from Vivekanand Subbaraman from Ambit Capital.

Vivekanand Subbaraman: Yes, I have a couple of follow-ups. So, number one is on the new composite billing scheme that you have rolled out. Earlier, you were mentioning about a very different kind of energy contract model, fixed energy model versus reimbursement. Is this composite billing in the nature of the fixed energy model. Can you please elaborate on how this could potentially influence your energy margins in the long term? That is question one. Secondly, based on your conversations with telcos, how is the fiscal 2026 capex outlook looking like for you?

Prachur Sah: So, on the first question, I would like to clarify when I was talking about composite billing, it was not composite billing for billing to our customers. It was a composite billing from DISCOMS for our sites because we have distributed assets, we get bills for individual towers. So, what we had been trying with the Government to see if we can get a composite bill in a given state that make the transactions a bit easier and much simpler to manage.

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So the composite billing was not from our customer point of view. It is a Government initiative to provide composite billing to large users so that they can have the billing settlements and things easier to do. So that's the clarification of the composite billing. What's the second question?

Vikas Poddar: Capex outlook for FY26.

Prachur Sah: See, I think we remain confident that FY26 will also connect to a strong year of growth. While I can't comment specifically on what the operator plans are. But I believe our order book is quite strong that I'm seeing currently.

Vivekanand Subbaraman: Yes. Just on that, one small follow-up. We saw that the capex has declined by around 24% in fiscal 25 versus 24. And this trend has been pretty much intact through the quarters. So should we take fiscal 25 as a new normal for capex? Or will it further go down from here?

Prachur Sah: Again, I don't specifically talk about any numbers. This year, we had a significant tower rollout and tenancy rollouts as well. Obviously, higher the tenancy is lower the -- tenancy is not the same cost as putting a new tower. So, I don't want to say what specific trend you will see. But all I can say, the tower and tenancy growth will remain strong in the coming year.

Moderator: The next question comes from Mr. Kunal Vora from BNP Paribas.

Kunal Vora: First is maintenance capex seems a little higher this quarter. Any reason for that?

Prachur Sah: Yes. I mean, if I can answer. So typically, if you see Q4 is the time where we are setting ourselves for monsoon as well. So, I think typically, the maintenance capex every year Q4 sees a little bit of a jump because this is the time post monsoon. In fact, Q3 and both Q4 and Q1 typically see a higher number than the middle two quarters because post rain is when you can start thinking to go to the site and start deploying the infrastructure to get ready for monsoon or do whatever replacements you have to do. So it's not Q4 specifically. It's generally how

the maintenance happens.

Kunal Vora: Understood. And on Energy margins, what I understood is there is a one-off impact because of which it looks higher, but otherwise normalized it's 2%. How are you looking at it going forward around 2% range or...

Vikas Poddar: Well, Kunal, I mean, if you look at our energy cost, the energy cost is being managed pretty well. We have been running various initiatives like solar deployment, reducing diesel consumption, etcetera, even batteries, as we mentioned earlier in the discussion today, replacing our old batteries with new lithium-ion batteries, which are more energy efficient and so on. So, you see a lot of control on the cost. However, there are basically reconciliation issues and recovery issues, which is something that we are trying to sort out.

And hopefully -- and the other thing is, of course, the Q4 number should not be seen as a benchmark simply because there is always a lot of seasonality in the energy business, right. So Indus Towers Limited

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somewhere we will try to improve this going forward, but it's very difficult to put a number to this.

Kunal Bora: And on rental revenue on the way forward, how do we look at it? Like fourth quarter the new tower rental revenue did not come in, right? Or at least like it came a very small proportion of that would have come. So in 1Q, we should see a full reflection of the new tower?

Vikas Poddar: Yes, you're right. So that's how it works. I mean typically, whatever rollouts happen in the quarter, the full quarterly impact of that is visible only in the following quarters. So just bear in mind that...

Kunal Bora: I was talking about acquired towers and not the...

Vikas Poddar: Yes, acquired towers has a few days of revenue in this quarter, but of course, the next quarter will reflect the full quarter revenue.

Kunal Vora: Understood. But in that piece, what was the driver of rental revenue this quarter, 4.5% quarter-on-quarter in the recent number?

Vikas Poddar: So broadly, I would say two drivers, Kunal. One is, of course, the healthy tower and tenancy or co-location additions that we have done. So that, of course, will keep driving. The other important driver is also whatever loading growth we get through 5G, et cetera, plus the annual escalations. So all these are basically driving.

And then, of course, Q4 being end of the year, there are also some reconciliation benefits that are there sitting in the quarterly numbers. So all this has basically driven the roughly 4%, 4.5% top line or the core revenue growth that you see.

Kunal Bora: Any part of that would have been one-off? Then how do we think about that?

Vikas Poddar: There is a one-off, which is roughly, let's say, 2.1 percentage points sequentially. So that is basically, like I said, the year-end reconciliation benefits that are reflected in this quarter.

Moderator: The next question comes from Mr. Kishan Mundhra from DAM Capital.

Kishan Mundhra: I just have one question. So, in the previous quarter, you had announced your foray into EV charging infrastructure. So just wanted to understand if you have firmed up any plans on that front? And what is your capex that you expect to put into this business over the next 2 years?

Prachur Sah: Kishan, I think as I explained in the last earnings call as well, what we started to look at is the commercial pilot for the EV business. And based on the pilot results and if it gives us scale, then

we would consider whether we want to expand or it's some thing that we'll hold back. So, I think currently, we're evaluating that pilot. And if it offers some scale, then we'll have a discussion. But if not, I think our focus will remain on the tower s. So we'll keep you posted on any decision on tha t front.

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Moderator: The next question comes from Chetan Sharma from Systemati

x Shares and Stock Limited.

Chetan Sharma: Sir my question regarding the potential partnership between the Starlink and the telecom giants like, Airtel, Jio, and Vodafone. The question is that what is the role of the future o f the traditional towers? Would this collaboration render the towe rs redundant ?

Prachur Sah: To be honest, I think it's a good question. But however, as of now, based on our discussions with the telecom operators and in general, I think there are limitations and commercial constraints as far as the satellite technology is concerned. So we don't se e that risk for a terrestrial network in the foreseeable future , right . And I don't expect that impacting us anytime soon.

Moderator: The next question comes from Mr. Varatharajan Sivasankaran from Antique Limited.

Varatharajan S.: At one point in time, you discussed about the possibility of entering into infrastructure like data centers. Is there any kind of a discussion on that? Do you see something like that happening in the future?

Prachur Sah: Honestly speaking, Varharajan , I don't think we ever discussed. I don't think we discussed data center from our side. There was some speculation in media. So I think that was a very speculative article that came out. So I don't think we have discussed that as an option currently because our focus remains on the tower growth primarily. So as of now, data center is not under consideration.

Moderator: We'll take the next question from Mr. Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Yes, Vikas, I got just one clarification. There is a line item in the cash flow which talks about the consideration paid for the acquisition of passive infrastructure of 1,800 crores. This, I thought is a payment for the Airtel, for the towers we bought, correct?

Vikas Poddar: That's right, Sanjesh.

Sanjesh Jain: Because in many instances, we told that we haven't paid this consideration. I saw that it's been paid, right? There's nothing pending to be paid to Airtel from this perspective, right? Only Hexacom deal is yet to be consummated. Is that understanding right ?

Vikas Poddar: That's right. Yes.

Sanjesh Jain: Got it. That's one. Second, Prachur, I was just asking a question before I got disconnected. So if you look at the growth on the data side, it has materially decelerated despite FWA, one of the largest operator has reported under 20% growth on the data, th e data consumption really showing pattern of saturating?

And mind i t, this is despite 5G being unlimited today. Once it cap, I think things may get only lower on the growth side. Do you think the demand for tower itself see a material decline and

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now that we have created so much of capacity on 5G? Do you think that the growth -- because again, if you look at industry wide, the tenancy addition has materially slowed down in last 1 year, any reason to believe that the growth will continue on the tena ncy addition, apart from Vodafone helping to up their coverage on 4G and 5G?

Prachur Sah: Obviously, see I mean towers business is not infinite. But if you see for the last 2 years, last year, we added what 25,000 -odd tenancies. This year, we added another 35,000 odd tenancies or somewhere around that number. So from a year -on-year basis, our tenancy has remained elevated for the last 2 years.

Now of course, this cannot be a permanent status. But as the urban periphery expands as the rural areas get more penetration of new technology for us, also our opportunity is to create lower cost solutions for the customer so that some of the towers, which may not be viable in the past can now become viable.

So I think growth is for us to see how we can push the boundaries in terms of what we can offer to the customer. So some of the towers can become more viable for them at a lower revenue as well. So I think , while the organic growth may see limit

ations, but I still believe the next year

or so will remain strong given the fact that the other customers are catching up to the network

expansion.

But at the same time, we'll continue to push the boundaries in terms of how we can create better solutions for the customers to come create more towers and tenancies which were earlier not possible.

Sanjesh Jain: Clear. One data keeping last question. Vikas, you said that we have consolidated or restated the numbers from 19th of November. That means the acquisition should have ideally reflected the full quarter impact, right?

Vikas Poddar: Not so, it reflects the full quarter impact as far as the cost, opex and depreciation is concerned, Sanjesh. It is not a billable quarter because the operation handing over happened in the last week of March. So from a revenue perspective, it will be reflecting in the next quarter.

Sanjesh Jain: So we have booked all the costs not the revenue? Got it. So the cost and depreciation have been accounted for, but not the revenue?

Vikas Poddar: Yes. This is as per the Indian Accounting Standards between group entities, if there is a common control business combination, then the reinstatement of financial needs to happen from the date of common control.

Sanjesh Jain: That's very clear. Thanks for answering all those questions and again best of luck for the coming quarters.

Vikas Poddar: Thank you.

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Moderator: We'll take the next question from Mr. Aditya Bansal from Motilal Oswal.

Aditya Bansal: So just wanted to understand the ARPT profile currently for the towers acquired from Airtel, like what would it be in the next year? What should we take?

Vikas Poddar: See, the towers acquired from Airtel as of the acquisition date or the year-end date are largely single tenancy towers, right? So they will have the ARPT or the revenue in line with the MSA for single tenancy. So as and when we get more tenancy, then obviously, there will be some growth in terms of overall revenue for the tower and so on. But for the time being, they are reflecting largely the single tenancy revenues.

Aditya Bansal: And like which circles, would this be pertaining to? And is there an opportunity to have an incremental tenant here?

Vikas Poddar: Yes. So they are across the country pretty much in all circles. And of course, there is an opportunity which we will be working on.

Moderator: Ladies and gentlemen, we will now conclude the question-and-answer session. I would now like to hand the conference back to Mr. Prachur Sah, MD and CEO, for closing comments. Thank you, and over to you.

Prachur Sah: Thanks, Michele. In summary, FY25 marked another strong year for Indus Towers driven by robust tower and tenancy additions as we retained a significant share of our customers' network expansion. Equally important, a major customer cleared its large overdue payments during the year, aiding the generation of strong cash flows.

Notably, our customers are continuing with their rollout activities, providing us with an opportunity to secure a substantial share of their rollouts. We will continue to work towards strengthening our market leadership position through participation in customer rollouts and investing in strategic opportunities. Thank you, and have a good day.

Moderator: Thank you, members of the Management. Ladies and gentlemen, this concludes call. You may now disconnect your lines. Thank you for connecting to audio conference service from Chorus Call, and have a pleasant evening. Thank you so much.

Call: Jul 2025

Indus Towers Limited

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August 05, 2025

BSE Limited

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Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block – G, Bandra Kurla

Complex, Bandra (E), Mumbai - 400051

Ref.: Indus Towers Limited (534816/ INDUSTOWER)

Sub.: Transcript s of the Earnings Call on the Company's performance for the first quarter (Q1) ended June 30, 202 5

Dear Sir/ Ma'am,

Please find attached the transcript s of Earnings Call conducted on July 31 , 2025 on the Company's performance for the first quarter (Q1) ended June 30, 202 5.

Kindly take the same on records.

Thanking you,

Yours faithfully,

For Indus Towers Limited

Samridhi Rodhe

Company Secretary & Compliance Officer

Encl .: As above

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"Indus Towers Limited

First Quarter ended June 30, 2025 Earnings Call "

July 31 , 202 5

MANAGEMENT : Mr. Prachur Sah – Managing Director and Chief Executive Officer

Mr. Vikas Poddar – Chief Financial Officer

Mr. Tejinder Kalra – Chief Operat ing Officer

Mr. Dheeraj Agarwal – Head of Investor Relations

Indus Towers Limited

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Moderator: Good afternoon, ladies and gentlemen. I'm Avirat , the moderator for this conference. Welcome to the Indus Towers Limited First Quarter ended June 30, 2025 Earnings Call. For the duration of the presentation, all participant lines will be in the listen only mode. After the presentation, the question and answer session will be conducted for all the partic ipants on this call.

In case of a natural disaster, the conference call will be terminated post an announcement. Present with us on the call today is the senior leadership team of Indus Towers. Before I hand over the call, I must remind you that the overview and discussions to day may include certain forward-looking statements that must be viewed in conjunction with the risks that we face. I now hand the conference over to MD and CEO of Indus Towers, Mr. Prachur Sah. Thank you, and over to you, Mr. Sah.

Prachur Sah: Thank you, Avirat, and a very warm welcome to all participants. Joining me today are my colleagues, Mr. Vikas Poddar, CFO; Mr. Tejinder Kalra, COO; and Mr. Dheeraj Agarwal, Head Investor Relations on the call. I'm pleased to present our business performance for the quarter ended on June 30, 2025.

We are pleased to have started the financial year on a strong note, continuing the momentum built in FY25. Our operational excellence and customer-centric approach have enabled us to maintain a majority market share in our customers' rollouts, resulting in healthy tower and co-location additions from all our customers.

Before speaking about key business developments, I want to take a moment to recognize the exceptional efforts of our field teams. Despite operating in challenging environments, including harsh weather conditions, they continued to work towards realizing Indus' vision of pan-India connectivity. During the quarter, our teams deployed 9 sites along the remote Hanle route in Ladakh, which sits at an altitude of 4,500 meters, enabling connectivity for over 25,000 people, including villagers, army personnel and tourists. Our field force also managed to sustain robust network performance in areas of Assam, Tripura and Manipur, which were impacted by the onset of an intense and earlier-than-expected monsoon.

In terms of the regulatory landscape, the Government continues to drive reforms, supporting faster rollout of telecom infrastructure in a sustainable manner. The RoW rules 2024 have now been adopted by nearly 31 states and union territories. The Green Energy Open Access policy has now been notified in 28 states, marking steady progress towards encouraging the ongoing transition to cleaner sources of energy. We are working with all stakeholders at central and state levels for deployment of smart meters at sites, which would help boost efficiency, reduce costs and enable more granular customer billing at scale.

On the 5G front, the total 5G base stations increased marginally to around 487,000. Although deployment momentum has slowed, the 5G-related contributions remain a meaningful driver for our loading revenue. As 5G adoption deepens, we expect a natural rise in demand for additional sites to ease network congestion. With our proven capabilities in passive infrastructure, we are well placed to capitalize on these evolving needs. As per the latest Ericsson Mobility Report, Indus Towers Limited

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global 5G subscriptions reached over 2.4 billion by the first quarter of 2025, growing by 145 million during the quarter, while 4G subscriptions declined by 55 million.

Global 5G subscriptions are expected to reach over 6.3 billion by 2030, accounting for around two-third of the total subscriptions as per the report. In India, 5G subscriptions are expected to reach around 980 million by the end of 2030, accounting for 75% of the total.

As per the latest TRAI report, total 5G subscription

base in India grew to 245 million by the end

of March 2025, growing by 112 million in FY25. India's data consumption trajectory remains robust, driven by ongoing shift from 2G to 4G and the rapid uptake of 5G services.

For the quarter ended March 2025, the top 3 telecom operators reported a 14% year-on-year increase in average monthly data usage per user, reaching 28.5 GB, while total data consumption rose by 18%. According to TRAI, 5G usage alone grew 18% quarter-on-quarter, accounting for 30% of total data traffic in Q4 FY25, up from 26.5% in Q3.

As data demand continues to surge and 5G becomes more mainstream, the need for robust passive infrastructure is set to grow steadily. With our deep domain expertise, we are well equipped to support this expansion and unlock value from the evolving digital landscape.

Now talking about our operational performance. The rollout momentum continued in Q1. We recorded strong colocation additions in Q1 with contributions from all our customers. We added 2,468 macro towers and 5,777 corresponding co-locations during the quarter, translating into year-on-year growth of 11.4% and 9.7%, respectively. As a result, total macro towers and co-locations base stood at around 251,800 and 411,200, respectively. Given the incremental tenancy ratio of 2.3, our portfolio tenancy ratio remained stable at 1.63 after many quarters.

The overall co-location base of leaner towers stood at approx. 14,000 with the addition of 57 co-locations during the quarter. Including leaner towers, our net co-location additions stood at 5,834 in Q1.

Let me now provide an update on the four core pillars of our strategy: market share, cost efficiency, network uptime and sustainability.

On market share, we retained our strong positioning with key customers backed by our speed, quality and ability to deliver at scale. Our focus on safety and quality also serves as a key factor that differentiates us from our competitors. In addition to securing majority of our customers' new rollouts, our co-location additions this quarter included select transitions by our customers that reinforced our position as the preferred infrastructure partner for telcos.

Like the previous few quarters, our IBS deployments in Q1 were the highest ever in our history, which included building sites for Government, institutional and enterprise bodies, thereby expanding our reach. Underpinning this achievement was our shift to a proactive acquisition model, encompassing early engagement with the concerned parties that helped us deliver state of the art, built to suit solutions.

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Moving to cost efficiency, wherein we continue to observe discipline in both operational and capital costs through targeted initiatives. During the quarter, we sustained momentum across a broad set of operational efficiency initiatives aimed at driving structural cost savings and enhancing execution. Key initiatives included improvement in field workforce productivity through digital enablement and optimization in site allocation to reduce redundancies.

Workforce deployment is being further optimized through centralization and rationalization of roles and responsibilities.

Energy cost is a key focus area and reducing dependence on diesel is critical to meet our energy optimization plans. The quarter gone by saw some unforeseen events due to the early onset of monsoon season. This contributed to an unusually high number of weather-related disturbances in the form of heavy rainfall and thunderstorms among others, leading to a 10% year-on-year increase in our diesel consumption in Q1 FY26. We anticipate the timing-related adjustment in diesel consumption to reflect in the current quarter.

We continue to work on electrification of non-electrified sites, deployment of energy storage solutions and our transition towards renewable sources of

energy, especially solar. Our solar site

count as on 30th June 2025 stood at over 32,000, with approx. 2,250 sites added during the quarter.

Regarding capex, we have further strengthened our efforts to manage incidental costs associated with tower deployments. Through standardizing cost frameworks, tightening contracting norms and improving planning at the execution level, we are working to bring greater predictability and control on our capex. Collectively, these measures are yielding tangible improvements in our cost structures and positioning us well for sustained margin resilience.

Thirdly, on network uptime, which remains of critical importance to our customers. As referenced earlier, we saw an unusually high number of disruptive incidents in the quarter gone by, including heavy rainfall and thunderstorms in areas of Uttar Pradesh, Punjab and Northeast, amongst others. Despite this, we were able to deliver a high level of uptime of 99.96% in Q1 FY26, largely due to the resilience and commitment of our teams on the ground.

Now moving to ESG, a key priority for our organization. Regarding the environmental aspect, following our near-term and net zero targets being approved by SBTi, we formulated a decarbonization roadmap during the quarter for achieving our near-term targets. We continue to work towards reducing our dependence on diesel by increasing the share of renewable sources to fuel our energy needs. Our solar site count stood at close to 32,000 at the end of June, having added 2,250 sites during the quarter. Additionally, we considered ways to address environmental concerns in our community service and collaborated with a firm that specializes in the responsible disposal of sanitary pads in a way that leads to lower emissions compared to other methods such as incineration and landfills.

Within the social dimension or in our workplace safety, safety of our employees and partners is of paramount importance to us. And to that end, we launched our safety campaign 'Sankalp' during the quarter. This program is tailored to improve the safety of our technicians working at heights on towers by providing them training and educating them on best practices. We continue

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to make efforts to improve the representation of women in our workforce with our gender diversity standing at 15.7% at the end of Q1 compared to 11.2% in the same period last year. During the quarter, we also conducted a double materiality assessment and a climate risk assessment as part of our broader ESG roadmap. These efforts reaffirm our commitment to building a resilient, responsible and a future-ready organization.

On the CSR front, we delivered relief kits in the areas of Assam, Tripura and Manipur, which were significantly impacted by the onset of an early and intense monsoon, which I alluded to earlier. As part of our flagship program 'Saksham', our 'Digital Transformation Van' initiative is now operational in 11 states, with Orissa being the latest addition. As part of our other flagship program, 'Pragati', we signed a landmark MoU with IIT Bombay to jointly advance solar power generation and energy storage technologies. Through these flagship programs, we managed to touch over 6 million lives in Q1.

We were pleased to see our CSR efforts being recognized by multiple bodies even as we won the Healthcare Excellence Award for our cancer care program at the sixth ASSOCHAM CSR & Sustainability Awards. Additionally, we were awarded by IIT Bombay as the Strategic Partner of the Year at their annual CSR Conclave for our significant contributions to clean energy research and development.

In addition to our strategic priorities, we see digital and artificial intelligence emerging as one of the most transformative forces of our time and its potential to reshape industries, including telecom infrastructure. At Indus Towers, we recognize this shift and are actively embracing AI,

automation and digital tools across our operations to drive greater efficiency, agility and insight-led decision-making.

Coming back to a critical matter with regards to distribution of cash. The Board, based on recommendation of the committee, has decided to conserve cash in the short term. This decision has been made after due consideration of a variety of contextual factors, which include the evolving industry landscape, stability of our customer, along with the elevated capex for the Company and inorganic growth opportunities. The Board believes that this is in the best interest of the Company, strengthening its financial resilience and enabling it to respond effectively to any emerging opportunities and/or risks, ensuring the security of its long-term business interest. The Board will continue to monitor the evolving situation closely and reassess its decision by the end of financial year. The Board remains fully committed to creating value for the shareholders, including by way of earliest possible reinstatement of distributions basis the above factors.

I would now request Vikas to take you through our financial performance for the quarter ended on June 30, 2025, and I look forward to your questions. Over to you, Vikas. Thank you.

Vikas Poddar: Thank you, Prachur, and good afternoon, everyone. I'm pleased to present our financial results for the quarter ending 30th June 2025.

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We had an encouraging start to the year with the momentum seen in co-location additions of the previous few quarters continuing in this quarter as well. This, in turn, has translated into a steady financial performance with healthy cash flow generation.

Turning to the financial performance of the quarter. Gross revenues grew by 9.1% year-on-year to INR 80.6 billion. Core revenue from rental were up by 10.1% year-on-year to INR 51.1 billion, underpinned by another quarter of significant additions to our existing tower and co-location base. On a sequential basis, our reported gross revenues and core revenues were up by 4.3% and 1.4%, respectively. Please note that the core revenue for Q4 of the last financial year included onetime reconciliation benefits, as I had mentioned in the previous quarter's earnings call. And Q1 of this year includes the first full quarter revenue for the towers we acquired from Airtel in the last quarter. These two factors broadly offset each other and the resultant sequential growth that we see is on account of our organic business performance.

Moving on to profitability. Reported EBITDA declined 3.4% year-on-year and was broadly flat quarter-on-quarter at INR 43.9 billion. The EBITDA margin was lower by 7.1 percentage points year-on-year and 2.4 percentage points quarter-on-quarter at 54.5% in Q1. I would like to remind you that Q1 and Q4 of FY25 included write-backs of approximately INR 7.6 billion and INR 2.3 billion, respectively, relating to the collection of overdue receivables from a major customer.

Similarly, the customer cleared additional dues amounting to INR 0.9 billion in Q1 FY26.

Another point to note is that Q4 FY25 included the recognition of operating expenses and depreciation related to the tower acquisition from Airtel based on common control accounting treatment. Adjusted for the write-backs and common control accounting impact of the acquisition, our EBITDA grew 13.6% year-on-year and 0.6% quarter-on-quarter.

Our energy margins were at -4% in Q1 compared to -5.2% in Q4 and -5.5% in Q1 of the last financial year. Please note that Q4 included accounting impact of the common control transaction, which I alluded to earlier, and normalized energy margins stood at -2% in Q4.

However, as touched upon by Prachur earlier, please note that Q1 FY26 saw an unexpectedly higher number of weather disrupt

ions due to early onset of monsoon season, which led to an increased use of diesel at our sites in order to maintain network uptime, thereby affecting our margins adversely. Please note that we continue to work on the deployment of energy storage solutions and transitioning towards renewable sources of energy to reduce our diesel consumption.

Our profit after tax fell by 9.8% year -on-year and 2.4% quarter -on-quarter to INR 17.4 billion. Adjusted for the aforementioned one -offs, our profit after tax grew by 23% year -on-year and declined by 6.9% quarter -on-quarter.

We delivered strong returns with a reported pre -tax return on capital employed of 28.1% and post-tax return on equity of 30.8% over the past 12 months.

Our free cash flow generation remained strong at INR15.7 billion in Q1, driven by sustained business momentum and the collection of overdue receivables, which also resulted in a reduction of INR 4 billion in trade receivables during the quarter.

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To conclude, it has been a good start to the year, underpinned by healthy co -location additions and notable financial performance. We continue to sharpen our focus on cost efficiency and technology -led transformation, including automation and AI. With structural growth drivers firmly in place, we remain confident in our ability to deliver sustainable value in an evolving market.

With that, I will now hand it back to the moderator to open the floor for questions.

Moderator: Thank you very much, sir. We will now begin the question and answer interactive session. The first question is from the line of Sachin Salgaonkar from Bank of America.

Sachin Salgaonkar: Two questions. Number one, I just wanted to double -click on management's point of not returning cash back to shareholders in the near term. On two aspects, one, what has changed in terms of management thinking in terms of stability of that one particular customer? Because we know for a fact that the customer has been clearing dues on time, paying backlog. So , if anything incremental has changed in the last 3 to 6 months, I would love to actually understand that. And second subpart of the question is management did mention on certain inorganic growth opportunities. Any broad aspects we could get clarity in terms of how management is thinking? So that's question number one.

Question number two is, when we look at the tower additions this quarter, maybe there's a bit of a seasonal impact where the tower additions are a bit slow. But on an annual basis, is it fair to say that the growth for this year in terms of number of tower adds will be lower as compared to last year because that one particular customer is not adding that many towers and going ahead, the growth could slow down to a new normal . So, any clarity in that direction would be helpful.

Prachur Sah: Thanks, Sachin. So the first question was - I think when the committee made a decision, it was not just based on one factor. There were many factors that were considered which included the stability of the customer . And the opportunities that you mentioned.

So I think there was no specific change per se, but I think it is a conscious call that the Board has taken in terms of conservation of cash, and they will revisit the decision at the end of the financial year . From a tower additions point of view, there are two aspects. One is the seasonality, as you mentioned in Q1, it did impact the tower additions. But at the year level, we expect the growth to remain robust .

I think we have a visibility on our order book today. And based on the order book availability today across all the customers, we believe the tower additions will continue to be very strong for Indus even in this particular financial year.

In terms of the other opportunities, I think as we look at the overall industry scope, we started some bit of consolidation

when we took Airtel Towers in the last quarter. And hence, any other opportunities that are there to consolidate the towers, we'll be considering during the course of the year . So I think these are the broad 3 answers to the question that you raised.

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Sachin Salgaonkar: Got it. Just one small follow -up out there. Clearly, if nothing has changed per se from the stability of a customer and there are multiple factors which are being looked by management, I think the broader question which comes is, is there some kind of a reinstatement of dividend policy, which could be expected, if not in the near term and medium term?

Because quite frankly, the stability of the customer will be an issue now, will be an issue a year down the line and perhaps after that as well. So as a shareholder, should we not expect any dividend going ahead? Or is there a certain policy which one could expect from management

going ahead? And of course, one understands a near-term issue, but this is more like a particular framework in terms of how to think about cash returns to shareholders in a medium-term perspective .

Prachur Sah: No, but I think, Sachin, I don't think there is -- this is more a policy discussion. It is just a call that the Board has made. I think the Board remains committed to rewarding the shareholders as per the policy. The dividend policy requires the Board to consider certain predefined parameters, including future cash requirement of the company before distributing its free cash.

So as I mentioned in my commentary, I think Board will be relooking at the decision at the end of the financial year. And it definitely is keeping the interest of the shareholder in mind. So I think there's no large level policy change that is being discussed here. I think it will evolve - we will continue to monitor the situation closely and make the assessment at the end of financial year.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Just touching upon again on the inorganic growth, Prachur, you mentioned that it's largely because of industry consolidation -- the scope of inorganic infrastructure business, which is TowerCo . or does the scope expand beyond this and you may look at entering any other businesses, allied or non-allied? Any thoughts there will be helpful. That's one. Number two, on the tower addition...

Prachur Sah: I'm not able to hear you very clearly. I think your line has a little bit of a breakup happening. So we couldn't hear the question properly.

Sanjesh Jain: So first on the inorganic growth, Prachur, you mentioned that you would look at further industry consolidation if any opportunity comes around this. But is inorganic limited to the tower industry or we are open for doing inorganic in a non-allied business, any other businesses other than the tower industry? That's number one.

Number two, on the tower growth for FY26 and the capex for this number, the capex appears to be higher. Is that indication that we couldn't deploy while we had an order book and that's where the inventory lying with us and Q2, Q3, we may see an acceleration as the weather conditions normalize. Will that be a normal reading for us which we are writing?

And third, on the energy margin, though we had challenges, but on a year-on-year basis, our energy margin losses have come down by 160 basis points. Will it be fair to assume that at least 160, 200 basis points reduction in the losses is quite feasible for this year?

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Prachur Sah: Okay. I'll try to remember all the questions. So in the first question, from an inorganic point of view, I think when I said inorganic opportunities, I think it's both organic and inorganic, especially in the tower space . So the idea is to see how we can capture the maximum market

share when it comes to towers in India. So as of now, the focus remains the tower business growth . So I think that clarity we have. The second question that you had was...

Sanjesh Jain: On the capex and tower growth...

Prachur Sah: Elevated capex , right? So the capex , to be honest, I think capex is a factor of multiple things. It's a factor of what we are spending on growth, what we are spending in replacement, what we are looking at an aging infrastructure in terms of deployment, in terms of making sure the towers are strengthened and have a robust setup. It's a combination of that. So I think that's the reason of the capex that you see. And as coming quarters continue, the capex will continue to be distributed in these 3 parts.

The last question was energy margin. I think, yes, compared to last year, the energy margin has improved by 160 basis points, and it has been through concerted actions in terms of how we can improve our cost programs and deployment of solar and lithium-ion batteries across our sites.

While I cannot comment on an exact number, but of course, the intention is to improve this energy margin as we move forward.

Sanjesh Jain: Got it. Just one follow-up on the capex part. One is growth. Second is the maintenance. Third is the replacement of the capex , which we are rolling out. Can you break the capex in the 3 buckets for us in this quarter?

Vikas Poddar: So Sanjesh, if I may take that. I think we already in the investor pack gave a split of maintenance and other than maintenance. Basically, what we have in the other than maintenance is while the understanding that you have is it's all towers, but we are also doing a lot of sites which are solar and also replacing our batteries and upgrading batteries to lithium-ion, adding DGs and all that. So there are various upgrades that happen to the towers, which don't add to the tower count, but nevertheless incur a capex . And you're also right in understanding that the first quarter was obviously seasonally impacted in terms of rollout and all. So we do carry work in progress, which will show up as rollout in the subsequent quarters.

Moderator: The next question is from the line of Aditya Suresh from Macquarie .

Aditya Suresh: Just on the macro tower addition comments, given that you mentioned that you have a backlog, which is fairly robust, are you able to provide any range of how your footprint could look like in the next, say, maybe 1 year or perhaps in 2 years? And I guess the related question to that is, would these kind of tower additions be all largely single tenancy?

Prachur Sah: No, I think while I cannot provide you the numbers, because it all depends on the customer plans, we have a strong order book. So as I said, the tower rollout will remain robust, at least we have visibility in the next 4 to 6 quarters, it will remain robust. What was the second question?

Vikas Poddar: Single tenancy.

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Prachur Sah: No, I think it's going to be a combination. I think as you saw in this particular quarter, we had a rollout of close to 2,800 towers and 6,000 tenancies. So we expect both tower and tenancies to grow. I don't know the ratio in which they will grow, but the towers will continue to have an option to have a second tenant, and we believe tenancy will come through.

Aditya Suresh: Okay. And in terms of the sharing revenue per operator per tower, can you speak about the trends there? There's been a gradual moderation in that ratio over the past couple of years. It seems to be still moderating. Any thoughts, color here on this as you kind of add towers, will this improve?

Vikas Poddar: Aditya, let me take this. So I think even in the previous quarter, I had sort of clarified this. While we look at the ARPT trends, but somewhere, I think it is very important to understand that the ARPT trends are not really reflective of

the health of the business. There's not a very strong

correlation or close correlation in terms of margin growth and all. Let me give you an example.

When, let's say, we have more sharing as we had in Q1, we had almost 2-plus sort of tenancy, incremental tenancy on the new towers. So whenever we have new sharing, that really brings down the ARPT, but that really adds to the margin because we get a lot of operating leverage and a lot of that revenue, sharing revenue actually flows down to the margins.

So somewhere talking about Q1 trend, I think sequentially, the decline that you see is driven by, of course, more sharing because we had a significant sharing growth, co-location growth.

And second is, as I mentioned in my commentary earlier, we had some non-recurring one-off reconciliation revenue benefits in the previous quarter, which are obviously missing in Q1. So to that extent, we had some benefit.

And finally, I think what also happens in our business is, we pay rates and taxes to various municipal corporations, and we charge back those rates and taxes to our customer. And typically, rates and taxes are billed by most of the municipal corporations in Q3, Q4, typically in the second half of the year.

So first half of the year sees a dip in the rates and taxes and to that extent, the chargeback of those taxes as well. So there are basically these factors. But obviously, I mean, it does not impact the margin is what I would like to emphasize.

Aditya Suresh: If I can just check in terms of rent erosion as contracts coming up for renewal, are you seeing much deflationary pressures there?

Vikas Poddar: Well, as of now, it is pretty much the same. The framework that we had agreed 2 or 3 years back, I think we are still sort of working on the same framework. So there's no incremental impact of any renewal. I mean I would like to reiterate that renewal is always a win-win because we get visibility of 10 years cash revenue, etcetera, with a small decrease.

So I think there's no major change, I mean, as far as that is concerned. In any case, I mean, most of the portfolio has already been renewed by now. There's very little left for subsequent renewals in the next couple of years.

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Moderator: The next question is from the line of Vivekanand Subbaraman from Ambit Capital Private Limited.

Vivekanand Subbaraman: Yes. So I have 2 questions. One is the maintenance capex that you had in calendar year 2024, that was INR 11.9 billion. But in the first half of this calendar year, you have almost spent that much on maintenance capex, INR 11 billion to be exact. So could you explain to us the factors why maintenance capex has gone up so much? You have added some network sites by acquiring them from Airtel, but that does not seem to explain this jump in maintenance capex?

The second question I have is your attitude towards debt. Now while delaying cash return, you highlighted that one of the reasons why you chose to delay cash return and re-evaluate it is perhaps opportunities in the tower space, both organic and inorganic.

My question is, is debt now completely ruled out as far as capital structuring is concerned? How should we think about the long-term balance sheet structure? Because previously, you had given indication and even shareholder voting for the Airtel towers, you had clearly specified that you wanted to fund that transaction using debt. It seems that now you are not pursuing that? So an explanation on this front would really help.

Vikas Poddar: Vivekanand, I'll take that question. So I think, first of all, on the maintenance capex, your observation is right. I think the important point to note is, obviously, we have an aging portfolio. And there are basically years when we will see a lot of focus on tower strengthening, maintenance etcetera.

So this is one such year where we are

refocusing a lot on strengthening our towers and basically

making those towers ready for any tenancy growth and so on. So that is one. Two, I think as we had shared earlier also, I think as part of our strategy, we are transitioning from the old tech batteries to more lithium-ion new tech batteries, which have a higher upfront capex involved.

But from a TCO perspective, the total cost of ownership is much lower because they have longer life. So that is, again, part of our strategy. Which is reflecting in the higher maintenance capex.

Coming to the discussion around debt, I think the reduction in debt that you see is largely reflecting the cash management that we are doing. I mean it is part of the cash preservation. And of course, as and when the Board decides to distribute, all that will be used.

So this is basically parking the cash as part of our cash preservation strategy, and that is showing up. I mean of course, there's a lot of leverage headroom and there is absolutely no attitude of having any averseness to increasing our debt as and when required.

Vivekanand Subbaraman: All right. I have one follow-up on the maintenance capex explanation. Thanks for the color. So what you are suggesting is that there is some onetime or perhaps periodic maintenance capex that has now been undertaken, which is resulting in a very big spike. And perhaps this could also normalize once you are done with the augmentation of your legacy towers and maybe this cycle of replacing lead acid with the lithium-ion batteries.

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Is that how one should think about it? Because the question that investors are looking to answer is what is the recurring maintenance capex that one can assume in a rupee million per tower or on a recurring basis, how should one think about maintenance capex?

Vikas Poddar: Yes. See, just to give you a sense, typically, we would replace, let's say, almost one-fourth or one-fifth of our portfolio in terms of batteries. So you could probably expect 3 to 4 years of sort of high maintenance capex and then things will obviously subside because then the useful life sort of takes over.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: My question is on the energy margins. If we have to see how the energy margins are -- how much contribution or the loss in the energy margins coming from, say, diesel pilferage and say, versus the reconciliation of the units between you and the clients, which bucket is contributing more to this energy margin?

Second, if by doing more and more solar, directionally, are we planning to reduce the energy margins because of the diesel pilferage that's happening? And third, how do we charge back this to the customer? For example, if in solar, obviously, the operating cost is very lower after the capex is done. So will the benefit be passed on to the customer or we will be showing this in the energy margins?

Prachur Sah: Arun, from energy margin, I want to clarify. I think there is a factor of timing. There is a factor of reconciliation. There is a factor of different commercial model that we have the customer with. So I don't think we should be looking at a split of where the energy margin is coming from. I think we have a holistic plan that we are working towards to make sure that we are more energy efficient towards the customer and we improve our margins. As far as solar is concerned, I think solar is service revenue for us, because we are deploying a capex and we are getting a service revenue out of it.

Hence, the energy generation is part of the energy units that the customer gets if they are on the pass-through or if it's a FEM, whatever be the structure be. So from a solar point of view, our revenue is similar to our loading revenue in our IP fee.

Arun Prasath: Sorry, one clarification. We keep saying that the energy

margins are negative because of the

timing issues, but this never seems to get reversed. It's always only piling up. Can you please help us understand this?

Vikas Poddar: So I mean, see, the energy margin is not only the timing issue, as we have explained in the past, it is basically the difference between what the expected cost is and what the actual cost is. And

as we've also explained in the past that there is a difference because sometimes our energy costs are higher because of weather disturbances.

They are also sometimes higher because of the DISCOMs not billing us correctly and giving us abnormal bills. So there are various reasons because of which we get into these reconciliation

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issues between what it should be and what it is. So it is not only timing, which basically should get reversed over the next few quarters. It's not always that case.

Arun Prasath: But what is a structural solution for this reconciliation issues? We have so much tech and at some point of time, because we are talking about INR 1,500 per tower per month, which is almost like a very big amount for our portfolio. So how we are planning to address this reconciliation issues?

Prachur Sah: Yes. So I think, again, there is reconciliation, there's operational efficiencies. As we said, from an operational point of view, as you mentioned yourself that there is a deployment of solar. We have changed our strategy to move to lithium-ion batteries, which are more robust. So one is the operational reduction of cost, hence, reducing the gap between should be and what the actual cost is.

And secondly, on the reconciliation issues, one effort that is currently ongoing and which we are working with the different DISCOMs is how we can get smart meters installed at our sites. What the smart meters do, they provide you the accurate billing that is reflected on that site.

So I think that is a little bit of a longer-term project. However, the progress has started. We have started deploying in a few states more aggressively than the others. So I think enabling the connectivity on the sites along with smart meters, plus whatever efforts we are putting on the renewable side, and our storage solutions is what is going to be making a positive change on the energy margin over the next few years.

Moderator: The next question is from the line of Aliasgar Shakir from Motilal Oswal Mutual Fund.

Aliasgar Shakir: Just a follow-up on the dividend policy. So last call, you had indicated that the amount was lying idle and therefore, being used for the acquisition instead of funding it through the debt, that is the normal route that was indicated. And as the Board decides, this acquisition will be routed through the debt and the cash flow will be given for dividend payment.

Now that we are, I mean, shifting this to '26, should one assume that basically the '25 cash flow that was used towards the acquisition will now remain there or that will also be available along with the cash flow being made in FY26 for the dividend payment whenever it comes through after the Board decision?

Vikas Poddar: I think there's no change in the stance. I think, like I said, the cash has been generated. We have collected all the backlog receivables, most of it. And as part of our cash management, instead of keeping that cash idle, we have either reduced our debt or used it for a very strategic acquisition. But as and when this decision of distribution happens, I think all that will be utilized. So it is only a cash management thing that we are doing. I mean there's no change in our stance from that perspective.

Aliasgar Shakir: Got it. So both '26 cash flow generation as well as what was available in the previous year will be available for dividend payment?

Vikas Poddar: Yes.

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Moderator: Thank you

very much. At this moment, I would like to hand the call over to Mr. Prachur Shah for the closing comments.

Prachur Sah: Thank you. To conclude, we are encouraged by the strong start to the year marked by healthy co-location additions, and we remain focused on executing our strategic priorities with discipline and agility. We are also sharpening our emphasis on automation, AI, laying the foundation for a more agile and intelligent operating model.

At industry level, structural growth drivers like rising data consumption, increasing 5G adoption and the network gap between operators continue to create meaningful growth opportunities.

With our scale, strength of execution and readiness to adapt, we believe we are well positioned to lead in this evolving landscape.

Thank you all for attending this call. See you next quarter. Thank you.

Vikas Poddar: Thank you.

Moderator: Thank you. Ladies and gentlemen, this concludes this conference call. You may now disconnect your lines. Thank you for connecting to audio conference service from Chorus Call and have a

pleasant evening.

Call: Oct 2025

Indus Towers Limited

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November 03, 2025

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block – G, Bandra Kurla

Complex, Bandra (E), Mumbai - 400051

Ref.: Indus Towers Limited (534816/ INDUSTOWER)

Sub.: Transcript s of the Earnings Call on the Company's performance for the second quarter (Q2) ended September 30, 202 5

Dear Sir/Ma 'am,

Please find attached the transcript s of Earnings Call conducted on October 28, 2025 on the Company's performance for the second quarter (Q2) ended September 30, 202 5.

Kindly take the same on records.

Thanking you,

Yours faithfully,

For Indus Towers Limited

Samridhi Rodhe

Company Secretary & Compliance Officer

Encl .: As above

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"Indus Towers Limited

Second Quarter ended September 30, 2025 Earnings
Call"

October 28 , 202 5

Management: Mr. Prachur Sah – Managing Director and Chief
Executive Officer

Mr. Vikas Poddar – Chief Financial Officer

Mr. Tejinder Kalra – Chief Operating Officer

Mr. Dheeraj Agarwal – Head Investor Relations

Indus Towers Limited

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Moderator: Good afternoon, ladies and gentlemen. I am R utuja, the moderator for this conference. Welcome to the Indus Towers Limited Second Quarter ended September 30, 2025 Earnings Call. For the duration of the presentation, all participant lines will be in the listen only mode. After the presentation, the question and answer session will be conducted for all the participants on this call. In case of a natural disaster, the conference call will be terminated post an announcement. Present with us on the call today is the senior leadership team of Indus Towers. Before I hand over the call, I must remind you that the overview and discussions today may include certain

forward-looking statements that must be viewed in conjunction with the risks that we face.

I now hand the conference over to the MD and CEO of Indus Towers, Mr. Prachur Sah.

Thank you, and over to you, Mr. Sah.

Prachur Sah: Thank you, Rutuja, and a very warm welcome to all participants. Joining me today are my colleagues, Mr. Vikas Poddar, CFO; Mr. Tejinder Kalra, COO; and Mr. Dheeraj Agarwal, Head Investor Relations on the call.

I'm pleased to present our business performance for the quarter ending on September 30, 2025.

I'm happy to report that Q2 witnessed a firm uptick in tower additions compared to last quarter, driven by our ability to capture a significant share of rollouts of our customers and transition their network to our portfolio. This underscores our agile approach and trust our operators place in our network's reliability and delivery speed.

Before delving into the business performance, I want to take a moment to appreciate the exceptional efforts of our teams on the ground. The quarter witnessed one of the most challenging weather conditions, including devastating floods due to a prolonged and unforgiving monsoon season. Our field force braved the extreme weather ensuring uninterrupted connectivity in the regions of Punjab, Jammu and Kashmir and Assam, amongst others. During the quarter, we also deployed sites at Indian Army forward posts in the Tawang sector of Arunachal Pradesh at an altitude of over 12,000 feet and 12 high altitude telecom sites across Ladakh's most critical zones. This reflects Indus Towers' commitment to nation-building, by way of strengthening national security, disaster response and connectivity in some of India's most remote and geopolitically sensitive regions.

On the regulatory front, the Government continues to take steps to facilitate the swift deployment of telecom infrastructure across the country. The Ministry of Power is in dialogue with state Governments for the installation of prepaid smart meters at telecom sites on priority, which would help boost efficiency, reduce costs and enable more granular customer billing at scale. Regarding 5G, the total 5G base stations have now crossed 500,000 mark. While the pace of 5G rollouts has tapered over the last few quarters, ongoing deployments continue to support our loading revenues. As adoption deepens and data consumption scales up, this could drive the demand for additional sites for capacity expansion and maintaining high network quality. Backed by strong ongoing deep customer partnerships, Indus remains well positioned to capture these evolving opportunities in the 5G space.

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As per the latest TRAI report, the total 5G subscription base in India stood at over 322 million by the end of June 2025, growing by 77 million in Q1 FY26.

The demand for data in the country remains unabated, driven by the rapid adoption of 5G and the transition from 2G to 4G. For the quarter ending June 2025, as per TRAI, total data consumption and average monthly data usage per user grew by 16% and 13%, respectively. According to TRAI, 5G usage alone grew 17% quarter-on-quarter, accounting

for 32% of the

total data traffic in Q1 FY26, up from 30% in Q4 FY25.

As data usage continues to accelerate and 5G becomes increasingly mainstream, the demand for reliable and future-ready tower infrastructure remains robust. The ongoing surge in network traffic reinforces the need for deeper coverage and higher capacity, creating sustained opportunities for passive infrastructure providers. Our strong operational expertise and proven execution capabilities mean that we are well placed to support this digital expansion and create value from this rapidly evolving ecosystem.

Moving on to operational performance. We recorded robust tower additions during the quarter, driven by our ability to garner a major share of the customer's rollouts. Our co-location additions moderated due to slower rollouts by a major customer.

We added 4,301 macro towers and 4,505 corresponding co-locations during the quarter, translating into a year-on-year growth of 11.5% and 9.6%, respectively, in the tower and co-location base. As a result, total macro tower and co-location base stood at around 256,000 and 415,000 respectively. Our industry-leading tenancy ratio remained stable at 1.62.

The overall co-location base of leaner tower saw an addition of 28 co-locations during the quarter to close at approx. 14,000. Including leaner towers, our net colocation additions stood at 4,533 in Q2.

I will now share an update on the key KPIs. In line with our plans to reduce diesel consumption by transitioning to cleaner sources of energy, we added 3,900 solar sites during the quarter, taking the overall base close to 36,000. With regards to diesel consumption, we saw an increase of 3% year-on-year in Q2 FY26 compared to 10% year-on-year increase seen in Q1 FY26. The prolonged monsoon resulted in higher electricity outages, hence the increase in diesel consumption. Despite the extreme weather conditions, our field force's agility and commitment

helped us deliver an uptime of 99.97% approximately in Q2 FY26, bettering our already high uptime of 99.955% in Q1 FY26.

Let me now provide an update on the four core pillars of our strategy: market share, cost efficiency, network uptime and sustainability.

On market share, we reinforced our leadership position with key customers this quarter, driven by our ability to execute reliably, deliver at scale and uphold the highest service standards. Our unwavering commitment to quality, safety and responsiveness has remained a key differentiator, enabling us to capture a sizable portion of customer rollouts and strategic deployments. In addition, with our improved service delivery and value creation, customers are moving some of

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their existing sites to Indus. We saw continued momentum in our IBS deployments during the quarter, helping us maintain our position as the market leader.

Driving cost efficiency remains a key priority to ensure we effectively manage the growth in towers and become one of the most efficient tower companies in the world. This is being done through redefining operating processes, upgrading site infrastructure with IoT-based devices, enabling two-way communication to the sites and driving process automation through digital tools. This is aimed at not only reducing costs but to increasing productivity and improving quality of service to the customers.

Additionally, as highlighted earlier, reducing our dependency on diesel to lower energy cost remains a key priority for the organization. The transition to cleaner sources of energy continues to be augmented through electrification of non-electrified sites, deployment of energy storage solutions and increased deployment of solar sites. Our solar site count at the end Q2 stood close to 36,000 with approximately 3,900 sites added during the quarter.

On capex, we have further strengthened our efforts to enhance

cost discipline and predictability

across tower deployments. We are driving significant efficiency improvement with tighter controls, improved contracting norms and sharper execution planning. Our efforts continue towards transition to lithium-ion from lead-acid batteries, which offer a lower total cost of ownership.

Overall, these efforts are translating into tangible improvements in cost structure and operational leverage, positioning us well to sustain margins and improve our long-term competitiveness.

On network uptime, which is a barometer of our service reliability and differentiates us in the competitive market landscape, continued improvement in uptime is paramount to us to deliver exceptional customer experience. We delivered an industry-leading network uptime of 99.965% in Q2 amid the adverse weather conditions and all of this is done by our dedicated frontline staff, use of digital tools and our ability to have tighter controls over turnaround time.

Talking about ESG, which also remains a key focus area. On the Environment front, we are pleased to have signed the MoU with IIT-Madras for research and standardization of glass fiber reinforced polymer as an alternative to conventional steel structures, which is a greener and more sustainable material. We continue to add solar sites in line with our plans to transition to cleaner sources of energy.

On workplace safety, we furthered our Suraksha Veer campaign to strengthen the safety culture across the organization by sharing best practices. On the workplace diversity, we are pleased to see our gender diversity improve to 15.8% in Q2 FY26 from 14.3% in the same period last year. Our initiatives aimed at creating a more inclusive and conducive working environment were recognized by multiple bodies, including 'One of the best organizations to work 2025' by ET Now, and 'The most preferred workplace for women 2025-26' by EY India, India Today and Business Standard.

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Now moving to CSR. As part of our flagship program 'Saksham' in partnership with Bharti Airtel Foundation, we have supported over 150 Satya Bharti schools across multiple states. With a strong focus on holistic education, digital inclusion and community development, the foundation has enabled us to positively impact more than 30,000 students. Additionally, our Digital Transformation Van initiative is now operational in 12 states. As part of our other flagship program Pragati, we provided disaster relief to more than 4,500 families in the flood affected areas of Punjab, Himachal Pradesh, Jammu and Kashmir and Uttarakhand. Through these flagship programs, we managed to touch over 14 million lives by Q2. We take great pride in being awarded the Mahatma Award for CSR Excellence and Sustainable and Responsible

business.

On the Governance front, we have now included key ESG parameters in the RFP process for our partners, giving us greater visibility of the ESG practices of our partners and driving it across the value chain.

Our efforts on ESG agenda are being recognized as evidenced by our ESG score computed by the rating agency Crisil, improving from 55 to 57 over the last financial year.

Let me now provide a context on our Africa expansion.

As you are aware, we have announced our foray into Africa as part of our long-term growth strategy. We will start with the 3 countries, namely Nigeria, Uganda and Zambia. We strongly believe that Africa is at a juncture where India was a few years back, providing solid growth opportunity for both telecom operators and tower cos. We intend to replicate Indus' proven operating model by building high-quality cost-efficient infrastructure tailored to local conditions while ensuring best-in-class service reliability for our customers. Our expansion plans come at critical juncture to leverage the strong growth drivers, Bharti Airtel's

deep-rooted position across

the markets and importantly, visibility of anchor customer from day one. We will begin at a modest scale by building new towers, understand the on-ground operations, build solid operating model and take the learnings to other markets over time. Given the strong management pedigree and track record, we are confident that this expansion will be value accretive over the long term.

I would now request Vikas to take you through our financial performance for the quarter ending September 30, 2025. And I look forward to your questions. Over to you, Vikas. Thank you.

Vikas Poddar: Thank you, Prachur, and good afternoon, everyone.

I'm pleased to present our financial results for the quarter ending 30th September. In the quarter gone by, we managed to deliver robust tower additions, which have aided our financial performance.

So, moving to financial performance for Q2 FY26, total revenue stood at INR 81.9 billion, growing by 9.7% year-on-year. Core revenues from rental were at INR 52.4 billion, up by 11.3% year-on-year, driven by strong tower additions and acquisition of towers in March this year. On a sequential basis, our reported gross revenues and core revenues grew by 1.6% and 2.6%, respectively. Along with the tower additions, certain reconciliation benefits also aided the revenue growth in this quarter.

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In terms of profitability, reported EBITDA was at INR 46.1 billion, declining 6% year-on-year and up 5.1% quarter-on-quarter. The EBITDA margin was lower by 9.4 percentage points year-on-year and 1.8 percentage points higher quarter-on-quarter at 56.3% in Q2. I would like to remind you that Q1 FY26 and Q2 FY25 included write-backs of approximately INR 0.9 billion and INR 10.8 billion, respectively, related to collection of overdue receivables from a major customer. Similarly, the customer cleared additional dues amounting to INR 2.1 billion in Q2 FY26. Adjusted for the write-backs, EBITDA was up 14.9% year-on-year and 2.4% quarter-on-quarter. Our sharp focus on driving cost optimization and productivity improvement has aided our margins.

Our energy margins were at -4.8% in Q2 compared to -4.0% in Q1 and were flat compared to Q2 of last financial year. Please note that as highlighted by Prachur, Q2 FY26 saw a prolonged monsoon season. This resulted in higher diesel usage at our sites in order to maintain network uptime, thereby affecting our margins adversely. Reducing diesel consumption continues to be one of our key priorities, which we are driving through transition towards cleaner sources of energy as well as deployment of energy storage solutions.

Our profit after tax stood at INR 18.4 billion, declining 17.3% year-on-year and growing 5.9% quarter-on-quarter. Adjusted for the aforementioned one-offs, the profit after tax grew by 18.6% year-on-year and 0.8% quarter-on-quarter.

Our return ratios despite declining sequentially remained strong with a reported pre-tax return on capital employed of 26.3% and a post-tax return on equity of 29.0% over the past 12 months. The decline is largely attributable to the movement in profits due to difference in collection amounts against the past dues from a major customer.

We generated a free cash flow of INR 3.0 billion in Q2. The sequential decline is on account of an increase in capex and timing gap in collections. This timing gap also led to a sequential rise in trade receivables.

To conclude, Q2 has been another quarter of steady progress and disciplined execution. Our financial performance remained resilient, supported by strong tower additions and continued improvement in operating efficiency. During the quarter, we also took a meaningful strategic step with announcement of our foray into Africa, a move that positions us to leverage our scale expertise and customer partnership across fast-growing market

s with long -term potential.

We continue to sharpen our focus on cost optimization, automation and AI -led efficiencies to strengthen our foundation for sustainable growth. With structural industry drivers, such as rising data usage, 5G expansion and sustained network investments firmly in place, we remain confident in our ability to deliver consistent value to all our stakeholders.

With that, I'll now hand over back to the moderator to open the floor for questions. Thank you.

Moderator: Thank you very much, sir. We will now begin the question and answer interactive session for all the participants who are connected to audio conference service from Chorus.

The first question is from the line of Sachin Salgaonkar from BofA.

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Sachin Salgaonkar: I have two questions and a small clarification. Question number one, would be great to understand the growth outlook going ahead? It appears that a large amount of 4G and 5G rollout is behind. And Prachur in your opening comments, you did mention that we should see market share gains versus -- and the way I concluded is versus, let's say, new rollout coming from your incumbent operators.

And a related question out there is your general thoughts on expansion in Africa. Is it because for diversification away from India or for a better growth because contribution from Africa, even after, let's say, 3 to 5 years, led by organic expansion will be too small, given the size of India.

So is it an expansion into Africa an organic strategy or inorganic strategy also?

Prachur Sah: Okay. So let me answer those two questions. The first question is from a growth outlook point of view. So while we don't make future statements, but what we are seeing across the customers, I think the layer addition is still happening, as you saw in the results as well, the upgrade capex or the growth capex continues to be there.

So from my perspective, the order book still remains strong both on new towers and tenancies and it's a mix of all the customers, not just one customer. I think for the growth outlook for the next 3 to 4 quarters, we remain confident that it is going to remain robust in India.

On the second part, when you talked about expansion in Africa, whether it's organic or inorganic.

See, as I mentioned earlier, the initial part is organic growth. We will be entering and making new towers, expanding or understanding the local market. And if an opportunity comes in the right position, the in organic part may be considered. So I think the overall Africa strategy is not diversification business. It's our tower business. That's our core strength.

And we want to leverage our core strength to enter a strong market with an anchor customer where we can create value for our customers and show the differentiation that we have in building low -cost towers, delivering better service quality, improving energy efficiency and that will create opportunities for us to build new towers with an anchor customer, get other tenancies from other customers. And if the right opportunity comes, look at inorganic growth, but priority initially is to start building new towers.

Sachin Salgaonkar: Very clear, Prachur. My second question is , with the Supreme Court clarification now on Vodafone Idea, we should logically expect some kind of a relief on AGR. And obviously, Indus was not paying dividend because one of the reasons for holding back was the clarity on AGR on VIL.

So the question out here is whenever the clarity comes on AGR and hopefully soon, should we expect any cash return or dividend almost immediately or should we wait for the end of this fiscal year, i.e. could we see something around December quarter in terms of cash returns, or we would ideally like to wait for end of year or March quarter, even though the visibility from the government on Vodafone resolution comes earlier than expected?

d?

Prachur Sah: So Sachin, I think I would not like to assume the clarity timing. I think what has happened is a good development for the industry in general , so we welcome that support. And I think as and when the clarity comes, it will help us make the right decisions. But as of now, as I had informed Indus Towers Limited

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in the previous quarter, the Board will consider and is committed to distribute the cash to the shareholders. And the timing still remains end of the financial year in Q4. If anything changes, we'll keep you posted.

Sachin Salgaonkar: And just to clarify, this is the only thing which is holding the Company from giving dividends, right or are there any other constraints out here?

Prachur Sah: Sachin, as I mentioned in the previous quarterly call as well, I think it was one of the constraints or one of the, what you call, factors that was taken into account, along with the capex that we are spending for growth as well.

So as I mentioned last time as well that the Board is committed to consider the distribution. And I think as of now, the timeline still remains the end of the financial year, and we'll keep you posted if anything changes.

Sachin Salgaonkar: And the last clarification I wanted is we saw a writ eback of INR 195 crores in provision for doubtful receivables. Vikas, is it fair to say that the entire writeback has happened and going ahead, we should not see any further writeback?

Vikas Poddar: Yes, that's right, Sachin.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: Yes. A couple of questions. First on the Africa. Again, touching upon it, Airtel did sell a significant amount of their towers way back in 2013 to 15. And the view at that point of time for us was that we want to keep ourselves within India.

Any particular change what has happened in the industry, which has made us to revisit the factor that now we want to get back to Africa. At that point of time, we were completely not looking at it. And hence, Airtel sold their significant portion of portfolio. What has changed now?

Prachur Sah: So to be honest, I can't comment on the context that was almost 10 years ago. I think what we can say today is that we are currently at a point where Indus Towers has established itself as a leading tower company, and we are currently in a point where we can offer solutions to the customers with a very different proposition. Even our Africa market has evolved quite a bit, and there's a lot of growth opportunities that we are currently seeing.

And with an anchor customer being present there, I think that gives us the ability to step into a growing market and understand about it and then take strategic steps to expand further, including tenancies from the other customers.

So I think it's a very different situation than what it was in 2015 and where Indus is and where the African market is and the fact that we're going to get an anchor customer from day 1. So in Indus' ability to expand, given where we are on the balance sheet, I think we have the ability to take up this opportunity with ambition.

Sanjesh Jain: Got it. One follow-up question there. If you look at the Africa market itself, the capex per tower at least historically has been quite high, upwards of \$200,000 per tower and so will be the rental.

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So how is the economics, how is the competitive scenario, particularly in Nigeria, which is the largest market, and we are entering that initially? And who is the competition, and we are a latent entrant, right? It's a decently penetrated market. So how are we looking at this as a growth strategy from here?

Prachur Sah: Sanjesh, I think this is something that we will have a better update 3 to 6 months down the line as we go into the market. The first comment that you mentioned

is that we will enter this market

with an ability to make a difference on how we can reduce the cost per tower, improve the uptimes and manage energy better. But that will be our value addition to be more competitive in these markets, and our ability to invest and grow and put up new towers is what our strength is going to be.

So, once we create that differentiation, and the details that you mentioned in terms of what the strategy is going to be, I think that's going to be put in place over the next 3 to 6 months, and we'll have a more concrete answer at that point of time. But overall thinking is to add value and be a differentiator in that market so that we can be a leading player in Africa.

Sanjesh Jain: Got it. I have one last question. Sorry for squeezing in it. But this will be last one on Africa, if I may. It's always been an independent TowerCo kind of a market there. If you look at, largely operator-driven TowerCo companies hasn't been there. We will be first in that sense that we will have both telco and TowerCo. In that we will -- it's not purely an independent TowerCo, do you think that can be an initial bottleneck in terms of convincing beyond anchor customer?

Prachur Sah: Sanjesh, I mean I don't see it that way. I think the fact is, we are getting an entry because we'll have an anchor customer. So that is the first advantage that we have. Now at the end of the day, all customers are looking for a tower comp any that is going to add value.

So if we are able to create the differentiation in terms of what value we can add, in terms of the cost per tower, uptime and energy efficiency, that is what eventually is going to get the customers on the tower, not whether it's having an anchor customer or something like that. So I strongly believe that if we can create that differentiation, the other customers will come on to the tower as a tenant.

Sanjesh Jain: That's clear. One last question from my side. On the maintenance capex, Vikas, in last couple of quarters, it has gone up from INR 250 crores, INR 300 crores per quarter now to INR 500 crores, INR 550 crores per quarter. What has changed in that?

Vikas Poddar: So Sanjesh, like I explained last time, one is, of course, the portfolio is aging. So we need to keep investing in tower strengthening and tower maintenance and so on. So like I had mentioned

in the previous quarter call also, I think this will continue for some quarters while we are undertaking all these strengthening activities on our portfolio. Two, like I said, we are also sort of transitioning to higher performing batteries like the lithium-ion and so on. So to that extent, that transition will also have some costs in the couple of quarters.

Moderator: The next question is from the line of Vivekanand S. from Ambit Capital.

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Vivekanand S.: So some bookkeeping questions. See, when I look at your energy margins now or energy under recoveries that you report, those are consistently now higher, say, at INR 100 crores to INR 125 crores on an average. Previously, they used to be, say, FY23 or say, FY22, they used to be much lower. So directionally, what has changed that has caused these under recoveries to balloon?

That is question one.

And the second question, I think in the opening remarks, you said something about receivables increasing due to a timing gap in collections. Could you elaborate on that? And relatedly, in the opening remarks, you also said that there was some revenue, some reconciliation revenues that led to higher organic growth. If you could quantify that also. Those are my questions on the accounting side?

Vikas Poddar: Sure. So first of all, I think on the energy, while you're looking at the absolute, Vivekanand, this is also important to bear in mind that our business volume and the number of towers, etc., are also growing, right? So to that extent, t

he absolute numbers will, of course, grow.

One thing which is very important to note is if you look at the H1 of last year and H1 of this year, certainly, there is an improvement. We had about 5.2% in the H1 of last year, and we have about 4.4%. So we have improved by close to a percentage.

The other important thing to bear in mind is the weather disruptions and the sort of monsoon effect, etc., are also worsening year-on-year. So this year, for example, in many places, we have seen much prolonged monsoons and as a result, a far bigger impact on our infra and which basically causes us to spend more on energy to maintain the uptime and so on.

So to that extent, I think while the management effort continues to be to reduce diesel and improve the margins and so on, and which we are seeing from a year-on-year perspective in absolute terms, of course, I mean, it's very difficult to compare because the volume of business is also growing.

On the receivables, I think, like I said, it is a timing gap. We have basically some agreements pending because of which the payment has got delayed a bit. We do expect the receivables to unwind in this quarter. So it's a bit of a timing issue that we are seeing.

The reconciliation one-off is basically, again, a bit of a business as usual for us because whenever there are some delays because of any reconciliation issues, we do have a very conservative accounting. And once those reconciliation issues are sorted out, we do recognize those revenues. So we had roughly 0.8 percentage point one-off in our revenue numbers in this quarter.

Vivekanand S.: Okay. My last question is on the other expenses. Now I know the breakup of the other expenses is reported annually, which comprise your rates and taxes, legal professional charges. Now that number, if I strip out the impact of provision reversals, it's been trending lower this year. Are there any one-offs here or is this some optimization that you've undertaken? And if so, then please elaborate on what those measures have been and how we should think about the other expenses going ahead?

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Vikas Poddar: The other expenses this year in both first quarter, second quarter and overall from a 6-month perspective, you will see it's lower year-on-year. There are various factors, but two major reasons I would like to call out is, one, of course, there is basically a decrease in the rates and taxes that we pay. And two, there is also a very concerted effort on driving various efficiencies within our business, which is reflecting pretty much in all lines, not just the other opex, but other opex obviously has those advantages as well.

Vivekanand S.: Why are your rates and taxes reducing?

Vikas Poddar: It's basically a matter of demand. I mean as and when we get the demand and we pay the demand, we do recognize. Sometimes, it's a matter of not getting those demands.

Moderator: The next question is from the line of Pranav Kshatriya from Emkay Global.

Pranav Kshatriya: My question is regarding the Africa business foray. There have been some issues intermittently for Nigeria regarding dividend upstreaming from that geography. And all these geographies have a fairly high currency volatility. So how do you plan to hedge for this? Just clarity on that will

be useful.

And secondly, can you give some clarity on where the capex is going? Because if I look at the maintenance capex is not what has inched up, it is the growth capex, which has sort of inched up. And what portion is actually towards the new tenancies or towards the batteries or towards the energy initiative, I would say, in that sense? Some color on that will be useful to get a growth dynamics in those departments.

Prachur Sah: I'll answer the Nigeria question, and then I'll ask Vikas to talk about the capex part. See, on the Nigeria question, as I mentioned earlier

r, I think Pranav, it's very initial stages to give you the

answer, but the good thing is, as I mentioned to you earlier, we are going with an anchor customer that has been there for quite a long time, and they have understood the market, the currency fluctuations, etc.

So I think that will give us an opportunity to understand and not take undue risks, but at the same time, expand our portfolio there. So we will leverage Airtel's presence there and see how we can reduce or mitigate risks that you just mentioned. However, it's a little bit early in terms of what the structure of MSA, etc., is going to be.

So we'll keep you informed as we make the strategy more robust once we visit the ground, understand the tower structure, the tower design, and then we'll come back to you on what is going to be the way to mitigate the risk in Nigeria specifically that you had mentioned. But we are cognizant of the risk that you have mentioned.

Vikas Poddar: Yes. So on the capex, Pranav, the increase in capex, apart from the maintenance that you're seeing is, again, if you look at the rollout numbers, our rollout numbers itself is higher by about 1,800 in this quarter. So that obviously has led to higher capex in Q2. And apart from that, there are basically upgrades relating to 5G and additional battery banks and so on, which has also resulted in higher capex outside the maintenance capex.

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Pranav Kshatriya: So largely, the capex related to battery is not part of the maintenance capex, it is part of the growth capex?

Prachur Sah: No, battery capex comes in two places. Once it comes in maintenance, which is a regular replacement capex. But however, there are upgrade capex, which includes battery, solar, layer additions, which is at the request of the customer, where the customer wants us to add infra on our side that results in a revenue for us. So when Vikas is talking about growth capex, this is all customer-driven capex.

Pranav Kshatriya: Okay. And this should sort of start yielding better energy margin and, of course, support growth over a period of time. That's how we should see this?

Prachur Sah: I think growth for sure. I think it will impact the energy cost. Energy margin has multiple other factors, but definitely reducing the energy cost and uptime in terms of offsetting the diesel expenses would definitely be a factor.

Pranav Kshatriya: One small follow-up on the Africa business. So what should be the tentative timeline for Indus to roll out towers in Africa? I mean are we looking at 3 months, 6 months timeline for the rollout or it could well get into FY27?

Prachur Sah: I think, again, as I said, Pranav, as part of the practice, we had given this comment in the last quarter. The work is in progress. I mean, of course, our objective is to do as early as possible. But of course, there are certain administration things to take care of, licensing and entity setup, etc. So I think our estimate is anywhere between 3 to 6 months, but I would not hold on to it, and we'll keep you posted as we progress. But anywhere between 3 to 6 months is what we are targeting from today.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: My first question is once again on the energy margins. Vikas, you explained how things have changed between first half to first half, but directionally, if we take performance in the last 10 years, there were 3 phases. If you see till kind of, say, FY19, FY20, we had a positive energy margin, something as early as 5%, 6%, 7%. Then something has changed in FY21. It became negative and it was hovering around 1.5% to 2.5% between 2021 to 24?

Now suddenly, in 2025, we are at the minus 4.5%, and we are seeing some kind of a small decrease from that bottom. So what happened between these spaces? I mean there were these diesel issues 10

years ago as well, reconciliation issues again, it was there. So even if we take the decadal view, I'm not asking for the forward guidance. In the last 10 years, we are not able to understand this kind of a change in the energy margins?

Vikas Poddar: So Arun, so first of all, I think that's a very interesting question. I mean from a very long-term perspective, the way we charge the customers for energy has also changed. So from a very long -

term perspective, we used to be in pass-through originally. Then later on, we shifted to fixed energy model for a few years.

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And then subsequently, we moved back to pass through. And today, we are in a situation where we are in a bit of a hybrid. We are in pass through with some customers, fixed energy with some customers and so on. So one is, of course, the operating model in energy itself has undergone a lot of changes from a long-term perspective.

Two, I think why things have worsened in the last, if I take a 4- to 5-year view, obviously, all of us would agree that the weather disruptions have become much more severe in the last 4-5 years. It's not the same anymore.

Three, I think the volume of sites has also gone up. We have built far more towers in geographies where the EV availability or the grid electricity availability is very challenging. We have penetrated into these rural areas in very difficult terrains where the grid availability is a bit of a challenge, so the dependency on diesel is far bigger in those areas.

So from a very long-term perspective, I think there are various factors that have caused this sort of a trajectory. I think what we can assure you is that through renewable and through our investment in storage solutions and so on, the management is very, very focused on driving efficiency in this area.

The customer is also very interested in seeing a lot of efficiency in the energy area because eventually it hits their P&L also. So directionally, I think while from a long-term perspective, things do look a bit severe, but if I take a 12 to 24 month view, things are improving. And directionally, I think we are heading in the right direction.

Arun Prasath: Okay. You attributed this to 3 parameters. One is the pricing model pass-through versus FEM. I think fairly, we do have a control over. Those are all our controllable things under what we can do or what we cannot do. Weather, definitely, we can't do anything. And third is a grid availability. So except for the weather one, other 2 things are in our control. Ideally, it should have been priced in our tariffs, in our rate cards. Are we seeing that it has not happened so far? And is there any chance that this can change in the near future?

Prachur Sah: Arun, so I think it's not that straightforward. I don't think besides weather, grid availability is entirely in our control. I think we consume the grid, but we don't control the grid availability. So from the customer point of view on the rates, I think it's a regular engagement that we do. And whenever we have an opportunity, and we do have the discussion with the customers regularly to see how we can improve our commercials with them, and that is an ongoing effort. So I think that's a factor that is very well understood and taken into account every year when we negotiate.

Arun Prasath: Okay. To simplify, if you convert all your sites into say, solar or if we talk about one single site, if you convert into solar, this energy margin for those solarized sites, has it been positive or how it has been so far in the last 2 years' experience?

Prachur Sah: See, obviously, first of all, a site cannot run for 24 hours on solar. There is always electricity and storage and diesel is required as we think that topic is not that straightforward to do a linear extrapolation on that. In rural areas, where grid availability is challenging,

ing, despite solar, you

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may still have a combination of a site, which is solar plus electricity, solar plus electricity plus battery plus DG.

So I think there's a different combination of sites. Obviously, as you bring in more renewable, as you have a site which is running more and more on solar and less dependency on other solutions, the sites definitely have a better margin than the others. But I think it's natural, that's what's going to happen. That's what the case is. But it is not that in a rural area, you will just have a solar solution on a given site, because it cannot do a 24-hour generation.

Arun Prasath: Just one bookkeeping question. What percentage of sites so far, whatever we have spent, it's already solarized or some form of solar base?

Prachur Sah: As I mentioned in my commentary, there are about 36,000 sites, which have solar solutions available on them.

Arun Prasath: Roughly 10%. Okay. Second question on Africa. You mentioned various reasons why you would add value to the customer. Our understanding is that tower as a technology is a fairly mature stage, I mean there is not much one can do. And largely, it's attributed to the operational discipline and the scale.

And then obviously, extracting the leverage on the ground force . Why do you think that the existing incumbents do not have a massive base and somehow we will be able to do it and win customers or probably add value to the customers? Some understanding on this will be much better?

Prachur Sah: So Arun, I think if you see Indus Towers, if you see our portfolio, how we've expanded over the last 2 to 3 years, I think the scale of expansion that Indus has done, I think, very few, if any tower companies have put up that many towers in the last few years. And that has given a deeper understanding in how to leverage the tower construction, the materials, vendor relationships in terms of what procurement we do.

So in that sense, we are quite confident there is a value addition to be done in the cost per tower when it is being built. And of course, with what we are doing in India with the scale that we currently have in terms of both operational efficiency, running the tower through a tower operating center and having better electrical infrastructure that we have learnt in India, we believe based on our estimates and our feedback and currently the ongoing field visits in Africa, that there is a value addition to be had.

And rest, as you said, we are going to go and find out on the ground and see how we can make it happen in reality on the ground. So I think we remain confident that there is a value addition to be added.

Moderator: Sorry to interrupt. May we request Mr. Arun to please rejoin the queue? We have participants waiting for the turn.

Arun Prasath: Sure. Thank you very much.

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Moderator: The next question is from the line of Saurabh Handa from Citigroup.

Saurabh Handa: Just on Africa once again. A couple of questions. Firstly, as far as unit economics are concerned, previously, in India, you've said for single-tenancy towers return on capital tends to be typically in the low to mid-single digits. What would be a comparable number in Africa ballpark?

Prachur Sah: Saurabh, it's a good question. But as I said, once we get to a point where we start discussing the MSAs with the customers, I will come back to you in terms of what returns that we are going to expect. And it is not going to be determined by what India does. It is going to be determined on what the competitive landscape is out there and what makes sense for our business to expand. So we will come back to you in terms of what return profile we could look at once we are closer to agreeing the MSAs with the customers.

Saurabh Handa: Okay. But directionally, do these tend to be

better than what you see in India? I mean that's the sense that we had, but I just wanted to double check that?

Prachur Sah: I mean, I would hope so. Again, as I said I will not comment on it right now. But in general, it may be that we'll have different MSAs for different countries. It will depend on the opportunities that we'll have to have additional tenancies and the tenure of the towers, that will determine the IRRs because IRR is not just a factor of the cost of the tower, it's a construct of the MSA, the tenure, the tenancy opportunities in the market and the other upgrade opportunities that are there on a particular tower. With these in mind, I think we will construct the return profile of the towers there.

Saurabh Handa: Okay. And just a follow-up, just again on Africa itself. Your anchor tenant typically has been over the last few years, adding say, 2,000 to 3,000 new towers in Africa. I mean, if I were to assume a similar number is now added by you and capex of, say, \$100,000 per site, the capex - suppose it, say, \$200 million, \$300 million, I'm not asking you to confirm or deny that number. But how will you fund that? Would that be completely on the balance sheet of the Africa entity? Will there be some equity contribution from the India entity? And just from the free cash flow perspective of the India entity, would that be sort of ring-fenced to be paid out to the India shareholders?

Vikas Poddar: Saurabh, while we are working through the business plan and the capital requirement and so on, I think while from a full-scale perspective, that could be the level of capex maybe in some time, in our capital structure, we will certainly desire to have both a good mix of debt and equity. So there will be a good amount of leverage that we are expecting.

Saurabh Handa: Okay. And the India free cash flow are largely available for distribution as per your current policy, either when you resume payouts or could some of those be used to fund the Africa capex ?

Prachur Sah: So if you look at our balance sheet, I think the two topics of distribution and Africa are quite unrelated. Africa is a little bit of a long-term strategy. And distribution of the cash flow that we generate here is probably unrelated to the Africa expansion. I think we have a very strong balance sheet and opportunity to see how we can use our leverage to expand in Africa, and that is the intent.

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Moderator: The next question is from the line of Balaji from IIFL Capital.

Balaji: I had just one question. So if I look at it, Jio did most of its rollouts about 10 years back, maybe 8 to 10 years back. So is it fair to say that there will be a bunched up phase of renewals for you from Jio? And if that is the case, do you see any risk t hat they probably try to go to a competitor or try to in -source some of it or at least try to get the rentals down? So input alo ng those lines would be helpful?

Prachur Sah: Balaji, as I said earlier as well, at this point in time, I would not predict what you would do. But from our point of view, what we want to do is to make sure that we are providing the top quality service and have the stickiness for all our customers on o ur sites as we have done through 5G deployments and things like that.

So as long as we are providing good service and have negotiations with them on renewal in line with what we have done for the other customers, that's what we are currently looking at. If there is any strategic decision from Jio, I think that's something th at we're going to continuously look out for. And we are always looking at opportunities to expand our tenancy to mitigate any such risk from other customers.

Balaji: Right. And also a quick follow -up. So would it be fair to say that most of the towers that Jio would have leased from you, these would be in areas where it is hard to set up new tower or

even maybe some of the more recent entrants like Summit or ATC would not have the towers in those points -- in those particular locations. And as a result, would that also count as a competitive advantage for you?

Prachur Sah: Balaji, I would not generalize anything like that. I don't think I can say that. So I would not speculate on that.

Moderator: The next question is from the line of Shubham Agarwal from Fidelity.

Shubham Agarwal: Just again, setting back on Africa again. I just wanted to get a sense that what's the kind of investment kitty that you're setting aside for the Africa foray, let's say, including both capex and the initial scale of losses that could be there in the Africa business?

Prachur Sah: Again, Shubham , as I said, I think it's a little bit too early to talk about that. We are currently in the process of understanding the market, understanding the tower design, the cost, the scale. So I think it's a little bit too early to say what would be the exact amount of investment there.

Shubham Agarwal: And the second thing is just again on Africa. Is it right to understand that you're yet to evaluate the opportunity sizes in Africa in any of these markets? It's just an initial , you put out the intent? And are you still kind of evaluating how much financial sense does it m ake? How much it does not make?

What was the intensity or the speed of foray that you want to do in these markets? All of that will take, as you said, 3 to 6 months to decide and then you go into those markets. And the last thing all the capex that comes in would be funded through debt, just an overview there.

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Prachur Sah: Shubham, I'll answer the first part. As I said earlier, I mean, it's not that we have not understood the opportunity, I think we have done our homework in terms of what we expect the market size to be. But over the next 3 to 6 months, as we visit the markets, we will actually firm up these designs so that we will be in a position to actually talk more completely about it.

But I think besides just the announcement , that intent, we have done our work in terms of what we expect the opportunity size to be. Of course, this needs to be firmed up over the next few months as we line up the concrete strategy and as we start deploying. From a capex point of view, I believe Vikas already answered that question earlier, maybe Vikas you can repeat it for a sec.

Vikas Poddar: Yes. I think capex , once we do the sizing and all, like I said earlier, I think we'll be sort of deciding how we are going to fund this. Clearly, as we mentioned earlier, there is a lot of leverage headroom, so we will be using a lot of leverage to fund the Africa expansion .

Moderator: The next question is from the line of Atul Mehra from Motilal Oswal.

Atul Mehra: So I have a question again on Africa. So what is the return on capital is expected based on the homework you have done as yet? And obviously, this is just taking into account the organic expansion, inorganic will obviously depend on price and many other th ings. But just on the organic, what would be the return on capital as per your initial assessment?

And how do you balance this versus returning capital back to shareholders in India? Like is there a particular hurdle rate below which you would say that it doesn't make sense to be in Africa and just return the capital back to Indian shareholders?

Vikas Poddar: So I thought I actually answered this question earlier. Again, the return on capital in Africa will be determined also by what's there in Africa in terms of competitive landscape, what's the cost of tower that we eventually look at. And I'm only talking about the organic part here. So I think, of course, there will be a hurdle rate that we will need to maintain for us to have a feasible business there and understanding the risk on the ground.
So while I

cannot give you a number right now, but I think it will not determine just the factor on what we do in India, it will be more an Africa decision in terms of what's the right hurdle rate to work at, what's the market opportunity size, what kind of tenancy portfolio, what kind of MSA structure we have. So all those will contribute to make decision on the return on capital. So I think at this point of time, I would not commit any number on that.

Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: Most of the questions are answered. Just on the initial comment you made, the initial phase in Africa would be more of a learning phase before which we decide to go inorganic or scale up. Is it fair to assume 2 to 3 years is the initial phase and beyond post that only a big inorganic or something major we could look at in that geography?

Prachur Sah: Sumangal, I think I would not be able to answer that question right now. As I said, if an opportunity comes earlier and it's the right thing to do, we will, for sure, consider it. So I would
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say let's get started with the organic way of building new towers with an anchor customer, understand the market. And if an opportunity comes with the right valuation and where we can also add value, we will consider it.

So I would not put any hard deadlines as of now that we'll not do anything before 2 to 3 years, it may take 1 year, it may take 5 years. So I think it depends on what the opportunity is and what the valuation is.

Sumangal Nevatia: Understood. And sir, you commented on the strong order book for the next 3 to 4 quarters for the India business. Is it possible to share directionally in terms of tower addition, how should we look at it versus what we've done in the last few quarters?

Vikas Poddar: So I can't give you the future numbers, Sumangal, but what I can tell you as you have seen in Q2, we have delivered strong tower additions, despite there was a slowdown of tenancy from one major customer, which we expect to pick up in the coming quarters. So I can't give you a number, but as I said, we'll continue to look at what we have delivered in the past few quarters and keep maintaining or improving the momentum there.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Prachur Sah for closing comments.

Prachur Sah: To conclude, this has been another strong quarter for Indus Towers, underpinned by robust tower additions and strengthening of our market presence. A key highlight of this quarter was our announcement to foray into Africa, a significant step in expanding our geographic footprint and leveraging our proven execution model in a new high-growth market. We are making meaningful progress on our automation and AI initiatives, embedding technology deeper into our operations to strengthen efficiency, accuracy and scalability.

Looking ahead, our focus remains on shaping the next phase of telecom infrastructure, one that is smarter, greener and more resilient. With rising 5G adoption and sustained data growth, the role of reliable passive infrastructure is more critical than ever. Backed by our scale, execution excellence and potential investments, we are confident of delivering sustainable growth and long-term value creation.

Thank you all for joining this call. Have a good day.

Moderator: Thank you. Ladies and gentlemen, this concludes the conference call. You may now disconnect your lines. Thank you for connecting the audio conference service from Chorus Call and have a pleasant evening. Thank you very much.

Call: Feb 2026

Indus Towers Limited

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February 09, 2026

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block – G, Bandra Kurla

Complex, Bandra (E), Mumbai - 400051

Ref.: Indus Towers Limited (534816/ INDUSTOWER)

Sub.: Transcript s of the Earnings Call on the Company's performance for the third quarter (Q3) ended

December 31, 2025

Dear Sir/Ma'am,

Please find attached the transcript s of Earnings Call conducted on February 03, 2026 on the Company's performance for the third quarter (Q3) ended December 31, 2025 .

Kindly take the same on records.

Thanking you,

Yours faithfully,

For Indus Towers Limited

Samridhi Rodhe

Company Secretary & Compliance Officer

Encl .: As above

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"Indus Towers Limited

Third Quarter ended December 31, 2025 Earnings Call "

February 03 , 2026

Management: Mr. Prachur Sah – Managing Director and Chief

Executive Officer

Mr. Vikas Poddar – Chief Financial Officer

Mr. Tejinder Kalra – Chief Operating Officer

Mr. Dheeraj Agarwal – Head Investor Relations

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Moderator: Good afternoon, ladies and gentlemen. I am Michelle , the moderator for this conference.

Welcome to the Indus Towers Limited Third Quarter ended December 31, 2025 Earnings Call.

For the duration of the presentation, all participant lines will be in the listen only mode. After the presentation, the question -and-answer session will be conducted for all the participants on this call. In case of a natural disaster, the conference call will be terminated post an announcement.

Present with us on the call today is the senior leadership team of Indus Towers. Before I hand over the call, I must remind you that the overview and discussions today may include certain forward -looking statements that must be viewed in conjunction with the risks that we face.

I now hand the conference over to MD and CEO of Indus Towers, Mr. Prachur Sah. Thank you, and over to you, sir.

Prachur Sah: Thank you, Michelle. And a very warm welcome to all participants. Joining me today are my colleagues, Mr. Vikas Poddar, CFO; Mr. Tejinder Kalra, COO; and Mr. Dheeraj Agarwal, Head Investor Relations on the call.

I am pleased to present our business performance for the quarter ending on December 31, 2025.

Building on the momentum we saw in the previous quarter, Q3 witnessed a healthy pickup in tenancy additions particularly from one of our large customers. This reflects a gradual improvement in network investment activity as the operating environment for the customer continues to improve. Recent actions taken by the Government on AGR dues for one of our

customers are expected to bring financial stability and are expected to aid its financial health, enable sustained investments in network expansion and capacity augmentation. Our customer-centric approach, including the ability to deliver at scale with speed and precision is helping us garner a larger share of our customers' incremental rollouts as well as transition of the current sites.

Let me start by acknowledging unwavering commitment of our field force, who ensure seamless navigation of both geographical and weather-related challenges to deliver around-the-clock connectivity to the nation. During the quarter, our teams on the ground installed towers in remote regions of Lakshadweep, reinforcing our commitment to bridging digital gaps in geographically isolated regions. We also installed towers at Pangod Military Center, strengthening connectivity for a critical defense establishment. These installations have enabled secure, seamless communications for our defense forces and for local communities.

Turning to regulatory update, the Government continues to support the industry by enabling the telecom infrastructure players with progressive policies and reforms. The RoW Rules 2024 aimed at resolving interpretational issues and ensuring smooth deployment of telecom infrastructure have been notified in more than 33 states and union territories. We continue to engage closely with both the central and state authorities to advance the rollout of smart meters across telecom sites, which is expected to streamline energy management, improve cost transparency, support usage linked to customer billing and also pave the way for faster Green Energy Open Access implementation.

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Moving to 5G, the total 5G base stations deployed in the industry stand at close to 520,000. Like I had mentioned earlier, although the pace of incremental rollouts has moderated, ongoing network densification continues to drive our loading revenues. With customers propelling 5G network rollout, we expect the loading on towers to further accelerate. As 5G data usage grows and data intensity increases, this is expected to translate into incremental requirements for capacity augmentation and selective site additions over time. Leveraging robust customer

relationships and strong operational capabilities, Indus is strongly placed to play a major role in the next stage of 5G advancement.

As per the latest Ericsson Mobility Report, global 5G subscriptions reached over 2.8 billion by the third quarter of 2025, growing by 162 million during the quarter, while 4G subscriptions declined by 65 million. Global 5G subscriptions are expected to reach over 6.4 billion by 2031, accounting for around two-third of the total subscriptions as per the report. In India, 5G subscriptions are expected to account for 79% of the total mobile subscriptions by 2031, crossing 1 billion mark.

As per the latest TRAI report, the total 5G subscription base in India stood at over 361 million by the end of September 2025, growing by 39 million in Q2 FY 26.

The data consumption story in the country continues to play out strongly, underpinned by the continuous migrations of users from 2G to 4G and 5G. For the quarter ending September 2025, as per TRAI, the total data consumption and average monthly data usage per user grew by 23% and 19%, respectively. According to TRAI, 5G usage alone grew 15% quarter-on-quarter, accounting for 35% of the total data traffic in Q2 FY 26, up from 32% in Q1 FY 26.

As data usage is growing and 5G is becoming widespread, the demand for robust tower infrastructure stays high. Increased network traffic requires wider coverage and higher capacity, supporting steady growth for passive infrastructure providers. Our proven track record and deepest coverage across the country makes us as a preferred partner in ongoing network expansion for our customers.

Moving on to operational performance. We registered strong colocation additions during the quarter, driven by our ability to capture a major share of the customers' rollouts, coupled with pickup in one of the large customers' ongoing network expansions. We added 3,548 macro towers and 6,105 corresponding colocations during the quarter with an incremental tenancy ratio of over 1.7x. This translated into a year-on-year growth of 10.6% and 9% in tower and co-location base, respectively. As a result, total macro tower and colocation base stood at around 259,600 and 420,000, respectively. Our industry-leading tenancy ratio remained stable at 1.62. In addition, we closed the quarter with a total of 14,000 lean towers, making the tower portfolio at 2,73,600.

I will now provide an update on our key KPIs. We remain committed to reducing diesel consumption by transitioning to cleaner sources of energy. We added 4,000 sites with solar access during the quarter, taking the overall sites to about 40,000. Diesel consumption on our sites reduced by 4% year-on-year in Q3 FY 26, this is despite 9% year-on-year increase in colocations and continued equipment loading on the sites. Navigating extreme weather

conditions, the dedication and perseverance of our teams on the ground helped us deliver an uptime of 99.976 % in Q3 FY 26.

Let me now provide an update on the 4 core strategic pillars that we have undertaken - market share, cost efficiency, network uptime and sustainability.

On market share, we remain a preferred partner for our major customers to enable large rollouts for them. A major customer has seen acceleration in network expansion, and we are able to capture a large share of its rollouts given our expansive tower network, reliable service quality and swift on-ground execution. Our long-standing relationship by working closely with the customers in their journey of evolving network priorities and long-term deployment plans enables us to garner larger share of their transition of portfolio as well. This was complemented by continued progress in our IBS deployments during the quarter, along with the deployment of hybrid solutions for the likes of DMRC and in the forest corridor. Collectively, these developments

strengthen our market positioning and deepen our network footprint to serve our customers better.

Cost discipline is ingrained in our ways of working. We continue to work towards eliminating wasteful costs to drive operating efficiency, predictability and fundamentally streamlining cost structure. We have accelerated use of digital tools, standardized processes and strengthened governance mechanism to achieve our targets.

Optimizing energy bills is the key to our cost efficiency agenda. We are deploying energy-efficient solutions, upgrading our legacy sites with solar access and energy-efficient batteries to make our network greener and sustainable. Over 40,000 sites are now deployed with solar access. In addition, we have deployed more energy-efficient lithium batteries in the last 3 quarters as indicated in the previous earnings call. These initiatives not only reduce our reliance on diesel but also support improved uptime and a structurally lower energy cost profile.

On the capex side, we follow a very disciplined capital investment approach with robust controls and governance in place. We have standardized our bill of quantity for different types of tower sites, and any deviation goes through a comprehensive assessment and approval process. That said, we continuously work on improving tower design, optimizing use of material and efficient procurement. All of this is done without compromising on customer experience.

We are seeing notable outcomes of these initiatives, and we believe there is a lot to be done in a large site base and continue to strengthen our competitiveness.

Thirdly, service reliability is paramount to us, and we continue to uphold the industry best standards. We are at forefront in adopting advanced digital tools and data platforms to strengthen our customer servicing with a structural resolution to the pain points.

I would like to spend some time briefing you about our digital transformation journey. Digital adoption is no longer a project for us. It is central to our operations. Over the last few quarters, we have been advancing our digital transformation agenda by progressively converting our tower portfolio into fully digital infrastructure assets. Sites are increasingly being equipped with IoT connectivity, fuel sensors, lithium-ion batteries, solar panels, high-efficiency power systems

and smart meters, creating an integrated digital stack across the network. This provides us with real-time asset level visibility into performance dashboard, energy consumption and operational health. It has enabled faster issue identification and more informed decision-making at both central and field levels. Automation and analytics are reducing manual interventions, improving asset utilization and allowing our teams to focus on higher value proactive network management. We are also leveraging AI-led image and video analytics to streamline approvals, enable preventive maintenance and accelerate field closures. Collectively, this is improving uptime, enhancing operational control and safety, lowering costs and allowing our teams to operate more proactively and efficiently at scale.

Looking at ESG, a priority for the organization. Regarding the 'Environmental' dimension during the quarter, we completed a comprehensive climate risk assessment across our operations, enhancing our understanding of physical and transition risks and embedding resilience into our long-term planning. Our ongoing efforts to transition towards cleaner energy continues to improve the grid emission factor. Through partnership with 1t.org, we have planted 260,000 saplings this financial year, contributing to national carbon sink. Additionally, 100% of e-waste from battery disposal is recycled.

On the workplace, we continue to see improvement in our gender diversity at 16.6% in Q3 from 15.8% in Q2. During

the quarter, we rolled out Digital Leap program for employees focused on building digital and AI capabilities across the organization. This initiative reflects our continued focus on investing in our people and equipping them with skills required to make them future ready. We also launched Prerna, a women-led leadership development initiative focused on enabling senior women leaders to mentor and guide women across the organization. The program is designed to build leadership capabilities, support career progression and create a stronger pipeline of future women leaders, reinforcing our commitment to inclusion and long-term talent development.

In CSR, as part of our flagship program, Saksham, our smart classroom initiative has imparted digital literacy training to 600 students and 130 teachers, impacting 3,500 individuals through community awareness sessions. This initiative helps bridge the digital divide and empowers marginalized communities through technology. Additionally, in association with the Bharti Airtel Foundation, we support 1,100 Government schools across 12 states and union territories under the quality support program. Additionally, our Digital Transformation Van has now touched over 136,000 lives this year.

As part of our other flagship program, Pragati, we conducted a flood relief initiative in affected areas of Solapur, Nanded and Rudrapur distributing relief kits to over 2,000 families. Through these flagship programs, we managed to touch over 23 million lives by Q3. We are proud to see our efforts being recognized at the ET Infra Leadership Awards 2025 for the best CSR initiative alongside infrastructure development.

Our ESG efforts were recognized by multiple rating agencies, who conduct a systematic and thorough review of Company's ESG practices based on a number of parameters to arrive at a final rating. Our Sustainability rating improved from 18.1 to 17.8, while our CDP, Carbon

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Disclosure Project, rating improved from 'C' to 'B-' and DJSI, Dow Jones Sustainability Index, score increased from 47 to 53.

Furthermore, to drive ESG practices across our value chain, we are conducting an ESG maturity assessment of our partners. This approach supports our objective of embedding ESG as a core enabler of sustainable growth across our ecosystem while reinforcing transparency, resilience and shared value creation.

I will now provide a brief update on our Africa plan. During the quarter, we made further progress on our expansion by moving closer to execution readiness. We have set up a holding structure through the incorporation of wholly owned subsidiaries in UAE and at the local country level in each of our markets, establishing a clear country-level execution framework.

In parallel, we are progressing on key workstreams, including licensing and regulatory approvals, supplier ecosystem finalization and operating model suited for local needs. We will take our learnings there on efficient tower design, cost architecture, remote monitoring and energy efficiency for local conditions.

As I had mentioned earlier, we will commence deployments in a phased and disciplined manner while building a strong foundation for sustainable long-term growth in Africa. I reiterate that the Africa opportunity is a long-term growth decision, and we remain focused to demonstrate differentiation to customers and create value for shareholders.

I will now request Vikas to take you through our financial performance for the quarter ending December 31, 2025, and I look forward to your questions. Over to you, Vikas. Thank you.

Vikas Poddar: Thank you, Prachur, and good afternoon, everyone. I'm pleased to present our financial results for the quarter ending 31st December 2025. During the quarter, we were pleased to deliver strong colocation additions underpinned by pickup in network expansion

activities by a major customer

and our ability to garner a larger share of our customers' rollouts.

Moving on to the financial performance for Q3, total revenues increased by 7.9% year-on-year to INR 81.5 billion. Core revenues from rental were up 9.5% year-on-year to INR 52.7 billion, underpinned by healthy colocation additions. On a sequential basis, our reported gross revenues were lower by 0.5% due to lower energy revenue, which is an outcome of both our cost optimization and seasonality-driven reduction in energy cost. Core revenues increased by 0.6% quarter-on-quarter on a higher base of Q2 FY 26 due to certain reconciliation benefits in that quarter.

On profitability, reported EBITDA declined by 35.6% year-on-year and 2.3% quarter-on-quarter to INR 45.1 billion. The EBITDA margin was lower by 37.4 percentage points year-on-year and 1 percentage point quarter-on-quarter to 55.3% in Q3. I would like to remind you that Q2 FY 26

and Q3 FY 25 included write -backs of approximately INR 2.1 billion and INR 30.2 billion, respectively, relating to the collection of overdue receivables from a major customer. Adjusted for the write -backs, EBITDA was up 13.5% year -on-year and 2.4% quarter -on-quarter. Our ongoing cost optimization program continued to aid our margins, supplemented by lower network maintenance costs quarter -on-quarter owing to seasonality.

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Our energy margins were at -2.8% in Q3 compared to -4.8% in Q2 and -3.4% in the same period last year. The improvement in margins on a year -on-year basis is a reflection of our focused efforts towards reducing diesel consumption at our sites through a transition towards cleaner sources of energy, deployment of energy storage solutions and increasing use of technological interventions for advanced monitoring at our sites. Prachur spoke about our focus and the progress we have made on our digital transformation journey.

Our profit after tax declined by 55.6% year -on-year and 3.4% quarter -on-quarter to INR 17.8 billion. Adjusted for the one -offs, our profit after tax grew by 14.2% year -on-year and 5.6% quarter -on-quarter.

Our return ratios declined sequentially with reported pre -tax return on capital employed and post-tax return on equity standing at 20.3% each on a trailing 12 -month basis. The decline was largely attributable to lower profits compared to past period on account of negligible provision write -back in Q3, as I alluded earlier. Excluding this impact, underlying return metrics remain robust.

In this quarter, we generated a free cash flow of INR 7.9 billion compared to INR 3 billion in Q2 due to a combination of better operating performance and lower capex . Our trade receivables increased by about INR 4.5 billion during the quarter. This was due to a timing gap and collections were subsequently received in January.

In summary, the quarter was marked by solid financial performance and excellent execution. Our business continued to deliver colocation growth with margin improvement supported by cost optimization and operating leverage. Continued investments in digital capabilities are enhancing operational efficiency and asset performance. Overall, we remain well positioned to sustain returns and create long -term shareholder value.

With that, I will now hand it back to the moderator and open the floor for questions. Thank you.

Moderator: The first question is from the line of Vivekanand S from A mbit Capital.

Vivekanand S.: The first one is on your revenue growth. So you reported on an adjusted basis around 1.5% sequential revenue growth and around 9.6% rental revenue growth. Now my key question here is, how long will this revenue growth sustain given that now you would have some visibility of the capex plans of all your key customers?

And once this capex phase that is perhaps for the 3 -year - upcoming 3 -year period to c

atch up

with peers, the key customer will no longer spend as aggressively. In that scenario, how should one look at your revenue trajectory? That's question one. The second one, I will ask a fter you answer this one.

Prachur Sah: Vikas will comment on the revenue. But broadly speaking, from a macro picture point of view, I think the performance on tower and tenancy growth is what we have seen so far. I think it is a combination of what the customers are doing in terms of network expansion and how Indus is able to bring tenancies , you know, by adding operational value in terms of how we can deliver better uptime and better energy cost.

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So from a growth point of view, I think as I mentioned in my previous quarter as well, while FY25 was an abnormal year of expansion, but subsequently as well, we have continued to add a good amount o f portfolio in towers and tenancies, and that expectation continues currently based on our order book. So I think that order book remains strong. But exactly on the revenue numbers, maybe Vikas, you want to comment on it?

Vikas Poddar: Yes. So , Vivekanand, I think while we continue to see a good order book, I think it's important to understand that there are various drivers of revenue growth. Apart from towers, there are also the tenancy additions or the colocation additions. There is loading in the form of 5G or additional equipments on 4G. There is also the annual escalation, etcetera.

So while the order book continues to be there, any variation in the order book would, of course, impact growth to that extent. But then the other revenue drivers would still continue, right? So we cannot give you in terms of numbers, any outlook or any forward -looking statement. But

directionally, I can tell you that the other drivers of growth will still continue even if the towers slow down at some point.

Vivekanand S.: Okay. This is very helpful. My second question is on the way you are looking at the balance sheet now. See, we've had a fairly long period of elevated capex for Indus Towers, right? The normal capex intensity for this business prior to this massive build-out of network by Airtel starting FY24. That -- I mean, this seems like an event that happens only very rarely, right? So my first question in this regard is, how do you see the capex intensity of the business, say, heading into FY27, FY28? And in that light, how should we think about cash return plans and the balance sheet optimization that you've been discussing about in the past?

Prachur Sah: I mean, in my mind, Vivekanand, the question is quite linked to revenue as well, the same. As Vikas was mentioning, I think the capex is a combination of what we do in maintenance and growth. The growth includes tower additions, tenancy additions, layer additions from the customer, whether it be 4G, 5G, solar deployment and additional customer initiatives where additional battery banks, etcetera, deployed to provide better energy service.

So I think from a capex point of view, as I said, I think our growth remains robust, including all these parameters. Of course, FY24 was an aberration. But even FY25, FY26, I think we have continued to deliver those tower tenancies and the upgrades in the form of the layer additions of solar or batteries that we have added based on the customer ask. So I think that remains robust. So till this growth opportunity exists, I think the capex will be maintained. And then once the growth moderates, the capex will be driven by maintenance and operations. Vikas, anything you want to add?

Vikas Poddar: I just want to add, Vivekanand, just to elaborate, first of all, I think capex apart from towers also gets spent on when we upgrade a site or when we actually share a site and enable the tower for sharing. And then there is maintenance because we also have an aging portfolio and so on.

Direction

ally, I think you're right that if the tower rollout slows down, then to that extent, we should see capex easing at some point of time. But that's basically more like, let's say, a 3 -, 4- Indus Towers Limited
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year sort of a view. I mean it is very difficult to really give you any sort of direction in terms of next 12 months, what's going to happen.

We still have an order book, which will basically continue to see capex. And to that extent, it's a good capex because we will be enabling growth through that, right? So from a 2 -, 3-year perspective, I think you can expect that things will ease out a bit.

Vivekanand S.: Sure. This is helpful. If you could also answer my question on the balance sheet optimization and cash returns in light of these comments that you gave on the capex side?

Vikas Poddar: So as far as cash returns are concerned, I think we are basically cash positive. Our balance sheet is quite healthy. We have been able to sort of overcome the pressures that we had on the receivable side. I think when you talk about optimization, I guess you're basically implying leverage in the book side, right? So currently, we are under levered and there's a lot of headroom there.

Given the right growth opportunity, we will certainly be open to leverage. I think that is certainly there in the mind. And of course, the development with one of our customers is a big news for us. I mean that's a very, very positive development. So let's see how a couple of quarters go. I think things are heading in the right direction.

Moderator: The next question is from the line of Rishabh Dhancholia from HSBC.

Rishabh Dhancholia: First, on the EBITDA margin. So EBITDA margins have been quite robust this quarter. If I see the sharing revenue margins, it's already at 87%, and overall, EBITDA margins is around 55%. Just wanted to check if these margin levels are sustainable? And can we build even more from the current levels? And what would be the key drivers of that?

And second question would be on capex. I would like to understand more on the capex side. See, the 9-month FY26, the capex is up by 40% around and it's around INR 6,500 crores. So how should we think about this forward? Because -- we will continue to do battery replacement. Solar site is also at like around 15% of the total tower portfolio. So should we see the capex to continue to trend around like INR 7,500 crores annually for next 2, 3 years? Any comments there? Thank you.

Vikas Poddar: Rishabh, let me answer the EBITDA question first. I think we do see an improvement in our EBITDA margin in Q3, particularly, and that's primarily due to some seasonality benefits, particularly within our energy. Also, as you can see, I mean, the negative spread as I was talking about, has improved. So that is really boosting EBITDA.

So there is a lot of seasonality element that is there. Apart from that, as we spoke about earlier, I think there are a lot of digital interventions, process interventions that we are doing to drive operational efficiency and productivity within our businesses. So that is also helping our margins.

I think -- when it comes to whether this is something that we can sustain going forward, you should take a longer -term view because quarter can have some seasonal aberration. So I think
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you should generally look at a slightly longer term, which is more like a 9 -month or a 12 -month period for that.

Coming to the second part , capex , like we answered earlier, I think there's nothing new to add. Broadly, the capex this year has been pretty much in line with last year, and that's driven by the towers and the upgrades. So they are largely growth capex and basically whatever we spend on maintenance, also keeping in mind that many of our towers are also ageing.
So we do need to spend on maint

aining and strengthening those towers. I think going forward, as we mentioned earlier, order book is still there. We do expect the capex to remain elevated for some time. But at some point, if you take a 2 -, 3-year view, then at some point, we should see some easing there.

Rishabh Dhancholia: Right. Thanks. If I can squeeze in one more. If I can get clarity on the Jio upcoming renewal , like, what is the quantum of Jio sites coming up for renewal? And what have been the initial discussions with the Company ? Anything to highlight over there?

Vikas Poddar: We would not want to get into customer -specific discussions, Rishabh, I think that's basically a bit confidential. So we don't want to really get into that, if you don't mind.

Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: Sir, first question is on the dividends. One is -- I want to understand, is there anything which is holding us back? Or is it just maintaining the timeline of reconsideration at the time of annual results? Or any further clarity which we are waiting? So one is that? And also, given -- will there be any reconsideration in the form of payout given the recent buyback tax changes in the budget?

Prachur Sah: So as I had mentioned earlier in the previous call, at the time of annual results at the end of Q4, I think Board should look at performance and make a decision. And Board is committed for distribution to the shareholders. So I think the timeline remains as was committed earlier, right? As far as the new change that just happened a couple of days ago, I don't think I want to offer a comment right now. When Board will consider the options of distribution in Q4, I think all the options will be put on the table and a call will be made.

Sumangal Nevatia: Appreciate. But generally, I mean, whatever clarity was awaited, do we have it or any further detail we are waiting for us to kind of resume the dividends?

Prachur Sah: No, as I said, I mean, there is -- I think Board is clear that they are committed to provide distribution and that discussion will happen at the Q4 and the decision will be taken.

Sumangal Nevatia: Understood. That's clear. Second question is with respect to our investments in solar panels, smart meters, lithium batteries, is it possible to share some broad mix of the growth capex , which is getting invested here? And in general, how -- I mean, possible to quantify how is it helping us in reducing the negative energy spreads and the journey over the next 2, 3 years?

Prachur Sah: So I think I just want to clarify one thing. There is a growth capex . When we say growth capex , it is determined by what customer gives us an order for, right? So if a customer places an order

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to put a solar panel, we put the solar as the part of a customer request and similarly goes for batteries.

As far as smart meters are concerned, I think smart meters is driven by the Government 's drive to put smart meters on all EV connections, not just at Indus Towers, but everywhere. So I think that is driven by the DISCOMs . Our role is to engage with the DISCOMs and work with them to get them installed as quickly as possible.

So growth capex is driven by customers. So we have an SR and we have a return. We have an order book and we get return on every single request that comes through when it comes to growth capex . So I just want to distinct between a maintenance and a growth capex . I think that's the difference.

Sumangal Nevatia: Okay. And generally, what would be the journey of going towards neutral energy margins? Is it possible to lay some timeframe or some trajectory for next 2, 3 years?

Prachur Sah: Yes. See, as you see, right, I mean, what we are trying to do in our energy initiatives, and I probably summarized a little bit in my call, I think enabling the sites with

IoT devices, removing diesel from the ecosystem, smart meters providing us the ability to get the right EB bills at the

right time, so we can predict and have transparency on the consumption.

All these initiatives are taking towards removing any inefficiency that is there in the system and move towards the ideal cost, which will be zero margin sort of setup in pass-through regime. So that's a work in progress. I won't put a time line exactly on this one. But I think as we do site-by-site basis, we are seeing the improvement that will be reflected in the results and initial indications are positive. However, there is still a journey to be done in getting there.

Sumangal Nevatia: Understood. If I may just ask one more question. It's on Africa, foray. I mean, versus last quarter, the incremental learnings, is it possible to share what sort of investment pace we are looking at and whether we are very clear with respect to if it's going to be organic or not inorganic and the overall return profile in that geography?

Prachur Sah: So I think you asked three questions in the same question. So I'll try to give you the answer. The first and foremost, as I mentioned earlier, current focus for us in Africa is greenfield expansion.

So I think we are looking currently at organic.

We are in the initial stages of doing an assessment for the three countries in terms of operating, how the sites are built, what kind of supplier ecosystem there, how we can add value in terms of reducing cost and create a differentiation for ourselves with the customer. So that is the current focus.

So we are laying down the basic foundation and groundwork to offer a portfolio that is competitive in terms of value adding to the customers as well. So I think that is the stage. So over the next few months, as we have set up the entities and we get licenses, we will start looking into deploying the towers. I don't know exactly when. I think that is something that we are working on.

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As far as the return profiles are concerned, I think the discussions with the customers have initiated in terms of what kind of structure we will operate in. And as we start deploying, you'll probably get more clarity, right? So there's a lot of work in progress. It's a long-term strategy. So I think the answers will come as we start moving into execution.

Moderator: We'll take the next question from the line of Saurabh Handa from Citigroup.

Saurabh Handa: I have two questions. Firstly, on the tenancy outlook. So you spoke about a fairly healthy order book right now. And based on recent developments with one of your customers, can we assume that this current run rate of 6,000-odd tenancies could sustain over coming quarters and maybe even accelerate?

Prachur Sah: Yes. I would not pin a number to it, right? But as I can say, I can just give you a subjective view right now. I think we'll continue to work hard to make sure that we get the larger portion of any rollout that happens from any of the customers. So that is the direction that we are working on, and we continue to work to get the maximum market share that is out there.

Saurabh Handa: Okay. And in terms of the current order book visibility also, there's nothing that you can highlight at least for the next 1 or 2 quarters?

Prachur Sah: Yes, I would hesitate to go on the numbers in this call.

Saurabh Handa: Sure. And just a second question on Africa once again. In terms of funding of your plans there, I mean, you did say that it will initially be organic. But any clarity you can provide on how you plan to finance this? Will this largely be raising debt at, say, the UAE subsidiary level? Or any other further colour that you can provide on this?

Vikas Poddar: So, Saurabh, we are working through all these things. I think we have the infrastructure in place in terms of the holding entities

s, the subsidiaries in the -- each of the countries and so on. I think we are -- and largely, we do believe that whatever initially, whatever capital would be required, although nothing major, but whatever would be required would be debt funded.

We are yet to decide at what level we will be sort of arranging those debt fundings and all. It could be -- one of the possibilities, it could be at the UAE level. It could also be at the GIFT City level and so on. So we are yet to work on those details.

Saurabh Handa: Okay. So the India free cash flow generation will largely be available for payouts, which you will consider with 4Q results. Is that fair to conclude?

Prachur Sah: Yes. And again, I would like to reiterate, Africa is not a short-term strategy. It's a long-term strategy. It's organic growth driven. So I think from a Q4 point of view, I don't see any impact that we should be considering as far as Africa is concerned.

Moderator: The next question is from the line of Krish Mehta from ENAM Holdings.

Krish Mehta: I just wanted to ask if you can provide clarity on what is the current outstanding due from Vodafone Idea and especially the overdue part?

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Prachur Sah: I think we don't have any overdues left.

Krish Mehta: So it's fair to assume there's no current outstanding from them ?

Prachur Sah: Yes, it's business as usual. Based on the credit period as per the MSA.

Moderator: The next question is from the line of Arun Prasath from Avendus Spark.

Arun Prasath: First question once again on dividend. Since the Board will need to take a call in the March results, if you can recollect and say what exactly were the reasons deliberated by the Board when they deferred the decision to March? And maybe -- and is there the answers that is required to make the decision? Do we already have a clarity in our mind? That's the first question.

Prachur Sah: See, I would not preempt the discussion that's going to happen in Q4. So I would not comment on what will be the factors in Q4. But as we had informed last couple of quarters ago that there was a committee that was set up that came in and made recommendation. At that time, the two main considerations were what were the conditions for a major customer. At that time, there was a less clarity in terms of what was the plan for that particular customer for their financial stability. And secondly, what was the growth available out there, both in terms of organic and inorganic, if there are any opportunities to capitalize. So I think these were the two considerations. And what I can say is, yes, there is definitely a bit more clarity on these two when we enter Q4, but I would not preempt the discussions that will happen in Q4.

Arun Prasath: Second, when we acquired assets from Bharti Airtel last December, we said that we will -- anyway, we will fund that acquisition via debt funding. But since then, our overall borrowings have almost reduced by half. So when we consider the dividend distribution, say, next quarter, we will also be including this amount as also part of the fund available for the distribution?

Prachur Sah: Again, as I said, I think everything will be considered. I mean, I don't want to preempt the Board discussion right now, but everything would be considered and the Board is committed for distribution to shareholders.

Arun Prasath: My next question is on the 5G Infill towers . Many of your customers are indicating that they have still a lot of unutilized capacities at each cluster or at the site level. When do you think we may get infill tower orders on an accelerated basis on 5G?

Prachur Sah: So to be honest, I'm not very clear. I think that's not the feedback we have from the customers. I think the customers are looking to continually expand their network. There is a significant amount of layer addition that all the customers are doing.

And I believe the 5G initial deployment, which kind of happened with our major customers will continue to pick up pace and the customer, which was not doing the earlier rollouts will also pick up the pace for 5G. So I think infill or not, the pace would continue to pick up in different ways. So I'm not very clear on the...

Tejinder Kalra : Arun, just to add on to what Prachur just said, as of now, the customers primarily are adding the 5G layer to their existing sites, and they are still not 100% there. That progress is still continuing.

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Different customers are at different stage of penetration on the existing sites. So in the near-term, we don't see infill 5G stand-alone sites coming up. But again, it depends upon how the data takes off and how the network capacities choke .

Arun Prasath: Just if you can give some color on what is the rural urban distribution of the towers built in the last say 12 to 18 months, that would be very helpful in forming your views ?

Prachur Sah: I would not have the breakdown. I think FY24, FY25 saw a large surge of deployment in rural. I think there is still continued focus to expand the rural towers. I don't have a mix to give you right now in the last 12 months, but we can get back to you offline if you need something.

Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I have two questions. First on our strategic pillar on the market share. If I look at the market share for this quarter, if I look at incremental tenancy apart from the tower addition, that's around close to 3,100 sites or 100 tenancies. And if I look at Vodafone has added close to 6,500 sites in this quarter?

And if I try to calculate the incremental market share from this data point, it appears that incremental tenancy market share for us is less than 50%, while we were at around 70%, if I go back and work it out. Any comment you want to make on the competitive intensity and our ability to maintain the market share in the incremental tenancy rollout in the market?

Prachur Sah: Yes. I think probably you need to look at the information a little bit differently because what you're looking at from what Indus rolled out is only the incremental tenancies. However, we also have some new towers that have been built for the other customer, right, for the customer that is rolling out the network .

So I think you have to look at the data. And plus some of the site additions may also include the layer additions. So I think we have to look at the data holistically to conclude . We know for a

fact that we are getting a major share of the rollouts from towers and tenancies perspective.

Sanjesh Jain: Got it, got it. Then we'll wait for all the data to get published. Thanks for that, Prachur, for clarity. And second, on the growth -- rental revenue growth, if I look at 9.5%, can you just help us understand what is the organic revenue growth for us in this 9.5%? I think we also did an acquisition of towers from Airtel. If you strip that out, what should be the organic growth in the rental revenue for us on a like-to-like basis?

Vikas Poddar: So, Sanjesh, I'll take that. If you exclude the inorganic element, then inorganic element was a little more than 2.5% between 2.5% to 3%. So I would say roughly 6.5% to 7% is our organic growth from a year-on-year perspective.

Sanjesh Jain: Just one last question, sorry. But can you help us understand for next 2 years, how do you look at the energy losses to narrow down? Any sense or direction you can help us? We know that we have told that we will breakeven at some point of time. But in next 2 years, how should we visualize it?

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Prachur Sah: Sanjesh, as I probably answered the question earlier as well. I think from an operational perspective, there's a

significant amount of work that we are doing to remove any inefficiency that is there in the energy operations. Now I would not comment on what's going to look like in a timeline perspective, 2 years, 3 years, whatever be the case.

What's important is, I think to show a continuous effort on the ground in terms of putting the infrastructure in place to reduce the diesel, right, through solar, through batteries. And that will eventually bring down any inefficiencies there is. So I think the improvement curve or the curve will move towards improvement in energy, but I would not put a year, a number of years to that right now.

Sanjesh Jain: All this energy losses is largely because of the diesel bill? Will that be fair assumption?

Prachur Sah: No, I think it's a combination. There is a seasonality impact. There is diesel, there is E B as well. So I think it's not one factor that makes the energy the way it is. And it is also what agreements we have with our customers as well. Every customer has a different agreement.

So I think it's a combination of multiple factors. So I would not say diesel only, but what we do in terms of on-ground actions, diesel is a big element in terms of making sure that the cost is controlled, and we are able to put cheaper sources of energy to run the operations.

Moderator: The next question is from the line of Aditya Suresh from Macquarie.

Aditya Suresh: I just had one question on the competitive dynamics. Can you just talk through kind of any changes which you're seeing in your tenancy market share with a more -- potentially more aggressive second player in the market?

Prachur Sah: I mean, I won't comment on the competition per se. But what I can say is what we have done is we are offering a competitive offering to our customers. Secondly, I think the speed to market in terms of building a tower and tenancy, I think we will continue to do in terms of how we can turn that around for our customers.

And I think last but not the least, our operating efficiency that the customers would see both in terms of cost and uptime will remain a differentiator. So I think we will continue to set the benchmark as far as the industry is concerned so that we can keep getting the majority share of the market.

Aditya Suresh: If I may ask just a follow-up. So the number 2 player, he has a tenancy ratio of slightly above 1.2x. We're at 1.6. There's obviously an ambition from that player to expand his tenancy ratio.

So are you seeing any kind of price deflation at all in the market?

Prachur Sah: I don't think so. I think as long as we are competitive. I think as long as Indus is competitive, that's what matters to us in terms of our focus to deliver the share. And I think at a TCO basis, we are very confident that we offer a better solution to the customers.

Moderator: The next question is from the line of Gaurav Malhotra from Axis.

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Gaurav Malhotra: Just had one or two questions. On Africa, while I understand you want to go the organic route. But just from an understanding perspective, obviously, that's going to take time. It's going to be a pretty slow process. So was that always by design or there are just not enough assets available to purchase?

Prachur Sah: No, I think it is by design. I think as probably I mentioned for the first time we announced Africa, I think the idea is to grow organically to establish ourselves in the market. And if any inorganic opportunity is considered, I think it will be at a valuation that we can agree upon or that will

make sense to us.

So I think it is a conscious decision to focus on a greenfield and organic opportunity. And if an inorganic opportunity comes its way, then we will look at it. But right now, the priority is to grow organically.

Gaurav Malhotra: Just a follow-up, if I may. You would obviously be a pretty late entrant. There are established

entrants, towercos with existing relationships. Obviously, there is Bharti Airtel Africa there. But just wanted to get an understanding from an economic perspective, buy versus build.

And having -- where the tenancy may be more than one, you'll probably start with a single tenancy kind of a structure. So just wanted to get a sense of from an economics perspective, what do you think -- how do you sort of look at this scenario?

Prachur Sah: I think the answer may not come from numbers. It'll come from the strategy. I would say, I think the first priority is what is our right to win. I think the first thing is based on our learnings, extensive learnings in India, what kind of cost structure that we can do in terms of capex per tower, how we can operate the towers more efficiently when it comes to energy and O&M.

So that will create a differentiation in front of the customers on what we can offer as a TCO to the customer. So once we create that value, then tenancies and towers will come its way. So I think having an anchor tenant definitely helps because we get a head start in terms of a certain number of towers that we can make with an anchor tenant. And then basis the cost performance and operational performance and the extensive learning that we have done in India and how we can deploy there will create a differentiation to get more tenancies.

So I think Indus being one of the largest tower companies in the world and over the last few years, our effort has been to create an ecosystem which is very cost efficient and performance efficient to the customers. We are confident to make a differentiation even if we are late in entry to the market. And as we expand, we'll work to capitalize on that differentiation and get more towers and tenancies.

Gaurav Malhotra: Would you be having a ROFR with Airtel Africa?

Prachur Sah: I would not comment on that right now. I think it's a discussion that is actively being worked with the customer.

Moderator: The next question is from the line of Aditya Bansal from Motilal Oswal.

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Aditya Bansal: You talked about helping with migration for a key customer in your opening remarks. Can you provide some colour on the contribution from the same this quarter? And also any sense on the potential opportunity size here for Indus?

Prachur Sah: I'm sorry, I didn't understand it.

Vikas Poddar: Aditya, could you repeat your question, please?

Aditya Bansal: Basically, like in terms of market share gains, apart from new build-outs or the new build-outs for telcos, you also mentioned like you are looking at higher share from the existing migrations like from other towercos. So like in terms of this quarter, any significant contribution from there or any sense on the potential opportunity size there?

Prachur Sah: So I would not give you the numbers, but I think it should be self-explanatory when you look at what the tower rollouts have been done by each of the customers and what additions we have made. So I think that's for you to look at. But again, as I said, our effort right now is to create a differentiation where we are very competitive commercially, but we are performing superior on the operations side to create an attractiveness for our customers to move to Indus, and that will remain the focus. And as we do that, I believe the numbers would come.

Aditya Bansal: Sure. And in terms of the tenancy exits, they have been higher this quarter. Any particular operator or like what is driving the same?

Prachur Sah: I would not say it's a particular operator. I think it's a combination of reasons. And I think when you see the -- there are some tenancies that go, we actually rebuild those towers, which is typically when the tower becomes old or the building is unsafe and then we end up relocating the tower.

So while it seems like a churn, but actually,

there is no impact to the building because we are offsetting that with the tower. So it's a combination of all these factors that makes the number look high, but I wouldn't say there is any specific trend for a specific customer.

Aditya Bansal: So this should taper off in the coming quarters. Would that be a fair understanding?

Prachur Sah: No, I would not comment on that. I think it depends on the operational parameters, which are driving this churn.

Aditya Bansal: Sure.

Prachur Sah: Anything else you would ...

Aditya Bansal: And lastly, you talked about sorry, please go ahead.

Vikas Poddar: No, Aditya, I think the only comment I wanted to make was apart from what Prachur explained, while there is a small increase, but there is nothing major that is concerning us as far as churn is concerned. These are basically normal network optimization, location optimization that happens in the business.

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Aditya Bansal: Sure. And lastly, you talked about inorganic growth as a target earlier. Like where are we on the same? Are we still considering it in India? And what would be the considerations for the same, like what would decide whether you acquire something or you org anically build it?

Prachur Sah: I think any inorganic growth that we would consider or anybody would consider for that matter would depend on the valuation that we can get. I think we have an opportunity to build. So I think it will depend on the valuation. And if we feel there is -- it is value accretive to Indus and its shareholders, we'll consider that.

Moderator: The next question is from the line of Vedant Sarda from Nirmal Bang Securities Private Limited.

Vedant Sarda: Sir, in our earlier concalls, we have guided a kind of 10% growth for coming 4 to 5 quarters , and then, a bit growth moderation, like in the range of around 6% to 7%. So now a major customer has announced the kind of huge capex in the coming 2 years. So how can we look at Indus as an investor, like how will it benefit to Indus? And any quantum you can specify on that?

Prachur Sah: I'll just clarify. I'm not sure we have ever put a forecasted growth percentage in our earnings call. What we have maintained is that whatever be the tenancies and towers will be rolled out by any of our customers, right? Our effort is to get the maximum market share.

So I think as the customer increases its network expansion, I think we will continue to grab the maximum tenancies that we can get out there. So that is what is going to keep driving our growth.

So I think that's where we are.

Vedant Sarda: So the huge capex announcements will not change our 6.5% to 7% organic growth guidance anyway for coming 1 to 2 years ?

Vikas Poddar: Vedanta, first of all, we refrain from giving any forward -looking guidance. The capex indication that you are talking about, I think while the customer has indicated, but we are yet to receive any detailed rollout plan, etcetera, from the customer.

And like we said, our focus and our strategy would be to garner maximum market share as and when the rollout plans, etcetera, are made known to us. But clearly, I mean, directionally, we do expect tenancy to grow based on that.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to Mr. Prachur Sah for closing comments. Thank you, and over to you, sir.

Prachur Sah: Thanks. To conclude, the quarter reflects steady and deliberate progress across our key strategic priorities. Our core business performance remains strong, underpinned by continued colocation additions. The ongoing network expansion activity of our customers, coupled with our disciplined progress towards scalable long -term growth opportunities in Africa continue to underpin the strong growth outlook.

In parallel, our ongoing investments in digital and AI -led capabilit

ies are increasingly embedded

across the network, enhancing asset visibility, operational control and speed of execution and positioning technology as a core enabler of performance.

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Backed by our execution track record, focus on efficiency and long -term capital discipline, we remain confident in our ability to deliver sustainable growth and create long -term value for all our stakeholders. Thank you, and have a good day.

Moderator: Thank you, members of the management. On behalf of Indus Towers Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: May 2026

Indus Towers Limited

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May 08, 2026

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai - 400001 National Stock Exchange of India Limited

Exchange Plaza, C -1, Block – G, Bandra Kurla

Complex, Bandra (E), Mumbai - 400051

Ref.: Indus Towers Limited (534816/ INDUSTOWER)

Sub.: Transcript s of the Earnings Call on the Company's performance for the fourth quarter (Q4) and financial year ended March 31, 202 6

Dear Sir/Ma 'am,

Please find attached the transcript s of Earnings Call conducted on May 01, 2026 on the Company's performance for the fourth quarter (Q4) and financial year ended March 31, 202 6.

Kindly take the same on records.

Thanking you,

Yours faithfully,

For Indus Towers Limited

Samridhi Rodhe

Company Secretary & Compliance Officer

Encl .: As above

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"Indus Towers Limited

Fourth Quarter & Full Year Ended March 31, 202 6

Earnings Call "

May 01, 202 6

Management: Mr. Prachur Sah – Managing Director and Chief

Executive Officer

Mr. Vikas Poddar – Chief Financial Officer

Mr. Tejinder Kalra – Chief Operating Officer

Mr. Dheeraj Agarwal – Head Investor Relations

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Moderator: Good afternoon, ladies and gentlemen. I am Michelle, the Moderator for this conference. Welcome to Indus Towers Limited Fourth Quarter and Full Year ended March 31, 2026 Earnings Call. For the duration of the presentation, all participant lines will be in the listen -only mode. After the presentation, the question -and-answer session will be conducted for all the participants

on this call. In case of a natural disaster, the conference call will be terminated post an announcement.

Present with us on the call today is the senior leadership team of Indus Towers. Before I hand over the call, I must remind you that the overview and discussions today may include certain forward-looking statements that must be viewed in conjunction with the risks that we face. I now hand over the call to our first speaker of the day, Mr. Prachur Sah. Thank you, and over to you, Mr. Sah.

Prachur Sah: Thank you, Michelle, and a very warm welcome to all participants. Joining me today are my colleagues, Mr. Vikas Poddar, CFO; Mr. Tejinder Kalra, COO; and Mr. Dheeraj Agarwal, Head Investor Relations, on the call.

Today, I will talk about our business performance for the quarter and year ending on March 31, 2026. FY26 was marked by strong co-location additions and continued tower additions, reflecting our strong execution capabilities, exceptional service to our customers, underpinning our competitive strength to capture a meaningful share of customers' network expansion. A gradual improvement in the financial position of a major customer, aided by the Government support provides visibility of strong business momentum. Overall, FY26 was another year of solid progress with strong operational and financial performance. With the improved financial situation of one of the customers and the potential business momentum, the Board has recommended a final dividend of INR 14 per share.

Before delving deeper into our business performance, I would like to acknowledge the exceptional commitment of our field force, whose ability to overcome geographic and climatic challenges enables consistent delivery of reliable round-the-clock connectivity nationwide. During the quarter, certain parts of Northeast experienced severe weather conditions, which significantly disrupted the movement of our on-ground workforce. Despite these challenges, our field teams acted swiftly to restore services, stabilizing connectivity and effectively preventing any major disruption.

On the regulatory front, the Ministry of Finance introduced incentive-linked schemes to encourage states to align with the RoW rules 2024. With an allocation of INR 4,000 crores to states, the scheme is expected to accelerate approvals and ease deployment bottlenecks. Green Energy Open Access policy has now been operationalized across all states, reinforcing the sector's transition towards cleaner and more sustainable energy sources. This is expected to help reduce the energy costs for Tower Cos.

Additionally, Central Electricity Authority i.e. CEA has notified the Installation and Operations of Meters (Amendment), Regulations 2026 mandating smart meters for all customers in areas

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with communication networks. In this context, we are actively collaborating with stakeholders at both central and state levels to deploy smart meters across our cities which will enhance operational efficiency, optimize energy costs and enable more granular and scalable billing mechanisms.

Moving to update on 5G networks. The installed base of 5G BTSs now stands at close to 531,000. As large-scale deployments stabilize, rising data demand and network densification are driving the need for incremental capacity on existing infrastructure supporting sustained loading-led revenue growth. Over time, this is also expected to be comp

lemented by selective

expansion of the tower footprint. Backed by strong customer relationships and a robust operating platform, Indus Towers is well placed to capitalize on these opportunities and support the evolving requirements of next-generation networks.

As per the latest TRAI report, the total 5G subscription base in India stood at over 391 million by the end of December 2025, growing by 30 million in Q3 FY26.

India's data consumption momentum remains robust, driven by the continued migration of users towards 4G and 5G. As per TRAI's latest publication, total data consumption and average monthly data usage per user grew by 29% and 21% year-on-year, respectively. According to TRAI, 5G usage alone grew 21% quarter-over-quarter, accounting for 40% of the total data traffic in Q3 FY26, up from 35% in Q2 FY26.

Continued growth in data usage is encouraging operators to enhance capacity across existing infrastructures. With a pan-India presence with expansive tower portfolio and a strong execution track record, Indus Towers remains well positioned to partner with customers in meeting their evolving network requirements.

In terms of operational performance, we registered strong co-location additions during the quarter driven by a pickup in customer network expansion and our ability to capture a major share of the customer rollouts. We added 4,892 macro towers and 6,192 corresponding co-locations during the quarter, translating into a year-on-year growth of 6.1% and 5.6% in tower

and co -location base, respectively. As a result, total macro tower and co -locations stood at around 264,500 and 428,000, respectively. On a full year basis, tower and co -location additions were around 15,200 and 22,500, respectively. Our industry -leading tenancy ratio was stable at 1.62.

Our co -locations of leaner towers stood at more than 14,000 . Including leaner towers, our portfolio stood at approximately 442,000 at the end of the year.

I will now provide an update on our key KPIs. We remain committed to reducing diesel consumption by transitioning to cleaner sources of energy. We added close to 2,500 sites with solar access during the quarter, taking the overall sites to about 42,400. Diesel consumption on our sites reduced by about 7% year -on-year in Q4 FY26 . This is despite 6% year -on-year increase in co -locations and continued equipment loading on the sites. Navigating extreme weather conditions, the dedication and perseverance of our teams on the ground helped us deliver an industry best uptime of 99.977% in Q4 FY26 .

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Let me now move to our strategic pillars - market share, cost efficiency, network uptime and sustainability. On market share, we continue to strengthen our position. We remain a preferred partner for our key customers that enabled us to capture a significant share of the network rollout. Network expansion was robust across major customers, allowing us to improve our market share and new deployments.

Our ability to deliver reliable service at competitive rates, supported by strong execution and stringent quality standards, has been central to this performance. Targeted technical interventions and customized product offerings have further contributed to cost optimization and improvement in overall delivery. In our non -tower segment, we achieved leadership position in the IBS space in Q4. Our DAS business also saw a pickup with increased deployments in metros, tunnels and highways. With a focus on build -to-suit solutions and continued technological advancement, this segment is well positioned for further growth.

Cost discipline and operational excellence are embedded in our ways of working with a continued focus on improving efficiency, enhancing predictability and structurally resetting our cost base. We made targeted interventions across tower strengthening, civil and electrical w

orks,

supply chain -led cost optimization and partner scope rationalization, while ensuring site safety and service reliability.

Energy efficiency is a central driver of our cost reduction efforts. During the year, we scaled deployment of energy -efficient solutions, including broader solar integration and accelerated deployment of advanced battery technologies. Over the last 2 years, as mentioned earlier, we have ramped up our solar deployment and provided solar access to about 28,000 sites during this period. We have also progressively increased the share of lithium -ion batteries across our portfolio. These initiatives are structurally reducing diesel dependency, improving uptime and supporting a more resilient and lower cost energy framework.

We also continue to strengthen our approach towards capex management by enhancing cost discipline, standardizing tower cost and tightening execution controls across tower deployments.

Thirdly, service reliability remains a core priority with continued focus on maintaining industry -leading standards across our operations. We are leveraging advanced digital tools and data platforms to enhance service delivery by way of enabling faster issue resolution and implementing a more proactive data -driven approach to address customers' needs.

FY26 marked a step -up in digital and AI -led transformation. For example, over 85% of our sites are now digitally connected, covering key systems such as fuel sensors, backhaul monitoring, smart meters and power equipment among others. The deployment of AI and machine learning capabilities have enabled proactive identification of outages, automated root cause analysis and improved resolution effectiveness.

Initiatives such as AI -based voice agents for technician calling and computer vision -led validation of preventive maintenance activities have enhanced field productivity, standardization and compliance while delivering high levels of accuracy.

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Energy Management, as I mentioned earlier, remains an important area of focus with the implementation of an end -to-end automated fuel management platform, enabling real -time planning of diesel usage, logistics optimization and field validation. These interventions are improving cost efficiency and operational control. In parallel, we have progressed our digital

twin journey through site service image platform, enabling planning teams with a unified view of sites to optimize asset utilization and improve civil and electrical planning.

We are progressing well on our ESG agenda as well. During the year, we undertook a double materiality assessment and a comprehensive climate risk assessment across our operations, enhancing our understanding of physical and transition risks and embedding resilience into long-term planning. Following the approval of our near-term net zero targets by Science Based Target initiative SBTi, we have formulated a decarbonization roadmap to guide progress towards these commitments.

On the workplace, gender diversity improved from 16.2% in FY25 to 18.3% in FY26. During the year, we launched our digital lead program to advance digital and AI capabilities across the organization. We also launched Prerna, a women-led mentoring program to inspire and uplift women employees. We undertook campaigns and targeted training focused on road safety and technicians working at heights.

In CSR, as part of our flagship program, Saksham, in association with the Bharti Airtel Foundation, we have supported over 30 Satya Bharti schools and 1,100 Government schools across multiple states and union territories under the Quality Support Program. Additionally, our Digital Transformation Van has touched over 646,000 lives in FY26.

As part of our other flagship program, Pragati, we conducted disaster relief measures across the nation, positively impacting close to 3,000 households.

Through these programs, we managed to touch around 33 million lives by end of FY26.

On the Governance front, we maintain high levels of governance, integrity and transparency. To drive ESG adoption across our value chain, we instituted the ESG pathfinder awards with the objective of recognizing partners who have demonstrated meaningful commitment towards advancing sustainability initiatives. Our CSR efforts throughout the year were recognized by multiple bodies as the Company was awarded the Mahatma Award for CSR Excellence and recognized for sustainable and responsible business amongst others.

I will now provide a brief update on our progress on Africa expansion. We are making steady progress on our Africa foray with key operational and structural building blocks largely in place across our target markets. In Zambia, we have secured the operating license and are now advancing on-ground execution. In Uganda and Nigeria, we are in the last stages of getting regulatory approvals.

Commercial frameworks are largely established with the primary customer and initial orders are in place. In parallel, we have made good progress in setting up supply chain ecosystem, strengthening operational readiness, positioning us well for efficient and scalable deployment.

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We expect that the rollouts will begin soon and ramp up progressively as approvals come through.

Overall, our strategy in Africa is a long-term strategy and remains to create differentiation through better cost per tower, delivering better SLA, uptime and higher energy efficiency. By doing this and remaining competitive commercially in line with the local market, we believe in the long term to be a major player in Africa tower business.

Geopolitical developments due to the war in West Asia have created near-term supply-side disruptions impacting tower availability, deployment timelines and cost structures, primarily through energy supply constraints and input cost inflation. We continue to monitor the situation closely and mitigating actions are being taken in line with the evolving geopolitical and market conditions.

With regards to rewarding the shareholders, we are pleased to announce that the Board has recommended a final dividend of INR 14 per share, reflecting our commitment towards returning cash to shareholders. As was informed earlier, the Board considered and decided to resume shareholder payouts, while remaining aligned with our disciplined capital allocation approach and ongoing investment priorities. The endeavor would be to follow a steady and progressive distribution.

I would now request Vikas to take you through our financial performance for the quarter and year ending March 31, 2026. And I look forward to your questions. Over to you, Vikas. Thank you.

Vikas Poddar: Thank you, Prachur, and good afternoon, everyone.

I'm pleased to present our financial results for the quarter and year ending 31st March 2026. FY26 saw strong co-location additions supported by continued customer network expansion, sustained business momentum and positive developments at our customers' end underpinned our financial performance.

In terms of financial performance for Q4 FY26, total revenues were at INR 81 billion, growing

by 4.8% year -on-year. Core revenues from rentals stood at INR 53.1 billion, up 5.4% year -on-year, driven by healthy co -location additions. Please note that Q4 of last year had one -time reconciliation benefits. I had explained in Q4 FY25 earnings call that the benefits added about 2.1 percentage points to the sequential growth in core revenues. With regard to Q4 FY26 , our reported gross revenues were 0.6% lower quarter -on- quarter due to lower energy revenue which is an outcome of both our cost optimization and seasonality -driven reduction in the energy cost. Core revenues increased by 0.6% quarter -on-quarter, imp

act of one -time settlement in Q4 and

network optimization by our customers weighed on the overall growth in revenue.

On profitability, reported EBITDA was at INR 44.6 billion, growing by 1.6% year -on-year and declining 1% quarter -on-quarter. The EBITDA margin was lower by 1.8 percentage points year -on-year and 0.2 percentage points quarter -on-quarter at 55.1% for Q4 FY26 . I would like to remind you that Q4 FY25 included write backs of approximately INR 2.3 billion related to collection of overdue receivables from a major customer. Q4 of last year also included

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accounting impact of towers acquired from Airtel amounting to INR 1.7 billion towards operating expenses and depreciation. Adjusted for the write back and accounting impact, EBITDA was up 4.5% year -on-year. The sequential decline in EBITDA was partially due to higher network costs, which increased primarily due to higher maintenance activities on our aging and growing tower portfolio.

Our energy margins were at negative 3.6% in Q4 FY26 compared to negative 5.2% in the same period last year. We continue to undertake cost optimization initiatives, particularly around energy management. This includes structural reduction in diesel dependence through increased adoption of renewable energy solutions, battery augmentation and continued focus on our operational efficiencies. These efforts are complemented by technology -led monitoring and disciplined execution, enabling a more predictable and efficient energy cost profile.

Our profit after tax grew by 0.8% year -on-year and 0.9% quarter -on-quarter to INR 17.9 billion. The moderate year -on-year growth is a result of higher base due to one -time reconciliation benefits in Q4 of last year, as I had explained earlier.

Now moving on to full -year performance for FY26 . Our reported gross revenue stood at INR 325 billion, growing by 7.9% year -on-year, while core revenues were up 9% year -on-year to INR 209 billion. Reported EBITDA was INR 180 billion, down 13.8% year -on-year, and profit after tax stood at INR 71.4 billion, a decrease of 28.1% year -on-year. Kindly note that FY25 included a substantial write back of INR 51 billion relating to collection of overdue receivables from a major customer. So, on a normalized basis, excluding one -offs, EBITDA and PAT grew by 11.4% and 13%, respectively.

Our return ratios remained largely stable with reported pre -tax return on capital employed and post-tax return on equity standing at 20.2% and 19.8% respectively , on a trailing 12 -month basis.

We had significant free cash flow generation of INR 11.1 billion in Q4 and INR 37.6 billion in full year FY26 . And subsequently, the Board has recommended final dividend of INR 14 per share, reflecting improved visibility on cash flows and our commitment to reward shareholders.

To conclude, FY26 reflects strong financial performance underpinned by healthy co -location additions and disciplined execution and our ability to capture major share of rollouts by our key customers. Ongoing demand momentum and consistent collections, along with our focus on cost optimization and operational efficiencies, provide strong visibility into future cash generation.

So with this, I will now hand it back to the moderator to open the floor for questions. Thank you.

Moderator: Thank you v ery much, sir. The first question is from the line of Rishabh from HSBC. Please go ahead.

Rishabh: Hi, thanks for the opportunity a nd congrats to management for dividend distribution. So we have paid around 100% of this year's free cash flow. But how should we think about the additional free cash flow we had received or generated last year which was on account of reversal of dues from VI. If I'm not mistaken, they were also supposed to b e made available for distribution?

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And secondly

, I would like to understand more about the capex going forward. Understand the green capex compan y is making and higher maintenance required on the aging portfolio. But if you can have some guidance over the next couple of years, how should be the capex spend as it

directly impacts the free cash flow and dividends?

Prachur Sah: Sure. So maybe I'll answer the first part, then you can take up the capex, Vikas. See, the Board evaluated the FCF situation and the debt levels that we want to maintain and decided accordingly to distribute the FCF of FY 26. And as I mentioned, the endeavor will remain to follow steady and progressive distribution going forward. So that's the thinking behind the dividend. Maybe Vikas, you can touch base on the capex.

Vikas Poddar: Yes. So thanks for the question, Rishabh. I think on the capex, just to give you the big picture and as we have also explained earlier, 70% of the capex that we spend is growth oriented, which basically leads to growth in our revenue and bottom line. And just about 25% is basically something that goes towards replacement, maintenance and so on.

So I think as long as there is growth and there is basically tower build order, etcetera. I think the capex will sort of be steered towards that. As far as the future guidance is concerned, I think we still have a very healthy order book. So while we don't give any sort of forward-looking numbers, but broadly speaking, I think we are sort of looking at a very good order book and we can continue to see growth-oriented capex going forward.

Rishabh: Just a couple of follow-up. On the free cash flow and the debt that you had mentioned like these liabilities, we are sitting on net cash. So is there anything that the management is foreseeing on a major investment area so that we want to maintain our debt levels? And you have mentioned the order book remains healthy. Does this order book include expansion in Africa as well or is it just India?

Prachur Sah: No. I think what Vikas is referring is primarily to the order book of India. And as I mentioned in my commentary, I think the Africa expansion is just starting. It's a long-term strategy. So the portion of capex for Africa is not going to be that significant to start with. So I think order book that he's referring to is primarily on the India side. And as far as the debt and FCF situation is concerned, I think keeping capital allocation in mind and all the growth opportunities coming up, that's where the Board's decision came to distribute the FCF for FY 26.

Rishabh: Okay. I will go back to the queue. Thank you.

Moderator: Thank you. The next question is from the line of Sachin Salgaonkar from Bank of America. Please go ahead.

Sachin Salgaonkar: Hi, thank you for the opportunity. I have two questions. First question, Vikas, I just wanted to clarify on the dividend policy. While Prachur did mention on steady and progressive distribution, is there a dividend policy or is it more ad hoc where every year, the Board will consider based on the cash flows and plan and give dividend? And if there is a dividend policy, then can you clarify what is the dividend policy?

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Vikas Poddar: Yes. Sure, Sachin. So the dividend policy is, first of all, available on our website. Broadly, what it says is the Company and the Board will consider distribution of the free cash flow of the company at the year-end, subject to the working capital requirements of the company and subject to a few other conditions. So based on that, even for this year, the free cash flow of the Company, the financial results, et cetera, was presented and the Board decided to distribute the full cash generation of this year as a dividend, which is what is reflected in the INR 14.

Sachin Salgaonkar: No minimum payout kind of an amount which is out there every year the Board will consider that?

Vikas

Poddar: That's right.

Sachin Salgaonkar: Got it. Second question, one of your major customer contract has expired and from what we understand that customer has not renewed the contract. Can you give some color and updates here? And if the customer decides not to renew contracts and what kind of impact could we see?

Prachur Sah: So Sachin, first of all, I think, we have contracts for each tower. So there is no broad contract expiry. I think there are certain tenancies which fall under that bucket. It's not the entire portfolio. Secondly, I think if you look from our portfolio point of view, over the last 3-4 years, we have built quite a bit of resiliency by deploying large-scale towers and co-location.

So that portfolio is actually -- the expired portfolio is actually a very small portion of the entire portfolio. So we continue to work with the customer to see how we can continue to provide the stickiness by providing high levels of service. But over the last 3-4 years and continuously, what we are doing, we are trying to mitigate any such risk that is there, right. So we'll keep monitoring the situation and keep growing the portfolio across other customers as well.

Sachin Salgaonkar: Got it. And when I look at your tenancy ratio for last 3-4 years, it has come down and continues to come down. So directionally, that's the trajectory we should think about going ahead as well, right?

Prachur Sah: I would not give you an outlook in that format because, see, the last few years were determined by deploying towers for one major customer. As the second customer comes on board and

sharing and giving a co-location on existing tower is beneficial for both customer and us in terms of what the cost efficiency brings. So as the second customer comes and gets its network expansion growing, I would not say the trend will continue in that direction. However, it is depending on the pace of how the second customer comes on board.

Vikas Poddar: I'll just add, Sachin, I think if you look at the trend for the last 5 or 6 quarters, we have been very stable, which basically means there is basically more tenancy or more co-location addition than the tower additions, right. So I think the stability is a good thing. And going forward, as the second customer comes on board, we might actually see some improvement also.

Sachin Salgaonkar: And lastly, one small follow-up out there. You mentioned on Africa, you're in talks with primary customer. Beyond the primary customer, are you in talks with some incremental customers out there? Or as of now, the focus is only on one customer out there?

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Prachur Sah: So I think, Sachin, we are talking to other customers as well. But as I said in the previous call as well, our long-term strategy is to get started and establish ourselves with the anchor customer.

And I think as we'll be present in the market, of course, if we offer better competitive prices, cost, SLA and efficiency, the second customer would also be attracted to come towards us. So, I think that discussions are far more advanced with the anchor customer and the other customers are being engaged depending on where we are getting the setup.

Sachin Salgaonkar: Got it. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Vivekanand Subbaraman from Ambit Private Limited. Please go ahead.

Vivekanand Subbaraman: So, if I look at the rental income growth adjusted for some of the one-offs, my inference is that the revenue growth is around 4.7% year-on-year. Could you help us understand the key drivers of this in terms of, let's say, escalation - revenue increased contribution from escalation and new towers and tenancies and negative effect of discounts if any.

Vikas Poddar: I'll take that, Vivekanand. I think, see, I guess you're referring to the growth - full year growth of 9%

that we have reported. Am I right, service revenue?

Vivekanand Subbaraman: So I was referring to the 4Q FY26 rental income. And I just took out some of the one-off that was there in the base period. And also the inorganic - the tower purchases that you have done, I strip that revenue out as well from both periods to arrive at 4.7%.

Vikas Poddar: Well, I think I'll just maybe explain the number that we have reported. I don't know how the 4.7% is being calculated. Maybe we can take that offline. But for the quarter, we have reported service revenue year-on-year growth of 5.3%. So as you can see, that's largely driven by the co-location growth. If you look at our co-location numbers year-on-year, you will see a growth of 5.6%.

And then the other growth drivers are typically the annual escalations that we have on our sites as and when they complete the anniversary. Also bear in mind, like I explained in my narrative, there was a one-time settlement benefit in the same quarter of last year that added 2.1 percentage point to our growth. So broadly, I mean, if you adjust for that, then we are closer to 7% growth in the quarter on year-on-year basis - 7%, 7.5%.

Vivekanand Subbaraman: Right. But then the 7.5% growth is also because you acquired towers from Airtel at the end of the quarter, right, last year?

Vikas Poddar: Yes. There was an inorganic element in that. Yes.

Vivekanand Subbaraman: Yes. So the organic growth will be close to 5% still, right? Or is there any...

Vikas Poddar: Yes, 5%, 5.5%. That's right.

Vivekanand Subbaraman: Okay. So just to build further on this, the 5.5% growth, if I look at it against the backdrop of co-location growth of 5.6%, annual escalation of 2.5%, why is the growth so muted compared to 7%-8% growth in prior year?

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Vikas Poddar: So like I explained, there was also just like we had a reconciliation one-time settlement benefit in the same quarter of last year, this year, we had some impact. So as a result, the growth was also slightly muted because of that. And it is not fully reflecting the growth in the footprint.

Vivekanand Subbaraman: Fair enough. Understood. And your prognosis in terms of the order book visibility and organic growth adjusted for some of these factors, how should we think about it, let's say, for FY27 or FY28, if you have any color there...

Vikas Poddar: Vivekanand, I think I would hesitate in giving numbers because as you know, we really don't give any forward-looking numbers. But broadly, I think in terms of the rollout momentum and

all, of course, while I mentioned that the order book is healthy, but at the same time, we need to also take into consideration the fact that there is a supply chain disruption that we are facing because we are in the middle of a geopolitical situation. I think Prachur can elaborate that maybe later on, but we need to be a bit cautious when we talk about forward-looking views.

Prachur Sah: Yes. So I think as Vikas was mentioning, there is a strong order book looking ahead as well for the next few quarters. However, I think given the situation, and there is a little bit of a tightness in the market in terms of tower supplies because that is dependent on LPG availability. Having said that, we have managed to mitigate some of those things by planning, by supply chain, working with the partners, etcetera.

So hence, looking forward, there are some factors which are not entirely predictable, but at the basis of it, the order book looks strong. Whatever supply chain disruptions happen, we are putting efforts to mitigate that and continue to deploy towers to meet the order book.

Vivekanand Subbaraman: Okay, great. My last question is on the dividend. So at the time of the Board resolution that you had sought to acquire towers from Airtel, you had mentioned that the funding of those towers will happen using debt.

And also the commentary in prior periods had suggested that there will be some element of distribution of fiscal 25 cash flow also - cash accruals also, which the management perhaps at a certain point of time, maybe last year, the management had taken a view that it was in the best interest of conservatism to hold on to that cash. Why has that cash not been released and only the cash flow generated for FY26 being decided to earmark as dividends?

Prachur Sah: So honestly speaking, I don't think the Board compartmentalized the cash flows in that category. I think what the Board did is they evaluated the full FCF, looked at the debt level that we want to maintain and decided to distribute the FCF by FY26. And as I said it earlier, the Board is committed to distribute the FCF to the shareholders and try to maintain the steady and progressive distribution going forward. Anything else on that?

Vikas Poddar: I think it's a very holistic view one needs to take. I mean, see, we are in a very dynamic situation, right? And basically, given the current situation, the current debt levels, etcetera, I think the Board has fully considered all aspects and finally decided to distribute dividends to the extent of about INR 37 billion, INR 38 billion. Whichever way you look at it, like Prachur said, you just can't compartmentalize all these things within, let's say, how much is pertaining to that particular Indus Towers Limited

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transaction and how much is from this year's cash and so on. But broadly, how we are looking at it is the cash flow for full year has been fully distributed.

Vivekanand Subbaraman: Okay, got it. Thank you.

Moderator: Thank you. The next question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Yes. Thanks for the opportunity. I have a few of them. First from maintenance part which you spoke, which has led to higher costs, Vikas, in your opening remarks. Just wanted to understand, was this a one-time exercise or you think because the towers have been aging now, this will be an annual phenomenon for us and hence, the cost base has got reset?

Prachur Sah: So Sanjesh, I don't think that is the case. If you look at typically, historically as well, I think Q4 is typically marked by two things. One is Q3 and Q4 are the quarters where we have clear weather. So a lot of the operational and tower maintenance activities are scheduled in this part of the quarter because of the weather supports it.

And secondly, in Q4 as well, what we are doing is preparing for the coming season. So I think typically, the network maintenance activities are lopsided towards Q3 and Q4. However, if you remember in Q1 call itself, what we've done is we have taken a conscious effort to spend a certain part of cost on improving the tower - doing more tower maintenance, strengthening activities as the portfolio is at a certain age.

However, it is not a structural cost that is going to permanently increase. There are some parts which are routine activities that is going to be continuously done with the rigor of making sure it is done. So I don't think the cost base is fundamentally reset.

I think our cost per tower still remains in line, or actually if you look at the holistic picture from the last 3, 4 years, our cost per tower has actually gone down. But there are certain elements of absolute costs that show up. So just look at the tower count and look at the cost with that mirror.

Vikas Poddar: Sanjesh, I just want to add one thing for perspective. I mean, while you're looking at the 3 months, but what is also important is to look at the full year, right? So sometimes you have activities skewed towards a particular quarter.

But from a full year perspective, what you will see is the tower cost or maintenance cost increase is not even reflecting the volume increase because we are offsetting a lot of these

increases either

due to volume or aging portfolio, et cetera, through the various efficiency initiatives that we are driving.

Sanjesh Jain: So because it's more like a seasonality, it sounds like a seasonality rather than a maintenance ?

Prachur Sah: Sanjesh , operations is never binary in that sense. I think seasonality, portfolio maintenance, I think all this comes together, and that's what Vikas is saying. We have to look at the full year, you have to look at the volume of towers being added and look at the cost from that perspective.

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Sanjesh Jain: Clear, clear. Just second question on the single tenancy towers. The assumption was that as Vodafone scales up, the single tenancy towers will come down. We don't have data for this quarter. But if I analyze the data for Q3, it appears that we have added more single tenancy tower, not just accommodating Bharti, but also accommodating Vodafone. Will this trend continue? And what is driving additional tenancy addition for Vodafone? I thought we have covered well pan-India during the Bharti rollout.

Prachur Sah: I'm not quite clear on the question, but let me try to answer. At the end of the day, both in Q3 and Q4, if I'm not wrong, our co-location additions have been higher than the tower addition. So fundamentally, there are single tenancy towers that are getting converted to multi-tenant towers. So that is the first point.

Secondly, for any customer to expand, they have their own network expansion strategy. So while bulk may come through second as a co-location addition, but there will be some single-tenant towers as well being added. So any customer when expands, look at both. The first priority is to come as a second tenant, but the network requirements of their network design will be based on the addition of a tower, whether it's a single-tenant or multi-tenant, so I will leave it at that.

Sanjesh Jain: No. Just let me probably clarify that question. Last quarter, we added 3,800 new towers. Bharti site count went up by 1,150, 1,200. That means we have added around 2,000 more towers in previous quarter than what Bharti has added, which I would attribute it to Vodafone, which appears quite a large number from a fresh tower addition for Vodafone. The base assumption was that considering both have 1,800 MHz frequency RF planning, a lot will overlap each of this network, but it appears that we will require to add more tower when Vodafone rollout starts.

Prachur Sah: Sanjesh, I think there is a correction. I think the assumption that every single tower that the difference that you mentioned between 1,100 and 3,000 is coming from the other customer, I think there's some gap to that because there are certain towers we also add for either customer where while they may not see a net addition in their portfolio, but it is typically at the end of the tenure, they move certain towers from other incumbents to Indus or otherwise, right?

So, I think there is a portfolio that we also add in our setup, which is moving the tower or the tenancy from someone else to Indus. So, I think it's not a direct subtraction that total Indus minus one customer is equal to the other customers. So, I think there's a big element of movement of towers from one tower company to other, which is not a net addition for a customer.

Sanjesh Jain: That's fair enough. Got the point. Just one last question on Africa. When should we expect operations to start? Probably 6 months down the line will be a fair assumption?

Prachur Sah: As I mentioned earlier, I think we are at a very close stage of starting our first tower deployment in Zambia. I think 6 months is more than a fair estimate. I think it's probably earlier than that. But we've got the license, and we are on the ground now. So yes, we are looking to put our first tower very soon.

Sanjesh Jain: Got it. And we have set up NOC and

all right, in Africa? Or we will do it through India?

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Prachur Sah: I think we will find a solution. We'll have to depend whether we manage from here or whether we do it locally. I think you'll have to see it. But I think as of now, the focus is to deploy the towers.

Moderator: Thank you. We'll take the next question from the line of Arun Prasath from Avendus Spark.

Arun Prasath: Vikas , Prachur , a question, once again, going to the sequential drop in the EBITDA that we have said. Okay. If I put it on a per tower basis, how we are looking at it? Is that there is a drop in EBITDA per tower on a sequential basis, roughly around INR 1,500 per tower per month. But not everything is coming from the same maintenance because, again, on a per tower basis, on a reported basis, it is just contributing 20 % the increase , decrease is coming from the maintenance. It seems large part of the EBITDA per tower decrease on a sequential basis is coming from the revenue per tower or sharing revenue per tower. So, can you help us reconcile this difference?

Vikas Poddar: So, Arun, I think there's more than one reason for this. So of course, like I explained, there is

some one -off sitting in the revenue, which is because of the settlements that have happened in Q4. So that's impacting the top line as well as the EBITDA. Apart from that, if you see the other lines, I think even the network maintenance, as we were explaining, is growing 5.6% quarter - on-quarter which is largely driven by the maintenance activities, e tcetera, that we undertook in Q4. So that has impacted.

Apart from that, if you look at the other expenses, we had some one -off there also, and that is also basically showing a big quarter -on-quarter increase because of the one -off benefits sitting in the previous quarter. So there are basically 2 -3 reasons why EBITDA sequential performance in Q4 has been slightly worse off than the previous quarter. But broadly, I mean, we are still talking about a 55% EBITDA margin, which is quite healthy. And from a full year perspective, I think we are pretty much in line with our expectation of 55% plus sort of an EBITDA level.

Arun Prasath: Okay. The one -offs that you are saying, that is there in the Q3? And on the revenue side, you are saying that the negative one -off, is there on the revenue only on the Q4 but on the cost side, you are saying that one -off is there in the Q3 cost?

Vikas Poddar: That's right. So, there is a positive one -off in Q3 and there is a negative one -off in Q4. So somewhere the impact of that is getting more pronounced in the EBITDA.

Arun Prasath: Okay. No problem. I'll take this offline separately. My second question, again, I don't want to look at it from the Q4 basis. But if I look at it from the second half basis, I see 2 trends. One is that our exits in the second half is twice that of our usual annual run rate, I'm talking about second half FY26 . Second, our energy margins in second half is again better than either the first or the second half in the previous year. This is something , how should we look at this?

Prachur Sah: See, I'll answer both of them one by one operationally and then you can comment on the numbers. See, as far as the exits are concerned and the churn is concerned, I mean, most of the churns are BAU - Business As Usual kind of a churn. And I think they typically get replaced by a relocation tenancy.

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And it is typically done because of safety reasons or landlord renewal. So, the number is not that concerning for us because typically, these are offset by a relocation that we make, right? So from a tenancy point of view, there is no loss, right? And so this is an operational churn that in a large portfolio like this, we expect this to happen.

On the energy margin, I mean we have discussed this earlier as

well. H2 seasonally is much

better than H1. So, by default, the operating cost or the impacts or the variations that we see are lower in the second half than in first half. So, if you look historically as well, H2 is primarily driven by a seasonal improvement and H1 is primarily impacted by a seasonal impact.

Vikas Poddar: I don't think there's anything major sort of something different that I have to say. I think what is very important to bear in mind is H1 has clearly more weather -related impacts and weather disruptions in our operation. H2 is generally better from that perspective. And hence, most of the maintenance and safety activities that we undertake are more skewed towards H2, which basically means as and when we build new towers and try to relocate from unsafe towers and so on, you see more exits in H2 than H1, right? So, there's always a seasonality angle in our business.

Arun Prasath: Energy margins in H2 are even lower than the last year's H2. So that is like -to-like comparison, right? How do you explain that?

Vikas Poddar: See, energy margin, Arun, I would suggest - one is energy margin is a function of revenue and cost and how we settle the differences, right? The seasonality will clearly show you the cost trend, and you will see the cost trend is better in H2 versus H1. The margin trend is a function of when you are settling things. And if we are settling things more in H2 then to that extent, I think it is a function of how things are getting settled at the timing of settlement, right?

So, I would suggest don't read too much into the margin. When it comes to margin, timing wise, things could vary, look at full year. When it comes to cost, look at seasonality.

Prachur Sah: Yes. I think look at the margin on a year -on-year basis. If I'm not wrong, I think the margin this year is same or even slightly better than last year. So, I think look at a full year from an energy perspective.

Arun Prasath: While we are on this energy margin topic, just hypothetically say the diesel price or grid electricity price has to go up, our absolute margins will remain, say, as a percentage, will it remain same and hence our absolute negative margin and energy will go up or the other way around, the negative energy margin remains same, but as a percentage, it will reduce?

Prachur Sah: See, at the end of the day, the change in -- when it happens as a price, it impacts revenue and cost, right? So, it impacts both revenue and costs on almost a similar basis. So from a reconciliation perspective, I think the percentage may change because there will be some sort of an absolute difference, but it will not be a material change from a percentage margin point of

view. Of course, the cost and revenue will change accordingly.

Arun Prasath: So my understanding is if percentage remains same, then increasing price will further push down?

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Prachur Sah: Yes. I would not say exactly the same. I think there will be an impact on the margin still, but the larger impact will be seen on the absolute revenue and absolute cost.

Arun Prasath: Okay. One final accounting clarification. I think earlier, we were talking about the annual escalation rate reflecting as part of the revenue growth. But my understanding is the revenue equalization standards would ensure that escalation should not be contributing to at least on an annual revenue growth, right, on a percentage basis?

Vikas Poddar: Arun, there are a lot of nuances in this in terms of the lease accounting. I would suggest we take this offline. We can take you through the workings offline.

Arun Prasath: Understood. Thank you very much.

Vikas Poddar: Thank you.

Moderator: Thank you. The next question is from the line of Saurabh Handa from Citigroup. Please go ahead.

Saurabh Handa: Thank you for the opportunity. These are actually both follow-ups to previous qu

estions. Firstly,

just back on the question of your tower additions, which have averaged close to around 4,000 odd over the last 3 quarters. And one of your large customers has been adding 1,500, 2,000. So you said the difference could be partly because of new tower additions for other customers as well as some potential churn that happening. Would one of these 2 factors have a higher bearing than the other? Just trying to get a sense of which one could be a bigger contributor?

Prachur Sah: No, I would not put a number because it varies by quarter. At the end of the day, it's a net tenancy addition to Indus, so it does impact the revenue positively. That is the main takeaway but the split is not a fixed number, as I said.

Saurabh Handa: Okay. Where I was coming from is because obviously, there's a lot of this chatter about renewals for the third customer and if that could be churn for you. So the point I was trying to add is, is there a potential offsetting factor? Do these cancel each other? I mean, I know you've said that there are a lot of considerations if a tenant chooses to move out from one tower to the other. But I was just trying to get some more granularity on that?

Prachur Sah: See if I were you, I would primarily look at the net additions of the tower portfolio tenancy. I think that's where - because churn gets offset by relocation, it's not net tenancy addition, but it's not a net loss. However, if we get a tower from somebody else, where current operator operating with someone else and move it to Indus that's a net addition to Indus. So I would look at the overall net addition of towers and tenancies to Indus to make your own trends.

Saurabh Handa: And this is where you're saying that so far, the order book or pipeline is quite all right for the coming few quarters?

Prachur Sah: Yes.

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Saurabh Handa: Okay. And just my second question was on the energy margins now with the 50% increase in bulk diesel prices, how does that impact your energy cost? So is there a lead lag impact where maybe it hits you first and then you pass it on. If you can just provide some sort of color on this?

Prachur Sah: No, there is no lag. I think we bill on actual. So as I was explaining earlier, the same question was earlier that once the retail pricing -- if the retail pricing has an impact, it will impact both our revenue and cost on an equal basis. The net margin may have a slight impact towards negative side, but the major impact comes on the revenue and costs on an equal basis, right? So there is no lag. We bill it as actually happens.

Saurabh Handa: But this actually did happen in March because bulk diesel prices were increased quite...

Prachur Sah: No. That was industrial diesel price. It was not the retail, we buy retail diesel.

Saurabh Handa: I was under the impression that our Company used bulk diesel. That's not the case, is it?

Prachur Sah: No.

Saurabh Handa: Okay, great. Thank you for the clarification. Thank you.

Prachur Sah: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take the last question for today, which is from the line of Vedant Sarda from Nirmal Bang Securities Private limited. Please go ahead.

Vedant Sarda: Am I audible sir?

Prachur Sah: Yes.

Moderator: Yes sir.

Vedant Sarda: Just to clarify on our renewals. Since your contracts are structured tower -wise or site -wise, as you said. With respect to Reliance Jio for the tower -wise contracts that have expired, have there been any non -renewals or site exits from Jio?

Prachur Sah: No. I think the re are -- for all the customers, we always have a portfolio which are not renewed, and we work with them and they get renewed yes. Even for Jio, there are certain tenancies that have expired which are still operating and some churn has happened, which we report. So I think it's not one or the other way. It's

not that all the non -renewed have expired or have been churned.

That's not the case. In fact, very minor percentages have been churned.

Vedant Sarda: Okay. And so the contracts where we have renewals happened, so that are at the same commercial terms as earlier contracts. So no incremental discount or price concession we have given to them?

Prachur Sah: Yes, if the renewal doesn't happen, I think we continue operating the same way.

Vedant Sarda: Thank you so much.

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Moderator: Thank you, sir. At this moment, I would like to hand over the call proceedings to Mr. Prachur Sah for final remarks. Thank you, and over to you.

Prachur Sah: To conclude, FY26 reflects consistent execution across our strategic priorities, with our core business continuing to demonstrate resilience and steady growth, supported by healthy co - location additions and sustained customer network expansion. Our plan to expand into Africa is a testament to our agile approach to growth, which will also be enabled by investments in digital and AI -led capabilities.

Given our proven execution track record, focused on efficiency and long -term capital discipline, we remain confident in our ability to deliver sustainable growth and create long -term value for all our stakeholders. Thank you, and have a good day.

Moderator: Thank you, members of the management. Ladies and gentlemen, this concludes the conference call. You may now disconnect your lines. Thank you for connecting to audio conference service from Chorus call and have a pleasant day. Thank you.